

FINAL TERM SYLLABUS

SUBJECT NAME: PRINCIPLES OF MARKETING

SUBJECT CODE: MGT301

- 1. Principles of Marketing Theme PPT's from Page no 2 – 71(Theme 6 – Theme 13)**
- 2. Principles of Marketing Theme Handouts from Page no 72 – 138 (Theme 6 – Theme 13)**
- 3. Principles of Marketing Conceptual MCQ's & Questions with Answers from Page no 139 -460 (Chapter 6 – Chapter 20)**

Most Imp Note: First of all Principles of Marketing contained 1 – 45 lectures but now they have compressed or shorten our syllabus through themes. (Theme 1 – 13). Themes contain different topics not only one topic. Now how can you find similar multiple choice question. Read theme ppt no 6 and handout theme no 6, search main keyword like **business buyer behavior** you will get a lot of mcqs related to this in chapter no 6 from page no 139 onwards. Similarly read theme ppt 7 and handouts theme 7 and search main keyword you will find a lot of mcqs related to this and so on. The book mcq's are important because in my midterm paper mcq's were from this book approx. 5 to 6 which I could remember and short question were also from book. So go through book mcq's from chapter 6 to chapter 20.

Past Papers Subjective Question & Answer File Has also been made. It contains 80 question and answers containing 3 to 5 marks. Collected from youtube and different sites. File is of 43 Pages.

Files have already been shared in mgt301 Whatsapp group.

Business Market

All the organizations that buy goods and services for use in the production of other products and services that are sold, rented, or supplied to others.

Business Buyer Behavior

refers to the buying behavior of the organizations that buy goods and services for use in production of other products and services that are sold, rented, or supplied to others.

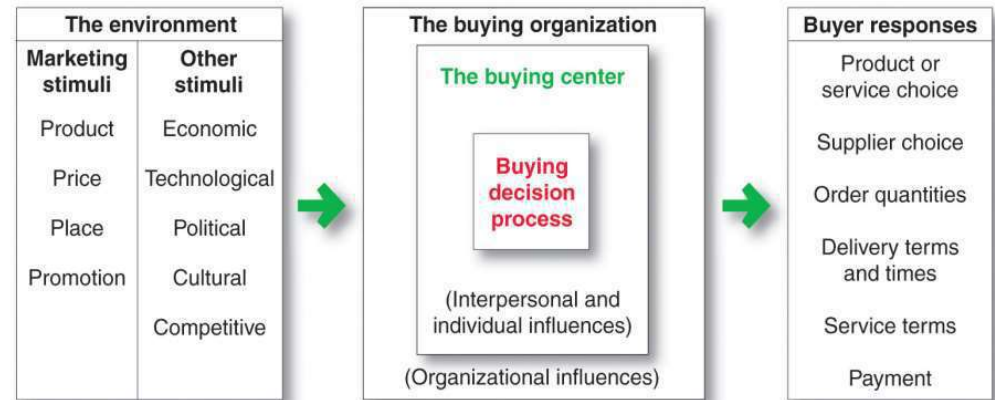
Business buying process

is the process where business buyers determine which products and services are needed to purchase, and then find, evaluate, and choose among alternative brands.

1. Fewer & Larger Buyers
2. Geographic Concentration
3. Derived Demand
4. Buyer & Seller dependency

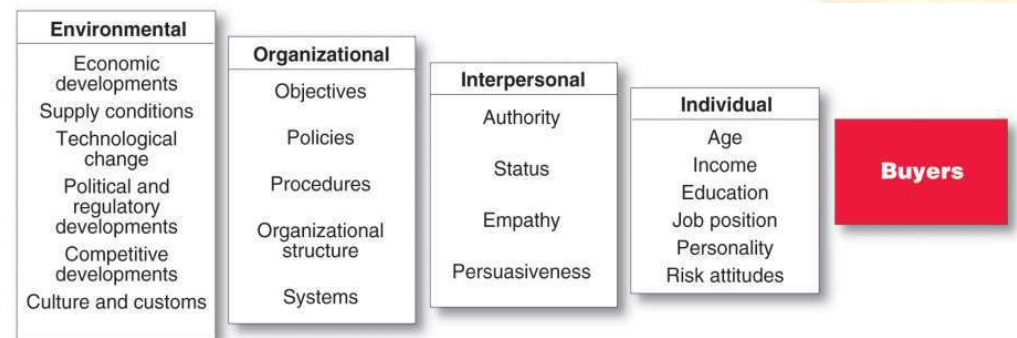
Business buying process

1. More decision participants
2. More professional purchasing effort
3. More buyer and seller interaction



Thought

What influences business buyer behavior?



Major Influences on Business Buying Behavior

Environmental

- Economic developments
- Supply conditions
- Technological change
- Political and regulatory developments
- Competitive developments
- Culture and customs

Major Influences on Business Buying Behavior

Organizational

- Objectives
- Policies
- Procedures
- Organizational structure
- Systems

Major Influences on Business Buying Behavior

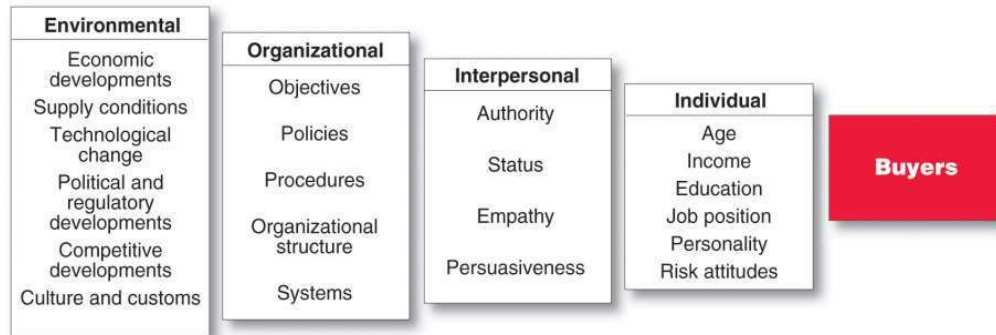
Interpersonal

- Authority
- Status
- Empathy
- Persuasiveness

Major Influences on Business Buying Behavior

Individual

- Age
- Income
- Education
- Job position
- Personality
- Risk attitudes



1. Straight Rebuy
2. Modified Rebuy
3. New Task

Straight Rebuy

is a buying situation in which the buyer routinely reorders something without any modifications.

Modified Rebuy

is a purchase decision that requires some research where the buyer wants to modify the product specification, price, terms, or suppliers.

New Task

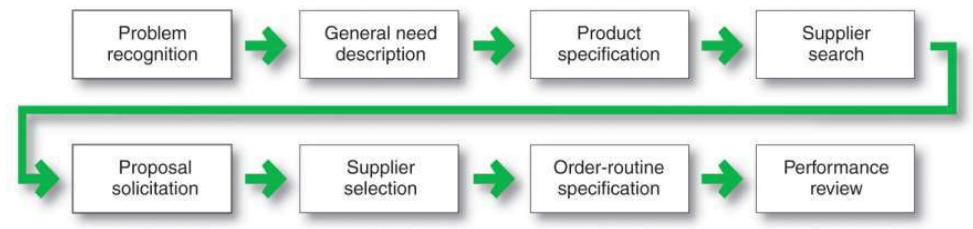
is a buying situation in which the buyer purchases a product or service for the first time.

1. Users
2. Influencers
3. Deciders
4. Purchasers
5. Gatekeepers

The Buying Process of Business Buyer

?

The Buying Process of Business Buyer



Got It?

Institutional markets

consist of hospitals, nursing homes, and prisons that provide goods and services to people:

Low budgets

“Captive” audience

Government markets

Governmental units federal, state, and local that purchase or rent goods and services for carrying out the main functions of government.

Two Questions?

1. Which Customers will we serve?
2. How will we serve them?



Market segmentation

is the process to divide large heterogeneous markets into small markets that can be reached more efficiently and effectively with products and services that match their unique needs.

Types Segmentation for Consumer Markets

1. Geographic Segmentation
2. Demographic Segmentation
3. Psychographic Segmentation
4. Behavioral Segmentation

Geographic Segmentation

Thought

Geographic segmentation divides the market into different geographical units such as nations, regions, states, provinces, or cities.

Geographic Segmentation

Example.....

Let's have One.....

Demographic Segmentation

Thought

divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.

Demographic Segmentation

Example.....

Let's Have One.....

Psychographic Segmentation

Thought

divides a market into different segments based on social class, lifestyle, or personality characteristics.

Psychographic Segmentation

Behavioral Segmentation

Example.....

Let's Have One.....

Thought

divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product

- Occasions
- Benefits sought
- User status
- Usage rate
- Loyalty status

Behavioral Segmentation

Customer Driven Marketing Strategy

Example.....

Let's Have One.....

Market segmentation

is the process to divide large heterogeneous markets into small markets that can be reached more efficiently and effectively with products and services that match their unique needs.

1. Geographic Segmentation
2. Demographic Segmentation
3. Psychographic Segmentation
4. Behavioral Segmentation

Thought

divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality.

Demographic Segmentation

Example.....

Let's Have One.....

Customer Driven Marketing Strategy

Market segmentation

is the process to divide large heterogeneous markets into small markets that can be reached more efficiently and effectively with products and services that match their unique needs.

1. Geographic Segmentation
2. Demographic Segmentation
3. Psychographic Segmentation
4. Behavioral Segmentation

Thought

divides a market into different segments based on social class, lifestyle, or personality characteristics.

Psychographic Segmentation

Customer Driven Marketing Strategy

Example.....

Let's Have One.....

Market segmentation

is the process to divide large heterogeneous markets into small markets that can be reached more efficiently and effectively with products and services that match their unique needs.

1. Geographic Segmentation
2. Demographic Segmentation
3. Psychographic Segmentation
4. **Behavioral Segmentation**

Thought

divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product

Occasions
Benefits sought
User status
Usage rate
Loyalty status

Behavioral Segmentation

Segmenting Business Markets

Example.....

Let's Have One.....

Thought

Consumer and business marketers use many of the same variables to segment their markets.

Additional variables include:

- Customer operating characteristics
- Purchasing approaches
- Situational factors
- Personal characteristics

Thought

1. Geographic Location
2. Economic Factors
3. Political Factors
4. Cultural Factors

1. Measurable
2. Accessible
3. Substantial
4. Differentiable
5. Actionable

Market Targeting

is the process of evaluating market segments and selecting one or more to serve.

Target Market

is a set of buyers who share common needs or characteristics that the company decides to serve.

1. Segment size and growth
2. Segment structural attractiveness
3. Organizational objectives and resources

1. Undifferentiated/Mass Marketing
2. Differentiated/Segmented Marketing
3. Concentrated/Niche Marketing
4. Micro Marketing

1. Undifferentiated/Mass Marketing
2. Differentiated/Segmented Marketing
3. Concentrated/Niche Marketing
4. Micro Marketing

Thought

Undifferentiated marketing targets the whole market with one offer and focuses on common needs rather than what's different.

Differentiated/Segmented Marketing

Thought

targets several different market segments and designs separate offers for each and its goal is to achieve higher sales and stronger position. This is more expensive than undifferentiated marketing.

Concentrated/Niche Marketing

Thought

A market-coverage strategy in which a firm goes after a large share of one or a few segments or niches.

Micro Marketing

Thought

Tailoring products and marketing programs to the needs and wants of specific individuals and local customer segments; it includes local marketing and individual marketing.

Local Marketing

Thought

Tailoring brands and marketing to the needs and wants of local customer segments—cities, neighborhoods, and even specific stores.

Thought

Tailoring products and marketing programs to the needs and preferences of individual customers.

1. Undifferentiated/Mass Marketing
2. Differentiated/Segmented Marketing
3. Concentrated/Niche Marketing
4. Micro Marketing

Concentrated/Niche Marketing

Micro Marketing

Thought

A market-coverage strategy in which a firm goes after a large share of one or a few segments or niches.

Thought

Tailoring products and marketing programs to the needs and wants of specific individuals and local customer segments; it includes local marketing and individual marketing.

Local Marketing

Thought

Tailoring brands and marketing to the needs and wants of local customer segments—cities, neighborhoods, and even specific stores.

Individual Marketing

Thought

Tailoring products and marketing programs to the needs and preferences of individual customers.

Differentiation and Positioning

Product Position

is the way the product is defined by consumers on important attributes—the place the product occupies in consumers' minds relative to competing products.

Differentiation and Positioning

Competitive Advantage

is an advantage over competitors gained by offering consumers greater value, either through lower prices or by providing more benefits that justify higher prices.

Choosing a Differentiation and Positioning Strategy

Options:

1. Product differentiation
2. Service differentiation
3. Channel differentiation
4. People differentiation
5. Image differentiation

Differences Must be.....

Important

Distinctive

Superior

Communicable

Preemptive

Affordable

Profitable

Differentiation and Positioning

Value proposition

Value proposition

is the full mix of benefits upon which a brand is positioned.

		Price		
		More	The same	Less
Benefits	More	More for more	More for the same	More for less
	The same			The same for less
	Less			Less for much less

Value proposition

is the full mix of benefits upon which a brand is positioned.

What is a Product?

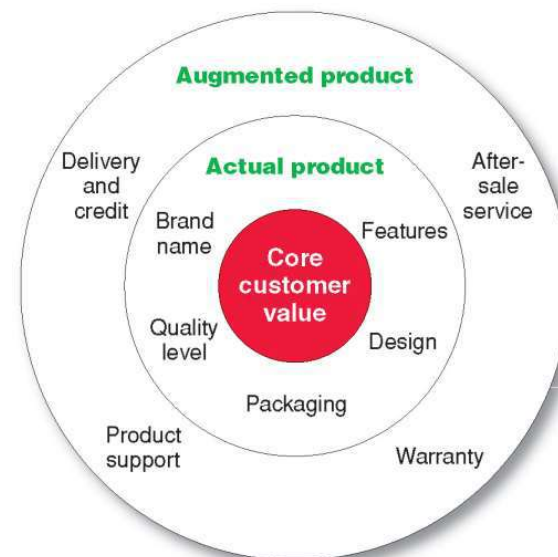
A Product is anything that can be offered in a market for attention, acquisition, use, or consumption that might satisfy a need or want.

Product, Brands & Services

Levels of Products

Experiences.....

what buying the product or service will do for the customer.



Product Types...

1. **Consumer Products**
2. **Industrial Products**

Products and services for personal consumption.

Classification of Consumer Products

Consumer Products

1. Convenience products
2. Shopping products
3. Specialty products
4. Unsought products

Convenience products are consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort.

- Newspapers
- Candy
- Fast food

Consumer Products

Shopping products are consumer products and services that the customer compares carefully on suitability, quality, price, and style

- Furniture
- Cars
- Appliances

Consumer Products

Specialty products are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.

Medical services
Designer clothes
High-end electronics

Consumer Products

Unsought products are consumer products that the consumer does not know about or knows about but does not normally think of buying.

- Life insurance
- Funeral services
- Blood donations

Consumer Products

Marketing Considerations	Type of Consumer Product			
	Convenience	Shopping	Specialty	Unsought
Customer buying behavior	Frequent purchase; little planning, little comparison or shopping effort; low customer involvement	Less frequent purchase; much planning and shopping effort; comparison of brands on price, quality, and style	Strong brand preference and loyalty; special purchase effort; little comparison of brands; low price sensitivity	Little product awareness or knowledge (or, if aware, little or even negative interest)
Price	Low price	Higher price	High price	Varies
Distribution	Widespread distribution; convenient locations	Selective distribution in fewer outlets	Exclusive distribution in only one or a few outlets per market area	Varies
Promotion	Mass promotion by the producer	Advertising and personal selling by both the producer and resellers	More carefully targeted promotion by both the producer and resellers	Aggressive advertising and personal selling by the producer and resellers
Examples	Toothpaste, magazines, and laundry detergent	Major appliances, televisions, furniture, and clothing	Luxury goods, such as Rolex watches or fine crystal	Life insurance and Red Cross blood donations

Product Types...

1. **Consumer Products**
2. **Industrial Products**

Products and services for personal consumption.

Classification of Consumer Products

Consumer Products

1. Convenience products
2. Shopping products
3. Specialty products
4. Unsought products

Convenience products are consumer products and services that the customer usually buys frequently, immediately, and with a minimum comparison and buying effort.

- Newspapers
- Candy
- Fast food

Consumer Products

Shopping products are consumer products and services that the customer compares carefully on suitability, quality, price, and style

- Furniture
- Cars
- Appliances

Consumer Products

Specialty products are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.

Medical services
Designer clothes
High-end electronics

Consumer Products

Unsought products are consumer products that the consumer does not know about or knows about but does not normally think of buying.

- Life insurance
- Funeral services
- Blood donations

Consumer Products

Products and services for personal consumption.

Classification of Consumer Products

1. Convenience products
2. Shopping products
3. Specialty products
4. Unsought products

Consumer Products

Marketing Considerations	Type of Consumer Product			
	Convenience	Shopping	Specialty	Unsought
Customer buying behavior	Frequent purchase; little planning, little comparison or shopping effort; low customer involvement	Less frequent purchase; much planning and shopping effort; comparison of brands on price, quality, and style	Strong brand preference and loyalty; special purchase effort; little comparison of brands; low price sensitivity	Little product awareness or knowledge (or, if aware, little or even negative interest)
Price	Low price	Higher price	High price	Varies
Distribution	Widespread distribution; convenient locations	Selective distribution in fewer outlets	Exclusive distribution in only one or a few outlets per market area	Varies
Promotion	Mass promotion by the producer	Advertising and personal selling by both the producer and resellers	More carefully targeted promotion by both the producer and resellers	Aggressive advertising and personal selling by the producer and resellers
Examples	Toothpaste, magazines, and laundry detergent	Major appliances, televisions, furniture, and clothing	Luxury goods, such as Rolex watches or fine crystal	Life insurance and Red Cross blood donations

Product, Brands & Services

Product Types...

1. Consumer Products
2. Industrial Products

Industrial Products

Products purchased for further processing or for use in conducting a business.

1. Capital items
2. Materials and parts
3. Supplies and services

Capital items are industrial products that aid in the buyer's production or operations.

Materials and parts include raw materials and manufactured materials and parts usually sold directly to industrial users.

Supplies and services include operating supplies, repair and maintenance items, and business services.

What is a Product?

A Product is anything that can be offered in a market for attention, acquisition, use, or consumption that might satisfy a need or want.

1. Organization Marketing
2. Person Marketing
3. Place Marketing
4. Social Marketing

Organization Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward an organization.

Person Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward particular people.

Place Marketing

Consists of activities undertaken to create, maintain, or change attitudes and behavior of target consumers toward particular places.

Social Marketing

The use of commercial marketing concepts and tools in programs designed to influence individuals' behavior to improve their well-being and that of society.....

Individual Product Decisions

1. Product Attributes
2. Branding
3. Packaging
4. Labeling
5. Support Services

Individual Product Decisions

Product attributes are the benefits of the product or service.

- Quality
- Features
- Style and design

Individual Product Decisions

1. Product Attributes
2. Branding
3. Packaging
4. Labeling
5. Support Services

Individual Product Decisions

Brand is the name, term, sign, or design—or a combination of these—that identifies the maker or seller of a product or service.

Individual Product Decisions

Packaging involves designing and producing the container or wrapper for a product.

Individual Product Decisions

Labels identify the product or brand, describe attributes, and provide promotion.

Individual Product Decisions

Support
generally include after
sale warranties etc.....

Services
include after
sales services,

Product Line Decisions

Product line

is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same types of outlets, or fall within given price ranges.

Product Line Decisions

Product line length

is the number of items in the product line:

Line stretching
Line filling

Product Mix Decisions

Product mix

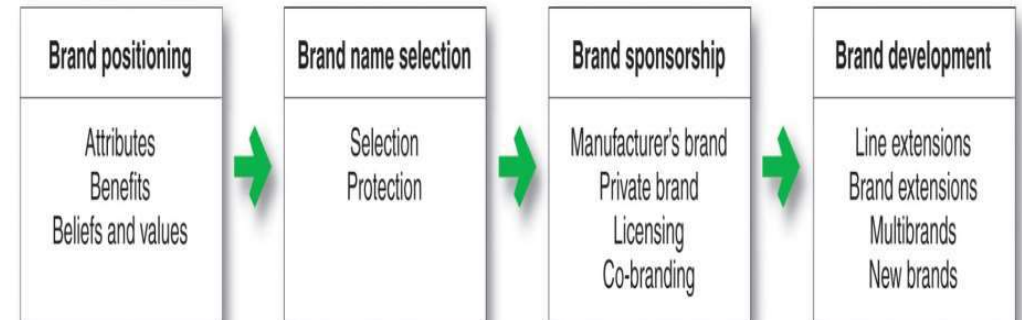
Consists of all the products and items that a particular seller offers for sale

- Width
- Length
- Depth
- Consistency

Brand & Branding

- Brand represents the consumer's perceptions and feelings about a product and its performance.
- It is the organization's promise to deliver a specific set of features, benefits, services, and experiences consistently to the buyers.....

Brand & Branding



Brand & Branding

Brand Positioning

Marketers can position brands at any of three levels.

- **Attributes**
- **Benefits**
- **Beliefs and values**

Brand & Branding

- Brand represents the consumer's perceptions and feelings about a product and its performance.
- It is the organization's promise to deliver a specific set of features, benefits, services, and experiences consistently to the buyers.....

Brand Name Selection

Desirable qualities

1. Suggest benefits and qualities
2. Easy to pronounce, recognize, and remember
3. Distinctive
4. Extendable
5. Translatable for the global economy
6. Capable of registration and legal protection

- Brand represents the consumer's perceptions and feelings about a product and its performance.
- It is the organization's promise to deliver a specific set of features, benefits, services, and experiences consistently to the buyers.....

Brand Sponsorship

- Manufacturer's brand
- Private brand
- Licensed brand
- Co-brand

- Brand represents the consumer's perceptions and feelings about a product and its performance.
- It is the organization's promise to deliver a specific set of features, benefits, services, and experiences consistently to the buyers.....

Brand & Branding

Brand Development Strategies

?

Brand Development Strategies

		Product category	
		Existing	New
Brand name	Existing	Line extension	Brand extension
	New	Multibrands	New brands

Services Marketing

What is a Service?

Service is an intangible and invisible product which results into value/benefit and has value in exchange.....Such as Transportation, health, education etc.

Services Marketing

Characteristics of a Service

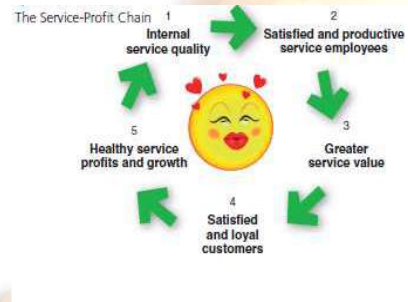
Intangibility

Variability

Inseparability

Perishability

Service Profit Chain



Price And Pricing

What is a Price?

Price is the amount of money charged for a product or service.

It is the sum of all the values that consumers give up in order to gain the benefits of having or using a product or service.

Price And Pricing

What is a Price?

Price is the only element in the marketing mix that produces revenue; all other elements represent costs.....

Price And Pricing

What is a Pricing?

The process of determining and setting price of a product.....

Price And Pricing

What to consider for Pricing?

✓ Price Ceiling

✓ Price Floor

Price And Pricing

Factors Affecting Pricing



✓ Overall Marketing Strategy

✓ Type of Demand

✓ Type of Market

Factors Affecting Pricing

- ✓ Economic Conditions
- ✓ Government
- ✓ Social Concerns

Price And Pricing

What are different pricing methods?

Major Pricing Methods

- ✓ Value Based Pricing
- ✓ Cost Based Pricing
- ✓ Competition Based Pricing

Price And Pricing

Value Based Pricing

uses the buyers' perceptions of value, not the sellers' cost, as the key to pricing.

Price is considered before the marketing program is set.

Price And Pricing

Cost Based Pricing

sets prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for effort and risk.

Cost-based pricing



Value-based pricing



Price And Pricing

Special Pricing Concepts

Competition Based Pricing

is setting prices based on competitors' strategies, costs, prices, and market offerings.

- ✓ Good-value Pricing
- ✓ Everyday low Pricing
- ✓ High-low Pricing

Price And Pricing

What are different pricing strategies?

Pricing Strategies

- ✓ New-Product Pricing Strategies
- ✓ Product Mix Pricing Strategies
- ✓ Price Adjustment Strategies
- ✓ Price Changes

New-Product Pricing Strategies

- ✓ Market-skimming pricing
- ✓ Market- penetration pricing

New-Product Pricing Strategies

Market-skimming pricing

strategy sets high initial prices to “skim” revenue layers from the market.

- ✓ Product quality and image must support the price.
- ✓ Buyers must want the product at the price.

New-Product Pricing Strategies

Market- penetration pricing

involves setting a low price for a new product in order to attract a large number of buyers and a large market share.

Product Mix Pricing Strategies

- ✓ Product line pricing
- ✓ Optional- product pricing
- ✓ Captive- product pricing
- ✓ By-product pricing
- ✓ Product bundle pricing

Product Mix Pricing Strategies

Product Line Pricing

takes into account the cost differences between products in the line, customer evaluation of their features, and competitors' prices.

Product Mix Pricing Strategies

Optional- product pricing

takes into account optional or accessory products along with the main product.

Product Mix Pricing Strategies

Captive- product pricing

sets prices of products that must be used along with the main product.

Product Mix Pricing Strategies

By-product pricing

refers to products with little or no value produced as a result of the main product. Producers will seek little or no profit other than the cost to cover storage and delivery.

Product Mix Pricing Strategies

Product bundle pricing

combines several products at a reduced price.

Price Adjustment Strategies

- ✓ Discount and allowance pricing
- ✓ Segmented pricing
- ✓ Psychological pricing
- ✓ Promotional pricing

Price Adjustment Strategies

- ✓ Geographic pricing
- ✓ Dynamic pricing
- ✓ International pricing

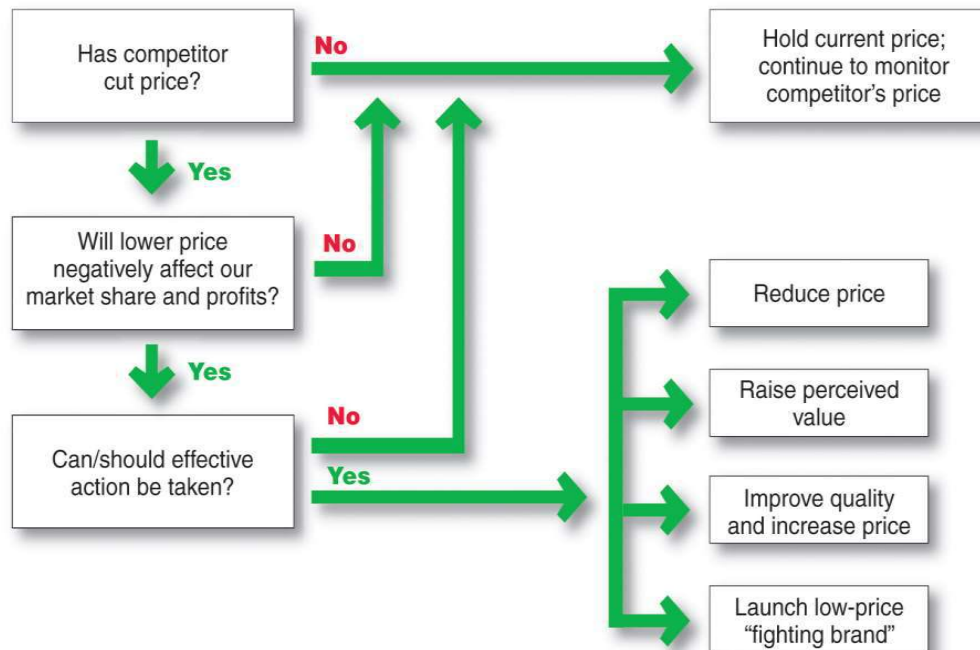
Price Changes

- ✓ Price cuts
 - Excess capacity
 - Increased market share
- ✓ Price increases
 - Cost inflation
 - Increased demand
 - Lack of supply

Price Changes

Theme 10

Promotion/Marketing Communication



What is promotion?

- ✓ Activity that supports or encourages a cause, venture, or aim.
- ✓ The publicizing of a product, organization, or venture so as to increase sales or public awareness.

What is Promotion?

Promotion refers to any type of marketing communication used to inform or persuade target audiences of the relative merits of a product, service, brand or issue.

What is Promotion?

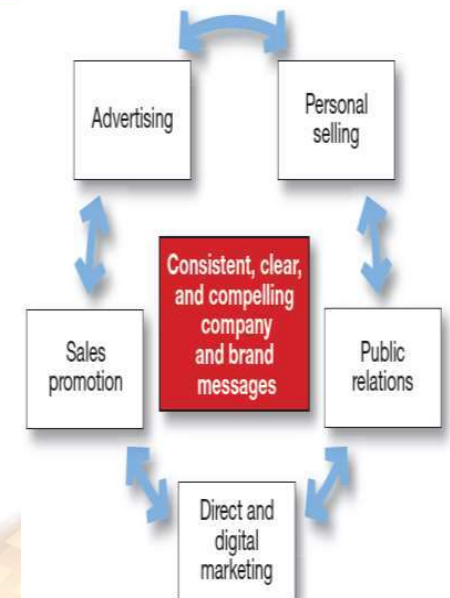
The aim of **promotion** is to increase awareness, create interest, generate sales or create brand loyalty.

Promotion Mix/Marketing Communication Mix

What is Promotion Mix?

The promotion mix is the specific blend of advertising, public relations, personal selling, and direct-marketing tools that the company uses to persuasively communicate customer value and build customer relationships.....

Promotion Mix/Marketing Communication Mix



Advertising

✓ Advertising is any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor.

- ✓ Broadcast
- ✓ Print
- ✓ Online
- ✓ Mobile
- ✓ Outdoor

Sales promotion

✓ Sales promotion is a short-term incentive to encourage the purchase or sale of a product or service.

- ✓ Discounts
- ✓ Coupons
- ✓ Displays
- ✓ Demonstrations

Personal Selling

✓ Personal selling is the personal interaction by the firm's sales force for the purpose of engaging customers, making sales, and building customer relationships.

Public relations

✓ Public relations involves building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events.

Direct and Digital Marketing

- ✓ Direct and digital marketing involves engaging directly with carefully targeted individual consumers and customer communities to both obtain an immediate response and build lasting customer relationships.

Content Marketing

- ✓ Creating, inspiring, and sharing brand messages and conversations with and among consumers across a fluid mix of paid, owned, earned, and shared channels.

Integrated marketing communications

- ✓ IMC involves carefully integrating and coordinating the company's many communications channels to deliver a clear, consistent, and compelling message about the organization and its products.

Steps in Developing Effective Marketing Communication

- Identify the target audience
- Determine the communication objectives
- Design the message
- Choose the media
- Select the message source

Steps in Developing Effective Marketing Communication

- What will be said
- How it will be said
- When it will be said
- Where it will be said
- Who will say it

Steps in Developing Effective Marketing Communication

AIDA Model

- Get Attention
- Hold Interest
- Arouse Desire
- Obtain Action

Steps in Developing Effective Marketing Communication

Message content is an appeal or theme that will produce the desired response:

- ✓ Rational appeal
- ✓ Emotional appeal
- ✓ Moral appeal

Steps in Developing Effective Marketing Communication

Rational appeal
relates to the audience's self-interest.....

Emotional appeal
is an attempt to
stir up positive
or negative
emotions to
motivate a
purchase.....

Media

- ✓ The main means of mass communication (broadcasting, publishing, and the Internet) regarded collectively.
- ✓ Plural form of medium.

Moral appeal is
directed at the
audience's sense
of what is right
and proper.....

Media

- ✓ The term media, which is the plural of medium, refers to the communication channels through which we disseminate news, music, movies, education, promotional messages and other data.

Types of Media

Personal such as Face to face

Phone

Mail

E-mail

Internet chat

Vs

Non Personal such as

TV

Radio

Magzine

Billboard

Etc.

Media

- ✓ The term media, which is the plural of medium, refers to the communication channels through which we disseminate news, music, movies, education, promotional messages and other data.

Setting the Total Promotion Budget

- ✓ Affordable budget method
- ✓ Percentage-of-sales method
- ✓ Objective-and-task method
- ✓ Competitive-parity method

Affordable Budget Method

- ✓ Affordable budget method sets the budget at an affordable level
- ✓ Ignores the effects of promotion on sales

Percentage-of-sales Method

- ✓ Percentage-of-sales method sets the budget at a certain percentage of current or forecasted sales or unit sales price
- ✓ Easy to use and helps management think about the relationship between promotion, selling price, and profit per unit
- ✓ Wrongly views sales as the cause rather than the result of promotion.

Objective-and-task Method

- Objective-and-task method** sets the budget based on what the firm wants to accomplish with promotion and includes:
- ✓ Defining promotion objectives
 - ✓ Determining tasks to achieve the objectives
 - ✓ Estimating costs

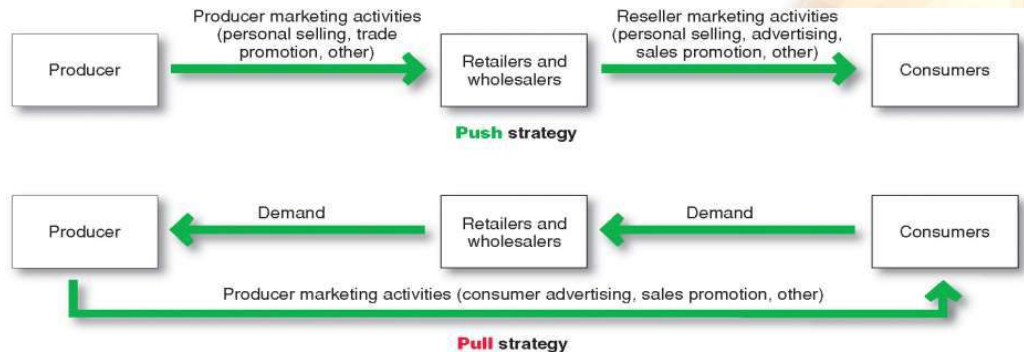
Competitive-parity Method

- ✓ Competitive-parity method sets the budget to match competitor outlays
- ✓ Represents industry standards
- ✓ Avoids promotion wars

Promotion Mix Strategies

- ✓ Push Strategy
- ✓ Pull Strategy

Promotion Mix Strategies



Final Words on Promotion.....

- ✓ 1. Identify customer touch points
- ✓ 2. Analyze trends—internal and external
- ✓ 3. Audit the pockets of communication spending throughout the organization
- ✓ 4. Team up in communications planning
- ✓ 5. Create compatible themes, tones, and quality across all communications media
- ✓ 6. Create performance measures that are shared by all communications elements
- ✓ 7. Appoint a director responsible for the company's persuasive communications efforts

Socially Responsible Marketing Communication

- ✓ Communicate openly and honestly with consumers and resellers
- ✓ Avoid deceptive or false advertising
- ✓ Avoid bait-and-switch advertising
- ✓ Conform to all federal, state, and local regulations

Socially Responsible Marketing Communication

- ✓ Follow rules of "fair competition"
- ✓ Do not offer bribes
- ✓ Do not attempt to obtain competitors' trade secrets
- ✓ Do not disparage competitors or their products

What is Place?

- ✓ Marketing function which deals in making products (Goods/Services) available for purchase and use of the target market.

What is Place?

Place includes the use of different channels/intermediaries of distribution to make available products for customers such as wholesalers and retailers.

What is Placement?

The aim of **placement** is to promote products, connect buyers with producers and physically distribute products.

Value Delivery Network

Value delivery network is the firm's suppliers, distributors, and ultimately customers who partner with each other to improve the performance of the entire system.

Upstream Partners

Upstream partners include raw material suppliers, components, parts, information, finances, and expertise to create a product or service.

Downstream Partners

Downstream partners include the marketing channels or distribution channels that look toward the customer.

Intermediaries

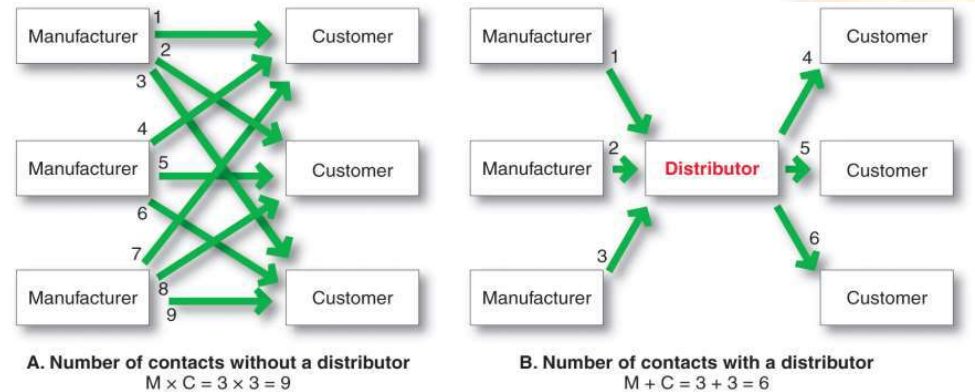
Offer producers greater efficiency in making goods available to target markets. Through their contacts, experience, specialization, and scale of operations, intermediaries usually offer the firm more than it can achieve on its own.

First.....

From an economic view, intermediaries transform the assortment of products into assortments wanted by consumers.

Second.....

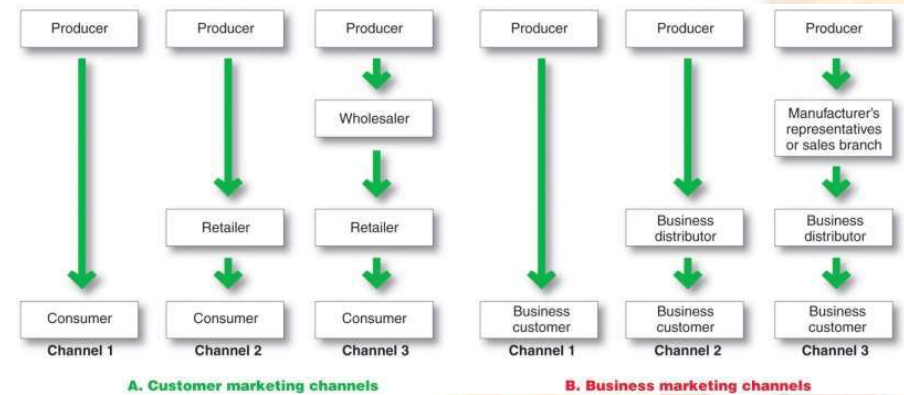
Channel members add value by bridging the major time, place, and possession gaps that separate goods and services from those who would use them.



- Information
- Promotion
- Contact
- Matching

- Negotiation
- Physical distribution
- Financing
- Risk taking

- Physical flow of products
- Flow of ownership
- Payment flow
- Information flow
- Promotion flow



- ✓ **Marketing channel** consists of firms that have partnered for their common good with each member playing a specialized role.

- ✓ **Conventional distribution** systems consist of one or more independent producers, wholesalers, and retailers. Each seeks to maximize its own profits, and there is little control over the other members and no formal means for assigning roles and resolving conflict.

- ✓ **Vertical marketing systems (VMSs)**
provide channel leadership and consist of producers, wholesalers, and retailers acting as a unified system and consist of:
 - ✓ Corporate marketing systems
 - ✓ Contractual marketing systems
 - ✓ Administered marketing systems

- ✓ **Corporate vertical marketing system**
integrates successive stages of production and distribution under single ownership.

- ✓ **Direct and digital marketing** involves engaging directly with carefully targeted individual consumers and customer communities to both obtain an immediate response and build lasting customer relationships.

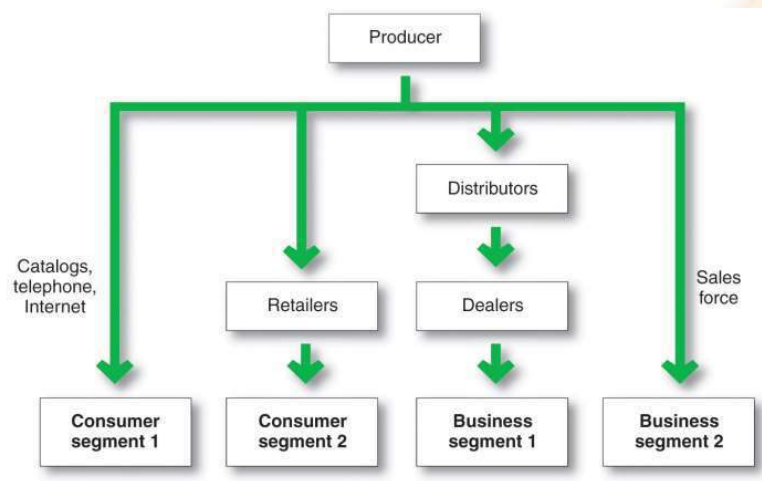
- ✓ **Contractual vertical marketing system** consists of independent firms at different levels of production and distribution who join together through contracts to obtain more economies or sales impact than each could achieve alone. The most common form is the franchise organization.

- ✓ Franchise organization links several stages in the production distribution process
- ✓ Manufacturer-sponsored retailer franchise system
- ✓ Manufacturer-sponsored wholesaler franchise system
- ✓ Service firm-sponsored retailer franchise system

- ✓ **Administered vertical marketing system** has a few dominant channel members without common ownership. Leadership comes from size and power.

Horizontal marketing systems are when two or more companies at one level join together to follow a new marketing opportunity. Companies combine financial, production, or marketing resources to accomplish more than any one company could alone.

Multichannel Distribution systems (Hybrid marketing channels) are when a single firm sets up two or more marketing channels to reach one or more customer segments



- ✓ Analyzing consumer needs
- ✓ Setting channel objectives
- ✓ Identifying major channel alternatives
- ✓ Evaluation

Types of Distribution

- ✓ Intensive distribution
- ✓ Exclusive distribution
- ✓ Selective distribution

Intensive Distribution

- ✓ A marketing strategy under which a company sells through as many outlets as possible, so that the consumers encounter the product virtually everywhere they go: supermarkets, drug stores, gas stations, and the like. Soft drinks are generally made available through **intensive distribution**.

Exclusive Distribution

- ✓ **Distribution is exclusive** when only certain retailers are given the option of carrying a product in its store.
- ✓ **Exclusive distribution** is an agreement between a supplier and a retailer granting the retailer **exclusive** rights within a specific geographical area to carry the supplier's product.

Selective Distribution

- ✓ **Selective Distribution** is a type of **distribution** strategy that lies and operates between intensive and exclusive **distribution**.
- ✓ **Selective Distribution** involves using more than one, but lesser than all the intermediaries and **distributors** who carry the company's products on a basis of a company specific set of rules.

Channel Management Decisions

- ✓ **Selecting channel members**
- ✓ **Managing channel members**
- ✓ **Motivating channel members**
- ✓ **Evaluating channel members**

Place/Placement/Distribution

- ✓ **Exclusive distribution** is when the seller allows only certain outlets to carry its products
- ✓ **Exclusive dealing** is when the seller requires that the sellers not handle competitor's products

- ✓ **Exclusive territorial agreements** are where producer or seller limit territory
- ✓ **Tying agreements** are agreements where the dealer must take most or all of the line

What is Sustainable Marketing?

- ✓ Meeting needs of consumers while preserving the ability of future generations to meet their needs.

Criticisms of Marketing

What is Sustainable Marketing?

Needs of Consumers

Now	Marketing concept	Strategic planning concept
Future	Societal marketing concept	Sustainable marketing concept
	Now	Future

Needs of Business

Impact on Individual

- ✓ High Prices
- ✓ Deceptive Practices
- ✓ High-Pressure Selling

Criticisms of Marketing

Impact on Individual

- ✓ Shoddy, Harmful or Unsafe Products
- ✓ Planned Obsolescence
- ✓ Poor Service to Disadvantaged Consumers

Criticisms of Marketing

Impact on Society

- ✓ False wants and too much materialism
- ✓ Too few social goods
- ✓ Cultural pollution

Criticisms of Marketing

Impact on Other Businesses

- ✓ Acquisition of competitors
- ✓ Unfair competitive marketing practices

Consumer Actions to Promote Sustainable Marketing

Consumerism

Consumerism is the organized movement of citizens and government agencies to improve the rights and power of buyers in relation to sellers.

Consumer Rights

- ✓ Right not to buy
- ✓ Right to expect Safe product
- ✓ Right to expect well performing product as claimed

Consumer Rights

- ✓ Right to be well informed about product
- ✓ Right to be protected against questionable products and marketing practices
- ✓ Right to influence products and marketing Positively
- ✓ Right to consume in a way to preserve the world for future generations

Environmentalism

Environmentalism is an organized movement of concerned citizens, businesses, and government agencies to protect and improve people's living environment.

Environmentalism

- ✓ Pollution prevention
- ✓ Product stewardship
- ✓ Design for environment (DFE)
- ✓ New clean technologies
- ✓ Sustainability vision

Environmentalism

Pollution prevention involves not just cleaning up waste but also eliminating or minimizing waste before it is created.

Environmentalism

Product stewardship involves minimizing the pollution from production and all environmental impact throughout the full product life cycle.

Environmentalism

Design for environment (DFE) involves thinking ahead to design products that are easier to recover, reuse, or recycle.

Environmentalism

New clean technologies involve looking ahead and planning new technologies for competitive advantage.

Environmentalism

Sustainability vision is a guide to the future that shows the company that the company's products, process, and policies must evolve and what is needed to get there.

Sustainable Marketing Principles

- ✓ Consumer-Oriented Marketing
- ✓ Customer-Value Marketing
- ✓ Innovative Marketing
- ✓ Sense-of-mission Marketing
- ✓ Societal Marketing

Business Actions Toward Sustainable Marketing

Sustainable Marketing Principles

- ✓ Consumer-oriented marketing

A company should view and organize its marketing activities from the consumer's point of view.

Business Actions Toward Sustainable Marketing

Sustainable Marketing Principles

- ✓ Customer value marketing

A company should put most of its resources into customer value-building marketing investments.

Sustainable Marketing Principles

✓ **Innovative marketing**

A company should seek real product and marketing improvements.

Sustainable Marketing Principles

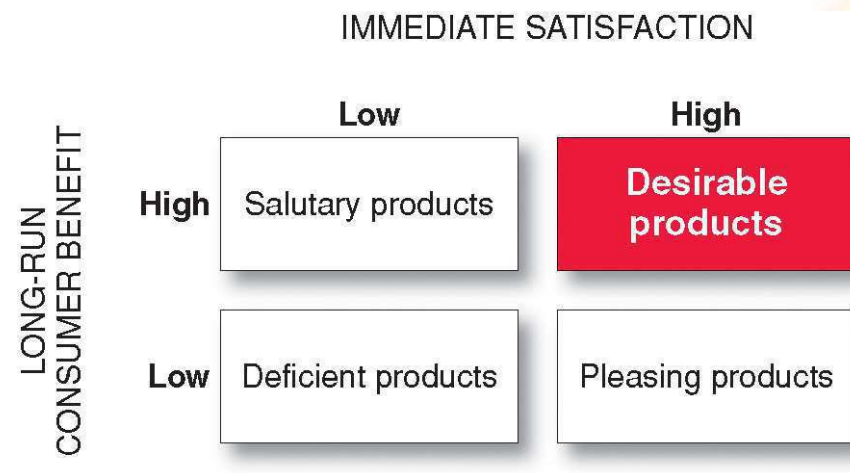
✓ **Sense-of-mission marketing**

A company should define its mission in broad social terms rather than narrow product terms.

Sustainable Marketing Principles

✓ **Societal marketing**

A company should make marketing decisions by considering consumers' wants, the company's requirements, consumers' long-run interests, and society's long-run interests.



✓ Deficient products

Products that have neither immediate appeal nor long-run benefits.

✓ Pleasing products

Products that give high immediate satisfaction but may hurt consumers in the long run.

✓ Salutary products

Products that have low immediate appeal but may benefit consumers in the long run.

✓ Desirable products

Products that give both high immediate satisfaction and high long-run benefits.

Marketing ethics are broad guidelines that everyone in the organization must follow that cover distributor relations, advertising standards, customer service, pricing, product development, and general ethical standards.

Do no harm:

This means consciously avoiding harmful actions or omissions by embodying high ethical standards and adhering to all applicable laws and regulations in the choices we make.

Foster trust in the marketing system:

This means striving for good faith and fair dealing so as to contribute toward the efficacy of the exchange process as well as avoiding deception in product design, pricing, communication, and delivery or distribution.

Embrace ethical values:

This means building relationships and enhancing consumer confidence in the integrity of marketing by affirming these core values: **honesty, responsibility, fairness, respect, transparency, and citizenship.**

To remember

At the foundation of marketing is the belief that companies that fulfill the needs and wants of customers will thrive.

To remember

Companies that fail to meet customer needs, or that intentionally or unintentionally harm customers, others in society, or future generations will decline.

To remember

A sustainable company goes beyond caring for the needs of today's customers and has concern for tomorrow's customers and the broader world.

Theme 13

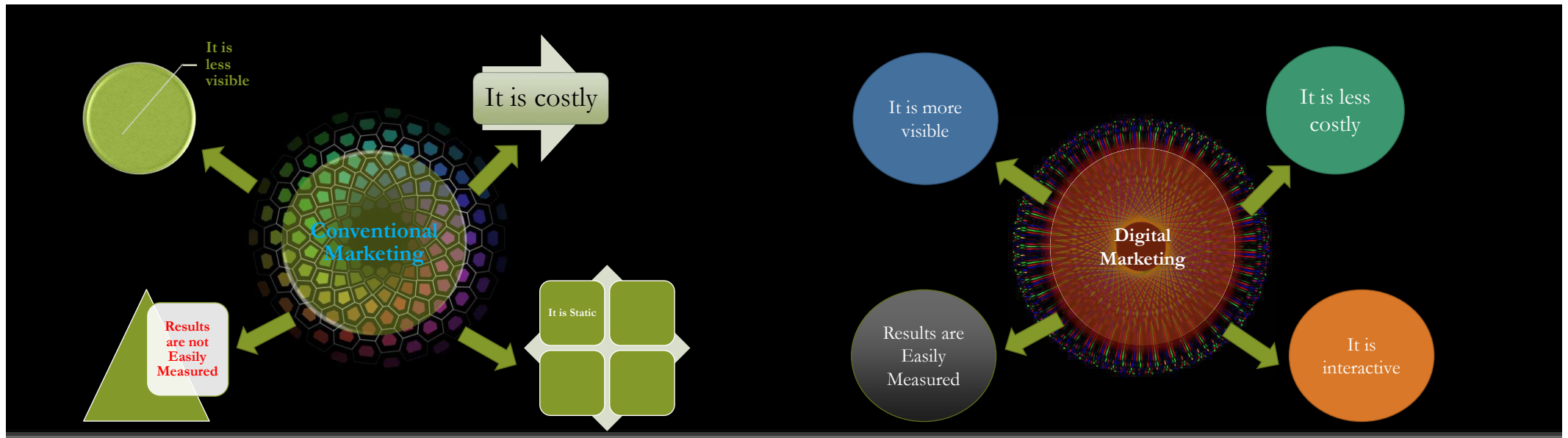
Theme 13



Digital Marketing

Ali Abbas
Lecturer
Management Sciences





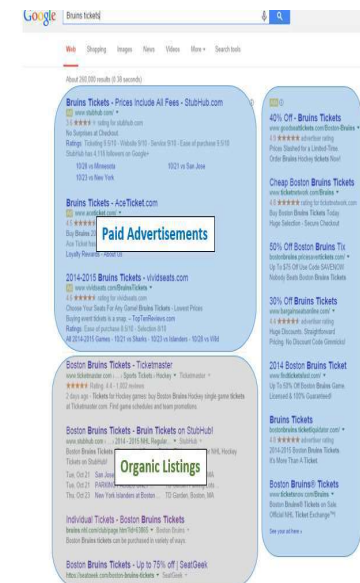
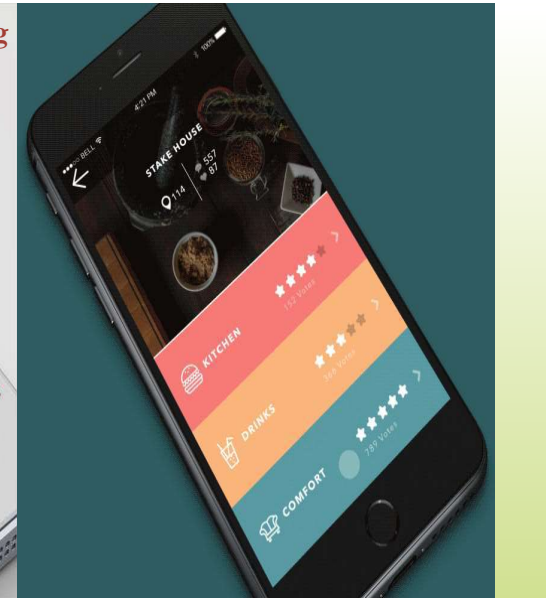
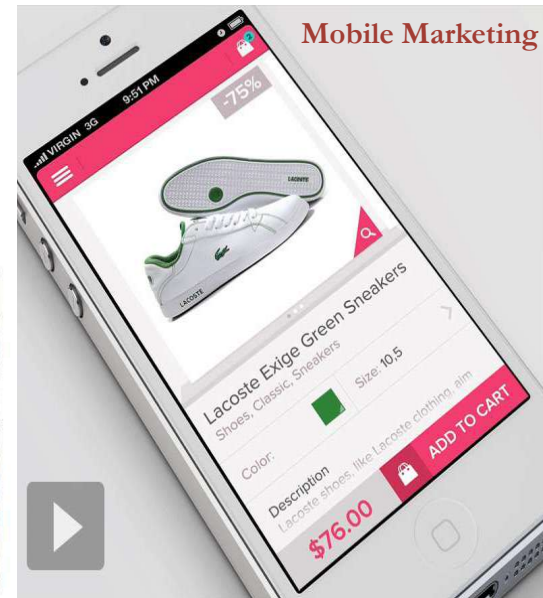
Conventional Vs Digital Marketing





Digital Marketing Techniques

- Digital Display Advertising
 - Display ads appearing on web pages
- Key Stages of DDA
 - Define
 - Format
 - Configure
 - Analyze



Content Writing



Marketing Mix in Digital age

- Digital Product

Digital products are those products that are digital in nature versus physical product



Digital Price

- Strategies of digital pricing

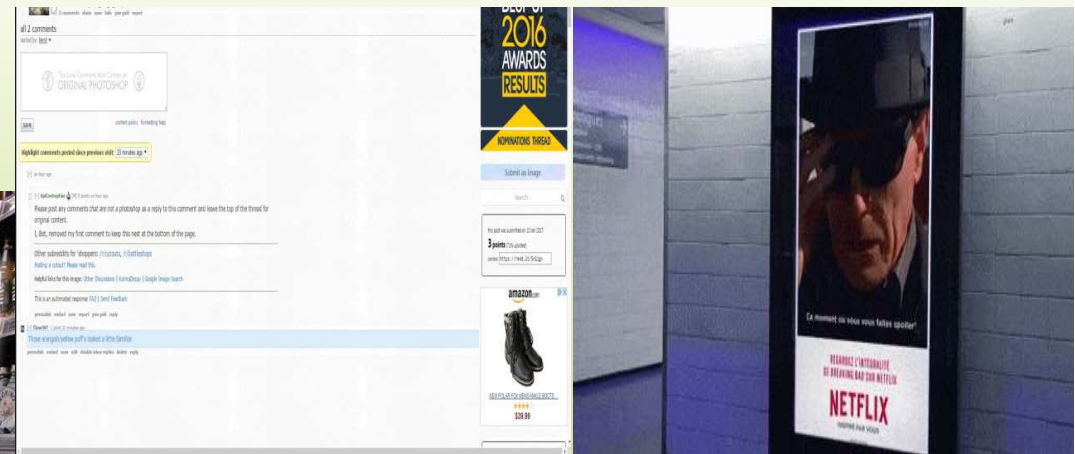
Value Based Pricing

Freemium Pricing

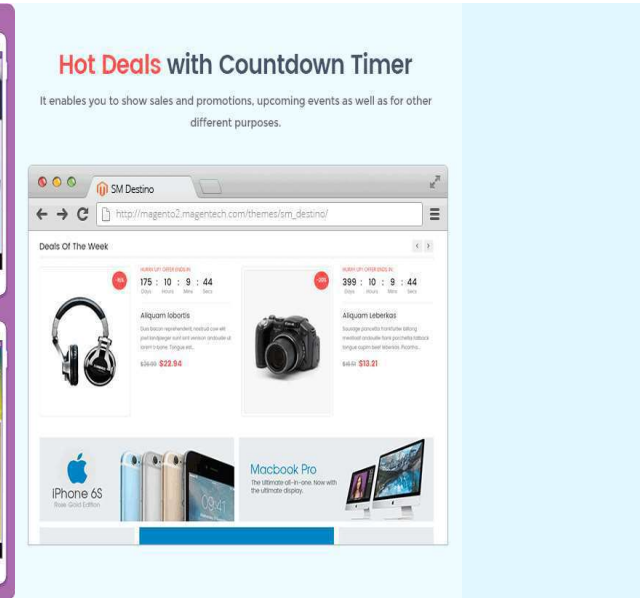
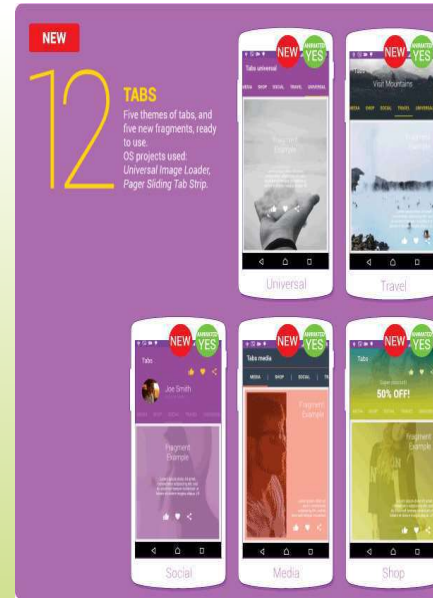
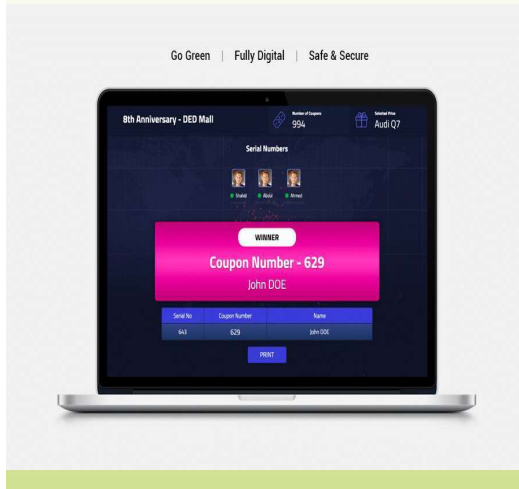
Reframing



Digital Place



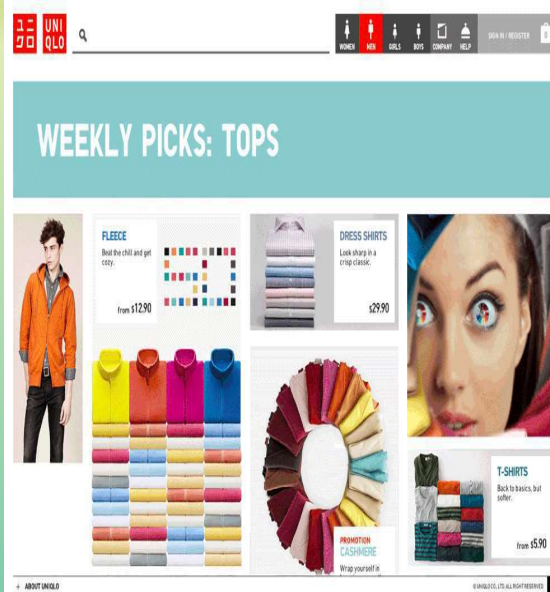
Digital Promotion



Digital Consumers

Types of Digital Consumers

- Basic Digital Consumers
- Retail Scouts
- Brand Scouts
- Digitally Driven Segments
- Calculated Shoppers
- External Shoppers



Contributing Factors in Shifting Consumer Behavior

- People are spending most of their time on internet
- People are increasingly mobile
- People are using search engines for everyone
- Availability of information has empowered consumers



Consumers in Digital Age

Challenges for Marketers

- Setting Standards
- Customer Tolerance
- Customer Dialogue
- Loyalty
- Promotion
- Information
- Multichannel Communication



Technical Articles – MGT301

Theme # 6: Business Markets and Business Buyer Behavior

In the previous theme, we discussed about consumer buying behavior. In this theme we will discuss “Business Markets and Business Buyer Behavior”. The primary objective of this theme is to build the basic vocabulary and concepts of business buying behavior that will help you to apply this knowledge in the real-life scenario.

A. Business Markets:

In business markets, we sell products and services to other organizations rather than directly to the consumer also known as business to business market (B2B). In business markets a wide range of products exist from simple products (coffee, furniture, mobiles) to more complex products (aircraft, computer systems, surgical instruments etc). Major companies in this field include manufacturers, service providing companies and government institutes.

B. Business Buyer Behavior:

It is the intent and behavior of the organizations to purchase the products for their use or resell to the other organizations. They might be the products or services that can be used in the production of other products or services. The role of wholesaler and retailers are also part of this behavior because they purchase the goods and sell to others or rent them at a profit.

C. Business Buying Process:

It is the process in which the employees of the organizations decide which products or services are required, and then purchase the product by evaluating and selecting the best alternative solutions. It is beneficial for (Business to Business) marketing managers to understand the concept of business markets and business buying behavior so that they could apply these concepts to build profitable long term relationships with business consumers.

D. Characteristics of Business Markets:

In this section, we will discuss some aspects of business markets that will help us to make a clear distinction from consumer markets.

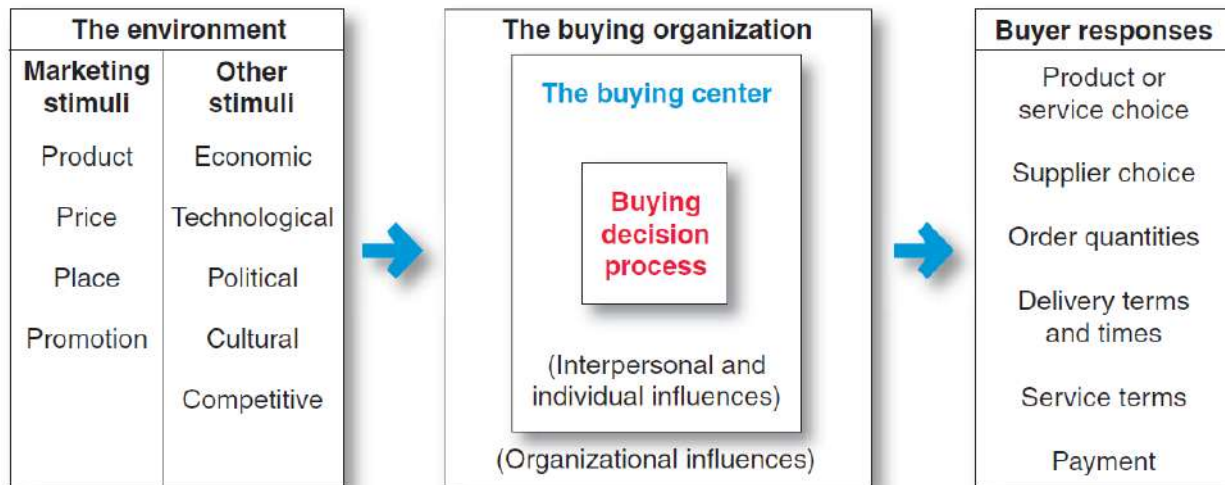
1. The business markets deal with few customers than consumer markets. But these few customers generate higher revenue as compared to consumer markets.
2. The business markets are more geographically concentrated than consumer markets. For example, Faisalabad city is more renowned as an industrial city and Daska is more famous for producing surgical instruments.
3. The demand for business markets depends on consumer goods. We can say that derived demand is business demand. For example, due to the need for personal computers, Dell buys Intel microprocessor chips. Intel spends a lot of money on the advertisement regarding personal computers which boosts the sales of Intel microprocessor chips. As a result of this, a win-win situation is created between Intel and their partners.
4. The business markets have stronger buyer and seller dependency on each other as compared to consumer markets. The marketers of B2B often closely interact with the customers to identify customer's specific needs, offer solutions to the problem and gives after sale service support.

E. Explanation of Business Buying Process:

Business purchase requires more professionalism and also involves more than one decision participants. Companies offer various training programs to the employees to learn how to purchase effectively. More involvement of participants is required in case of complex purchase decisions. Most of the companies make buying committees which are the blend of top management employees and purchase experts. Now companies are facing a new challenge on the supplier side in the shape of better well-trained supply managers. There is a need to hire professional marketers and sales force managers so that they can handle these well-trained supply managers in a better way. As it is discussed earlier that business buyer faces more complex decisions making as compared to consumer buyers because it involves more complex, technical and economic considerations with massive involvement of money. In addition to this, it also involves multiple interactions of people at a different level of organization. The business buying process is more formalized than consumer buying process because it requires more

formal documentation, product specifications, and proposal writings and requires formal approval for order placement.

F. The Model of Business Buyer Behavior:



The marketers are seeking the answer to the questions that how business buyers respond to different marketing stimuli. In the model, different types of stimuli affect the buying organization which leads to generating buyer responses. The stimuli enter in the organization and then converted into buyer responses. The keen responsibility of the marketers is to understand what is going on within the organization to translate stimuli into purchase behavior, it helps marketers to develop sound marketing strategies. Within the organization, the buying activity consists of two parts; first one is the buying center in which different employees involved in decision making and the second one is the buying decision process. The buying decision process and buying center are influenced by internal organizational, individual, interpersonal as well as external environmental factors.

G. Key Influences on Business Buying Behaviors:

Below are the factors those influence business buyers when they are going to make purchase decisions:

1. Environmental Factors:

The current and expected economic environment has a significant influence on business decision making like product demand, the current condition of the economy and facing a shortage of material supply. As a result of this, many companies save more material in the warehouse to minimize the scarcity of material. Competitive firms, technology and political environment also affect business buying decisions. Culture is also changing business buyers in the global market environment. It is essential for marketers to understand how these factors are influencing the decision making and then accept these challenges and convert them into opportunities.

2. Organizational Factors:

As we know that every organization has its vision, mission, policies, practices, procedures and structures. It is the core responsibility of marketers to understand these organizational factors. The core questions which are addressed by the marketers are:

- i. How many people involved in the decision?
- ii. What are their ranks?
- iii. How we do the evaluation?
- iv. What are the limits of the organization?

3. Interpersonal Factors:

As we know that in the business buying process many people are involved in decision making so, interpersonal factors significantly influence this process. But remember it is difficult to identify the specific group dynamics and interpersonal factors. It is not compulsory that the highest rank officer always make a critical decision. As the participants have a special relationship with others, they control the reward and punishment system and also have particular expertise, so that due to these reasons they significantly influence the decision making process. Therefore, it the core responsibility of the marketers to understand these factors and designs the marketing strategy accordingly.

4. Individual Factors:

Each member has characteristics which are different from other members. Each member has its own goals, performances, and perceptions. The distinct gender, age, personality, job rank and risk-taking abilities can influence business decision making. Everyone has its unique buying style; some individuals are more technical and do an in-depth analysis of supplier products, and some are good negotiators and feel comfortable while negotiating with the supplier.

H. Significant types of Buying Situation:

Usually, a buyer can face three types of buying situations. One extreme of this situation is straight rebuy involves the routine purchase and another extreme is the new task requires in-depth research. In the middle level modified rebuy exists which requires some research. The detailed description of each buying situation is given below:

1. Straight Rebuy:

In this situation, the buyer goes for purchase without any modifications or amendments. This is the routine work in which a list of selected suppliers is available. Due to the historical experience and good satisfaction level the purchaser reorder the regular products.

2. Modified Rebuy:

In this situation, the buyer changes the product specifications, terms and conditions, price and even supplier. More participants involved in modified rebuy as compared to straight rebuy. In this situation, already working suppliers feel pressure to perform well to remain in the business while outside suppliers try to capture the market by offering better products.

3. New Task:

In this situation, the buyer purchases the product the first time from the supplier. In this case, more people are involved in decision making, more risk and cost involved and more

research is required. In the new task, the buyer must decide product specifications, service terms, order quality, price, and delivery time and payment conditions.

I. Participants in the Business Buying Process:

Following are the participants who may be involved in the buying decision process.

1. User:

Users are those people in the organization who use the product or service. They are the initial users of the product therefore; they initiate the demand for the product and also help the other participants regarding product specifications.

2. Influencers:

Most of the time these are the technical people who influence the purchase decision. They help and guide other members regarding product specifications and also for evaluating alternative options.

3. Buyers:

Buyers have the formal authority to place the order and select the terms and conditions for purchase. The central role of the buyer is supplier selection and negotiation. High ranked members of the organization are involved in case of buying complex product.

4. Deciders:

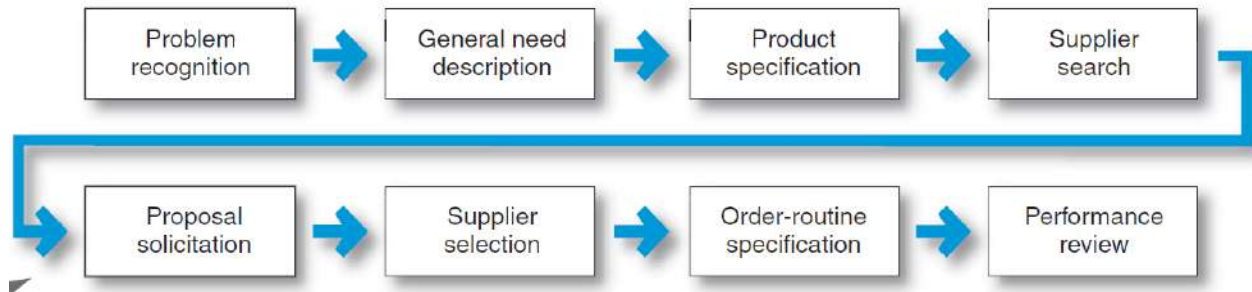
These people have the power to select or reject the vendor. Sometimes the power is formal or informal. Buyers in many organizations are also the deciders in routine buying.

5. Gatekeepers:

They control the flow of information within the organizations. They can be technical persons or personal secretaries.

J. The Buying Process of Business Buyer:

When the situation of buying is a new task, then the buyer usually performs these eight tasks, but in the case of straight or modified rebuy, the buyer may skip a few steps.



Flow chart of Business Buying Process

1. Problem Recognition:

In this step, the buyer initially identifies a problem or a need and may require a product or service. This can either be a result of internal or external stimuli. If the company wants to launch a new product then the company needs new machinery and raw material, this is an example of internal stimuli. In the case of external stimuli the buyer may receive a call from other suppliers who are offering a better product or service.

2. General Need Description:

After need identification, the next step is general need description in which the buyer describes the characteristics and requires the quantity of the product. For simple products the buyer faces few problems, and for complex products the buyer consults with other members i.e. Engineers and Users who better define the product.

3. Product Specification:

In this step, the buyer describes the technical product specifications with the help of the value analysis team. This team best identifies the product characteristic and then writes it accordingly.

4. Supplier Search:

In this step, the buyer searches the appropriate supplier. In the process of supplier search, the buyer uses some phone directories, do an internet search and also contact other organizations for guidance. If the product is a costly and complex item then it takes more time to search the supplier.

5. Proposal Solicitation:

Only eligible suppliers submit the proposals in this stage. Just in case when the product is complex, the supplier gives additional detailed written proposals or sometimes gives presentations.

6. Supplier Selection:

In this step, the buyer read all the proposals and then selects the best supplier. The proposal includes product quality, number of units, delivery conditions and product specifications. The buyers rate these attributes and then choose the best supplier.

7. Order-Routine Specification:

Now the buyer finally prepares order routine specifications which include technical specifications, order quantity, warranties, maintenance and repair, etc. In addition to this, the buyer signs the contract with the supplier to maintain the long term relationship and also agrees to resupply the items as per need.

8. Performance Review:

In the last stage, the buyer reviews the performance of the supplier and analyzes the satisfaction level of the users. The buyer makes the decision either to discontinue or continue with the supplier based on supplier performance.

K. Institutional Markets:

Institutional markets are based on different types of institutions like schools, railways, airline etc. Most of the institutes provide goods and services to the people in their care. These are huge markets and each institute has its own needs and requirements. Many of them have a low budget and captive patrons. For example, in hospitals limited eating options are available and you have to eat only those items which are currently available. So, the purchasing agent of hospital searches those vendors who give good quality food at nominal cost.

L. Government Markets:

In many countries, government is the primary buyer and supplier of different items. The government provides large or small opportunities to the other companies. When the government is involved in buying then it usually goes for the bidding process and gives the order to low price bidder. Government buyers are also affected by outside environmental factors, interpersonal and organizational factors as well.

GENERALLY ASKED QUESTIONS

Question 1: What is the difference between institutional markets and government markets?

Answer: Organizations that provide goods and services to people in their care are generally known as institutional markets. Schools, colleges, hospitals, nursing home, prisons are some of the examples of institutional markets. Whereas, government markets include those government owned units that purchase or rent goods and services for carrying out the main functions of government. Government markets offer remarkable opportunities for small and large scale companies/buyers. Government organizations usually require suppliers to submit bids, and they give contract to the lowest cost effective bidder.

Question 2: What is the difference between institutional buyer and government buyer? There are government hospitals and government schools, whether they are institutional buyers or government buyers and whether the private institutions also fall under the definition of institutional buyer?

Answer: Institutional buyer is a broader term. Governmental and non-governmental organizations are institutional buyers. Government and Private are the status of institutions. For example, Punjab Text Board is a Government institution. Similarly, Agha Khan University is a Private educational institution.

Question 3: How do the companies set the prices of the products and how do they give hefty discounts during promotion periods; are they still at profit then?

Answer: When companies set prices there are many factors behind it like production cost, target market, buying power etc. Similarly when companies offer promotions or discounts, firstly they set objectives that how much of their product volume is going to be sold during promotion period and to what extent they can be at profit while promoting their promotion. Sometime companies earn huge profit due to selling of large volume because they do production in bulk and they are still earn profit in discount period.

Question 4: Is there a good career for Students in marketing?

Answer: Present research shows that Employment of marketing managers is projected to grow 7 percent from 2019 to 2029, faster than the average for all occupations, so career in marketing is always attractive.

Question 5: Low price and large quantity are the main characteristics of the institutional and government market but it is also very common in large business units. Why is the low price being attractive for everyone?

Answer: Yes, low price is always attractive for everyone because it results in apparent cost savings.

Question 6: Define the term Gatekeeper as a participant in the business buying process.

Answer: They control the flow of information within the company; they can be sitting at different levels in an organization. Buyers who deal directly with a vendor are gatekeepers.

Technical Articles – MGT301

Theme # 7: Customer Driven Marketing Strategy

Companies must address two questions in order to implement a customer-driven communication strategy:

1. Which consumers can we serve?
2. How can we provide service to them?

To answer the above queries, there are four foundations of organizational strategies.

Select customers to serve

1. Segmentation
2. Targeting

Decide owner value proposition

3. Differentiation
4. Positioning

Segmentation refers to subdividing the market and grouping it according to needs. In order to properly market to each user in a market where user needs are diversifying, it is important to subdivide the market according to specific attributes such as place of residence, birthplace, age, gender, and hobbies. We should consider the following variables for segmentation.

Geographic variables:

Geographic variables are variables that are used for segmentation by geographic elements. It is effective when dealing with foods, clothing, home appliances, and other items that are likely to make a difference in sales depending on the climate and lifestyle. For example;

1. Regions of the world (Asia, North America, Europe, Middle East, etc.)

2. Climate (rainfall, snow cover, temperature, humidity, etc.)
3. Population density (more people in urban areas, less people in the suburbs, etc.)

Demographic variables:

Demographic variables are variables used to classify consumers by objective attributes. It is the most commonly used variable because it has strong ties to customer needs and is easy to measure.

For example;

1. Age (20's, 30-40's, 50-60's, 70's and beyond)
2. Gender (male, female, etc.)
3. Occupation (service industry, manufacturing industry, IT system, office work, programmer, marketer, etc.)
4. Income (less than 3 million rupees, 3 million to less than 4 million rupees, 4 million to less than 5 million rupees, 5 million to less than 10 million rupees, etc.)
5. Academic background (junior high school, high school, junior college, university, graduate school, vocational school, etc.)
6. Family composition (single, married, having children, age of children, etc.)
7. Household size (1, 2, 3 or more, etc.)

Psychological variables:

Psychographic variables are variables used when segmenting based on personality, values, lifestyle, etc. It has been said that it is qualitative and difficult to narrow down the target, but the accuracy has improved considerably due to the spread of the Internet. For example;

1. Lifestyle and values (emphasis on brand image, preference for organic products, etc.)
2. Personality (sociable, introverted, nervous, ambitious, etc.)
3. Social class (upper, middle, upper-middle, lower-middle, lower, etc.)

Behavior variables:

Behavioral variables are variables used when segmenting by behavioral patterns, knowledge, reactions, etc. For example;

1. Usage (use every day, use in morning and evening, use on weekends, use in specific seasons, etc.)
2. Presence or absence of knowledge (repeat knows the product well, is interested but not familiar with it, does not recognize it at all, etc.)

3. Frequency of use (light users, heavy users, middle users, etc.)

Both of the aforementioned categories are for segmenting the consumer industry; but, if a firm wish to segment the business market, specific variables such as client operational characteristics, buying methods, situational considerations, and personal characteristics should be considered. For better segmentation of the foreign sector, an organization can understand geographical area, economic factors, political factors, and cultural factors.

Requirements for effective segmentation:

Following are some requirements for effective segmentation:

- 1- **Measurable:** The segment size, its profiles, and purchasing power can be quantified but a few variables in segmentation are difficult to measure. For example, there are a huge number of left-handed people in America which is approximately equal to the population of Canada. But still, only a few products are designed for this segment.
- 2- **Accessible:** A market segment where a marketer can reach and serve them effectively. For example, targeting a group of people where we can reach and does not have any geographical, political, cultural and legal barriers.
- 3- **Substantial:** A market segment should be large and profitable enough to determine whether a segment has the potential to recover investment or not. For example, designing a special car for people who have a height of more than 8 feet.
- 4- **Differentiable:** The need of people in a segment should be similar within the segment and distinguish from the need of people of other segments. If a single and married man responds similarly to the sale of shirts, they are not part of separate segments.
- 5- **Actionable:** You have to be able to provide products or services to your segments. For example, a company spent a lot of money and time identifying a segment and they find out that they are unable to find customers for their product in that specific segment.

Market Targeting and Target Market

After segmentation, company evaluates each segment and then select the best suited for the organization, the whole process is called market targeting. Target market is a set of buyers who

share common needs or characteristics that the company decides to serve. Company has to consider segment size and growth, segment structure attractiveness, and organization objectives and resources before targeting the market.

The principles of market segmentation in international marketing have their own characteristics. Depending on the object of analysis in international marketing, the following types of segmentation are distinguished:

1. Division of markets by country or region;
2. Distribution of consumers of one country (region) according to more detailed features (criteria).

The task of segmentation of international markets is closely related to the study of the attractiveness of markets in terms of international marketing activities. The selection of markets is made, in particular, based on the selection of the most promising segments for product promotion. Even between geographically close countries, there can be serious differences in the level of economic development, the peculiarities of the political system and culture, so international companies have to face the challenge of dividing the world market into segments. Companies can segment international markets based on one or more criteria. Countries can be segmented geographically by grouping them by region: for example, Western Europe, Pacific, Middle East, and Africa. Once the key markets have been selected, the company needs to segment them at the country level in order to identify the most promising consumer segments.

Market segmentation is more difficult in the "B2B" business area than in the "B2C" customer field since you do not apply the criteria to a large target group across the board but rather respond to the individual wishes of your business customers. Your offer must meet the right "B2B" target groups. Think about which companies you would like to address. Which industry is your offer suitable for? Are there common characteristics such as company size, sufficient liquid funds, legal form, sales volume, market share and number of employees? The more similarities the desired customers have in common with your company, the more likely it is that your offer will meet with interest. Think about whether you want to narrow down your geographic area or whether you want to expand your market. Some products depend on geographical locations. Economic characteristics

such as sufficient liquid funds, purchasing behavior and the season (e.g., parasols) also play a role. The psychogenic characteristics include the cost-benefit ratio for your target customers. Can you convince them of your offer and what is the general attitude of the industry towards your offer?

After you have answered these questions and divided your target group into socio-demographic, economic, and psychographic characteristics, the last step is the need for information and search motivation. You are dependent on the decision-makers. What wishes, needs, problems and experiences do the responsible decision-makers have? Have you had good or bad experiences with your offer or that of a competitor? Do the responsible people know your company and offer, and are they interesting enough to do your own research? Ideally, your offer generates wishes and convinces your target group. Your content has to build sympathy points and establish expert status.

There are some types of target market strategies which are given below;

Undifferentiated/Mass Marketing: Target the whole market with one offer and focuses on common needs rather than what's different. You can say this strategy as "one-size-fits-all" and focus of this strategy is on common needs of customers.

Differentiated/Segmented Marketing: Targeting several different market segments and designing separate offer for each and goal is to achieve higher sales and stronger position. Main purpose of this strategy is to focus on differences.

Concentrated/Niche Marketing: In niche marketing a firm focuses on one specialized part of a segment. For example, a company is going to target only BMW customers.

Micro Marketing: Tailoring products and marketing programs to suit the needs and wants of specific individuals and local customers, also called tailor made marketing. For example, a tailor stitching clothes according to customer need same like that companies try to serve customers on individual level.

Local Marketing: Design different offering for different localities such as a brand has different offering/assortment in posh area and same branch has different offering/assortment in low income level area.

Product Positioning: After segmentation and target marketing now company has to choose point of differences and what will be positioning strategy. The place that organization wishes to have in the mind of customers, distinct and better than the competitors is known as **product position** and the process by which such position is attained is known as **positioning**. Positioning depends upon point of difference and that point of difference is called competitive advantage.

Competitive advantage is an advantage over competitors gained by offering consumers greater value, either through lower prices or by providing more benefits that justify higher prices.

Some options for differentiation are given below;

1. Product Differentiation (Functionally different from others)
2. Service Differentiation (After sales services are different from others)
3. Channel Differentiation (Online sale/purchase of products)
4. People Differentiation (Staff/employee's style of dealing with customers is different from others)
5. Image Differentiation (A company may differentiate itself from its competitors by image)

Differences must be:

- 1- Important (valuable for customer)
- 2- Distinctive (clearly differentiate with competitor)
- 3- Superior (higher in rank, status, or quality.)
- 4- Communicable (differentiate product offering)
- 5- Preemptive (offering before your competitors)
- 6- Affordable (targeted customer will be able to buy the differentiated product.)
- 7- Profitable (can generate revenue or good return on investment.)

After segmentation, target market and positioning strategy now company has to decide about value proposition. **Value proposition** is the full mix of benefits upon which a brand is positioned. It is the answer to the customer's question "Why should I buy your brand?"

Options to decide value proposition:

		Price		
		More	The same	Less
Benefits	More	More for more	More for the same	More for less
	The same			The same for less
	Less			Less for much less

More for More: Price and quality (benefits) are more than competitors.

More for the same: More benefits and same price than competitors.

More for the less: More benefits and less price than competitors (Example, China product market)

The same for the less: Same benefits and less price than competitors.

Less for much less: Less benefits and less price as compare to competitors.

GENERALLY ASKED QUESTIONS

Question 1: On what basis will we differentiate our customers?

Answer: Treating each customer who shows an interest in your products or business as an individual, with distinct differences from others, is the best way to create more long-term customers; marketers differentiate the customers on their lifestyle, income status, and neighborhood.

Question 2: What is the difference between psychographic and geographic segmentation?

Answer: In the Geographic segmentation, the market is segmented on the basis of the consumer's location, size of city and population density. For example, a company manufacturing the climbing equipment will most probably open its outlet in the mountain regions.

In Psychographic segmentation, the market is segmented on the basis of consumer's life style, activities, values, and interests. For example, high-tech and luxurious mobile manufacturing companies launch different mobiles on the basis of customer's psychographic.

Question 3: Elaborate segment structural attractiveness?

Answer: With the segment size and growth, structural attractiveness plays a key role in market targeting. A segment is less attractive if it already contains many strong and aggressive competitors. The existence of any actual or potential substitute products may limit prices and the profits that can be earned in a segment. In order to assess each segment's attractiveness, key factors that you must keep in mind should include market growth, market competitiveness, and market access.

Question 4: What is odd/even pricing?

Answer: Odd/even pricing is a psychological pricing technique in which numeric value is used to influence the customer's perceptions of the product value. The "odd" part of this technique tends to a price ending in Rs.90.99/-. The "even" part tends to a price ending in a whole number in tenths, such as Rs.50/- or Rs.100/-.

Question 5: How to define Value Proposition?

Answer: Value proposition refers to the value a firm promises to deliver to its customers.

Question 6: What is niche marketing?

Answer: Niche marketing refers to a segment of a general market with specific needs and the company carefully identifies those unique needs of potential customers, and tailors their products and services accordingly. For example, a company that makes cars for the handicapped targets a specific group of people. Niche marketing is also called concentrated marketing.

Question 7: What is actionable segmentation?

Answer: Actionable is one of the five key characteristics of a good segment. It means, the segment should be actionable in the sense that marketer can measure the potential value of a segment. Data from that segment should be quantified and on the basis of that data decisions can be made regarding the product.

Question 8: What is the difference between User status and usage rate?

Answer: This question is related to market segmentation in which marketer divides the consumers on the basis of user Status and usage Rate. User status means; ex user, potential user or first time user of product. Whereas in usage rate market divides the buyer into light user, medium user or heavy users of a product.

Technical Articles – MGT301

Theme # 8: Product, Brands & Services

A Product is anything that could be offered to customers in a market for consumption to satisfy their need or want. Consumption of a product creates an experience. Product experience is the overall value of a product or service to customers. There are three levels of products.

- 1) Core customer value.
- 2) Actual Product.
- 3) Augmented product.

A marketer must think about the core problem that he should resolve for his customers. What is the core benefit a customer gets from buying the product? For example, you buy toothpaste. So the core purpose of buying toothpaste is oral cleaning. The next level of a product is **the actual product**. The core value that has been identified in the first level, the marketer should add quality, brand name, design, and features to that core value to make it an actual product. The third level of the product is augmented product in which we provide additional benefits like customer service, after-sale service, warranty, and delivery, etc. It is built around the actual product and the core customer value.

There are two types of products. One is a consumer product and the second one is an industrial product. The products used for personal consumption are known as consumer products like milk, bread, and toothpaste, etc. The second one is industrial products which are used by a company for business consumption, for example, surgical instruments and machinery used in production, etc. Usually, mass media is used for the marketing of consumer products. Talking more about consumer products, they are classified into Shopping, Convenience, Specialty, and Unsought products. Convenience products are those consumer products and services that are inexpensive and less effort require to buy them. Also, customers buy these products frequently. Usually, customers buy these products with the least comparison. For example, coffee, soft drinks, and meat, etc. Shopping products are those consumer products and services that require comparison based on different factors like quality, design, price, and stability, etc. For example, bikes, cars,

and electronic gadgets, etc. Specialty products are those consumer products and services that require a special effort to purchase by a significant group of buyers based on brand name and unique characteristic of the product. For example, sports cars, high-quality photography equipment, and famous designer's luxury collection, etc. The fourth type of consumer product is Unsought products. These are the products that a customer usually does not think of buy or does not want to buy or has no knowledge about the product and its buying process. For example, health/life insurance, funeral services, and blood donations, etc.

As we have discussed above that the products which are used by the company for business consumption are known as industrial products. These products are further classified into:

- 1) Capital items
- 2) Materials and parts
- 3) Supplies and services.

The Capital items are those industrial products that help in the production or operations. For example, production plant and equipment, etc. Materials and parts are those industrial items that include raw materials and manufactured materials usually sold directly to industrial users likewise stainless steel in surgical instruments, etc. Supplies and services are those industrial items include business services, operating supplies, maintenance and repair items, likewise oil or diesel required for the plant to produce something.

There are some special concepts associated with marketing. Let's discuss them one by one. The first one is organizational marketing. It is based on all of the activities performed to create, maintain, or change the targeted customer behavior toward an organization. The objective of organizational marketing is to build a better image of a company or organization in front of its customers. The second one is person marketing and it is based on all the activities performed to create, maintain, or change the targeted customer behavior toward particular people. Likewise, political parties use personal marketing to promote their political leaders. The third one is place marketing which is based on all of the activities performed to create, maintain, or change targeted customer behavior toward particular places. Countries use place marketing to promote tourism in

their country. A country's foreign offices are the marketing offices of a country. They build a good image of their country to promote tourism and generate foreign exchange. The fourth concept is social marketing which is based on the use of commercial marketing strategies and tools to design programs that influence individuals' behavior to improve their well-being and society. Likewise Sapphire started a campaign of using eco-friendly seed bags.

As a marketer, when you develop a product you have to make certain decisions regarding that product. There are three levels of product decisions.

- 1) Individual product decisions
- 2) Product line decisions
- 3) Product mix decisions.

Individual product decisions include five types of decisions that are related to some characteristics of a product. These five types of decisions are as follow:

Attributes: Includes some benefits of products including quality, design, and, features, etc.

Packaging: Includes designing and production of wrapper or container of a product.

Labeling: Relates to the identification of brand, and product promotion.

Branding: Includes name, sign, logo, USP, and design that make customers able to identify a specific brand.

Support Services: Deals with warranties, after-sale services, and customer query handling.

Usually, organizations do not produce a single product. They produce multiple products like Unilever produces multiple products. Some products are related to each other like all the products in the apparel category. Some have the same nature of products but different in functionality likewise some organizations produce two-wheelers, trucks, cars, SUVs, and busses. So, you can product line is a group of products that are sold to similar customer groups, function in a similar manner because they are related, are marketed through the same franchises, or fall within specific price ranges. For example, Suzuki has one product line of two-wheelers, a second product line for

cars, and third product line for SUV's and so on. Product line decisions include product length. It indicates that how many products are in a product line.

Line stretching is another concept of product line decision in which a company adopts an expansion strategy by launching a new product in the same product line with some different and additional features. For example, Suzuki introduces another new bike for females with different colors and different engine power. Line filling is a business strategy in which a company fulfills the market gap and tries to reduce competition by increasing the numbers of products in an existing product line. Many businesses use this to increase the market success of new products and fill out already established products.

The next decisions that a marketer has to take are product mix decisions. They consist of all the products offered for sale. There are four concepts about product mix, which are as follows: **Width** is the number of various product lines carries by a company. **Length** is the sum of all the items in a product line of a company. **Depth** is all the types of offered products in the line. **Consistency** is closely related to the different **product** lines.

The brand represents the consumer's views and feelings about a product and its functionality. So, you can say that it is all about delivering a specific set of features, advantages, services, and good customer experiences continuously to the buyers. It helps to identify and recall the brand. The process of brand-building consists of name selection, positioning, sponsorship, and development of the brand. The process of brand building depends on these four concepts that how you position your brand? How you select the brand name? How you utilize the concept of brand expansion? And how you implement brand development strategies?

Brand positioning defined as the image which a brand has in the minds of its customers and how customer distinguished a brand's product from the products of the competitors. Marketers can position brands at any of three levels which are beliefs, benefits, attributes, and values. The second important thing is to select the brand name. A brand name must be easy to pronounce, suggest its benefits and qualities, easy to remember, extendable, distinctive, translatable globally, capable of registration and must have legal protection.

Brand sponsorship means that if you want to expand your business or want to get support from another brand. When a brand supports an activity, event, and organization or person for some mutual benefits it is known as brand sponsorship marketing. Four concepts are important in sponsorship. The first one is manufacturer brands and the name of the manufacturer will be used in it likewise the brand of beverages like Pepsi etc. the second one is the private brand. In a private brand, the local person sells its brand with all other international or manufacturer brands. Like ABC store sells ABC spices with the spices of national or international brands. The third one is the licensed brand in which an organization or brand can take the license of another brand to sell or produce a specific product. The fourth concept is co-branding. In co-branding, two or multiple brands collaborate to market a product or to fulfill a specific purpose like airlines co-brand with banks to sell tickets on discounts.

Brand development means to expand the brand or to increase the scope of a brand. A company has four choices while developing a brand. Those choices include line extensions, brand extensions, multi-brand, or new brands. An extension in which a brand adds new sizes, colors, forms, flavors of an existing product category under the existing brand name known as **Line extension**. When a brand introduces a new product category within an existing brand name it is known as **Brand extension**. When a brand markets different brands in a given product category it is known as **Multi-brands**. For example, Unilever and P&G (Procter & Gamble). A new brand means entering a business with a new brand name and new product category.

As we have discussed, a product is something that is tangible, affordable, and available for consumption and can satisfy the need or wants of the customer. With tangible products, an intangible product comes and we call them services. Service is an intangible and invisible product that results in value/benefit and has value in exchange. Such as transportation, health, education, etc. There are four characteristics of services which are inseparability, intangibility, variability, and perishability. Employee satisfaction, customer loyalty, and profitability are linked together to form a theory of business management which is known as the service-profit chain. The service-profit chain enables relationships between employee delight/satisfaction, customer loyalty, profitability, and productivity. It is elaborated as the profitability and growth are linked with customer loyalty. Loyalty depends on customer satisfaction level and satisfaction depends on the

services provided. So, it is depending on the services provided or the value provided to the customer. Value is always created by productive, loyal and satisfied employees. High-quality after-sale services, support services, and policies enable employees to deliver the best results to customers.

All the relationships that exist between the company, the employees and the customers are highlighted in the services marketing triangle. There are three important types of services marketing according to the triangle. The first one is internal marketing and it is the marketing between the company and employees. In internal marketing, the company presents its idea to the employees and convinces them. The purpose of internal marketing to teach all employees about the products of the company and increase employee engagement with the goals of the company. The second one is an interactive marketing and it is the marketing between employees and customers. A one-to-one marketing practice that refers to an individual customer and prospect's actions. When marketers react to customer actions and try to meet the customer demands and expectations it is known as Interactive marketing. The third one is external marketing and it is the result of interactive marketing; the external marketing occurs and it is for customers or prospective customers as external marketing goes from a business organization to outside. The purpose of external marketing is to fill the business pipeline with future business.

A product has central value in an organization because due to products they offer their services to the customer through products. There are two strategies for getting the products to sell. One is to acquire a product and the other is to develop a new product. If you want to develop your product then the question is how to develop a product? The new product development process involves some steps. The process starts with the generation of an idea then idea screening, concept development, and testing, development of marketing strategy, business analysis, development of the product, test marketing, and commercialization. When an organization follows the process of product development they will come up with a product. Some products become successful and some are not. There are some reasons why a product fails? The reasons for failure include poor design, wrong timing, overestimation of market size, incorrect positioning, price too high, ineffective promotion management, competition, and high development costs. Products develop but they also grow old. Products have their life cycle. It starts with product development then the

second phase comes which is introduction then growth, maturity, and finally the decline period. So, firms try to make their product life cycle long by focusing on the growth and maturity stage of the cycle.

GENERALLY ASKED QUESTIONS

Question 1: There are some customers who are not satisfied and always angry. Can we ask them directly not to use our product/service if they are not satisfied just to avoid interaction from them so they may not speak in front of other customers?

Answer: It is not a good approach as it will spread more negative word of mouth because when these customers talk to others they will mislead other customers too. Therefore, such customers should be dealt with care by asking them the reasons of not satisfied with the services, and the service providers should take steps to minimize their issues. In this way you can win the hearts of customers.

Question 2: What is concept of consistency in the product mix decision?

Answer: The consistency of the product mix decision indicates exactly how consistently the company is taking decisions regarding adding a new or removing any prevailing product from the product mix, adding a new product line, expansion in any existing line, or taking new alternatives of a brand to expand the business and to increase the profitability.

Question 3: Can an idea be termed as product?

Answer: From the definition of product mentioned in the videos, it is evident that 'anything' that can be offered is called product. Therefore, we can say that any idea that is given in the market for the satisfaction of customers can be termed as product. It is possible that, that idea might not be acceptable by the general public. That particular idea may also be in the form of any type of product or service.

Technical Articles – MGT301

Theme # 9: Price and Pricing

In this theme, we will discuss the second “P” of marketing mix i.e. Price. After product we have to think about the price of our product.

What is Price? As we know that product is a value that any organization offers to the customers or market. But we also know that marketing is not dealing with one way flow of marketing but it also deals with exchange of values. It is a two way reciprocal flow of values. So we can say that price is the value in which any organization offers its product to the market. Thus price is the second most important “P” of marketing mix. As after product we have to think about price of the product or price of the market offering. There are two definitions of price i.e.

1. Price is actually the amount of money charged for a product or service. Now if we see from customer’s side “Price is the value a customer is ready to accept the product for”.
2. Price is the total of all values (time and efforts) that customers give up in order to attain the benefits of having or using a product or service.
3. Price is the only component of marketing mix that generates profit; all further components (Product, Place/Distribution, and Promotion) represents cost.

What is pricing? It is a process of determining and setting price of a product. Pricing is the activity and price is the value that we have to determine for a product. Before setting price we need to see two things.

1. **Price Ceiling:** It is the upper limit beyond which customers cannot afford the price. It is the highest or maximum price limit beyond which a product does not remain affordable for the market.
2. **Price Floor:** What minimum price for a product can be charged to remain profitable is called price floor.

In practice and reality companies are not operating on price ceiling and price floor. They are operating between both of them.

We can understand price ceiling and price floor through below diagram. In the below diagram price ceiling is on left side and price floor is on right side. Price ceiling represents the customer perceptions value that a customer give how much or maximum value of a product and after that he/she cannot demand that particular product. Price floor represents the product cost. It is the point at which an organization accomplish the cost of its factor of production. And if an organization sell the product below it, means it sells on loss and no one can survive for a long time at that point. The box in the center of the diagram determine the internal and external factors that an organization can considered in pricing process.



Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

Factors Affecting Pricing:

There are six factors that affect the pricing or pricing process i.e.

1. **Overall Marketing Strategy:** Which market segment an organization serve, which value proposition choose (more for more, more for same, more for the same, more for the less) to beat the competition. And also see that organization positioned itself on which basis.

- 2. Type of Demand:** What is the type of demand of the product of an organization? i.e. Price elasticity of the demand. The product lies in more elasticity of the demand or less elasticity of the demand. Price elasticity of demand tells us the sensitivity of the product to the change of the price. If less change in price and more change in demand then it is called more elastic products. Increase in price of the product give the set back to the organization if the product falls in more elastic products such as comforts, luxury or in a category in which a consumer can postponed to purchase it due to price fluctuations. And decrease in the price of such products can increase the demand and organization can earn more profit. The products that are less sensitive due to change of price are called less elastic products. There is no such change in demand due to decrease of price and increase in price have no huge change in demand if a product falls in less elastic products such as gasoline station, gas cylinders, bread and daily used items (necessities).
- 3. Type of Market:** There are different type of markets i.e. Monopoly (one seller), Duopoly (two sellers), Oligopoly (more than two sellers but less than 10-12), Monopolistic competition (many sellers but maintains there distinct position), Perfect Competition (large numbers of sellers and large numbers of buyers). In monopoly firm is the price maker and decide at which price to sale the product. In perfect competition firms are price taker. No single force determine the price of the product. Market forces decide it and all firms adopt it. In duopoly, oligopoly and monopolistic competition firms may price maker or price taker. There is a need to see at which type of market you lies so that you can set the price of product accordingly.
- 4. Economic Conditions:** It has been already discussed in external environment and consumer behavior. There are different indicators from which we assume the overall situation of a country. Economic conditions are affected by the costing of an organization and purchasing power of the customer. There are different indicators from which we assume the affordability of the people i.e. GDP growth rate, Per capita income, Inflation rate, type of inflation, balance of trade and exchange rate.

5. **Government:** what is the political system of the country? It is centrally planned economy or free market economy. Then the political stability plays very important role. If there is a political stability in any country then there is overall stability. Generally the prices of the products do not fluctuate.)
6. **Social Concerns:** There are many concerns and segments that needs special attention i.e. senior citizens, overall society concerns about price fluctuation. In some cases due to the pricing of the product people dislike your product. They think organization exploit them.

Pricing Methods:

In pricing method we see the structuring of the pricing i.e. formula and bases from which we consider the base price of the product.

There are three basic methods for price structuring i.e.

1. Value Based Pricing
2. Cost Based Pricing
3. Competition Based Pricing

1. **Value based pricing** uses the buyers' perceptions of value, not the sellers' cost, as the key to pricing. Price is considered before the marketing program is set. In this method firstly we determine the value after that produce the product and then set the price of that product. We assigned the value of customer for pricing rather than the costing of the product.

2. **Cost Based Pricing** refers to setting the price based on the cost incurred for producing, distributing and selling the product plus a rational rate of return for effort & risk. Cost based pricing methods is similar to selling concept. In this method firstly we produce the product and then offer that product into the market. There is a chance that customers may refuse to buy the product on that offered value/price.

3. **Competition Based Pricing:** It is widely used structure/pricing method because it is very easy. We adopt the pricing structure that is used by our competitors. Price setting is based

on competitors' strategies, prices, market offerings and costs. Fruits, vegetables and grocery markets etc. used competition based pricing. In base they use cost base pricing but the new entrant used competition based pricing.

Special Pricing Concepts:

Before turning to pricing strategies we have to discuss three small and interesting concepts of pricing that are called Special Pricing Concepts.

1. **Good-value Pricing:** The price which is perceived by the customer as a value at the par with the value delivered by the product. It is not only beneficial for the customers but also for the firm.
2. **Everyday low Pricing:** It is the pricing approach in which organizations or stores claim that their prices are lowest in the market and they are offering you everyday low pricing. This approach is attracted by the budgeted segments.
3. **High-low Pricing:** It is the combination of high and low prices. Some products are high priced and some products are on discounted prices.

Pricing Strategies:

Pricing strategies defines the principles that guide your pricing decisions. There are different groups of pricing strategies and we will discuss it group wise. There are four groups of pricing strategies.

1. New-Product Pricing Strategies
2. Product Mix Pricing Strategies
3. Price Adjustment Strategies
4. Price Changes

1. New Product Pricing Strategies:

First of all we will discuss new product pricing strategy. There are further two types of pricing strategies i.e. marketing skimming and market penetration pricing. These are two opposite marketing strategies. Now we will discuss them in detail.

1.1. Market Skimming Pricing: Skimming pricing is one of the pricing strategies that involves charging a high price at the launch of the product for a short period of time. The product or service might be an innovation, a high end product or a differentiated product. The aim of such strategy is to obtain maximum revenues before any competitor product enters the market or in the case of an innovative product the company wants to recover its high costs of research and development which it incurred while developing it. Yet another purpose of this strategy might be to “skim off” customers to who are willing to pay more for an innovative or a high end product. Still another goal might be to communicate image of a superior product through high price.

1.2. Market Penetration Pricing: A marketing strategy in which a relatively low initial entry price is charged to attract new customers or to make the customers switch to the new product because of the lower price. The objective is to maximize market share or sales volume.

2. Product Mix Pricing Strategies:

There are five strategies that come under this strategy.

2.1. Product Line Pricing: It is a procedure used by retailers for separating goods into cost categories to create quality levels in the minds of customers. It typically contains placing appropriate price gaps between categories to inform prospective buyers about quality differences such as soap, shampoo, detergents etc.

2.2. Optional Product Pricing: It is a technique of determining the cost of the product in which a firm sets low cost for its basic products and gain profit from selling expensive accessories. Such as, cost of accessories like AC adapters and printer ink cartridges is extensive.

2.3. Captive Product Pricing: It refers to the pricing of the products such as computer software, camera film, razor blades, parts of machines etc. that are not used without a basic

product. Pricing of the captive product is often based on product mix pricing strategy where firm will set a low price on the basic product with a high margin of profit on the captive product.

2.4. By-product Pricing: Refers to the products by slight or not any value manufactured as a result of the main product. Manufacturers will gain little or no profit other than the cost to get storage and delivery.

2.5. Product Bundle Pricing combines several products at a reduced price. In this strategy customers think that they get the high value in less price on the other side producer thinks that the slow selling products are also sold that are not sold individually.

3. Price Adjustment Strategies:

Price adjustment refers to adjust the prices of the product according to the different situations and changes that occurs in the market. There are seven types of price adjustment strategies i.e.

3.1. Discount and allowance pricing: to give reduction on the list price to the customers and allowances to the trade partners to increase the sale of the product.

3.2. Segmented Pricing: It is also called price discrimination in economics. In this strategy a company sells its product at two or more prices, where the differences in price are not based on differences in cost. For example in train there are different prices for different segments. Concessional tickets are given to the senior citizen, students.

3.3. Psychological Pricing: It is the practice of setting prices slightly lower than round numbers, for example Rs. 99.99 instead of at Rs. 100 will result in customers trusting that they are receiving a savings, and even if that savings is only one rupee, customers might feel more confident about making a purchase.

3.4 Promotional Pricing: to boost the sale of the product companies offers promotion on different events such as 14th August, 23rd Mach, Eid, Christmas etc.

3.5. Geographic Pricing: One product has charged different prices on the bases of geographical distance or level of development of geographical area.

3.6. Dynamic Pricing: prices of products are not fixed it can varies or flexible on event basis or daily basis.

3.7. International Pricing: The international pricing is a pricing strategy in which the stability in the product price resulting from international business. There are many variable factors that

influence international pricing i.e. economic conditions, currency exchange rates, production expenses etc.

4. Price Changes:

We not only do the adjustments in the price of the product but also do price change in the life of the product. There are two types in price changes i.e.

4.1. Price Cuts

- ❖ **Excess capacity:** When vast production capacity and more stock of the product available then there is a need to cut the price.
- ❖ **Increased market share:** If there is a need to increase the market share then company cut the prices to penetrate in the market.

4.2. Price Increases

- ❖ **Cost inflation:** If the price of raw material increase in the country or increase the import duty due to exchange rate on the raw material then company increase the prices of the product.
- ❖ **Increased demand:** Due to increase in demand company can increase the prices of the product.
- ❖ **Lack of supply:** When demand increase and it is not possible for the organization to increase the supply then it can increase the price of the product.

GENERALLY ASKED QUESTIONS

Question 1: What is the difference between centrally planned economy and free market?

Answer: A Centrally planned economy is also called a command economy, it is an economic system in which the government makes economic decisions regarding the manufacturing and the distribution of products. Whereas, the free market is an economic system based on supply and demand with little or no government control. Since, there is no intervention of the government in the free market economy therefore companies sell goods at the highest price that customers can likely and willingly pay. In a free market economy the workers usually earn the highest wages that companies are willing to pay against their services.

Question 2: What is the difference between price and costs?

Answer: Cost is the total amount incurred for making a product that is sold by a company; for example amount spent on raw material, labor, utilities etc. Price is the amount on which a product is sold in the market or it is also known as the amount on which a customer is willing to pay for a product or service.

Question 3: What is service variability?

Answer: Service variability is the change in the quality of the same service provided by different service providers. It varies from company to company and person to person. The change varies because of the nature of the service, according to the person who provides when it is provided and the method of delivery of the service. For example, the telecom industry. The call or internet packages vary from company to company. You can say teachers are also an example of it because the way of delivering the lecture varies from teacher to teacher.

Question 4: What is the difference between line stretching and line filling?

Answer: Line filling means adding more items within the existing range. For example, Colgate Herbal is an example of line filling. Herbal is a line filling in already existing Colgate Toothpaste. Line stretching means lengthening the product line beyond the current range. There are mainly three ways to stretch product lines:

1. Downward product line stretching: In downward line stretching, if a company is offering a premium brand and wants to target middle/low-income consumers, it will go downward to offer an economical product. For example, Samsung's Note and Edge are premium level products but it's a series targeting the middle-income consumer.
2. Upward product line stretching: In upward, a company offers a premium level product to stretch its product line.
3. Two-way product line: In a two-way product line, a company offers both lower and premium level products.

Question 5: What is the factor affecting pricing i.e. "SOCIAL CONCERNS" and how it provide special attention to specific class?

Answer: When we talk about social concerns this means organization should take the pricing decision keeping in mind the social well-being of the whole society, for example, pricing of necessary food items or lifesaving medicines should be such that the entire society can afford and get benefit from it. Sometimes different customer segments pay different prices for the same product or service. Such as museums, movie theaters, and theme parks may charge lower prices for students and senior citizens and this happens just to fulfill the social concerns of the marginal class.

Technical Articles – MGT301

Theme # 10: Marketing Communication

The meaning of promotion is “activity that encourages consumers to recognize your product or service and make a purchase.” As one of the 4Ps that make up the marketing mix, it is a significant channel for realizing communication between consumers and companies. Specific examples include advertising and sales promotions etc.

A promotion mix is a way to achieve your organization's marketing goals using a promotional mix of advertising, promotions, personal sales, and promotional sales. It consists of advertising, public relations, personal sales, and sales promotion. Promotion mix is defined as any form of communication that organizations use to establish a meaning for a product or service, as well as how it affects the purchasing behavior of the target customer. Promotional mixes should be designed in a way that informs target market customers about the value and benefits of the products or services offered.

Advertising is a kind of persuasive communication activity that promotes sales by simultaneously advertising the presence of goods or services to a large number of consumers. In other words, advertisements can be displayed in various media such as newspapers, pictures, photographs, designs, images, sounds, or other media such as newspapers, magazines, radio or television, or mail, posters, brochures, outdoor advertisements, theaters, or the Internet.

Sales promotion is part of marketing communications that increases sales by providing information or persuading customers about the performance of a product or service, with the goal of encouraging customers to purchase the product or service. Promotion is not only a marketing tool that directly generates demand, but also a communication tool used to create indirect profits by raising or optimizing the company's image. Sales promotions create opportunities for consumers to reach their products, build new customers, and strengthen brand loyalty to existing customers, contributing to increased product sales.

Personal selling is one of the oldest and most effective salespeople's strategies when convincing customers to buy a product. Since time immemorial, personal selling has been one of the great approach and promotion strategies. It is a powerful tool that allows you to get immediate feedback from the customer and that also has the highest percentage in the closing of sales. With this strategy, the salesperson not only informs from a personalized approach about the product or service offered by the company and how it can satisfy the individual needs of each client. Personal selling is a unique opportunity in which, in addition to a more humane approach, it is possible to demonstrate the benefits of the product. In addition, the customer has the opportunity to ask questions, and the salesperson takes care of any concerns they have about the product.

The theoretical definition of public relations is to "form friendly relationships through interactive communication between organizations and the public." "Public" is aimed not only at consumers who purchase products or services directly, but also to the general public (outside public relations), or members of the "organization" (in-house promotion).

In Digital marketing, internet-based devices are used that advertise and sell products and services to consumers through online advertising. Web browsers, smartphones, (console) games, are examples of typical Internet-based devices. Content marketing is a strategic marketing act that produces and distributes valuable, relevant, and steady content to attract and maintain a clearly defined audience. It's about providing relevant and useful content so that audiences and customers can solve their problems, rather than highlighting products or services.

IMC stands for integrated marketing communication, which is an integrated marketing communication strategy. In other words, it can be said that various marketing activities performed by the company or brand are integrated into one voice. If existing marketing activities were decentralized, IMC would be integrated into one. However, this integration does not mean the integration of channels where marketing activities such as TV, radio and newspapers take place. The integration here refers to the integration of the message to be delivered to the consumer and the image to be perceived. For example, how about a trusted company with an honest image on TV, a reasonable price in a magazine and a luxury item that everyone wants in an offline store? It's an exaggeration, but before the concept of the IMC strategy was established, everyone seemed to have passed it. This is very difficult for the 'integrated, one message delivery' mentioned earlier. It's hard

for consumers to know what the company's identity is. Therefore, no matter what channel (media) marketing activities are carried out, the same image/message delivery is now essential.

Fewer steps are involved in developing an effective communication strategy. The first step is to develop an overall marketing communication strategy based on the analysis of your target audience. The second step is to establish a communication strategy for the target customers involved in the decision-making process, which should be organically linked to the marketing strategy. The third step is to select communication goals using a variety of organized information. Explicitly link the needs of your target audience with the effects of marketing communications you want to achieve. The fourth step in the strategic planning process, at which point the customer's decision-making process needs to be organized in more detail. It also identifies the strengths and weaknesses of various communication alternatives, such as advertising and promotions, and links them with marketing communications challenges to select the best alternatives. The final stage of the planning process is the selection of specific advertising or promotional media to deliver marketing communications. In the IMC, it is more important to use effective media that meet the communication goals and is more acceptable to consumers than the efficiency of independent media.

One of the most known and used models in advertising and marketing communications is the AIDA model. This model, proposed by Elmo Lewis, describes the process by which consumers make decisions and actions through four hierarchical steps: Attention, Interest, Desire, and Action. In short, for an advertisement to drive consumer purchase, its ultimate goal, it is first necessary for the consumer to pay attention to the advertisement. If an advertisement succeeds in catching the consumer's attention, the consumer is more likely to be interested in the message, and the interested consumer has a desire for the product or brand that the advertisement contains and ultimately leads to the behavior of purchase. The AIDA model is a hierarchical step; it becomes difficult to move on to the next step if the preceding step is not met. This model can be useful when explaining the importance of advertising creativity in the actual advertising scene. If you don't get the consumer's attention among the flood of advertisements, the next step can't be done.

The rational message uses rational arguments and concepts about the characteristics of the products or services offered, positioning in the consumer's mind as the one that will best satisfy their needs. The emotional message is just the opposite, it appeals to our feelings, to something ethereal that is not seen directly, but that is there. Something that the brand seeks to awaken so that it is the consumer who decides for himself, establishing a powerful bond through the deepest feelings. The moral message is that which is issued in accordance with legal provisions, that which indicates the verifiable properties of the products or services, and that which preserves integrity. The message offered on a product or service must have real characteristics; it must be truthful and verifiable. A moral message cannot offer misleading concepts.

Push strategy: A manufacturer uses a sales promotion or a personal sale to induce a middleman to have a product and sell it to customers. Brand loyalty is low, and the choice of products is mostly determined at the purchase site. Therefore, the purchase induction of the store is essential.

Pull strategy: The manufacturer encourages consumers to actively buy on their own by informing the end consumer of the brand or product using advertisements or customer promotions.

Responsible marketing is one that collects and exposes the impacts or changes that organizations generate in society, influences the strategy of organizations, and foundations incorporating social responsibility values that provoke an improvement in the perception of the brand in all the actors in the environment of the same. Organizations do not function in isolation from the rest of society; on the contrary, they constantly interact with it. Therefore, they must develop actions that show an organization involved in the environment that surrounds it as part of society. A responsible marketing strategy can guide organizations' actions towards citizens, giving them a role beyond their natural figure of customers or users. Responsible marketing must have a clear definition with a very well-defined objective. It is essential to know how to identify the basic needs that we will try to cover with our brand approach, knowing perfectly the target audience on which we will base our actions—knowing how to differentiate the merely functional characteristics of the product or service from the true benefit that responsible marketing can bring to any brand, regardless of its size or reason for being. Valuing responsible marketing, a company will talk to its audience about its social and environmental initiatives, integrating these into its marketing plan to improve the brand image and attract customers and users of its products or services. That an organization is socially responsible means that it cares about people

and the environment in which it conducts its business. It is important to ensure compliance with this policy by all its members and know how to communicate these values that define the company. The transformation of these values into something tangible is a key point; making the social tangible is complex, and we will only achieve it through actions that we can measure. Organizations with socially responsible tendencies can build a strong reputation that leads to increased stakeholder loyalty.

Mass media are responsible for delivering large amounts of information, current affairs, and contemporary issues to the unorganized general public. For example, Print media (newspapers, magazines, books, posters, flyers, etc.), Video media (TV, movies, computers, etc.) Voice Media (Radio, Records, etc.) and New Media-Internet, SNS, smartphones, etc.

There are different ways of allocating budget to the advertisement:

- Competitive parity method involves setting a budget that can be compared with competitors. Competitors do not share the money they spend, so you need to find a way to get other information. For example, find a competitor's ad in a local newspaper. Check the publication's ad kit to determine the cost of the ad size, calculate the frequency of the ad, and calculate the amount spent on that publication.
- Affordable budget method is a simple method in which we spend only as much money on advertising as we have (or less). The disadvantage of this method, however, is that spending too little money on advertising will not achieve due results.
- Objective and task method determines the advertising costs based on the short and long term goals of advertising for a brand. Objective-and-task approach as a means to achieve your goals for the future. In other words, the cost of advertising depends on the mix of Media Vehicles, which is a problem, because it does not solve the question of whether the cost of measuring the results of advertising goals and the cost of achieving those goals should be solved.

- The percentage of sales method is a favorite method for chief financial officers who believe that using such a method of setting a budget will never spend too much on advertising. In essence, this method involves advertising expenses with results obtained on sale. However, it should be taken into account that advertising should cause sales growth – it should, therefore, be regarded as the cause (primary action) causing sales growth rather than as a sales effect. For this method, the exact opposite is true. Sales results determine advertising spending.

GENERALLY ASKED QUESTIONS

Question 1: Which is the most important element of a marketing mix?

Answer: The product is the most important element of a marketing mix. Developing a total marketing mix program involves the marketing manager deployment her/himself with four p's of the marketing mix, i.e., product, price, place and promotion. The product development to be the first of these tools. Without a product, there is no question of a marketing mix. The whole plan is based on the product.

Question 2: How we increase or promote content marketing?

Answer: Content Marketing is one of the most active ways to achieve your marketing goals. It includes things like educational articles, e-books, videos, entertainment, and webinars that answer specific questions which people have asked and provide them with something they can't get elsewhere. Content marketing is as profitable strategy as paid search advertising or paid social marketing. There are so many ways to improve content marketing but for this, you need to read the details for your understanding.

Technical Articles – MGT301

Theme # 11: Place/Distribution

Significance of Placement:

In a marketing mix the third 'P' of Placement is an important element which ensures the effective and timely availability of the product to the customer. To ensure this availability, various channels and intermediaries of distribution are involved such as retailers, wholesalers etc. all the intermediaries work for connecting the buyers to the producers physically distributing the product to various geographic locations. In order to improve the performance of the whole system all the intermediaries constitute the Value Delivery Network partnering among themselves. Every one of us visit retail stores around us to purchase different products which are made available by the retailers so that customer may have the easy access to them. This activity is to ensure the availability of the product to the designated target markets.

Partners in Value Systems:

Value delivery network includes various stages of product manufacturing including raw materials' processing and finished goods to the delivery to potential customers. These partners may be either the suppliers or distributors which serve the common purpose of delivering value to the ultimate customers.

Value Delivery Network:

A network of suppliers, distributors and customer which partner each other at various stages to ensure the delivery of final products to customers is called Value delivery network. There are two streams in value delivery network:

- Upstream partners
- Downstream partners

Upstream Partners:

The raw material suppliers, parts suppliers, and information and expertise providers for the effective manufacturing of the product are referred to as upstream partners. The upstream partners are associated with the supply side of the value delivery network.

Downstream partners:

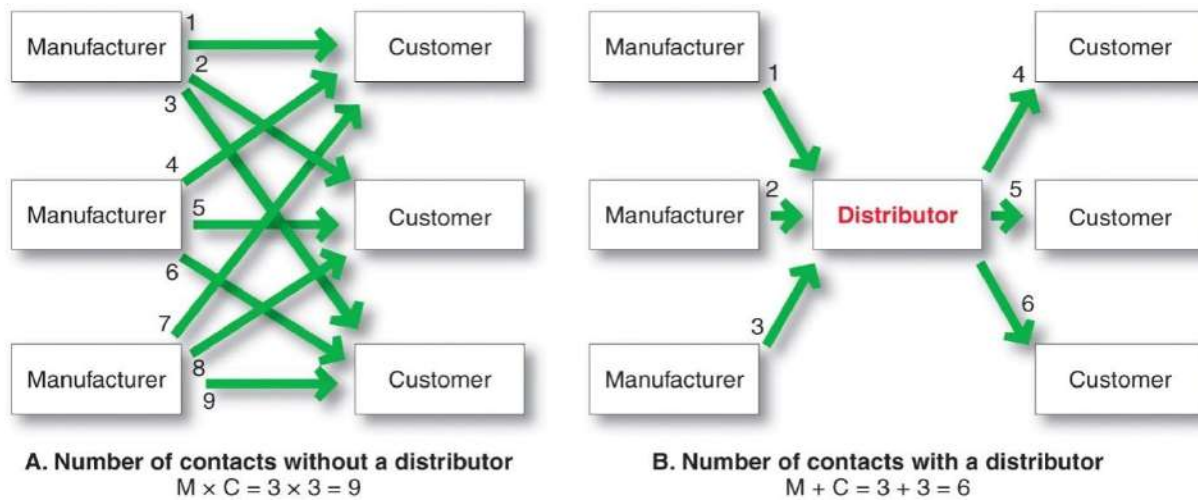
Downstream partners include marketing and distribution channels that are more directed towards the customers. Intermediaries provide the producers with the greater efficiency in ensuring the availability of goods and products to the market making use of their knowledge and capabilities, experience, and expertise in their scale of operations which can't be achieved by the organization on its own. The downstream aspect of the value network is more towards the distribution side towards the customers.

Intermediaries:

Intermediaries are the agents who offers the manufacturers their expertise in delivering the products to the target markets. This expertise arises from their experience, contacts, specialization, and scale of operations. They offer the value to the producers which they cannot achieve independently. From an economic point o view, intermediaries convert the mere assortments of products to what the customer wants. Producers only produce the products for customers but intermediaries are responsible to match these product with the wants of customers.

Secondly, intermediaries are responsible for bridging the time, place and possession gaps that distinct goods and services from those using them.

How Channel Members Add Value?

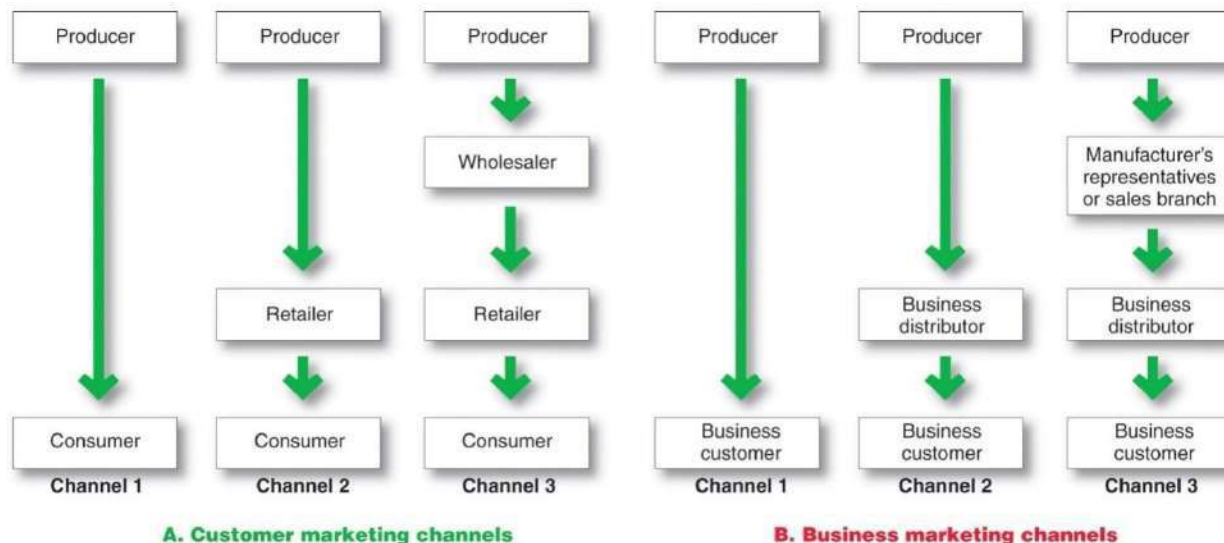


Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

In the above figure you may see three manufacturers and three customers on left side. In the absence of distributor there will be 9 contacts generated. The more the contact will be, the more will be the cost of contacting. But on the right side of the figure you may see no of contacts reduced to 6 by introduction of distributor thus reducing the cost of contacting and more time will be saved. Channel members are responsible to remove all the gaps between the producer and the consumers. Channel members add value to the network through information, matching, contact, matching, negotiation, physical distribution, financing, and risk taking. Channel members also arrange financing for the producer e.g. you may take the example of fertilizer industry where producers often charge advance payments from the wholesalers for upcoming seasons. Car manufacturers also charge advance payments from the customers through retailers and use for production purposes. In the absence of channel members it will be difficult to aware the customers of far flung areas of the country.

Management of various Flows:

They are responsible for physical flow of products, flow of ownerships, flow of payments, flow of information and promotion. In a marketing channel various firms partner each other for the promotion of the common good where each member or firm plays its role individually. They push channel members to promote their products in the market.



In the figures above A shows customer marketing channels and B shows business marketing channels. In figure A producer is directly sending to customer so it is called a direct channel. In today's digital age this channel seems more appropriate as we may see direct selling through website. Then in the second column retailer is involved in between producer and consumer. In the last column there are four members involved in the chain viz. Producer, wholesaler, retailer and consumer. Same can be seen in the figure B above for producer to business consumers. Sometimes producers are using only single channel and sometimes they use multiple channels for distributing the products.

Marketing Channels:

Channels of marketing consist of the firms partnering for their common good with each member playing a particular role. Someone is producing other is wholesaling and some other will be distributing etc.

Types of Distribution systems:

Conventional distribution systems include one or several independent channel members such as producers, wholesalers and retailers which are independent in their identity and there is no specific binding contract among them as they are simultaneously working for different producers. Retailers may take goods from different producers and then sell according to the requirements of particular areas. Thus, each channel member is independent from other channel members.

Vertical Marketing Systems (VMS)

In VMS, channel leadership consists of wholesalers, retailers and producers which act as a unified whole. VMS consists of corporate vertical marketing system which integrates various stages of production and distribution that are under single ownership. Mean there is one leader of the channel which can be producer, wholesaler, retailer etc.

Includes direct marketing activities to engage the customer directly carefully targeting the customers to generate the immediate responses for building lasting customer relationships.

VMS is further classified into three categories:

1. Corporate Marketing Systems
2. Contractual VMS
3. Administered VMS

Corporate Marketing Systems:

Corporate vertical marketing system combines consecutive stages of production and distribution under a single ownership. You may see the retailer owned by the manufacturer. This trend may be seen in textile industry where various mills or factories have setup their brand outlets to ensure the due placement of their products.

Contractual VMS

In Contractual VMS various firms unite at diverse levels of production and distribution contracting each other through achieving economies of scales that otherwise can't be achieved individually e.g. franchise organizations links various stages in production and distribution processes. We may see this arrangement in telecom industry in which franchise system is used. Also in case of automobile we may see various dealerships. In these cases producers have given exclusive rights to some of the dealers who are bound to only carry that specific producer's products. Various arrangements may include:

- Several stages in production distribution systems are linked by franchise organization.
- Manufacturer-sponsored retailer franchise system.
- Manufacturer-sponsored wholesaler franchise system.
- Service firm-sponsored retailer franchise system

Administered VMS

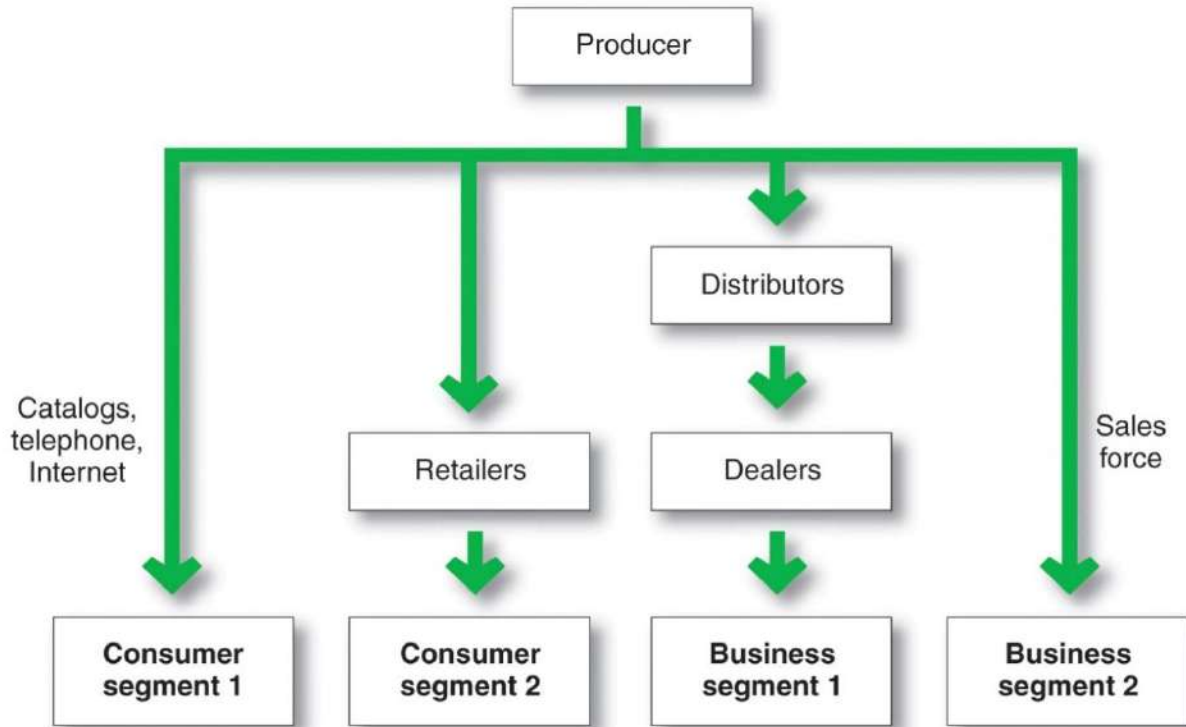
In Administered VMS some of few channel members have dominating presence. This dominance in leadership arises from their size and power. It neither include common ownership nor contractual arrangement. Only on the basis of an exclusive player's size or power, it influences the channel member even in the absence of formal contract. This player may be any producer, retailer or wholesaler.

Horizontal Marketing System:

In horizontal marketing systems, two or more than two companies bond each other at one level in order to create a market opportunity. In doing so they combine various resources including production, marketing and financial resources etc. creating synergic effect that can't be achieved individually. In this case two different brands which may be competitors to each other make a complimentary arrangement e.g. a bank branch operating within the university or tire shops at gas stations. This arrangement has a synergic effect on each other and enhance their sales.

Multi-Channel Distribution Systems/Hybrid Marketing Channels

In Multichannel Distribution systems (Hybrid marketing channels) firm individually form two or more marketing channels in order to target particular customer segments. Channel design decisions are the important decisions in order to analyze customer needs, setting channel objectives, identifying major channel alternatives and evaluation of different channel performances. This can be understood through following figure:



Source: Kotler, P., & Armstrong, G. (2018). Principles of Marketing, 17h Edition.

In the above figure we may clearly see a single producer using various channels on even single consumer segments. All this effort is done to increase the sales using multiple channels which a single channel might not achieve independently.

While designing distribution channels following factors must be analyzed:

- Analyzing customer needs

How customers want them to be served?

- Setting channel objectives

Must understand why you are using single channel, dealership or retailers?

- Identifying major channel alternatives

What alternate channels do you have?

- Evaluation

Evaluate which alternative is better?

Types of Distribution:

There are three types of distributions

- **Intensive distribution**
- **Exclusive distribution**
- **Selective distribution.**

Intensive Distribution:

In intensive distribution wide availability of product is ensured in order to expand the product to every outlet so that customers encounter the product everywhere using every possible channel it is mostly done for wide availability of products which fall under the category of convenience goods e.g., soft drinks have presence everywhere like gas stations, retail stores etc.

Exclusive Distribution:

Exclusive distribution is an agreement between supplier and the retailer in which retailer is granted with more power and privileges within the specific geographic location for carrying supplier's products. It is mostly used for specialty goods Cars dealerships have exclusive distribution as one brand dealer has only a single brand for distribution. A particular TV brand outlet only have that particular brand of TVs otherwise it may confuse the customers.

Selective Distribution:

The other strategy which lies between intensive and exclusive distribution is known as selective distribution which involves usage of more than one, but lesser than all the intermediaries and distributors who carry the company's products on the basis of a company specific set of rules. It is usually used for shopping goods like shoes, shirts, watches etc. these products are not frequently purchased.

Channel Management Decisions:

Like all the P's of product, price and promotion, P of Placement is also a very important decision to consider. Channel management decisions include:

- Selecting Channel Members
- Managing Channel Members
- Motivating Channel Members
- Evaluating Channel Members

Effective channel management decisions for selecting, managing, motivating, and evaluating the channel members is very important for the company. Without taking these considerations your product or marketing program cannot succeed.

Selecting channel members is a very important factor and you need to be very careful while selecting the channel members according to nature of the product i.e., either you select intensive, exclusive or selective type of distribution and also the trustworthiness of the selected partners.

Managing the channel members is also a big concern as they themselves cannot operate as you want them to be. For this purpose, you need to constantly motivate the channel members as well by giving them various incentives like free product offerings, free national or international trips, seminars and conference invitations and much more in order to keep them motivated and loyal. Channel members and type of channels also needed to be evaluated regularly otherwise you will never know about the effectiveness of your placement strategy.

Technical Articles – MGT301

Theme # 12: Sustainable Marketing, Social Responsibility and Ethics

Sustainability in general means the efficient use of natural resources in a way that those are not wasted and would be available for future generations as well. Sustainability is a broader term that has been adopted by different business / organizational functions. Sustainable marketing is one such example of those business functions. Sustainable marketing means an efficient fulfillment of the requirements of the consumers and also providing capability to the future generations for fulfillment of their needs. Societal marketing concept has more of a current orientation for a business. However, sustainable marketing concept is future oriented with respect to business need. Business managers often feel that marketing concept along with strategic planning concept is more present oriented with respect to business need as it is relatively lesser cost oriented with immediate results, e.g. profit. But it is the sustainable marketing which will ensure the long-term survival for a business in this fast-changing world.

Of late, there has been some criticism on the marketing activity. This criticism can be categorized under three points. 1) Impact on individuals; 2) Impact on society; and 3) Impact on other businesses. It is argued that individuals get impacted from marketing activity due to high prices of different products. For example, peak season high prices of commodities and price cartel in different sectors is one example of it. Deceptive price which is often called psychological pricing strategy also negatively impacts the individuals. For example, sale of different brands with price tags of Rs. 999 etc. is one such example of psychological pricing strategy. In fact, brands never lose their money. Mostly naming it as mega sale, many brands also sell their unsold stuff of poor quality with deceptive strategies which impacts the individuals. High pressure selling also occurs in such a scenario and that also effects the individuals. Sometimes, shoddy, harmful or unsafe products are also sold to the customers. Planned Obsolescence is another strategy that badly effects individuals. For example, technology products such as computers, smart phone companies, and motor vehicle companies bring their new models almost every year with different design of one or more added features just to get more sales and revenues. A layman who has the money to spend, at times would keep spending every year for getting new models of branded products and hence

such customers keep providing billions of revenues to the brands. This happens exactly as per the strategic planning of brands in a marketplace. Sometime, poor service is provided to the disadvantaged customers. Secondly, this is also another criticism on the marketing activity that it badly impacts the society. False wants and materialism have been promoted in the society as a lifestyle. There is also cultural pollution and too few social goods in the society. Often the goods we purchase are the result of marketing activity which is mostly commercial marketing activity and not for the social cause. Third criticism on marketing is that it impacts other businesses. For example, with aggressive marketing strategy, companies may opt for acquisition of competitors. Unfair competitive marketing practices by a business affect other businesses and this often generates price wars and useless spending on marketing and advertising for winning that strategic battle. Such expenses are then adjusted in the product price by those brands and ultimately the customer pays for that extra spending on marketing by those brands.

Such criticism on marketing activity sparked the movements of consumers for their rights. One example of such consumer movements is consumerism. Consumerism movement has the purpose of protecting buyers' rights. Both citizens and the governmental institutions favour this movement for consumer rights. Activists of this movement speak for the rights of consumers at different forums and try to convince the regulatory authorities to play their role to safeguard consumer laws. There are different rights of consumer for which he / she should be aware of. For example, right not to buy and to expect safe products. It is also a consumer's right to expect well performing products as was claimed to them at the time of product purchase. Similarly, true information about the product is the right of customers. It is also the right of consumers of the society to positively influence the product and marketing activity of a company. For example, local public is a stakeholder for knowing about the high prices' justification of a company / industry's products even if it is using the natural resources of that area and hence polluting the environment as well. Therefore, as an educated consumer, one must ask a company to act positively not only with respect to pricing and use of natural resource but also with reference to societal marketing and sustainable marketing activity. Hence, such actions through consumers' pressure and positive intervention should generate sustainable consumption as well.

Environmentalism is a movement that is concerned with the protection of natural environment. This is also the part of efforts for promotion of sustainable marketing. Some of the actions that come under environmentalism include product stewardship, prevention from pollution, use of new clean technologies, sustainability vision and design for environment. Effectiveness in pollution prevention needs cleaning the waste and this also requires removing and curtailing the waste prior to its creation. Hence, it may involve measure like recycling, waste management and green production etc. Product stewardship aims at reducing the pollution throughout the production process and in the life cycle of a product. Design for environment (DFE) techniques aim at producing those products that are environmental friendly and recyclable. Hence, production of those cans, bottles, jars and paper etc. that can be recycled would be a good step. The new environmental friendly technologies help the industry in producing environmental friendly products. For example, solar lights and electric vehicles etc. A good sustainability vision can help the companies in an effective way. Sustainability vision is the need of the hour in an age of pollution and severe climate change etc.

There are also some principles for sustainable marketing activity. First principle of it is the consumer-oriented marketing which emphasizes that companies should organize marketing activities from consumers' perspective. For example, products and the services should be cost effective and useful for the consumer and for the environment. Customer value marketing is another principle according to which the companies should try to spend most of the resources for value building activities for their customers. Innovative marketing means that the companies should strive to develop effective products for the customers for meeting their expectations. Sense-of-mission marketing explains that the companies should define their mission in a way that considers the broad social context in the mission statement along with the product or service centric details. Societal marketing explains that the companies should consider the interests of society in general in the marketing activity along with the marketing of products or services. For example, taking care of the residential community living near an industrial plant.

It is ideal that the desirable products should be produced by the businesses for customers. A desirable product is the one that has a good level of satisfaction and required benefit for the customers. Similarly, there are some other product categories that can be discussed on such a

yardstick. Deficient products are those that do not have an immediate charm and the required long-run benefits for the customers. Salutory products are the ones that have a little direct appeal but may potentially benefit a customer in the future. Pleasing products are the products that provide good level of immediate satisfaction but may potentially prove to be harmful for the customers in the long run.

Crux of the whole debate is that businesses should take care of marketing ethics. Marketing ethics is the term used for wide-ranging principles that people in the organizations should obey. This includes relations with suppliers, following the standards of advertising, effective customer service activities, fairness in pricing process, and other general ethical standards. For example, a marketing ethics principle might be 1) not to harm. This implies intentionally keeping away from hurtful activities or oversights by typifying high moral regard and sticking to every single pertinent law and guidelines in the decisions making process. 2) Raising trust level in the marketing system for all the stakeholders is another marketing ethic. This implies taking a stab at the confidence in the marketing system and reasonably managing the things in order to follow the fair practices for earning the due profit only. 3) Embracing ethical values is another marketing ethic. This means effective relationship with the customers by following the true principles of ethics like honesty, fairness in dealing, respect, correct guidance to the customer etc.

Finally, conclusion is that those organizations that satisfy the necessities and needs of clients ethically by keeping sustainable marketing principles in view will flourish. Organizations that neglect to address client issues, or that deliberately or inadvertently hurt clients and others in the society will decay in future. A good organization goes past thinking about the requirements of the present clients and has worry for tomorrow's clients who would exist in a more knowledgeable world.

GENERALLY ASKED QUESTIONS

Question 1: What is the concept of selective distribution? Explain it with the help of an example.

Answer: It is a strategy of distribution that functions between the exclusive distribution and the intensive distribution. Actually, in case of shopping products organizations distribute products through fewer carefully chosen outlets/distributors. Selective distribution is effective in the industries where special pre- and post-sale services are required. Distribution of watches, clothes, shoes and some types of home appliances is the example of selective distribution.

Technical Articles – MGT301

Theme # 13: Digital Marketing

In conventional marketing, companies use different tools like billboards, television, newspapers, brochures and pamphlets for marketing their products. Companies use these tools to create awareness about their products among masses. Digital marketing is somewhat different than the conventional marketing. In digital marketing we use internet/digital media for marketing the products. Digital media includes; digital display advertising, mobile phones advertising, social media and other digital technologies using internet. The fact behind the popularity of digital media is its ever growing source of entertainment in the form of social interaction with friends and company representatives.

Benefits of Digital Marketing

Conventional marketing is costly than the digital marketing because it is too expensive to advertise on billboard and television than to advertise on webpages in the form of banner ads or videos. Secondly, conventional media has limited reach as only local audiences know about your product if you advertise on billboards or purchase a spot on radio channel while over the internet entire globe becomes familiar about your offerings. Thirdly, conventional media has limited interaction with the end users because you don't interact with your audience through billboard or radio/television channels. However, in digital media the interaction with the customers is possible at the time of advertisement through messenger or online customer service by clicking on the banner ads. Fourthly, you are unable to find the exact effect of your advertising in conventional media because you don't know the number of customers who are impacted by the conventional media while in digital media the marketer is pretty sure to claim the exact impact of digital advertising because through number of clicks you can claim the number of customers who purchase your product.

History of Digital Marketing

Digital marketing is coinciding with the term of internet. We can say that with the advent of internet, digital marketing is started. The term 'internet' was first used in 1974 by US computer

scientist Vinton Cerf. After the birth of internet, the term digital marketing was first used in 1990 and first search engine with the name of Archie was launched. First clickable ads run on internet in 1993. Launch of Yahoo and the first e-commerce transaction over netmarket in 1994 took place. In 1996, small search engines like looksmart and Alexe started operations. In 1997, first media site sixdegree.com launched. 1998 seen tremendous breakthrough with the birth of Google, launch of MSN by Microsoft, and Yahoo web searches. 2002 seen the launch of LinkedIn and in 2003 MySpace was launched. In 2004 world's biggest social contact site Facebook went live and 2005 seen the launch of YouTube. In 2006 MS live search started its working, twitter launched and Amazon sales crossed 10 billion dollar. In 2007 Tumbler and iPhone were launched. In 2008, Spotify was launched. With the exploration of digital world social media budgets increased to 64% in 2012. In 2013 Yahoo acquired Tumbler and in 2014 Facebook acquired WhatsApp. Due to this proliferation Internet of Things (IoT) term emerged. This means that internet has gone into each and every thing and soon the day will come when machine to machine communication start surpassing the human to human interaction and human to machine interaction.

Tools and technique of Digital Marketing

Different tools and techniques are used in digital marketing. These are as following:

Digital Display Advertising (DDA)

It is defined as:

‘A form of digital marketing that uses display ads appearing on web pages as a means of communicating relevant commercial messages to a specific audience based on their profiles.’ In simple words, we can say that it is a graphic advertising in the form of audio, video, images or texts on the internet to address site visitors.

In this technique, online ads are created on those webpages which have good traffic of users. These ads may be in the form of videos, images and popups. Formally, DDA follows four key stages like; define (define your target audience and objectives of your ads), format (Design the ad strategy and time to appear on web page), configure (Implementation of strategy in the best manner to attract and retain customers) and analyze (Analyze the strategy to know the best

channel to create the awareness). By following a good DDA strategy you will make a positive influence on your target segments.

Social Media Marketing (SMM)

Social media marketing is the marketing of product or services over the social media in the form of Tweets, YouTube video, blogging and micro blogging etc.

Gone are the days when your advertised message disappeared after it was aired on television or on radio. Social media has given the life line to advertising as your message will remain on screen until you want. This type of marketing has an edge over the traditional marketing as it creates interaction with your customers enabling you to measure the result of your advertisement in an effective way. If we look into the statistics of online traffic then efficacy of SMM will be proved as, there are about 350 million people who are active on Facebook. More than 346 million people read blogs, and 184 million people are bloggers themselves. Twitter has more than 14 million registered users, and YouTube claims more than 100 million viewers per month. More consumers are connected with every passing minutes and it builds a huge platform for the marketer to advertise themselves over the social media.

Location Based Marketing/ Mobile Marketing

With the increase of mobile phones, new horizon in the form of mobile marketing has emerged. Everyone is carrying his mobile phone everywhere and used to gossip with friends by using different social media sites. Smart phones have enabled marketers to use innovative ways to send their promotional messages to end users. In location based marketing, GPS of end user is used to find the location and then send promotional messages regarding his locality. Customer's mobile device is tracked by using appropriate location application programming interface (API) for the device or may be accessed through a server-side application that interfaces with the carrier's location platform.

Content Marketing

Content is a king. That is the modern phrase and it proves to be correct as far as very nature of internet is concerned. Content marketing is a type of marketing in which contents in the form of images, phrases, blogs or videos are used to implicitly market the product with the intention to

stimulate interest of consumers. Contents on the webpage are arranged in ascending orders; top of the funnel (Contents to aware your customers regarding your products/service), middle of the funnel (Contents realizing the importance of your product in meeting their needs) and bottom of the funnel (Contents to demonstrate the product usage to help customers in purchase decision). A good content should have the following properties;

- it should be innovative and unique
- it should be written in such a manner that people want to share it
- it should be trustworthy and people can relate it to their lives
- it should be adapted by people on different platforms

Search Marketing (SEO)

“The process of refining your website using both on-page and off-page practices so that it will be indexed and ranked successfully by search engines. SEO stands for “search engine optimization.” It is the process of getting traffic from the “free,” “organic,” “editorial” or “natural” search results on search engines. Being a good marketer, if you become successful in controlling the entry point on internet, you will get huge success. Search engines are the entry points on the internet through which a user get entered by typing a keyword over search bar. If we type something on the search bar, the program searches from the index of Google list and take you at desired page. Search engine optimization basically involves in being in that index list so that your webpage appears in front of the user and he will move to your web page. This is done by purchasing a keyword from auction that run by Google administration. Suppose you are dealing in camping equipment and you purchase the keywords ‘camping’ thus whenever a user types keyword ‘camping’, Google index will take the user to your webpage.

Pay per click advertising

In PPC, an online advertiser displays his ads on the search page when users entered a keyword. Due to its very nature it is also called as keyword advertising. Here, advertisers are charged only when user clicks on their ads. Appearing of ads link with the keywords that are used on search bar, therefore, ads are subject to ad auction that is actually a bidding system.

4P's in Digital World:

1. Digital Product

Digital products are those products which are digital in nature versus the pure physical product. The products that are sold on internet like computers or homes are not termed as digital products. So, digital products are predominately digital in nature. Example of digital products includes the digital content; movies, books, songs, articles and data as well as digital services, like communications, subscriptions and software etc. A third category is the hybrid product such as airfare which contains digital (ticket) and a physical (flight) component. However, for both online and offline products there exist still some similarity in decisions like differentiating it from the competitors and how to brand it.

2. Digital Price

With the advent of internet and digital marketing, digital price faces new challenges due to the very nature of digital product because it is easy for the customers to compare the digital products online so it poses a great challenge for the marketer to price their digital products. Another challenge with the digital pricing is to maximize value by considering the implications for both the competitors and customers. Different strategies are used for pricing the digital product; value base pricing (based on the value of product i.e. higher valued product priced high), freemium pricing (offering a trial of product free like 30 days trial for minimum price and then charged on additional usage) and reframing pricing strategies (division of the price in such a manner that customer perceives that it is a low priced product. For instance, online course price per day or per session).

3. Digital Place

“Virtual, online environment (a website, for example) that allows individuals or firms to conduct business electronically is called digital place.” There are two types of digital places exist on internet. One is the retail store of a firm existing on the webpage and other is the digital product using the space of other organization on webpage.

4. Digital Promotion

It is simply defined as ‘Promotion on internet by using different tools’. Digital promotion opens new avenues for marketer as they have now plenty of ways to communicate with their target customers. Digital promotion is a bi-directional process in which not only marketers communicate with the customers but customers also communicate with the marketers. But, this trend poses challenges to marketer because customers have different other ways to check organization’s credibility and views. People not only get your viewpoints in the form of ads on some product/service but also get the experiences from their peers and relatives.

Consumers in Digital World

Digital era has empowered consumers in multiple ways. Consumers now have multiple options to access information and record their behaviors. So, we can say that consumer 2.0 is more empowered and informative than consumer 1.0. Digital Consumers can be divided into six categories based on the usage of internet; basic digital consumers, retail scouts, brand scouts, digitally driven consumers, calculated shoppers and external shoppers. With the rapid advancement in technology, consumer’s access has grown further along with their expectations. Today we have different type of smart phones with 4G/5G connections. We can access anything and we can share anything. So it becomes difficult for the marketer to compete in this situation and there is need to understand the contributing factors that have led to such behavior.

Now, marketers need to set high standards of their products, make responsive websites, have multiple channel communication with the consumers, make fruitful dialogues with the customers and mitigate the tolerance level. In this way a marketer can tackle the modern consumers in an efficient manner.

GENERALLY ASKED QUESTIONS

Question 1: What is the Difference between the conventional and digital marketing?

Answer: Conventional and digital marketing differs on the basis of following grounds:

Cost

Conventional marketing is costly than the digital marketing. In conventional marketing, you advertise on billboard, radio/TV and newspaper which are costly medium in nature. While in digital marketing you advertise on different social websites which is not costly as compared to conventional mode of advertising.

Reach

Conventional media reach is limited as people in that particular area know your product only. For example, ads on a cable channel or on a billboard reach to the people of that area only. However advertisement on a webpage reaches to the global audience along with the local audience.

Interaction

Another major difference is the interaction. In conventional advertisement, marketer can't interact with the customers at the time of advertisement. For example through radio/TV advertisement or billboard advertisement, you can't interact with your customers. However, through webpage advertising you can interact with your customers when customer click on your ad and messaging with the customer care department starts.

Conversion

In conventional marketing you can't measure the impact of your advertising in the form of number of customers who actually purchase your product versus the number of customers view your ads on billboard or TV. This is called the conversion rate. In digital marketing you can

measure it through the number of customers click on your ads versus the number of customer who actually purchase your product.

MGT301 PRINCIPLES OF MARKETING CONCEPTUAL MCQ'S DIRECT ANSWERS, QUESTIONS AND ANSWERS FROM CHAPTER 6/THEME 6 ONWARDS (FROM ORIGINAL BOOK)

Chapter 6 Business Markets and Business Buyer Behavior

- 1) In which of the following ways is GE like most other large companies?
- E) Most of its business comes from commercial and industrial customers.**
Answer: E Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1
- 2) As a purchasing agent, Benni Lopez buys goods and services for use in the production of products that are sold and supplied to others. Benni is involved in _____.
- D) business buyer behavior**
Answer: D Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1
- 3) Business buying behavior refers to the buying behavior of organizations that buy all of the following EXCEPT _____.
- E) products purchased for personal consumption**
Answer: E Diff: 1 Page Ref: 168 Skill: Concept Objective: 6-1
- 4) In one way or another, most large companies sell to _____.
- B) other organizations**
Answer: B Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1
- 5) When compared to consumer markets, business markets are _____.
- C) huge**
Answer: C Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1
- 6) Which of the following is NOT a way that business and consumer markets differ?
- C) satisfaction of needs through purchases**
Answer: C Diff: 3 Page Ref: 169 Skill: Concept Objective: 6-1

- 7) There are many sets of _____ purchases made for each set of _____ purchases.

D) business; consumer

Answer: D Diff: 2 Page Ref: 168 Skill: Concept Objective: 6-1

- 8) Which of the following is true about business marketers in comparison to consumer marketers?

A) They deal with far fewer but far larger buyers.

Answer: A Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

- 9) Hewlett-Packard and Dell buy Intel microprocessor chips because consumers buy personal computers. This demonstrates an economic principle called _____.

C) derived demand

Answer: C Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

- 10) The Pure Drug Company produces insulin, a product with a very stable demand, even though the price has changed several times in the past two years. Insulin is a product with _____ demand.

C) inelastic

Answer: C Diff: 2 Page Ref: 169 Skill: Concept Objective: 6-1

- 11) The demand for many business goods and services tends to change more, and more quickly, than the demand for consumer goods and services does. This is referred to as _____ demand.

A) fluctuating

Answer: A Diff: 1 Page Ref: 169 Skill: Concept Objective: 6-1

- 12) Large business purchasers usually call for detailed product specifications, written purchase orders, careful supplier searches, and formal approval. These are all examples of how the business buying decision process is more _____ than the consumer buying decision process is.

A) formalized

Answer: A Diff: 2 Page Ref: 170 Skill: Concept Objective: 6-1

- 13) The owners of the company you work for have developed a core network of suppliers they are working closely with to ensure an appropriate and dependable supply of products. This is an example of _____ management.

E) supplier development

Answer: E Diff: 1 Page Ref: 170 Skill: Concept Objective: 6-1

- 14) Although there are many differences between business buying behavior and consumer buying behavior, both respond to the same four stimuli: product, price, promotion, and _____.

C) place

Answer: C Diff: 2 Page Ref: 172 Skill: Concept Objective: 6-2

- 15) In a typical organization, buying activity consists of two major parts: the buying _____ and the buying _____.

D) center; decision process

Answer: D Diff: 3 Page Ref: 172 Skill: Concept Objective: 6-2

- 16) The buying center and the buying decision process are affected by all of the following factors EXCEPT _____.

E) self-concept factors

Answer: E Diff: 2 Page Ref: 172 Skill: Concept Objective: 6-2

- 17) Which business buying situation is the marketer's greatest opportunity and challenge?

C) new task

Answer: C Diff: 2 Page Ref: 173 Skill: Concept Objective: 6-2

- 18) In which type of buying situation would a supplier most likely focus on maintaining product and service quality?

A) straight rebuy

Answer: A Diff: 3 Page Ref: 173 Skill: Concept Objective: 6-2

- 19) You just lost a major account because a competitor provided the most complete system to meet the customer's needs and solve the customer's problems, and made the sale. In other words, the competition beat you with _____.

A) solutions selling

Answer: A Diff: 2 Page Ref: 173 Skill: Concept Objective: 6-2

- 20) Another name for systems selling is _____ selling.

A) solutions

Answer: A Diff: 1 Page Ref: 173 Skill: Concept Objective: 6-2

- 21) The decision-making unit of a buying organization is called the _____.

B) buying center

Answer: B Diff: 1 Page Ref: 174 Skill: Concept Objective: 6-2

22) A _____ consists of the actual users of products, those who control buying information, those who influence the decisions, those who do the actual buying, and those who make the buying decisions.

C) buying center

Answer: C Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

23) In routine buying situations, which members of the buying center have formal or informal power to select or approve the final suppliers?

D) deciders

Answer: D Diff: 1 Page Ref: 174 Skill: Concept Objective: 6-2

24) A(n) _____ controls the flow of information to others in the buying center.

D) gatekeeper

**Answer: D Diff: 1 Page Ref: 174 AACSB: Communication
Skill: Concept Objective: 6-2**

25) Don Amspacher, in his role on the buying committee, provides information for evaluating the alternative purchase decisions and helps define and set specifications for evaluating alternatives for purchasing. Don is a(n) _____.

B) influencer

**Answer: B Diff: 2 Page Ref: 174 AACSB: Communication
Skill: Concept Objective: 6-2**

26) Gretchen Kabor has formal authority to select the suppliers and arrange terms of purchase for many of the items her firm uses. Her role in the buying center is that of _____.

C) buyer

Answer: C Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

27) A buying center is not a fixed, formally identified, unit within an organization, but rather a set of _____ assumed by different people for different purchases.

C) buying roles

Answer: C Diff: 3 Page Ref: 174 Skill: Concept Objective: 6-2

28) Which of the following is NOT included in the decision-making unit of a buying organization?

D) individuals who supply the product

Answer: D Diff: 2 Page Ref: 174 Skill: Concept Objective: 6-2

29) Which of the following statements about buying centers is true?

E) The buying center may involve informal participants who are not obvious to sellers.

Answer: E Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

30) When suppliers' offers are very similar, business buyers have little basis for strictly _____.

B) rational choice

Answer: B Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

31) When competing products differ greatly, business buyers are more accountable for their purchase choices and tend to pay more attention to _____.

A) economic factors

Answer: A Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

32) Buyers are heavily influenced by the current and expected economic environment. That includes which of the following buyer influences?

E) all of the above

Answer: E Diff: 3 Page Ref: 175 Skill: Concept Objective: 6-2

33) To ensure an adequate and available supply of key scarce materials, many companies are now willing to _____.

B) buy and hold large inventories of the materials

Answer: B Diff: 2 Page Ref: 175 Skill: Concept Objective: 6-2

34) The major influences on the buying process at General Aeronautics include company policies and systems, technological change, and economic developments. The types of influences on the buying process in this scenario are most accurately categorized as _____ and _____.

E) organizational; environmental

Answer: E Diff: 3 Page Ref: 176 Skill: Concept Objective: 6-2

35) Which of the following types of factors influencing members of a buying center are typically the most difficult for marketers to assess?

C) interpersonal

Answer: C Diff: 3 Page Ref: 176 Skill: Concept Objective: 6-2

36) Policies, procedures, and systems are all examples of _____ influences on business buyer behavior.

D) organizational

Answer: D Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-2

37) Status, empathy, and persuasiveness are all examples of _____ influences on business buyer behavior.

C) interpersonal

Answer: C Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-2

38) Charlie Van Dusen, executive vice president of National Central Bank, is going through all of the stages of the buying process to purchase a computer system for the bank. Charlie is facing a(n) _____ situation.

C) new-task buying

Answer: C Diff: 2 Page Ref: 176 Skill: Concept Objective: 6-3

39) Which of the following is an example of an internal stimulus that might lead to the business buying process stage of problem recognition?

C) A buyer is unhappy with a current supplier's price.

Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

40) The first step of the business buying process is _____.

C) problem recognition

Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

41) Business marketers often alert customers to potential problems and then show how their products provide solutions. These marketers are hoping to influence which stage of the business buying process?

C) problem recognition

Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

42) The purchasing agent at your company is working with engineers and users to define the items to purchase by describing general characteristics and quantities needed. He is also ranking the importance of reliability, durability, and price. The buyer is preparing a(n) _____.

C) general need description

Answer: C Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

43) In which stage of the business buying process is a supplier most likely to provide a buyer with information about the values of different product characteristics?

B) general need description

Answer: B Diff: 3 Page Ref: 177 Skill: Concept Objective: 6-3

44) Which of the following is the process of the buying center deciding on the best product characteristics?

E) product specification

Answer: E Diff: 1 Page Ref: 177 Skill: Concept Objective: 6-3

45) During which stage of the business buying process is a buyer most likely to conduct a value analysis, carefully studying components to determine if they can be redesigned, standardized, or made less expensively?

E) product specification

Answer: E Diff: 3 Page Ref: 177 Skill: Concept Objective: 6-3

46) Empire Products has begun a process to find the best suppliers. Empire Products is actively engaged in _____.

C) supplier search

Answer: C Diff: 1 Page Ref: 177 Skill: Concept Objective: 6-3

47) A buyer would be most likely to review trade directories in which stage of the business buying process?

D) supplier search

Answer: D Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

48) In the generally accepted stages of the business buying process, the step following product specification is _____.

B) supplier search

Answer: B Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

49) In the generally accepted stages of the business buying process, the step following problem recognition is _____.

D) general need description

Answer: D Diff: 2 Page Ref: 177 Skill: Concept Objective: 6-3

50) Members of the buying center at ABC Kid's World are drawing up a list of desired toy supplier attributes and their relative importance. Next, they intend to compare several suppliers to these attributes. In which step of the business buying process is the buying center at ABC Kid's World engaged?

C) supplier selection

Answer: C Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

51) Which of the following statements about the supplier selection stage of the business buying decision process is true?

E) Before selecting a supplier, many companies consider the supplier's reputation, ethical corporate behavior, and honest communication.

Answer: E Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

52) During the _____ stage of the business buying decision process, the buying center assesses the proposals.

B) supplier selection

Answer: B Diff: 2 Page Ref: 178 Skill: Concept Objective: 6-3

53) In the case of maintenance, repair, and operating items, buyers may use a _____ rather than periodic purchase orders.

A) blanket contract

Answer: A Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

54) In which stage of the business buying process is a supplier's task to make sure that the supplier is giving the buyer the expected satisfaction?

B) performance review

Answer: B Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

55) Following a purchase, the buyer and seller would both monitor which phase of the new-task buying situation?

C) performance review

Answer: C Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

56) Under a _____, a supplier monitors and replenishes a buyer's stock automatically as needed.

A) vendor-managed inventory

Answer: A Diff: 2 Page Ref: 179 Skill: Concept Objective: 6-3

57) Which of the following accurately describes a cultural difference international marketers should be aware of?

D) Japanese people tend to put a high value on rank.

**Answer: D Diff: 3 Page Ref: 179 AACSB: Multicultural and Diversity
Skill: Concept Objective: 6-3**

58) Which of the following is the best advice for an international marketer planning to interact with businesspeople from many different cultures?

C) Cultures really are different, so do your best to learn about those differences.

Answer: C Diff: 2 Page Ref: 179 AACSB: Multicultural and Diversity Skill: Concept Objective: 6-3

59) Instead of focusing on managing individual purchases, a seller should focus on managing the _____.

E) total customer relationship

Answer: E Diff: 2 Page Ref: 180 Skill: Concept Objective: 6-3

60) Which of the following can be especially useful for a company that needs to conduct secure and frequent communications and transactions with key suppliers?

B) an extranet

Answer: B Diff: 2 Page Ref: 180 AACSB: Use of IT Skill: Concept Objective: 6-3

61) Reverse auctions, trading exchanges, and company buying sites are all ways that companies can participate in _____.

E) e-procurement

Answer: E Diff: 1 Page Ref: 180 AACSB: Use of IT Skill: Concept Objective: 6-3

62) The Bentley department store chain makes extensive use of e-procurement. As a buyer, the store should expect to enjoy all of these benefits of e-procurement EXCEPT _____.

D) reduced payroll

Answer: D Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

63) B-to-B e-procurement yields many benefits. These include all of the following EXCEPT _____.

C) elimination of inventory problems

Answer: C Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

64) A problem with the rapidly expanding use of e-purchasing is that it _____.

A) can erode established customer-supplier relationships

Answer: A Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

65) The leading barrier to expanding electronic links with customers and partners online is _____.

C) concern over security

Answer: C Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

66) Firewalls and encryption are _____.

A) two commonly used techniques to safeguard Internet and extranet transactions

Answer: A Diff: 1 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

67) Which of the following statements about e-procurement security issues is true?

E) Providing e-procurement security can involve a substantial financial investment from a company.

Answer: E Diff: 2 Page Ref: 181 AACSB: Use of IT Skill: Concept Objective: 6-3

68) Sage, Inc., provides food services to schools, hospitals, and nursing homes in the Midwest. Management at Sage is involved in the _____ market.

D) institutional

Answer: D Diff: 1 Page Ref: 181 Skill: Concept Objective: 6-4

69) Many institutional markets are characterized by _____ and _____.

C) low budgets; captive patrons

Answer: C Diff: 3 Page Ref: 182 Skill: Concept Objective: 6-4

70) Government organizations tend to favor _____ suppliers over _____ suppliers.

D) domestic; foreign

Answer: D Diff: 2 Page Ref: 182 AACSB: Multicultural and Diversity Skill: Concept Objective: 6-4

71) All of the following are difficulties associated with selling to government buyers EXCEPT _____.

D) low sales volume

Answer: D Diff: 1 Page Ref: 182 Skill: Concept Objective: 6-4

72) U.S. Government Purchasing, Specifications, and Sales Directory is a(n) _____ publication.

B) government

Answer: B Diff: 1 Page Ref: 183 Skill: Concept Objective: 6-4

73) There are many factors considered in government buying, but _____ is, above all, the most important.

A) price

Answer: A Diff: 2 Page Ref: 182 Skill: Concept Objective: 6-4

74) Total government spending is determined by _____ rather than by any _____ to develop this market.

C) elected officials; marketing effort

Answer: C Diff: 3 Page Ref: 183 Skill: Concept Objective: 6-4

75) The world's largest buyer of products and services is _____.

C) the U.S. government

**Answer: C Diff: 2 Page Ref: 183 AACSB: Multicultural and Diversity
Skill: Concept Objective: 6-4**

76) Which of the following is NOT part of the business market?

C) Sue buys a gift for her mother.

**Answer: C Diff: 1 Page Ref: 168 AACSB: Reflective Thinking
Skill: Application Objective: 6-1**

77) Giant Food Stores buy a lot of frozen turkey products at Thanksgiving and Christmas due to high consumer demand. This is an example of _____ demand.

B) derived

**Answer: B Diff: 2 Page Ref: 169 AACSB: Reflective Thinking
Skill: Application Objective: 6-1**

78) Demand for outboard motors depends on consumers purchasing fishing boats. This is an example of _____ demand.

C) derived

**Answer: C Diff: 2 Page Ref: 169 AACSB: Reflective Thinking
Skill: Application Objective: 6-1**

79) ABC Enterprises sold 9,000 units @ \$2.99/unit in July. The firm sold 9,000 units @ \$4.29/unit in August. This illustrates _____ demand.

E) inelastic

Answer: E Diff: 3 Page Ref: 169 AACSB: Reflective Thinking

Skill: Application Objective: 6-1

80) UPS serves both consumer and business markets, but most of its revenues come from its business customers. UPS has become a strategic logistics ally for many of its business customers, going far beyond offering delivery services to offering inventory management, international trade management, and even financing to its commercial customers. This is an example of which of the following differences between the consumer and business markets?

B) Buyers and sellers in the business market build close, long-term relationships.

Answer: B Diff: 2 Page Ref: 172 AACSB: Reflective Thinking

Skill: Application Objective: 6-1

81) You call in a department manager to assist in a purchase of industrial equipment. You are considering a change in product specifications, terms, and possibly suppliers. This is most likely a _____ situation.

A) modified rebuy

Answer: A Diff: 1 Page Ref: 173 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

82) Which of the following is most likely true about a straight rebuy?

C) It often involves products with low risks.

Answer: C Diff: 3 Page Ref: 173 AACSB: Analytic Skills

Skill: Application Objective: 6-2

83) You regularly purchase cleaning supplies for your custodial staff, using the same vendor and ordering relatively consistent amounts of the same products with each purchase. This is an example of a _____ situation.

C) straight rebuy

Answer: C Diff: 1 Page Ref: 173 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

84) Worthington Farm raises chickens. For years, it has used wooden coops for hauling its poultry to market. The owner of the farm needs to buy some replacement coops and is considering buying plastic coops that are slightly more expensive than wooden ones but much easier to clean after use. This purchase of coops is an example of a _____.

A) modified rebuy

Answer: A Diff: 1 Page Ref: 173 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

- 85) The EPA has mandated that, in order to reduce local pollution, your printing plant switch from oil-based to water-based inks. This will require entirely new printing presses and a new printing plate technology. After carefully searching through numerous manufacturers' equipment descriptions and gathering opinions from all relevant parties related to the work, the printing plant's buying center will be ready to make this _____ purchase.

B) new task

Answer: B Diff: 2 Page Ref: 173 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

- 86) Don Brady is responsible for obtaining price quotations from various vendors. After reviewing them, Don then determines whether or not to include the vendor on the approved vendor list. Don apparently plays two roles, that of _____ and _____.

D) decider; buyer

Answer: D Diff: 3 Page Ref: 174 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

- 87) One of Dr. Albrecht's dental assistants told the dentist he should buy a machine that would sterilize his tools without using any water because water tends to cause the tools to rust or corrode over time. In terms of the buying center, the dental assistant had the role of _____.

D) influencer

Answer: D Diff: 2 Page Ref: 174 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

- 88) One of Dr. Albrecht's dental assistants told the dentist he should buy a machine that would sterilize his tools without using any water because water tends to cause the tools to rust or corrode over time. Dr. Albrecht, who runs a solo practice in a small rural town, located some articles on the chemical sterilizer and read about how the machine works. After gathering more information and talking to salespeople, Dr. Albrecht placed his order for the machine. In terms of the buying center, Dr. Albrecht had the role of _____.

B) decider

Answer: B Diff: 2 Page Ref: 174 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

- 89) A trucking company is considering purchasing new trucks that are powered by ethanol instead of diesel fuel. In terms of the buying center, the truck drivers who must make sure that the trucks do not run out of fuel are the _____.

E) users

Answer: E Diff: 2 Page Ref: 174 AACSB: Reflective Thinking

Skill: Application Objective: 6-2

90) Worthington Farm raises chickens. For years, it has used wooden coops for hauling its poultry to market. When Bob Worthington went to reuse some of his coops, he noticed many of them could not be sufficiently cleaned for reuse and needed to be replaced. Worthington was at which stage of the business buying process when he decided to replace his old coops?

A) problem recognition

Answer: A Diff: 1 Page Ref: 176 AACSB: Reflective Thinking

Skill: Application Objective: 6-3

91) John Herr's company has standardized the size of its paper bags so that each bag can be used in five to seven different store departments. This approach to cost reduction likely took place in the _____ stage of the business buying process.

C) product specification

Answer: C Diff: 3 Page Ref: 177 AACSB: Reflective Thinking

Skill: Application Objective: 6-3

92) In what type of buying situation would a seller most likely send only a catalog to the buyer during the proposal solicitation stage of the business buying process?

C) straight rebuy

Answer: C Diff: 3 Page Ref: 178 AACSB: Analytic Skills

Skill: Application Objective: 6-3

93) Most newspapers rely on _____ so they do not need to rely on only one supplier to provide the tons of paper that they use annually.

B) multiple sourcing

Answer: B Diff: 2 Page Ref: 178 AACSB: Reflective Thinking

Skill: Application Objective: 6-3

94) Pace Hardware uses Learningnow.com to improve sales force effectiveness and facilitate sharing of expertise. It allows Pace retailers to link with other Pace retailers to ask for managerial and marketing advice. It also allows Pace retailers to ask their suppliers about product usage, deliveries, and warranties, and it allows suppliers to send new-product information directly to Pace retailers. In this scenario, Pace Hardware is using a(n) _____.

A) extranet

Answer: A Diff: 2 Page Ref: 180 AACSB: Use of IT Skill: Application

Objective: 6-3

95) Which of the following was most likely being used when Boeing received orders for \$100 million in spare parts in the first year its Web site was in operation?

A) e-procurement

Answer: A Diff: 1 Page Ref: 180 AACSB: Reflective Thinking

Skill: Application Objective: 6-3

96) All of the following organizations are likely considered to be a part of the institutional market EXCEPT _____.

C) Lancaster Township

Answer: C Diff: 1 Page Ref: 181 AACSB: Reflective Thinking

Skill: Application Objective: 6-4

QUESTIONS AND ANSWERS (3 TO 5 MARKS) THEME 6/CHAPTER 6

126) Explain how the decision process in the business market and consumer market differs.

Answer: Business buyers usually face more complex buying decisions than do consumer buyers, as business purchases more often involve large sums of money, complex technical and economic considerations, and interactions among many people at many levels of the buyer's organization. Because the purchases are more complex, business buyers may take longer to make their decisions and are likely to use a more formalized buying process. In the business buying process, the buyer and seller are often much more dependent on each other.

Diff: 1 Page Ref: 170

AACSB: Analytic Skills

Skill: Application

Objective: 6-1

127) Describe the three major types of business buying situations and what differentiates each from the other two.

Answer: A straight rebuy is a fairly routine decision in which the buyer reorders without any modifications from existing suppliers. In a modified rebuy, the buyer wants to modify product specifications, prices, terms, or suppliers and usually involves more decision participants. A company buying a product or service for the first time faces a new task situation. It is the marketer's greatest opportunity and challenge because of the additional risk or cost, the larger number of decision participants, and the greater effort required to collect all of the needed information.

Diff: 3 Page Ref: 173

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

128) Explain the advantages of systems selling.

Answer: Many business buyers prefer to buy a packaged solution to problem from a single seller instead of buying separate products and services from different sellers and then integrating them. The sale often goes to the firm that provides the most complete system that meets the customer's needs. Systems selling, also called solutions selling, is a key business marketing strategy for winning and holding accounts, as it fosters an interdependent relationship between the seller and buyer.

Diff: 1 Page Ref: 173

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

129) Describe the typical roles played by the various members of a buying center.

Answer: The buying center includes all members of the organization who play any of five roles in the purchase process: user, influencer, buyer, decider, and gatekeeper. Users physically use the product or service. Influencers often help define the specifications and also provide information for evaluating alternatives. Buyers have formal authority to select the supplier and arrange terms of purchase. They may help shape product specifications, but their major role is in selecting vendors and negotiation. Deciders have formal or informal power to select or approve the final suppliers and products. Gatekeepers control the flow of information to others. Different employees may undertake these roles depending on the nature of the purchase.

Diff: 2 Page Ref: 174

AACSB: Communication

Skill: Application

Objective: 6-2

130) Provide a brief explanation of the major influences on business buyers.

Answer: Both economic and personal factors play a part in buying decisions. The environmental influences of the level of primary demand, the economic outlook, and the cost of money all make their way into the decision. Each organization has its own objectives, policies, procedures, structure, and systems to learn. All of these may affect the purchasing decision. Further, interpersonal factors carry weight; however, it is often difficult to assess such factors and group dynamics. These factors are often subtle, and some participants are invisible to the marketer. Participants bring in individual influencing factors such as personal motives, perceptions, and preferences.

Diff: 2 Page Ref: 175

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

131) What is the buying center concept? Explain why this concept presents a major marketing challenge.

Answer: The buying center is the decision-making unit of a buying organization. The buying center is composed of all the individuals and units that play a role in the business purchase decision-making process, including the actual users of the product or service, those who make the buying decision, those who influence the buying decision, those who do the actual buying, and those who control buying information. The buying center is not a fixed and formally identified unit within the buying organization. Instead, it is a set of buying roles assumed by different people for different purchases. Within the organization, the size and makeup of the buying center varies for different products and buying situations. The variable nature of the buying center makes it a major marketing challenge. The business marketer must learn who participates in each decision, each participant's relative influence, and what evaluation criteria each decision participant uses.

Diff: 3 Page Ref: 174

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

132) Describe the eight steps in the business buying process.

Answer: The steps are problem recognition, general need description, product specification, supplier search, proposal solicitation, supplier selection, order-routine specification, and performance review. Problem recognition is the step during which someone recognizes a problem or need caused by internal/external stimuli that can be met by acquiring a specific product or service. A general need description describes the quantity and characteristics of the needed item. Product specification follows to allow purchasing of the correct items with the highest value. A supplier search finds the best vendors. The suppliers are asked to submit proposals. After selecting the supplier or suppliers, the buyer prepares an order-routine specification. After the purchase, the buyer will conduct a performance review to analyze future relationships.

Diff: 2 Page Ref: 176-181

AACSB: Analytic Skills

Skill: Application

Objective: 6-3

133) Briefly describe the major advantages of business-to-business marketing on the Internet.

Answer: E-procurement gives buyers access to new suppliers, lowers purchasing costs, and hastens order processing and delivery. In turn, business marketers can connect with customers online to share marketing information, sell products and services, provide customer support services, and maintain ongoing customer relationships. E-procurement frees purchasing people to focus on more strategic issues such as value-added activities, finding different sources, and working with suppliers to reduce costs and develop new products.

Diff: 2 Page Ref: 180-181

AACSB: Use of IT

Skill: Application

Objective: 6-3

134) What are the major characteristics of institutional markets?

Answer: The institutional market is made up of schools, hospitals, prisons, and other institutions that provide goods and services to people in their care. These markets are characterized by low budgets and captive patrons. For many institutions, the buying objective will not strictly be profit maximization or cost minimization; instead, the institution is likely to search for vendors that meet or exceed a certain minimum standard while also offering low prices.

Diff: 2 Page Ref: 182

AACSB: Analytic Skills

Skill: Concept

Objective: 6-4

135) What are the major characteristics of government markets?

Answer: Government markets offer large opportunities for companies. Although they also buy on a negotiated contract basis, government organizations typically require suppliers to submit bids, and normally they award the contract to the lowest bidder. The process is highly structured and famous for "red tape." In addition to the bid amount, noneconomic criteria also play a role in government buying. Government buyers often favor firms from depressed business areas, small business firms, minority-owned firms, and business firms that avoid race, gender, or age discrimination.

Diff: 2 Page Ref: 182

AACSB: Analytic Skills

Skill: Application

Objective: 6-4

136) Explain the concept of derived demand, giving an example of a product that has derived demand.

Answer: Derived demand is created when demand increases due to consumers' increasing demand for some other product either made with or dependent upon the product in question. Examples will vary.

Diff: 2 Page Ref: 169

AACSB: Analytic Skills

Skill: Application

Objective: 6-1

137) Why is demand in the business market mostly inelastic?

Answer: The demand in business-to-business markets is mostly inelastic because what is being sold is often just one of the many parts or materials that go into producing the consumer product. It is not unusual for a large increase in a business product's price to have little effect on the final consumer product's price.

Diff: 3 Page Ref: 169

AACSB: Analytic Skills

Skill: Application

Objective: 6-1

138) How is the business buying process more formalized than the consumer buying process?

Answer: Business purchases usually call for product specification, written purchase orders, and supplier searches.

Diff: 1 Page Ref: 170

AACSB: Analytic Skills

Skill: Application

Objective: 6-1

139) How have relationships between customers and suppliers changed in recent years?

Answer: Customers and suppliers have had adversarial relationships in the past, but because they are dependent on each other, they have begun to act more as partners; many customer companies now practice supplier development, systematically developing networks of supplier-partners to ensure an appropriate and dependable supply of products and materials.

Diff: 2 Page Ref: 170

AACSB: Analytic Skills

Skill: Application

Objective: 6-1

140) In what type of purchase would one person most likely assume all buying center roles?

Answer: One person will likely play all roles in purchasing routine products and services, or a straight rebuy.

Diff: 2 Page Ref: 173

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

141) Why is the new-task buying situation both a great opportunity and a challenge for a marketer?

Answer: In the new-task buying situation, decision participants put forth substantial effort to collect information and so are positioned to be influenced by a marketer's message; these situations are likely to be competitive, as other marketers also want to establish a relationship with the buyer.

Diff: 3 Page Ref: 173

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

142) Although a company has purchased printers and copiers before, Xerox now offers the firm a multitasking machine that prints, copies, scans, and faxes. Explain what type of buying situation this is.

Answer: This is a modified rebuy. The firm has already purchased similar machinery, but this purchase now involves a modified machine.

Diff: 3 Page Ref: 173

AACSB: Reflective Thinking

Skill: Application

Objective: 6-2

143) Explain the buyer center role of the influencer.

Answer: An influencer often helps define specifications and provide information for evaluating alternatives.

Diff: 1 Page Ref: 174

Skill: Application

Objective: 6-2

144) Which roles in the buying center are likely to change with different purchases?

Answer: Although any of the roles may change from purchase to purchase, the roles of users and influencers are the most likely to change with each type of purchase a business makes.

Diff: 2 Page Ref: 174

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

145) When are business buyers most likely to make decisions heavily influenced by personal factors?

Answer: If suppliers' offers are very similar, there is little basis for a rational, objective choice; in these situations, buyers are more likely to allow emotions and other personal factors to influence their decision.

Diff: 2 Page Ref: 175

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

146) Why is it difficult to assess interpersonal factors that influence the business buying process?

Answer: Interpersonal factors—such as who is liked, who controls rewards and punishments, and who has special relationships with other important participants—are subtle and not obvious to the external observer.

Diff: 3 Page Ref: 176

AACSB: Analytic Skills

Skill: Application

Objective: 6-2

147) How can marketers influence business buyers who are in the problem recognition stage?
Answer: Through advertising, business marketers can make buyers aware of and concerned about potential problems and then offer their products as solutions to the newly recognized problem.

Diff: 2 Page Ref: 177

AACSB: Analytic Skills

Skill: Application

Objective: 6-3

148) What information is a buyer likely to include in the general need description?
Answer: This element describes the general characteristics and quantity of the needed item.

Diff: 1 Page Ref: 177

AACSB: Analytic Skills

Skill: Application

Objective: 6-3

149) Describe two advantages of using multiple source contracts.

Answer: With multiple source contracts, a buyer avoids being totally dependent on one supplier and can conduct comparisons of prices and performance of several suppliers over time.

Diff: 3 Page Ref: 178

AACSB: Analytic Skills

Skill: Application

Objective: 6-3

150) What type of noneconomic criteria impact government buying?

Answer: Government buyers are asked to favor depressed business areas, small business firms, minority-owned firms, and business firms that avoid race, gender, or age discrimination.

Diff: 2 Page Ref: 183

AACSB: Analytic Skills

Skill: Application

Objective: 6-4

Chapter 7 Customer-Driven Marketing Strategy: Creating Value for Target Customers

- 1) When a company identifies the parts of the market it can serve best and most profitably, it is practicing _____.

C) market targeting

Answer: C Diff: 2 Page Ref: 191 Skill: Concept Objective: 7-1

- 2) What are the four steps, in order, to designing a customer-driven marketing strategy?

C) market segmentation, targeting, differentiation, and positioning

Answer: C Diff: 2 Page Ref: 191 Skill: Concept Objective: 7-1

- 3) Through market segmentation, companies divide large, heterogeneous markets into smaller segments that can be reached more _____ with products and services that match their unique needs.

E) both A and B

Answer: E Diff: 2 Page Ref: 192 Skill: Concept Objective: 7-2

- 4) Even though several options are available at any one time, there _____ to segment a market.

B) is no single way

Answer: B Diff: 2 Page Ref: 192 Skill: Concept Objective: 7-2

- 5) Your firm has decided to localize its products and services to meet local market demands. A good approach to use would be _____ segmentation.

A) geographic

Answer: A Diff: 1 Page Ref: 193 Skill: Concept Objective: 7-2

- 6) Pendergraff Pet Supplies divides the pet market according to the owners' race, occupation, income, and family life cycle. What type of segmentation does Pendergraff use?

D) demographic

Answer: D Diff: 1 Page Ref: 194 Skill: Concept Objective: 7-2

- 7) Through talking to numerous competitors at a regional trade show, you learn that most of them use the most popular base for segmenting markets. What is it?

A) demographic

Answer: A Diff: 2 Page Ref: 194 Skill: Concept Objective: 7-2

- 8) Demographic variables are so frequently used in market segmentation because they _____.

D) are easy to measure in comparison to many other methods

Answer: D Diff: 2 Page Ref: 194 Skill: Concept Objective: 7-2

- 9) Marketers must be most careful to guard against which of the following when using age and life cycle segmentation?

B) stereotyping

Answer: B Diff: 2 Page Ref: 194 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-2

- 10) When Positive Image, Inc., caters to clothing, cosmetics, and toiletries markets, it is most likely using which type of segmentation?

B) gender

Answer: B Diff: 2 Page Ref: 195 Skill: Concept Objective: 7-2

- 11) Marketers of automobiles, financial services, and travel are most likely to use which of the following types of segmentation?

B) income

Answer: B Diff: 2 Page Ref: 195 Skill: Concept Objective: 7-2

- 12) The division of buyers into groups based on their knowledge, attitudes, uses, or responses to a product is _____ segmentation.

A) behavioral

Answer: A Diff: 1 Page Ref: 196 Skill: Concept Objective: 7-2

- 13) Many marketers believe that which of the following variables are the best starting point for building marketing segments?

A) behavioral

Answer: A Diff: 2 Page Ref: 196 Skill: Concept Objective: 7-2

- 14) Which type of segmentation centers on the use of the word when, such as when consumers get the idea to buy, when they actually make their purchase, or when they use the purchased item?

C) occasion

Answer: C Diff: 2 Page Ref: 196 Skill: Concept Objective: 7-2

- 15) Markets can be segmented into groups of nonusers, ex-users, potential users, first-time users, and regular users of a product. This method of segmentation is called _____.

A) user status

Answer: A Diff: 1 Page Ref: 197 Skill: Concept Objective: 7-2

- 16) Consumers can show their allegiance to brands, stores, or companies. Marketers can use this information to segment consumers by _____.

B) loyalty status

Answer: B Diff: 1 Page Ref: 197 Skill: Concept Objective: 7-2

- 17) By studying its less loyal buyers, a company can detect which brands are most _____ its own.

A) competitive with

Answer: A Diff: 2 Page Ref: 198 Skill: Concept Objective: 7-2

- 18) Many firms make an effort to identify smaller, better-defined target groups by using _____.

C) multiple segmentation bases

Answer: C Diff: 3 Page Ref: 198 Skill: Concept Objective: 7-2

- 19) Consumer and business marketers use many of the same variables to segment markets. Business marketers use all of the following EXCEPT _____.

E) brand personalities Answer: E Diff: 3 Page Ref: 198

Skill: Concept Objective: 7-2

- 20) As in consumer segmentation, many marketers believe that _____ and _____ segmentation provide the best basis for segmenting business markets.

C) benefits; buying behavior

Answer: C Diff: 2 Page Ref: 199 Skill: Concept Objective: 7-2

- 21) International Drilling Company segments its foreign markets by their overall level of economic development. This firm segments on what basis?

D) economic factors

Answer: D Diff: 1 Page Ref: 199 Skill: Concept Objective: 7-2

- 22) Lexus targets wealthy consumers with similar needs and buying behaviors, even though the consumers are located in different countries. This is an example of _____.

A) intermarket segmentation

Answer: A Diff: 1 Page Ref: 200 Skill: Concept Objective: 7-2

- 23) When the size, purchasing power, and profiles of a market segment can be determined, it possesses the requirement of being _____.

A) measurable

Answer: A Diff: 2 Page Ref: 200 Skill: Concept Objective: 7-2

24) When a business market segment is large or profitable enough to serve, it is termed _____.

C) substantial

Answer: C Diff: 2 Page Ref: 200 Skill: Concept Objective: 7-2

25) When an effective program can be designed for attracting and serving a chosen segment, the segment is best described as _____.

D) actionable

Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-2

26) You have discovered that the segments you are targeting are conceptually distinguishable and respond differently to different marketing mix elements and programs. These segments are _____.

D) differentiable

Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-2

27) To evaluate the different market segments your company serves, you would look at all of these factors EXCEPT which one?

D) company values

Answer: D Diff: 3 Page Ref: 201 Skill: Concept Objective: 7-3

28) Barney Hopkins has compiled a list of things that make segments more attractive. Which one of the following items should NOT be on the list?

D) competition with superior resources

Answer: D Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-3

29) Which of the following is NOT one of the reasons a segment would be less attractive to a company?

C) concentrated market

Answer: C Diff: 2 Page Ref: 201 Skill: Concept Objective: 7-3

30) In general, a company should enter only segments in which it can _____ and _____.

B) offer superior value; gain advantages over competitors

Answer: B Diff: 3 Page Ref: 201 Skill: Concept Objective: 7-3

31) Mass marketers, such as Target and Venture Stores, often ignore market segment differences and target the whole market with one offer. What is their approach to segmenting?

A) undifferentiated marketing

Answer: A Diff: 1 Page Ref: 201 Skill: Concept Objective: 7-3

32) The 55-year-old baby boomers share common needs in music and performers. When a music company decides to serve this group, the group is called a(n) _____.

B) target market

Answer: B Diff: 1 Page Ref: 201 Skill: Concept Objective: 7-3

33) When New Port Shipping uses segmented marketing, it targets several segments and designs separate offers for each one. This approach is called _____ marketing.

B) differentiated

Answer: B Diff: 2 Page Ref: 202 Skill: Concept Objective: 7-3

34) Developing a strong position within several segments creates more total sales than _____ marketing across all segments.

A) undifferentiated

Answer: A Diff: 3 Page Ref: 202 Skill: Concept Objective: 7-3

35) ByWay Ventures chose a differentiated marketing strategy. The company had to weigh _____ against _____ when selecting this strategy.

C) increased sales; increased costs

Answer: C Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

36) Procter & Gamble sells six brands of laundry detergent in the United States, each designed for one of six laundry segments Procter & Gamble has identified. Together, these six brands take 62% of market share. Which of the following is a disadvantage of Procter & Gamble's differentiated marketing strategy?

C) increased costs for separate marketing plans for each brand

Answer: C Diff: 2 Page Ref: 202 Skill: Concept Objective: 7-3

37) Successful niche marketing relies on a firm's _____ and its _____.

D) greater knowledge of customers' needs; special reputation

Answer: D Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

38) Using concentrated marketing, the marketer goes after a _____ share of _____.

C) large; one or a few niches

Answer: C Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

39) Niche marketing offers smaller companies the opportunity to compete by focusing their limited resources on serving niches that may be _____ or _____ larger companies.

B) unimportant to; overlooked by

Answer: B Diff: 2 Page Ref: 204 Skill: Concept Objective: 7-3

40) Today, the low cost of setting up shop _____ makes it even more profitable to serve very small niches.

C) on the Internet

Answer: C Diff: 1 Page Ref: 205 AACSB: Use of IT Skill: Concept Objective: 7-3

41) Which of the segmenting strategies carries higher-than-average risks in consumer markets?

A) concentrated

Answer: A Diff: 3 Page Ref: 205 Skill: Concept Objective: 7-3

42) As You Like It, Inc., customizes its offers to each individual consumer. This practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations is referred to as _____ marketing.

E) micro

Answer: E Diff: 2 Page Ref: 205 Skill: Concept Objective: 7-3

43) _____ tailors brands and promotions to the needs and wants of specific cities, neighborhoods, and even stores.

D) Local marketing

Answer: D Diff: 1 Page Ref: 205 Skill: Concept Objective: 7-3

44) Which of the following is the narrowest marketing strategy?

B) local marketing

Answer: B Diff: 3 Page Ref: 202 Skill: Concept Objective: 7-2

45) Which of the following is NOT a drawback of local marketing?

E) Supporting technologies are expensive.

Answer: E Diff: 3 Page Ref: 206 Skill: Concept Objective: 7-3

46) Under what circumstances can local marketing be quite effective?

C) when pronounced regional and local differences in demographics and lifestyles are present

Answer: C Diff: 3 Page Ref: 206 AACSB: Multicultural and Diversity Skill: Concept Objective: 7-3

47) When Wal-Mart customizes its merchandise store by store to meet shopper needs, it is practicing _____.

C) local marketing

Answer: C Diff: 2 Page Ref: 205 Skill: Concept Objective: 7-3

48) When a company interacts one-on-one with large numbers of customers to create customerunique value by designing products and services tailor-made to individual needs, it is following _____.

C) mass customization

Answer: C Diff: 2 Page Ref: 206 Skill: Concept Objective: 7-3

49) The move toward individual marketing mirrors the trend in consumer _____.

C) self-marketing

Answer: C Diff: 3 Page Ref: 207 Skill: Concept Objective: 7-3

50) When choosing a target marketing strategy, many factors need to be considered. Which of the following does your text NOT mention as important?

D) product cost

Answer: D Diff: 2 Page Ref: 207 Skill: Concept Objective: 7-3

51) When competitors use differentiated or concentrated marketing, _____ marketing can be disastrous.

B) undifferentiated

Answer: B Diff: 2 Page Ref: 207 Skill: Concept Objective: 7-3

52) Target marketing sometimes generates controversy and concern. Issues usually involve the targeting of _____ consumers with _____ products.

D) vulnerable or disadvantaged; controversial or potentially harmful

Answer: D Diff: 2 Page Ref: 208 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-3

53) It is considered socially irresponsible when the marketing of adult products spills over into the _____ segment.

B) child

Answer: B Diff: 1 Page Ref: 208 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-3

54) Cigarette, beer, and fast-food marketers have generated much controversy in recent years by their attempts to target _____.

C) inner-city minorities

Answer: C Diff: 3 Page Ref: 208 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-3

55) Most attempts to target children and minority groups provide _____ to target customers.

A) benefits

Answer: A Diff: 2 Page Ref: 209 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-3

56) In target marketing, the issue is not really who is targeted, but rather _____ and for _____.

B) how; what

Answer: B Diff: 2 Page Ref: 209 AACSB: Ethical Reasoning

Skill: Concept Objective: 7-3

57) Which group determines a product's position relative to competing products?

D) consumers

Answer: D Diff: 1 Page Ref: 209 Skill: Concept Objective: 7-4

58) A product's position is based on important attributes as perceived by _____.

D) consumers

Answer: D Diff: 2 Page Ref: 209 Skill: Concept Objective: 7-4

59) Consumers position products and services _____.

C) with or without the help of marketers

Answer: C Diff: 1 Page Ref: 209 Skill: Concept Objective: 7-4

60) Which of the listed choices is NOT a positioning task?

B) surveying frequent users of the product

Answer: B Diff: 2 Page Ref: 210 AACSB: Communication

Skill: Concept Objective: 7-4

61) A company or store gains a(n) _____ by differentiating its products and delivering more value.

A) competitive advantage

Answer: A Diff: 1 Page Ref: 210 Skill: Concept Objective: 7-4

62) A company or market offer can be differentiated along the lines of product, image, services, channels, or _____.

C) people

Answer: C Diff: 2 Page Ref: 213 Skill: Concept Objective: 7-4

63) Which type of differentiation is used to gain competitive advantage through the way a firm designs its distribution coverage, expertise, and performance?

B) channel differentiation

Answer: B Diff: 2 Page Ref: 213 Skill: Concept Objective: 7-4

64) When firms use symbols, colors, or characters to convey their personalities, they are using _____ differentiation.

A) image

Answer: A Diff: 1 Page Ref: 213 AACSB: Communication

Skill: Concept Objective: 7-4

65) Ad man Rosser Reeves believes that firms should develop a USP for each brand and stick to it. What does USP stand for?

D) unique selling proposition

Answer: D Diff: 3 Page Ref: 213 AACSB: Communication

Skill: Concept Objective: 7-4

66) A brand difference is worth establishing and promoting to the extent that it satisfies all of the criteria below EXCEPT which one?

C) divisible

Answer: C Diff: 3 Page Ref: 214 Skill: Concept Objective: 7-4

67) You have just created the "perfect" ad. It communicates the full mix of benefits upon which the brand is differentiated and positioned. This full positioning of the brand is called _____.

A) its value proposition

Answer: A Diff: 2 Page Ref: 214 AACSB: Communication

Skill: Concept Objective: 7-4

68) The answer to the customer's question "Why should I buy your brand?" is found in the _____.

C) value proposition

Answer: C Diff: 2 Page Ref: 214 Skill: Concept Objective: 7-4

69) What competitive positioning can attack a more-for-more strategy by introducing a brand offering with comparable quality at a lower price?

A) more-for-the-same

Answer: A Diff: 3 Page Ref: 215 Skill: Concept Objective: 7-4

70) Which positioning strategy offers consumers a "good deal" by offering equivalent-quality products or services at a lower price?

C) same-for-less

Answer: C Diff: 2 Page Ref: 215 Skill: Concept Objective: 7-4

71) "Less-for-much-less" positioning involves meeting consumers' _____.

B) lower quality requirements in exchange for a lower price

Answer: B Diff: 1 Page Ref: 216 Skill: Concept Objective: 7-4

72) Few people can afford the best in everything they buy. At times everyone needs a product with less quality or performance with a correspondingly lower price. In this case a consumer would purchase a product positioned with a _____ strategy.

D) less-for-much-less

Answer: D Diff: 2 Page Ref: 215 Skill: Concept Objective: 7-4

73) Which difficult-to-sustain positioning strategy attempts to deliver the "best-of-both"?

B) more-for-less

Answer: B Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

74) Which type of statement first states the product's membership in a category and then shows its point-of-difference from other members of the category?

D) positioning statement

Answer: D Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

75) What is the following an example of? "To busy, mobile professionals who need to always be in the loop, BlackBerry is a wireless connectivity solution that gives you an easier, more reliable way to stay connected to data, people, and resources while on the go."

A) positioning statement

Answer: A Diff: 2 Page Ref: 216 Skill: Concept Objective: 7-4

76) When marketers at Procter & Gamble selected the Millennials, a demographic that includes college students, as an untapped group of potential customers for their Febreze line of products, they were executing which step in the process of designing a customer-driven marketing strategy?

D) targeting

Answer: D Diff: 1 Page Ref: 191 AACSB: Reflective Thinking

Skill: Application Objective: 7-1

77) When Pacific Fisheries groups its customers as countries by regions such as Asia, Australia, or New Zealand, it is using which segmenting base?

C) geographic location

Answer: C Diff: 1 Page Ref: 193 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

78) When Burger King targets children, teens, adults, and seniors with different ads and media, it is practicing _____ segmentation.

B) age and life cycle

Answer: B Diff: 1 Page Ref: 194 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

79) Which of the following statements illustrates why stereotypes should be avoided when using age and life cycle segmentation?

C) Some 70 year olds use wheelchairs; others play tennis.

Answer: C Diff: 2 Page Ref: 194 AACSB: Analytic Skills

Skill: Application Objective: 7-2

80) Segmenting voters as either democrats or republicans is an example of _____.

A) psychographic segmentation

Answer: A Diff: 3 Page Ref: 196 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

81) At one time Miller Beer was known as the "champagne of bottled beer." Unfortunately, Miller drinkers did not drink much beer. To increase sales, Miller was repositioned to attract the members of the middle working class. This segmentation approach is _____.

E) psychographic

Answer: E Diff: 2 Page Ref: 196 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

82) Your current assignment at York Foods is to find the major benefits people look for in product classes, the kinds of people who look for each benefit, and the major brands that deliver each benefit. What is this segmentation method called?

A) benefit

Answer: A Diff: 1 Page Ref: 196 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

83) Shampoo marketers rate buyers as light, medium, or heavy product users. This is _____ segmentation.

C) usage rate

Answer: C Diff: 1 Page Ref: 197 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

84) MTV targets the world's teenagers, who have similar needs and buying behavior even though they are located in different countries. This is called _____ segmentation.

D) intermarket

Answer: D Diff: 2 Page Ref: 200 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

85) The markets you have chosen to serve in four western states can be effectively reached and served. You would tell the marketing manager that these segments are _____.

B) accessible

Answer: B Diff: 2 Page Ref: 200 AACSB: Reflective Thinking

Skill: Application Objective: 7-2

86) Jolene Enterprises mass produces an all-purpose floor cleaner, mass distributes it and mass promotes it. This firm uses _____ marketing.

B) undifferentiated

Answer: B Diff: 1 Page Ref: 201 AACSB: Reflective Thinking

Skill: Application Objective: 7-3

87) A marketer focuses on several commonalities among all consumers. This marketer appears to be engaging in _____.

B) undifferentiated marketing

Answer: B Diff: 2 Page Ref: 201 AACSB: Analytic Skills

Skill: Application Objective: 7-3

88) Which of the following is the most logical reason for Procter & Gamble offering products that compete with one another on the same supermarket shelves?

C) Different people want different mixes of benefits from the products they buy.

Answer: C Diff: 3 Page Ref: 203 AACSB: Analytic Skills

Skill: Application Objective: 7-3

89) Sanguine Services practices a marketing strategy where its limited resources are used to go after a large share of two small niches. Sanguine practices which one of these strategies?

D) concentrated

Answer: D Diff: 2 Page Ref: 204 AACSB: Reflective Thinking

Skill: Application Objective: 7-3

90) Bob and Phyllis Cords own two retail stores, one in Pottstown and one in Norristown. Though the towns are only 40 miles apart, the consumers at both stores are very different demographically. Bob and Phyllis alter the product offerings between both locations in an effort to cater to both demographic groups. This is an example of _____.

A) local marketing

C) micromarketing

E) A and C

Answer: E Diff: 2 Page Ref: 205 AACSB: Reflective Thinking

Skill: Application Objective: 7-3

91) Jay Bee Promotions tailors its advertising and promotional services to the needs and preferences of individual customers. Which of the following terms does NOT apply to this type of marketing?

D) concentrated

Answer: D Diff: 3 Page Ref: 206 AACSB: Analytic Skills

Skill: Application Objective: 7-3

92) The Jay Group hires better employees than the competition by conducting lengthy searches and interviews. Management also trains employees much better than competitors do. The Jay Group has gained a strong competitive advantage through which type of differentiation?

B) people

Answer: B Diff: 2 Page Ref: 213 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

93) Ford Motor Company emphasizes "Quality First Ford Tough" in its truck products. In doing so, the company has developed a differentiation strategy based on _____.

B) image

Answer: B Diff: 2 Page Ref: 213 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

94) Cheap Heaps Auto specializes in lower quality vehicles, with a few dents, priced a great deal lower than other used cars. Cheap Heaps has chosen to position their products with a _____ strategy.

D) less-for-much-less

Answer: D Diff: 2 Page Ref: 215 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

95) Neiman Marcus claims superior quality, performance, and style. The owners provide the most upscale products and services and charge a higher price to cover the higher costs. What type of positioning does Neiman Marcus use?

B) more-for-more

Answer: B Diff: 1 Page Ref: 215 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

96) When it first opened for business, Home Depot claimed to offer better products at lower prices. This hard-to-sustain value proposition is called _____.

B) more-for-less

Answer: B Diff: 2 Page Ref: 216 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

97) Superior Auto Sales, a chain of high-end used car dealerships, wants to sum up its company positioning and brand positioning in a formal way. Superior's management would use a _____.

D) positioning statement

Answer: D Diff: 2 Page Ref: 216 AACSB: Reflective Thinking

Skill: Application Objective: 7-4

126) Explain the four major steps in designing a customer-driven marketing strategy.

Answer: The first step is market segmentation: dividing a market into smaller groups of buyers with distinct needs, characteristics, or behaviors, who might require separate products or marketing mixes. The company identifies different ways to segment the market and develops profiles of the resulting market segments. The second step is market targeting: evaluating each market segment's attractiveness and selecting one or more of the market segments to enter. The third step is differentiation: actually differentiating the firm's market offering to create a superior customer value. Finally, the last step is market positioning: arranging for a market offering to occupy a clear, distinctive, and desirable place relative to competing products in the minds of consumers.

Diff: 2 Page Ref: 191-192

AACSB: Analytic Skills

Skill: Application

Objective: 7-1

127) Explain the four major segmenting variables for consumer markets.

Answer: Geographic segmentation divides the market into different geographic units, such as nations, regions, states, countries, cities, or neighborhoods. Many companies are localizing their products, advertising, promotion, and sales efforts or are seeking to cultivate as-yet untapped geographic territory. Demographic segmentation divides the market into groups based on variables such as age, gender, family size, family life cycle, income, occupation, education, religion, race, generation, and nationality. These are the most popular factors because they are easy to measure, and consumer needs, wants, and usage rates often vary closely with demographic variables. Psychographic segmentation, on the other hand, divides buyers into different groups based on social class, lifestyle, or personality characteristics. People in the same demographic group can have very different psychographic makeup. Behavioral segmentation divides buyers into groups based on their knowledge, attitudes, uses, or responses to a product. Many marketers believe that behavior variables are the best starting point for building market segments.

Diff: 2 Page Ref: 193

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

128) Describe how marketers use multiple-segmenting bases to their advantage.

Answer: Marketers rarely limit their segmenting analysis to only one or a few variables. Instead, they use multiple segmentation bases in an effort to identify smaller, better-defined target groups of consumers who share likes, dislikes, lifestyles, and purchase behaviors. Companies often begin by segmenting their markets using a single base, and then expand using other bases.

Diff: 2 Page Ref: 198

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

129) Why do businesses segment their markets?

Answer: By going after segments instead of the whole market, companies have a much better chance to deliver value to customers and to receive maximum rewards for close attention to customer needs. Like consumer groups, business buyers can be segmented using geographic, demographic, benefits sought, user status, usage rate, and loyalty status segmentations. Business buyers are also segmented by the variables of operating characteristics, purchasing approaches, situational factors, and personal characteristics.

Diff: 2 Page Ref: 198

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

130) Why do international markets need to be segmented?

Answer: Few companies have either the resources or the will to operate in all, or even most, of the countries that dot the globe. Different countries, even those that are close together, can vary greatly in their economic, cultural, technological, and political makeup. International firms need to group their world markets into segments with distinctive buying needs and behaviors.

Diff: 1 Page Ref: 199

AACSB: Multicultural and Diversity

Skill: Application

Objective: 7-2

131) Imagine that you are presenting a workshop on the Requirements for Effective Segmentation. Briefly describe the five items that will help your audience understand your topic.

Answer: The size, purchasing power, and profiles of the segments must be measurable. The major problem may be that the segment will be hard to identify and measure. The market segments must be accessible; that is they can be effectively reached and served. The segment must be substantial or large/profitable enough to serve. It should be the largest possible homogeneous group worth pursuing with a tailored marketing program. To be differentiable, the segments need to be conceptually distinguishable and respond differently to different marketing mix elements and programs. Finally, the segment must be actionable, meaning that effective programs can be designed for attracting and serving consumers who make up the segment.

Diff: 3 Page Ref: 200-201

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

132) Explain how companies identify attractive market segments and choose a target marketing strategy.

Answer: To target the best market segments, the company first evaluates each segment's size and growth characteristics, structural attractiveness, and compatibility with company objectives and resources. It then chooses one of four marketing strategies—ranging from very broad to very narrow targeting. The seller can ignore segment differences and target broadly using undifferentiated marketing. This involves mass-producing, mass-distributing, and mass-promoting nearly the same product in about the same way to all consumers. Or the seller can adopt differentiated marketing—developing different market offers for several segments. Concentrated marketing involves focusing on only one or a few market segments. Finally, micromarketing is the practice of tailoring products and marketing programs to suit the tastes of specific individuals and locations. Micromarketing includes local marketing and individual marketing. Which targeting strategy is best depends on company resources, product variability, product life cycle stage, market variability, and competitive marketing strategies.

Diff: 3 Page Ref: 201

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

133) Compare and contrast four major segmenting strategies.

Answer: An undifferentiated marketing strategy ignores market segment differences and targets the whole market with one offer. This mass-marketing strategy focuses on what is common in the needs of consumers rather than what is different. In contrast, a differentiated strategy targets several market segments and designs separate offers for each. Companies hope for higher sales and a stronger position within each market segment. Concentrated or niche marketing goes after a large share of one or a few segments or niches instead of going after a share of a large market. These niches may be overlooked by or unimportant to other marketers. Niching offers smaller companies an opportunity to compete by focusing their limited resources more effectively. Using micromarketing, a company can tailor products and marketing programs to suit the tastes of specific individuals and locations. It includes local and individual marketing.

Diff: 2 Page Ref: 201-207

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

134) In what ways might a marketer engage in socially responsible target marketing?

Answer: Socially responsible marketers work to avoid purposefully targeting vulnerable or disadvantaged consumers with controversial or potentially harmful products. In addition, marketers may reconsider the marketing of adult products that may spill over into the child segment—either intentionally or unintentionally; primary examples include beer, cigarettes, and fast food. The growth of the Internet has also presented potential problems—namely that makers of questionable products or deceptive advertisers may more readily victimize the most vulnerable audiences. Marketers can avoid becoming involved in these harmful situations as they attempt to reach vast numbers of consumers with such precise, refined targeting strategies.

Diff: 1 Page Ref: 208

AACSB: Ethical Reasoning

Skill: Application

Objective: 7-3

135) Explain the concept of positioning for competitive advantage.

Answer: A product's position is the way the product is defined by consumers on important attributes—the place the product occupies in consumers' minds relative to competing products. Positioning involves implanting the brand's unique benefits and differentiation in customers' minds. To carry out effective positioning, a company must identify a set of possible competitive advantages upon which to build a problem, choose the right competitive advantages, and select an overall positioning strategy. The company must then effectively communicate and deliver the chosen position to the market.

Diff: 3 Page Ref: 209

AACSB: Analytic Skills

Skill: Application

Objective: 7-4

136) Why do marketers segment the market?

Answer: Marketers divide heterogeneous markets into smaller groups that can be reached more efficiently with products and services that match their unique tastes; firms focus on buyers it can serve best and most profitably.

Diff: 1 Page Ref: 192

AACSB: Analytic Skills

Skill: Application

Objective: 7-1

137) When might be the best time for a marketer to use geographic segmentation?

Answer: Geographic segmentation may be especially profitable when consumers in different regions, states, counties, and so forth have different buying behaviors and product or service preferences.

Diff: 1 Page Ref: 193

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

138) Why might demographic segmentation be the most common type of segmentation?

Answer: Demographic segmentation is often based on observable features, making demographic segmentation easier than other types.

Diff: 2 Page Ref: 194

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

139) Why must marketers guard against stereotypes when using age and life cycle segmentation?

Answer: Not all consumers in the same age and life cycle categories share the same abilities and interests; some 40-year-olds may have more in common with typical 20-year-olds, for example, than with other 40-year-olds.

Diff: 2 Page Ref: 194

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

140) If Kool-Aid promotes a year-round campaign that "Kool-Aid isn't just a summertime drink," what type of segmentation is being used?

Answer: Occasion segmentation is being used in this scenario.

Diff: 3 Page Ref: 196

AACSB: Reflective Thinking

Skill: Application

Objective: 7-2

141) What is one way in which a marketer can attract nonloyal consumers?

Answer: Marketers can attract nonloyal consumers by putting the brand on sale or by altering price.

Diff: 2 Page Ref: 198

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

142) How might a marketer benefit most from using PRIZM NE?

Answer: People and locations can be segmented into marketable groups of like-minded consumers, so marketers can more closely tailor their efforts to their target.

Diff: 3 Page Ref: 198

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

143) List three variables not applicable to the consumer market that may be used to segment business markets.

Answer: Operating characteristics, purchasing approaches, situational factors, and personal characteristics can all be used to segment business markets but not consumer markets.

Diff: 2 Page Ref: 198

AACSB: Analytic Skills

Skill: Application

Objective: 7-2

144) What factors may impact segment attractiveness?

Answer: The number of competitors, substitute products, power of buyers, and powerful suppliers may impact segment attractiveness.

Diff: 2 Page Ref: 201

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

145) What is one major assumption made by marketers who choose to use an undifferentiated marketing strategy?

Answer: Such marketers assume that all consumers share something in common, regardless of how different the consumers may be.

Diff: 2 Page Ref: 201

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

146) XYZ Computers, Inc., a business with limited resources, is a market nicher. How might XYZ benefit from this?

Answer: XYZ Computers will have an opportunity to compete by focusing its limited resources on serving niches that may be unimportant to or overlooked by larger competitors.

Diff: 2 Page Ref: 204

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

147) BMW allows customers to design their own vehicle from a set of options at BMW's Web site. What is this called?

Answer: This is mass customization.

Diff: 2 Page Ref: 206

AACSB: Reflective Thinking

Skill: Application

Objective: 7-3

148) Explain how market variability impacts the choice of a target-marketing strategy.

Answer: If most buyers have the same tastes, buy the same amounts, and react the same way to marketing efforts, undifferentiated marketing may be appropriate, for example.

Diff: 3 Page Ref: 207

AACSB: Analytic Skills

Skill: Application

Objective: 7-3

149) Why might a marketer of laundry detergent be interested in viewing a perceptual positioning map?

Answer: Perceptual positioning maps show consumer perceptions of their brands versus competing products on important buying dimensions. Laundry detergent, for example, may be placed on a perceptual map based on price and cleaning power; this allows a marketer to view how consumers perceive their product with respect to others' products along those dimensions.

Diff: 3 Page Ref: 209

AACSB: Analytic Skills

Skill: Application

Objective: 7-4

150) In what ways might a marketer be able to gain competitive advantage through channel differentiation?

Answer: Firms that practice channel differentiation gain competitive advantage through the way they design their channel's coverage, expertise, and performance. Such factors as the level of customer service, speed of delivery, packaging, transportation type, and so on may play a role in channel differentiation.

Diff: 2 Page Ref: 213

AACSB: Analytic Skills

Skill: Application

Objective: 7-4

Chapter 8 Product, Services, and Branding Strategies: Building Customer Value

- 1) We define a _____ as anything that can be offered to a market for attention, acquisition, use, or consumption and that might satisfy a want or need.

D) product

Answer: D Diff: 1 Page Ref: 224 AACSB: Communication

Skill: Concept Objective: 8-1

- 2) _____ are a form of product that consists of activities, benefits, or satisfactions offered for sale that are essentially intangible and do not result in the ownership of anything.

B) Services

Answer: B Diff: 1 Page Ref: 224 AACSB: Communication

Skill: Concept Objective: 8-1

- 3) A product is a key element in the _____. At one extreme, it may consist of pure tangible goods or at the other extreme, pure services.

A) market offering

Answer: A Diff: 1 Page Ref: 224 AACSB: Communication

Skill: Concept Objective: 8-1

- 4) To differentiate themselves, many companies are going beyond products and services, they are developing and delivering customer _____.

B) experiences

Answer: B Diff: 2 Page Ref: 224 AACSB: Communication

Skill: Concept Objective: 8-1

- 5) Product planners need to consider products and services on three levels. Each level adds more customer value. The most basic level is the _____, which addresses the question, "What is the buyer really buying?"

C) core customer value

Answer: C Diff: 2 Page Ref: 225 AACSB: Communication

Skill: Concept Objective: 8-1

- 6) The third level of a product that product planners must consider is a(n) _____ around the core benefit and actual product that offers additional consumer services and benefits.

B) augmented product

Answer: B Diff: 2 Page Ref: 225 AACSB: Communication

Skill: Concept Objective: 8-1

- 7) Product planners must design the actual product and find ways to _____ it in order to create the bundle of benefits that will provide the most satisfying customer experience.

D) augment

Answer: D Diff: 3 Page Ref: 225 AACSB: Communication

Skill: Concept Objective: 8-1

- 8) Products and services fall into two broad classifications based on the types of consumers that use them. Which is one of these broad classes?

A) industrial products

Answer: A Diff: 2 Page Ref: 226 Skill: Concept Objective: 8-1

- 9) _____ are products and services bought by final consumers for personal consumption. These include convenience products, shopping products, specialty products, and unsought products.

B) Consumer products

Answer: B Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

- 10) _____ are less frequently purchased consumer products and services that customers compare carefully on suitability, quality, price, and style. Consumers spend much time and effort in gathering information and making comparisons about these products.

A) Shopping products

Answer: A Diff: 2 Page Ref: 226 Skill: Concept Objective: 8-1

- 11) _____ are consumer products and services with unique characteristics or brand identification for which a significant group of buyers is willing to make a special purchase effort.

C) Specialty products

Answer: C Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

- 12) _____ are consumer products that the consumer either does not know about or knows about but does not normally think about buying. These products require a lot of advertising, personal selling, and other marketing efforts.

C) Unsought products

Answer: C Diff: 1 Page Ref: 226 Skill: Concept Objective: 8-1

- 13) _____ are those products purchased for further processing or for use in conducting a business.

D) Industrial products

Answer: D Diff: 1 Page Ref: 227 Skill: Concept Objective: 8-1

- 14) Most manufactured materials and parts are sold directly to _____. Price and service are the major marketing factors; branding and advertising tend to be less important.

B) industrial users

Answer: B Diff: 2 Page Ref: 227 Skill: Concept Objective: 8-1

- 15) _____ are industrial products that aid in the buyer's production or operations, including installations and accessory equipment.

C) Capital items

Answer: C Diff: 2 Page Ref: 227 Skill: Concept Objective: 8-1

- 16) _____ consists of activities undertaken to create, maintain, or change the attitudes and behavior of target consumers toward an organization.

B) Organization marketing

**Answer: B Diff: 2 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1**

- 17) _____ consists of activities undertaken to create, maintain, or change attitudes toward particular people.

B) Person marketing

**Answer: B Diff: 1 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1**

- 18) _____ involves activities undertaken to create, maintain, or change attitudes toward particular cities, states, and regions.

B) Place marketing

**Answer: B Diff: 1 Page Ref: 228 AACSB: Communication
Skill: Concept Objective: 8-1**

- 19) _____ is defined as the use of commercial marketing concepts and tools in programs designed to influence individuals' behavior to improve their well being and that of society.

C) Social marketing

**Answer: C Diff: 1 Page Ref: 229 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-1**

- 20) Public health campaigns to reduce alcoholism, drug abuse, smoking, and obesity are all examples of _____.

B) social marketing

**Answer: B Diff: 2 Page Ref: 229 AACSB: Ethical Reasoning
Skill: Concept Objective: 8-1**

21) Developing a product or service involves defining the benefits that it will offer. These benefits are communicated and delivered by _____ such as quality, features, and style and design.

B) product attributes

Answer: B Diff: 3 Page Ref: 229 AACSB: Communication

Skill: Concept Objective: 8-2

22) _____ is one of the marketer's major positioning tools because it has a direct impact on product or service performance; it is therefore closely linked to customer value and satisfaction.

B) Product quality

Answer: B Diff: 2 Page Ref: 229 AACSB: Communication

Skill: Concept Objective: 8-2

23) _____ is an approach in which all the company's people are involved in constantly improving the products, services, and business processes.

C) Total quality management

Answer: C Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

24) What are the two dimensions of product quality?

A) consistency and level

Answer: A Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

25) Which of the following types of quality refers to freedom from defects and consistency in delivering a targeted level of performance?

D) conformance

Answer: D Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

26) A stripped-down model without any extras is the starting point; a company can create a higher-level model by adding _____.

B) features

Answer: B Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

27) In assessing which new features to add to a product, a company must weigh each feature's _____ to customers versus its _____ to the company.

C) value; cost

Answer: C Diff: 3 Page Ref: 230 Skill: Concept Objective: 8-2

28) A sensational _____ may grab attention and produce pleasing aesthetics, but it does not necessarily improve a product's performance.

B) style

Answer: B Diff: 2 Page Ref: 230 AACSB: Communication

Skill: Concept Objective: 8-2

29) _____ contributes to a product's usefulness as well as to its looks.

B) Design

Answer: B Diff: 2 Page Ref: 230 Skill: Concept Objective: 8-2

30) A(n) _____ is a name, term, sign, symbol, design, or a combination of these, that identifies the maker or seller of a product or service.

B) brand

Answer: B Diff: 1 Page Ref: 231 AACSB: Communication

Skill: Concept Objective: 8-2

31) _____ involves designing and producing the container or wrapper for a product.

A) Packaging

Answer: A Diff: 1 Page Ref: 231 Skill: Concept Objective: 8-2

32) In recent years, product safety and environmental responsibility have become major _____ concerns.

B) packaging

Answer: B Diff: 2 Page Ref: 232 AACSB: Ethical Reasoning

Skill: Concept Objective: 8-2

33) At the very least, the _____ identifies the product or brand. It might also describe several things about the product and promote the brand.

C) label

Answer: C Diff: 1 Page Ref: 232 AACSB: Communication

Skill: Concept Objective: 8-2

34) The _____ requires sellers to provide detailed nutritional information on food products.

B) Nutritional Labeling and Educational Act of 1990

Answer: B Diff: 3 Page Ref: 233 AACSB: Ethical Reasoning

Skill: Concept Objective: 8-2

35) _____ has been affected by the need to include unit pricing, open dating, and nutritional information.

C) Labeling

Answer: C Diff: 2 Page Ref: 233 AACSB: Communication

Skill: Concept Objective: 8-2

36) Many companies now use a combination of phone, e-mail, fax, Internet, and other technologies to provide _____ .

C) support services

Answer: C Diff: 2 Page Ref: 233 AACSB: Use of IT

Skill: Concept Objective: 8-2

37) A _____ is a group of products that are closely related because they function in a similar manner, are sold to the same customer groups, are marketed through the same type of outlets, or fall within given price ranges.

A) product line

Answer: A Diff: 2 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

38) The major product line decision involves _____.

D) product line length

Answer: D Diff: 3 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

39) Berkowitz Piano Company can expand its product line in one of two common ways. Which of the following is one of those ways?

B) line filling

Answer: B Diff: 2 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

40) An alternative to product line stretching is _____, adding more items within the present range of the line.

C) product line filling

Answer: C Diff: 2 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

41) When a company lengthens its product line beyond its current range, it is _____.

B) product line stretching

Answer: B Diff: 2 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

42) A _____ consists of all the product lines and items that a particular seller offers for sale.

A) product mix

Answer: A Diff: 1 Page Ref: 234 AACSB: Communication

Skill: Concept Objective: 8-2

43) Product mix _____ refers to the number of different product lines the company carries. Procter & Gamble markets 250 brands organized into many product lines.

C) width

Answer: C Diff: 2 Page Ref: 235 AACSB: Communication

Skill: Concept Objective: 8-2

44) Product mix _____ refers to the number of versions offered of each product in the line. Crest toothpaste comes in 13 varieties, ranging from Crest Multicare to Crest Baking Soda formulations.

B) depth

Answer: B Diff: 3 Page Ref: 235 AACSB: Communication

Skill: Concept Objective: 8-2

45) The _____ of the product mix refers to how closely related the various product lines are in end use, production requirements, distribution channels, or some other way.

C) consistency

Answer: C Diff: 3 Page Ref: 235 AACSB: Communication

Skill: Concept Objective: 8-2

46) A company can increase its business in four ways. Which is NOT one of these ways?

D) It can discontinue some of its lines.

Answer: D Diff: 1 Page Ref: 235 AACSB: Communication

Skill: Concept Objective: 8-2

47) Some analysts see _____ as the major enduring asset of a company, outlasting the company's specific products and facilities.

A) brands

Answer: A Diff: 1 Page Ref: 235 AACSB: Communication

Skill: Concept Objective: 8-3

48) A key element in a company's relationship with consumers, a _____ represents consumers' perceptions and feelings about a product and its performance.

C) brand

Answer: C Diff: 2 Page Ref: 236 AACSB: Communication

Skill: Concept Objective: 8-3

49) Which of the following is NOT one of the four consumer perception dimensions used by ad agency Young & Rubicam to measure brand strength?

C) brand valuation

Answer: C Diff: 3 Page Ref: 236 AACSB: Communication

Skill: Concept Objective: 8-3

50) The total financial value of a brand is estimated through the process of brand _____.

B) valuation

Answer: B Diff: 2 Page Ref: 236 AACSB: Communication

Skill: Concept Objective: 8-3

51) The fundamental asset underlying brand equity is _____--the value of the customer relationships that the brand creates. A powerful brand is important, but what it really represents is a set of loyal consumers.

B) customer equity

Answer: B Diff: 3 Page Ref: 238 AACSB: Communication

Skill: Concept Objective: 8-3

52) Which of the following is the lowest level on which marketers can position their brands in target customers' minds?

C) product attributes

Answer: C Diff: 3 Page Ref: 238 AACSB: Communication

Skill: Concept Objective: 8-3

53) The strongest brands go beyond attributes or benefit positioning; they are positioned on _____.

D) strong beliefs and values

Answer: D Diff: 2 Page Ref: 239 AACSB: Communication

Skill: Concept Objective: 8-3

54) Which of the following is NOT a desirable quality for a brand name?

C) The brand should almost always be a long word to get attention.

Answer: C Diff: 2 Page Ref: 239 AACSB: Communication

Skill: Concept Objective: 8-3

55) All of the following are a manufacturer's sponsorship options for a product EXCEPT _____.

B) multibrands

Answer: B Diff: 2 Page Ref: 240 Skill: Concept Objective: 8-3

56) In the competition between _____ and _____ brands, retailers have the advantages of controlling what products will be stocked, where products will be stocked, what prices will be charged, and which products will be featured in print promotions.

C) national; private

Answer: C Diff: 2 Page Ref: 241 Skill: Concept Objective: 8-3

57) An increasing number of retailers and wholesalers have created their own _____, also called store brands.

B) private brands

Answer: B Diff: 1 Page Ref: 240 Skill: Concept Objective: 8-3

58) For a fee, some companies _____ names or symbols previously created by other manufacturers, names of well-known celebrities, and/or characters from popular movies and books, any of which can provide an instant and proven brand name.

E) license

**Answer: E Diff: 2 Page Ref: 241 AACSB: Communication
Skill: Concept Objective: 8-3**

59) _____ occurs when two established brand names of different companies are used on the same product.

C) Co-branding

**Answer: C Diff: 2 Page Ref: 241 AACSB: Communication
Skill: Concept Objective: 8-3**

60) In most _____ situations, one company licenses another company's well-known brand to use in combination with its own.

C) co-branding

Answer: C Diff: 2 Page Ref: 242 Skill: Concept Objective: 8-3

61) Which of the following is an advantage offered by co-branding?

C) A company can expand its existing brand into a category it otherwise might have difficulty entering alone.

Answer: C Diff: 2 Page Ref: 242 Skill: Concept Objective: 8-3

62) A company has four choices when it comes to developing brands. What is NOT one of those choices?

D) width and depth extension

Answer: D Diff: 3 Page Ref: 242 Skill: Concept Objective: 8-3

63) _____ occur(s) when a company introduces additional items in a given product category under the same brand name, such as new flavors, forms, colors, ingredients, or package sizes.

A) Line extension

Answer: A Diff: 3 Page Ref: 242 Skill: Concept Objective: 8-3

64) A _____ involves the use of a successful brand name to launch new or modified products in a new category.

C) brand extension

Answer: C Diff: 1 Page Ref: 243 Skill: Concept Objective: 8-3

65) Which of the following is a potential drawback of multibranding?

D) The company's resources may be spread over too many brands.

Answer: D Diff: 3 Page Ref: 243 Skill: Concept Objective: 8-3

66) Which strategy involves weeding out weaker brands and focusing marketing dollars only on brands that can achieve the number-one or number-two market share positions in their categories?

A) megabrand

Answer: A Diff: 2 Page Ref: 243 Skill: Concept Objective: 8-3

67) Major brand marketers often spend huge amounts on advertising to create brand _____ and to build preference and loyalty.

B) awareness

Answer: B Diff: 2 Page Ref: 244 AACSB: Communication

Skill: Concept Objective: 8-3

68) While advertising campaigns can help to create name recognition, brand knowledge, and maybe even some brand preference, brands are not maintained by advertising but by _____.

C) brand experience

Answer: C Diff: 2 Page Ref: 244 AACSB: Communication

Skill: Concept Objective: 8-3

69) Service providers must consider four special characteristics when designing marketing programs. Which is NOT one of these characteristics?

D) interactive marketing

Answer: D Diff: 3 Page Ref: 244 Skill: Concept Objective: 8-4

70) _____ means that services cannot be seen, tasted, felt, heard, or smelled before they are bought.

C) Service intangibility

Answer: C Diff: 2 Page Ref: 245 Skill: Concept Objective: 8-4

71) _____ means that services cannot be separated from their providers, whether the providers are people or machines.

B) Service inseparability

Answer: B Diff: 1 Page Ref: 245 Skill: Concept Objective: 8-4

72) Which of the following is NOT one of the links in the service-profit chain, linking service firm profits with employee and customer satisfaction?

B) evidence management

Answer: B Diff: 3 Page Ref: 246 Skill: Concept Objective: 8-4

73) Through _____, the service firm trains and motivates its customer-contact employees and supporting service people to work as a team to provide customer satisfaction.

D) internal marketing

Answer: D Diff: 2 Page Ref: 247 Skill: Concept Objective: 8-4

74) Because service quality depends on the quality of buyer-seller interaction during the service encounter, service marketers use _____ to train employees in the art of interacting with customers to satisfy their needs.

A) interactive marketing

Answer: A Diff: 2 Page Ref: 247 Skill: Concept Objective: 8-4

75) All of the following are methods for developing a differentiated service offer, delivery, or image EXCEPT _____.

B) increasing the quantity of service by giving up some quality

Answer: B Diff: 2 Page Ref: 248 Skill: Concept Objective: 8-4

76) When the Twin Six Cafe provides gourmet menu options to its customers, as well as impeccable service which even allows customers to hand-select their own cuts of meat _____ is(are) are evident.

E) a core benefit, an actual product, and an augmented product

Answer: E Diff: 3 Page Ref: 225 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

77) A hickory rocking chair, handmade by an Amish woodcarver in Lancaster, Pennsylvania, from locally grown wood is an example of a(n) _____.

C) specialty product

Answer: C Diff: 2 Page Ref: 226 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

78) You have an upset stomach. Your spouse rushes to the corner convenience store for a bottle of Pepto-Bismol. This product is a(n) _____ product.

A) convenience

Answer: A Diff: 2 Page Ref: 226 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

79) Mabel Lu is planning to buy a new washing machine. She notices that they come in numerous price ranges. She wants to make sure she gets the most for her money. This product is a(n) _____ product.

D) shopping

Answer: D Diff: 2 Page Ref: 226 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

80) Which of the following does NOT belong to the materials and parts group of industrial products?

C) repair and maintenance items

Answer: C Diff: 1 Page Ref: 227 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

81) Which of the following capital items is NOT considered accessory equipment?

A) buildings

Answer: A Diff: 1 Page Ref: 227 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

82) Paper, pencils, lubricants, paint, nails, and brooms are examples of _____.

A) supplies

Answer: A Diff: 1 Page Ref: 227 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

83) General Electric's campaign stating, "We bring good things to life" is an example of _____.

B) corporate image marketing

Answer: B Diff: 2 Page Ref: 228 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

84) "I love New York" is an example of _____.

E) place marketing

Answer: E Diff: 2 Page Ref: 228 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

85) The Ad Council of America has developed dozens of _____ marketing campaigns, including classics such as "Smokey the Bear," "Keep America Beautiful," and "Only You Can Prevent Forest Fires."

A) social

Answer: A Diff: 1 Page Ref: 229 AACSB: Reflective Thinking

Skill: Application Objective: 8-1

86) To achieve their social change objectives, social marketing programs _____.

C) work to influence individuals' behavior to improve their well-being

D) utilize all of the Ps in the marketing mix

E) C and D

Answer: E Diff: 3 Page Ref: 229 AACSB: Analytic Skills

Skill: Application Objective: 8-1

87) Which of the following is the most important for product designers to consider as they develop a product?

D) how customers will use and benefit from the product

Answer: D Diff: 3 Page Ref: 231 AACSB: Analytic Skills

Skill: Application Objective: 8-2

88) Helene Curtis began to market shampoo for normal hair. In an attempt to increase profits and use excess market capacity, Helene Curtis then marketed shampoo for oily hair and color-treated hair. This is an example of _____.

A) line filling

Answer: A Diff: 3 Page Ref: 234 AACSB: Reflective Thinking

Skill: Application Objective: 8-2

89) Which of the following is(are) examples of product line depth?

A) hamburger and cheeseburger

C) Coke and Diet Coke

D) A and C

Answer: D Diff: 3 Page Ref: 235 AACSB: Reflective Thinking

Skill: Application Objective: 8-2

90) Chicken of the Sea brand tuna sells more than the same size Kroger brand tuna, even though the Kroger tuna costs \$0.15 less per can. Chicken of the Sea has brand _____.

B) equity

Answer: B Diff: 2 Page Ref: 236 AACSB: Reflective Thinking

Skill: Application Objective: 8-3

91) A manager of a Holiday Inn said, "We have power and value in the market and people are willing to pay for it." This manager is referring to _____.

C) brand equity

Answer: C Diff: 2 Page Ref: 236 AACSB: Reflective Thinking

Skill: Application Objective: 8-3

92) Costco's Kirkland products are an example of a(n) _____.

C) private brand

Answer: C Diff: 2 Page Ref: 240 AACSB: Reflective Thinking

Skill: Application Objective: 8-3

93) An apparel marketer is planning to launch an existing brand name into a new product category. Which brand development strategy is being implemented?

B) brand extension

Answer: B Diff: 2 Page Ref: 243 AACSB: Reflective Thinking

Skill: Application Objective: 8-3

94) Each new iPod product introduction advances the causes of democratizing technology and approachable innovation. iPod, an expert at fostering customer community, has been ranked one of the Breakaway Brands by the brand consultancy Landor Associates. iPod is positioned on _____.

E) beliefs and values

Answer: E Diff: 2 Page Ref: 239 AACSB: Reflective Thinking

Skill: Application Objective: 8-3

95) Manor Plaza Barber's customers have noticed that the quality of a haircut depends on who provides it as well as when, where, and how it is provided. What have the customers noticed?

C) service variability

Answer: C Diff: 2 Page Ref: 245 AACSB: Reflective Thinking

Skill: Application Objective: 8-4

96) The impossibility of a barber storing haircuts for later sale is an example of which of the following?

D) service perishability

Answer: D Diff: 2 Page Ref: 246 AACSB: Reflective Thinking

Skill: Application Objective: 8-4

97) Gina's Nail Salon is serious about pleasing its customers. Employees are trained to immediately and pleasantly respond to any customer complaints, and they are empowered to offer discounts and free add-ons to customers who believe they have received anything less than the best service. Gina's Nail Salon focuses on _____.

B) good service recovery

Answer: B Diff: 1 Page Ref: 249 AACSB: Reflective Thinking

Skill: Application Objective: 8-4

124) Customer retention is perhaps the best measure of quality—a service firm's ability to hang on to its customers depends on how consistently it delivers value to them.

Answer: TRUE

Diff: 2 Page Ref: 248

Skill: Concept

Objective: 8-4

125) Good service recovery can turn angry customers into loyal customers and can even win more customer purchasing and loyalty than if no problem had occurred in the first place.

Answer: FALSE

Diff: 2 Page Ref: 249

Skill: Concept

Objective: 8-4

126) Products and services fall into two broad classes based on the types of consumers that use them. Name these two broad classes and describe how they are different from each other.

Answer: The two broad classes are consumer products and industrial products. Consumer products and services—those bought by final consumers—are usually classified according to consumer shopping habits. Consumer products include convenience products, shopping products, specialty products, and unsought products. Industrial products are distinguished from consumer products by the purpose for which they were purchased. Industrial products are those that are purchased for further processing or for use in conducting a business. These products include the three broad categories of materials and parts, capital items, and supplies and services.

Diff: 2 Page Ref: 226-227

AACSB: Analytic Skills

Skill: Application

Objective: 8-1

127) Name and describe three decisions that companies make regarding their individual products and services.

Answer: Decisions to be made in the development and marketing of individual products and services include 1) product attributes, 2) branding, 3) packaging, 4) labeling, and 5) product support services. Product attribute decisions involve product quality, features, and style and design. Branding decisions include selecting a brand name and developing a brand strategy. Packaging involves designing and producing a product's container; packaging provides many key benefits, such as protection, economy, convenience, and promotion. Labeling identifies the product and may describe and promote the product and brand. Companies must also make a decision about product support services, which are usually a minor or major part of a market offering.

Diff: 1 Page Ref: 229

AACSB: Communication

Skill: Application

Objective: 8-2

128) Describe the role of packaging.

Answer: Packaging involves designing and producing the container or wrapper for a product. Packaging contains and protects the product, but it also is used to attract customer attention, to describe the product, and to make the sale. Innovative packaging may give a company an edge over competitors.

Diff: 1 Page Ref: 231

AACSB: Communication

Skill: Application

Objective: 8-2

129) Explain the history of legal concerns about packaging and labels.

Answer: The Federal Trade Commission Act of 1914 held that false, misleading, or deceptive labels or packages constitute unfair competition. Labels can mislead consumers, fail to describe important ingredients, or fail to include needed safety warnings. To address this problem, several federal and state laws regulate labeling. The Fair Packaging and Labeling Act of 1966, for example, set mandatory labeling requirements, encouraged voluntary industry packaging standards, and allowed federal agencies to set packaging regulations in specific industries. The Nutritional Labeling and Education Act of 1990 requires sellers to provide detailed nutritional information on food products; the Food and Drug Administration regulates the use of health-related terms such as low-fat, light, and high-fiber.

Diff: 3 Page Ref: 233

AACSB: Ethical Reasoning

Skill: Application

Objective: 8-2

130) Compare product mix width, length, consistency, and depth.

Answer: Product mix width refers to the number of different product lines the company carries; product length refers to the total number of products carried in a company's product lines. Consistency refers to how closely related the various product lines are in end use. Product depth refers to the number of versions offered of each product in the line.

Diff: 2 Page Ref: 235

AACSB: Analytic Skills

Skill: Application

Objective: 8-2

131) A manufacturer has four brand sponsorship options. Describe what they are.

Answer: A manufacturer can launch its own brand (manufacturer's brand or national brand). It can sell to resellers who give the product a private brand (or store brand). It can market licensed brands, using names or symbols created by other manufacturers, names of celebrities, or characters from popular movies or television. Finally, a manufacturer can join forces with another company to co-brand a product.

Diff: 2 Page Ref: 240

AACSB: Communication

Skill: Application

Objective: 8-3

132) A company has four choices when it comes to developing brands. Describe what they are.
Answer: The company can introduce line extensions, brand extensions, multibrands, or entirely new brands. A line extension involves extending a current brand name to new forms, colors, sizes, flavors, etc. in one of the company's existing product categories. In contrast, a brand extension extends a current brand name to a new or modified product in a new product category. Multibranding involves introducing several brands within the same category. Finally a company may decide that a new brand name is needed, particularly if the power of an existing brand name is declining or the company is entering a new product category.

Diff: 2 Page Ref: 242

AACSB: Communication

Skill: Application

Objective: 8-3

133) Services are characterized by four key characteristics. Name and describe these four characteristics.

Answer: The four service characteristics are intangibility, inseparability, variability, and perishability. Services are intangible: they cannot be seen, tasted, felt, heard, or smelled before they are bought. Services are inseparable: they are produced and consumed at the same time and cannot be separated from their providers, whether the providers are people or machines. Services are variable: their quality may vary greatly, depending on who provides them and when, where, and how they are provided. Services are perishable: they cannot be stored for later sale or use.

Diff: 2 Page Ref: 245

AACSB: Analytic Skills

Skill: Application

Objective: 8-4

134) Good service companies focus attention on both customers and employees. Describe what the service-profit chain and internal marketing are, and how they differ from each other.

Answer: The service-profit chain links service firm profits with employee and customer satisfaction. The links in the service-profit chain are as follows: internal service quality leads to satisfied and productive employees, who create greater service value, which leads to satisfied and loyal customers, who create healthy service profits and growth. Internal marketing by a service firm refers to training and effectively motivating its customer-contact employees and all the supporting service people to work as a team to provide customer satisfaction. The service-profit chain deals with employees and customers. Internal marketing deals with training employees.

Diff: 3 Page Ref: 246

AACSB: Communication

Skill: Application

Objective: 8-4

135) How can service providers use a differentiated offer, delivery, and image to avoid competing solely on price?

Answer: A service offer can include innovative features that differentiate the company's offers from competitors. Service delivery can be differentiated by hiring and training more reliable customer-contact people, developing a superior physical environment in which the service is delivered, and designing a superior delivery process. Services can also be differentiated through symbols and branding, creating an image that sets a company's services apart from competitors'.

Diff: 2 Page Ref: 248

AACSB: Analytic Skills

Skill: Application

Objective: 8-4

136) Give an example of the most basic level of product, the core benefit.

Answer: Examples are numerous. A salon owner, providing similar services of a day spa, may focus on "pampering yourself in total relaxation."

Diff: 2 Page Ref: 225

AACSB: Reflective Thinking

Skill: Application

Objective: 8-1

137) Give examples of the second level of product, the actual product.

Answer: A salon owner may market hair- and nail-care products and services, full- and partial-body massages, workout equipment and training, and social activities, and so forth.

Diff: 1 Page Ref: 225

AACSB: Analytic Skills

Skill: Application

Objective: 8-1

138) Give an example of an augmented product.

Answer: Examples will vary. An augmented product may include the customer of a salon having the option of having most of the services performed in the privacy and solitude of his or her home.

Diff: 2 Page Ref: 225

AACSB: Reflective Thinking

Skill: Application

Objective: 8-1

139) Give three examples of convenience products.

Answer: Examples may include soft drinks, milk, and candy.

Diff: 1 Page Ref: 226

AACSB: Reflective Thinking

Skill: Application

Objective: 8-1

140) Give three examples of shopping products.

Answer: Examples may include washing machines, lawn mowers, and furniture.

Diff: 1 Page Ref: 226

AACSB: Reflective Thinking

Skill: Application

Objective: 8-1

141) Give three examples of specialty products.

Answer: Examples may include a Rolex watch, a Jaguar sports car, or an around-the-world cruise.

Diff: 1 Page Ref: 226

AACSB: Reflective Thinking

Skill: Application

Objective: 8-1

142) What do industrial supplies and consumer convenience products have in common? How do they differ?

Answer: Industrial supplies are purchased for further use in conducting a business, while convenience products are purchased by final consumers for personal consumption; both types of products are usually purchased with a minimum of effort or comparison.

Diff: 3 Page Ref: 227

AACSB: Analytic Skills

Skill: Application

Objective: 8-1

143) How does a brand name add value to a product?

Answer: Quality and consistency can be identified through a brand; experience with or knowledge of another's experience with a brand helps a buyer know what features, benefits, and quality to expect from a product.

Diff: 2 Page Ref: 231

AACSB: Analytic Skills

Skill: Application

Objective: 8-2

144) How might a flower shop engage in line stretching?

Answer: A flower shop may offer single-stem, fresh-cut flowers, sold individually, small arrangements, bouquets, or large ceremonial sprays; with line stretching, the flower shop will offer a wide array of products geared toward all types of flower buyers.

Diff: 3 Page Ref: 234

AACSB: Analytic Skills

Skill: Application

Objective: 8-2

145) Why might a company pursue a strategy of less product line consistency?

Answer: A company might want to increase its business by building a reputation in several product fields.

Diff: 2 Page Ref: 235

AACSB: Analytic Skills

Skill: Application

Objective: 8-2

146) Consumers form relationships with products via brands. What might happen that allows a consumer to move from merely recognizing a brand to preferring a brand?

Answer: A consumer has likely tried the brand at least once in order to prefer it over others; or, perhaps the consumer prefers a brand merely because he or she has been exposed to a catchy ad or promotional gimmick.

Diff: 2 Page Ref: 236

AACSB: Analytic Skills

Skill: Application

Objective: 8-3

147) Why is it important for a brand promise to be simple and honest?

Answer: Consumers who purchase the product and believe it does not live up to the promise will develop a negative image of the brand; they will be less likely to become loyal customers.

Diff: 2 Page Ref: 239

AACSB: Analytic Skills

Skill: Application

Objective: 8-3

148) Consider such brand names as A1 Steak Sauce, 409, A & D Ointment, A & W Root Beer, and Super 8. Why might such names with alphanumeric characters aid in brand name selection?

Answer: Such brands are easy to pronounce, easy to recognize, and easy to remember.

Diff: 2 Page Ref: 239

AACSB: Communication

Skill: Application

Objective: 8-3

149) How might measuring service quality be more difficult than measuring product quality?

Answer: Products are tangible; therefore, measuring quality across several dimensions such as durability, functionality, and so on may be easier or performed more consistently than when measuring service quality.

Diff: 3 Page Ref: 245

AACSB: Analytic Skills

Skill: Application

Objective: 8-4

150) As a service provider, why might you perceive the buyer-seller relationship in the service encounter to be especially critical?

Answer: Customers' perceptions are established during the service encounter. At this time, based on these perceptions, customers can become loyal, long-term buyers. It is critical that service sellers establish sound relationships from the beginning.

Diff: 2 Page Ref: 247

AACSB: Analytic Skills

Skill: Application

Objective: 8-4

Chapter 9 New-Product Development and Product Life-Cycle Strategies

- 1) What are the two ways that a company can obtain new products?

C) new-product development and acquisition

Answer: C Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

- 2) Product improvements, product modifications, and original products can all be classified as _____.

B) new products

Answer: B Diff: 1 Page Ref: 258 Skill: Concept Objective: 9-1

- 3) Which of the following is NOT a potential reason for a new product to fail?

A) an underestimated market size

Answer: A Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

- 4) Which of the following is NOT a challenge presented by the product life cycle that a firm must face?

E) It is difficult to plot the stages as a product goes through them.

Answer: E Diff: 2 Page Ref: 258 Skill: Concept Objective: 9-1

- 5) The creation of a successful new product depends on a company's understanding of its _____ and its ability to deliver _____ to customers.

C) customers, competitors, and markets; superior value

Answer: C Diff: 2 Page Ref: 259 Skill: Concept Objective: 9-2

- 6) New product development starts with _____.

A) idea generation

Answer: A Diff: 1 Page Ref: 259 Skill: Concept Objective: 9-2

- 7) Executives, manufacturing employees, and salespeople are all examples of _____.

B) internal sources for new-product ideas

**Answer: B Diff: 2 Page Ref: 260 AACSB: Communication
Skill: Concept Objective: 9-2**

- 8) Your company decides to use internal sources for developing new product ideas. Which of the following would NOT be consulted?

D) suppliers

Answer: D Diff: 1 Page Ref: 260 Skill: Concept Objective: 9-2

- 9) Which of the following is perhaps the most important external source of new-product ideas?

B) customers

**Answer: B Diff: 2 Page Ref: 261 AACSB: Communication
Skill: Concept Objective: 9-2**

- 10) Which of the following is NOT a recommended method for companies to tap into their customers as sources for new-product ideas?

B) relying heavily on customers to know what types of technical products they need

Answer: B Diff: 3 Page Ref: 261 Skill: Concept Objective: 9-2

- 11) Your firm asks you to consult external sources for new product ideas. All of the following are common external sources EXCEPT _____.

E) the firm's executives

Answer: E Diff: 1 Page Ref: 260-261 Skill: Concept Objective: 9-2

- 12) The purpose of idea generation is to create a _____ number of ideas. The purpose of succeeding stages is to _____ that number.

D) large number; reduce

Answer: D Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

- 13) GrayBerry Gifts has just brainstormed a large number of ideas for adding new products and services after visiting several buying fairs. The owners will begin the first idea-reducing stage, called _____, to arrive at a realistic number to adopt.

D) idea screening

Answer: D Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

- 14) Which of the following is most likely to be included in an executive's write up of a new-product idea to be presented to a new-product committee?

A) the proposed customer value proposition

Answer: A Diff: 3 Page Ref: 262 Skill: Concept Objective: 9-2

15) A detailed version of a new idea stated in meaningful customer terms is called a _____.

B) product concept

Answer: B Diff: 2 Page Ref: 262 AACSB: Communication

Skill: Concept Objective: 9-2

16) A _____ is the way consumers perceive an actual or potential product.

C) product image

Answer: C Diff: 1 Page Ref: 262 AACSB: Communication

Skill: Concept Objective: 9-2

17) An attractive idea must be developed into a _____.

B) product concept

Answer: B Diff: 2 Page Ref: 262 Skill: Concept Objective: 9-2

18) _____ calls for testing new-product concepts with groups of target consumers.

B) Concept testing

Answer: B Diff: 1 Page Ref: 263 Skill: Concept Objective: 9-2

19) In the concept testing stage of new-product development, a product concept in _____ form is presented to groups of target consumers.

A) physical or symbolic

Answer: A Diff: 2 Page Ref: 263 Skill: Concept Objective: 9-2

20) With what groups do firms conduct concept testing for new products?

C) target customers

Answer: C Diff: 3 Page Ref: 263 Skill: Concept Objective: 9-2

21) For some _____, a simple description consisting of a word or picture might be sufficient.

A) concept tests

Answer: A Diff: 2 Page Ref: 263 AACSB: Communication

Skill: Concept Objective: 9-2

22) After concept testing, a firm would engage in which stage in developing and marketing a new product?

B) marketing strategy development

Answer: B Diff: 2 Page Ref: 263 Skill: Concept Objective: 9-2

23) The first part of the marketing strategy statement describes the target market; the planned product positioning; and goals for sales, profits, and _____.

A) market share

Answer: A Diff: 3 Page Ref: 263 Skill: Concept Objective: 9-2

24) The second part of the marketing strategy statement outlines the product's planned price, distribution, and _____ for the first year.

C) marketing budget

Answer: C Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

25) The third part of the marketing strategy statement includes all of the following EXCEPT _____.

D) short-run sales

Answer: D Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

26) A review of the sales, costs, and profit projections for a new product to find out whether they satisfy the company's objectives is called a _____.

C) business analysis

Answer: C Diff: 1 Page Ref: 264 Skill: Concept Objective: 9-2

27) During which stage of new-product development will management most likely estimate minimum and maximum sales to assess the range of risk in launching a new product?

C) business analysis

Answer: C Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

28) Once managers of The Grecian Urn have decided on their product concept and marketing strategy, they can evaluate the business attractiveness of the proposal in the _____ stage of the new-product development process.

C) business analysis

Answer: C Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

29) New World Releases is conducting a business analysis to determine which of the many new songs available to management should be released. Sales must be estimated before costs can be estimated. Which of the following did your text recommend for forecasting sales?

C) considering the sales history of similar products and conducting surveys of market opinions

Answer: C Diff: 3 Page Ref: 264 Skill: Concept Objective: 9-2

30) Once the product or service passes the business analysis test, it moves into what stage?

B) product development

Answer: B Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

31) In the _____ stage of new-product development, products undergo rigorous tests to make sure that they perform safely and effectively or that consumers will find value in them.

D) product development

Answer: D Diff: 2 Page Ref: 264 Skill: Concept Objective: 9-2

32) Once the prototype of Wainwright Industries' new riding lawnmower, made especially for women, passes product tests, the next step is _____.

A) test marketing

Answer: A Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

33) Bonneville Communications is concerned about test marketing its new device. Which of the following is NOT a disadvantage of test marketing that would likely concern Bonneville Communications?

D) People who are surveyed tend to tell less than the truth.

Answer: D Diff: 3 Page Ref: 265 Skill: Concept Objective: 9-2

34) Under what circumstances might it be wise for a company to do little or no test marketing?

E) when the costs of developing and introducing the product are low

Answer: E Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

35) Although test marketing costs can be high, they are often small when compared with _____.

B) the costs of a major mistake

Answer: B Diff: 2 Page Ref: 265 Skill: Concept Objective: 9-2

36) Many marketers are now using new interactive technologies, such as Frito-Lay's online virtual convenience store, to reduce the cost of _____.

E) test marketing

Answer: E Diff: 2 Page Ref: 267 Skill: Concept Objective: 9-2

37) The major purpose of test marketing is to provide management with the information needed to make a final decision about _____.

C) whether to launch the new product

Answer: C Diff: 3 Page Ref: 268 Skill: Concept Objective: 9-2

38) Introducing a new product into the market is called _____.

D) commercialization

Answer: D Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

39) Which of the following costs is most likely associated with the commercialization stage of new-product development?

A) building or renting a manufacturing facility

Answer: A Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

40) A company getting ready to launch a new product must make several decisions. The company must first decide on _____.

D) when to time the new product introduction

Answer: D Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

41) Following the decision to "time" the introduction of the new product, a company must decide _____ to launch the new product.

A) where

Answer: A Diff: 2 Page Ref: 268 Skill: Concept Objective: 9-2

42) Which of the following is necessary for successful new-product development?

B) a customer-centered, team-based, systematic approach

Answer: B Diff: 3 Page Ref: 268 Skill: Concept Objective: 9-2

43) Which stage of the new-product development process focuses on finding new ways to solve customer problems and create more customer-satisfying experiences?

C) customer-centered new-product development

Answer: C Diff: 1 Page Ref: 269 Skill: Concept Objective: 9-2

44) _____ is a new-product development approach in which one company department works to complete its stage of the process before passing the new product along to the next department and stage.

C) Sequential product development

Answer: C Diff: 2 Page Ref: 269 Skill: Concept Objective: 9-2

45) In order to get their new products to market more quickly, many companies are adopting a faster, team-oriented approach called _____.

C) team-based new-product development

Answer: C Diff: 1 Page Ref: 270 Skill: Concept Objective: 9-2

46) The team-based new-product development approach is faster because departments work closely together through _____.

D) cross-functional teams

Answer: D Diff: 2 Page Ref: 270 AACSB: Communication

Skill: Concept Objective: 9-2

47) The team-based new-product development approach uses cross-functional teams that overlap the steps in the process to achieve which of the following goals?

B) save time and increase effectiveness

Answer: B Diff: 2 Page Ref: 270 Skill: Concept Objective: 9-2

48) Which of the following is a disadvantage of a team-based approach to new-product development?

D) Organizational confusion and tension can affect the process.

Answer: D Diff: 2 Page Ref: 270 AACSB: Communication

Skill: Concept Objective: 9-2

49) The innovation management system approach yields two favorable outcomes: it helps create an innovation-oriented company culture, and it _____.

B) yields a larger number of new-product ideas

Answer: B Diff: 3 Page Ref: 272 Skill: Concept Objective: 9-2

50) The search for new-product ideas should be _____ rather than haphazard.

B) systematic

Answer: B Diff: 2 Page Ref: 271 Skill: Concept Objective: 9-2

51) _____ is the product life cycle period when sales fall off and profits drop.

D) Decline

Answer: D Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

52) Increasing profits will most likely occur at which stage of the PLC?

C) growth

Answer: C Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

53) Which stage in the PLC is characterized by rapid market acceptance and increasing sales?

C) growth

Answer: C Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

54) Some products that have entered the decline stage have been cycled back to the growth stage through _____.

A) promotion or repositioning

Answer: A Diff: 2 Page Ref: 273 Skill: Concept Objective: 9-3

55) All of the following are stages in the PLC EXCEPT _____.

D) adoption

Answer: D Diff: 1 Page Ref: 273 Skill: Concept Objective: 9-3

56) Which stage of the typical consumer product life cycle is out of order below?

C) maturity

Answer: C Diff: 2 Page Ref: 273 Skill: Concept Objective: 9-3

57) Which of the following CANNOT be described using the PLC concept?

C) product image

Answer: C Diff: 3 Page Ref: 273 Skill: Concept Objective: 9-3

58) All of the following are accurate descriptions of a style product, EXCEPT which one?

D) Styles last only a short time and tend to attract only a limited following.

Answer: D Diff: 2 Page Ref: 274 Skill: Concept Objective: 9-3

59) The PLC concept can be applied by marketers as a useful framework for describing how _____.

C) products and markets work

Answer: C Diff: 3 Page Ref: 274 Skill: Concept Objective: 9-3

60) Using the PLC concept to develop marketing strategy can be difficult because strategy is both a _____ and a(n) _____ of the product's life cycle.

B) cause; result

Answer: B Diff: 3 Page Ref: 274 Skill: Concept Objective: 9-3

61) In which stage of the PLC will promotional expenditures be especially high in an attempt to create consumer awareness?

D) introduction

Answer: D Diff: 2 Page Ref: 276 Skill: Concept Objective: 9-3

62) In the _____ stage, the firm faces a trade-off between high market share and high current profit.

A) Growth

Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

63) In which stage of the PLC will promotional expenditures be high in an attempt to respond to increasing competition?

A) growth

Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

64) Which stage in the PLC normally lasts longer and poses strong challenges to the marketing managers?

C) maturity

Answer: C Diff: 1 Page Ref: 277 Skill: Concept Objective: 9-3

65) Which of the following would lead to greater competition in the maturity stage of the PLC?

A) overcapacity

Answer: A Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

66) Most products in the marketplace are in the _____ stage of the product life cycle.

C) maturity

Answer: C Diff: 2 Page Ref: 277 Skill: Concept Objective: 9-3

67) When a product enters the maturity stage, the company should consider _____.

B) modifying the product, market, or marketing mix

Answer: B Diff: 1 Page Ref: 277 Skill: Concept Objective: 9-3

68) Sales decline in the decline stage of the PLC because of technological advances, increased competition, and _____.

C) shifts in consumer tastes and preferences

Answer: C Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

69) Which of the following best represents the options a company has when a product is declining?

C) maintain, harvest, or drop the product

Answer: C Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

70) A manufacturer with a product in the decline stage of the product life cycle might decide to _____ if it has reason to hope that competitors will leave the industry.

B) maintain the product without change

Answer: B Diff: 2 Page Ref: 278 Skill: Concept Objective: 9-3

71) Manufacturers must comply with specific laws regarding _____.

B) product quality and safety

Answer: B Diff: 1 Page Ref: 280 AACSB: Ethical Reasoning

Skill: Concept Objective: 9-4

72) Because of _____, a company cannot make its product illegally similar to a competitor's already established product.

B) patent laws

Answer: B Diff: 1 Page Ref: 280 AACSB: Ethical Reasoning

Skill: Concept Objective: 9-4

73) Which of the following best describes the role of a product steward?

A) to protect consumers from harm

D) to protect the company from liability by identifying and solving potential product problems

E) A and D

Answer: E Diff: 3 Page Ref: 280 AACSB: Ethical Reasoning

Skill: Concept Objective: 9-4

74) The advantages of standardizing an international product include all of the following EXCEPT _____.

C) the adaptation of products to different markets

Answer: C Diff: 2 Page Ref: 281 Skill: Concept Objective: 9-4

75) Because names, labels, and colors may not easily translate from one country to another, international marketers must carefully assess _____.

D) packaging

Answer: D Diff: 2 Page Ref: 281 AACSB: Multicultural and Diversity

Skill: Concept Objective: 9-4

76) Your firm added three new products earlier this year to increase variety for customers. Two of them failed to reach even minimal sales. Which of the following is LEAST likely to have been the cause of their failure?

D) Research was too extensive.

Answer: D Diff: 1 Page Ref: 258 AACSB: Analytic Skills

Skill: Application Objective: 9-1

77) Which of the following is the most likely reason that employees at your firm regularly attend trade shows and seminars?

C) to get new-product ideas

Answer: C Diff: 2 Page Ref: 260 AACSB: Analytic Skills

Skill: Application Objective: 9-2

78) Which of the following statements best explains why idea screening may be the most import step of new product development?

E) It saves the company money in product development costs by giving the green light to only the product ideas that are likely to be profitable.

Answer: E Diff: 3 Page Ref: 262 AACSB: Analytic Skills

Skill: Application Objective: 9-2

79) JoAnn Fabrics, Inc., has just created a new combination of colors and fabric types. The firm wants to be sure of the way consumers perceive its new product. The firm is concerned with the product _____.

C) image

Answer: C Diff: 2 Page Ref: 262 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

80) Which of the following is a product concept?

D) a thin, lightweight laptop with extended battery life appealing to students and young professionals who want access to their computer anywhere, anytime.

Answer: D Diff: 2 Page Ref: 262 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

81) Wainwright Industries will build a new prototype riding lawnmower especially for women. In the product development stage, Joe Wainwright and his staff will incorporate the functional features and convey the _____.

D) intended psychological characteristics

Answer: D Diff: 3 Page Ref: 265 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

82) Skippy Peanut Butter has a new peanut butter and bacon product and finds a small number of representative test cities. They plan to use the results to forecast national sales and profits. Skippy is using _____.

C) standard test markets

Answer: C Diff: 2 Page Ref: 266 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

83) Anita's DayCare plans to offer third-shift childcare, based upon the opening of two new manufacturing plants in her area. Together the plants will hire 423 employees and run all three shifts. Initial test marketing results look promising. In considering launching this new service, Anita must first decide on _____.

A) timing

Answer: A Diff: 2 Page Ref: 268 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

84) Atlas Steel Corporation lacks the confidence, capital, and capacity to launch its new steel product into full national or international distribution. Even though test market results look promising, what will be management's next step?

B) develop a planned market rollout over time

Answer: B Diff: 3 Page Ref: 268 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

85) At Fantastic Flavors, a large regional chain of candy stores, employees from marketing, design, production, and finance work in a cross-functional group to save time and money in the new-product development process. Fantastic Flavors uses a(n) _____ approach.

C) team-based new-product development

Answer: C Diff: 1 Page Ref: 269 AACSB: Reflective Thinking

Skill: Application Objective: 9-2

86) Sherri's Exclusives sells currently accepted and popular clothing items in given fields. What does she stock in her store?

B) fashions

Answer: B Diff: 2 Page Ref: 274 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

87) Flurbies, a winter accessory which fell in and out of favorability with customers quickly, are an example of a _____.

C) fad

Answer: C Diff: 2 Page Ref: 274 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

- 88) Big Moose Toys is a market pioneer introducing a modern version of Bullwinkle the Moose, a character from an animated television series originally broadcast in the 50s and 60s. Their version of Rocky the Flying Squirrel, another character from the show, targeted to baby boomers was a strong success. They need to make the new launch strategy for Bullwinkle consistent with the intended _____.

B) product positioning

Answer: B Diff: 3 Page Ref: 276 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

- 89) Apple's iPod has been called "one of the greatest consumer electronics hits of all time." More than 120 million iPods have been sold, and the iPod captures more than 70 percent of the music player market. This success has attracted many large, resourceful competitors. The iPod is in the _____ stage of the product life cycle.

C) maturity

Answer: C Diff: 2 Page Ref: 273 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

- 90) Mattel's Barbie is an example of an age-defying product. Barbie, simultaneously timeless and trendy, is in the _____ stage of the PLC.

C) maturity

Answer: C Diff: 2 Page Ref: 277 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

- 91) Over the past 100 years or so, Binney and Smith's Crayola crayons have become a household staple in more than 80 countries around the world. Crayola crayons are in the _____ stage of the PLC.

C) maturity

Answer: C Diff: 2 Page Ref: 277 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

- 92) When Heinz introduced EZ Squirt packaging and new colors such as Blastin' Green and Awesome Orange to revitalize consumer buying, the company was _____.

D) modifying the product

Answer: D Diff: 1 Page Ref: 278 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

93) It's What's Hip, a chain of 18 music and CD stores, has discovered that carrying a weak product during the decline stage of the PLC can be very costly to a firm, and not just in profit terms. Which one of these is NOT likely to be one of those costs?

D) few concerns about company image and other products

Answer: D Diff: 3 Page Ref: 278 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

94) Superior Luggage Company has undertaken the task of identifying its products in the decline stage of the PLC. Which of the following should NOT be done in the identification process?

D) regularly reviewing management's pet projects

Answer: D Diff: 1 Page Ref: 278 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

95) Proctor & Gamble has sold off a number of lesser or declining brands such as Oxydol detergent and Jif peanut butter. In these examples, management decided to _____ the products.

C) drop

Answer: C Diff: 1 Page Ref: 279 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

96) When Kraft focused on cost-cutting with its older and established brands, leaving them to wither without much investment or modification, Kraft had decided to _____ the older products.

D) harvest

Answer: D Diff: 2 Page Ref: 279 AACSB: Reflective Thinking

Skill: Application Objective: 9-3

97) CellTones, a new company selling several lines of cellular phones, has closely modeled its products after successful products that are already in the marketplace. As it prepares to enter the market with its new products and services, which of the following should concern CellTones the most?

B) patent laws

Answer: B Diff: 2 Page Ref: 280 AACSB: Reflective Thinking

Skill: Application Objective: 9-4

123) When a company decides to maintain a product in the decline stage, it will reduce costs and hope that sales hold up to increase the profits in the short run.

Answer: FALSE

Diff: 2 Page Ref: 279

Skill: Concept

Objective: 9-3

124) The federal government may prevent a company from adding products through acquisitions if acquisition threatens to lessen competition.

Answer: TRUE

Diff: 2 Page Ref: 280

AACSB: Ethical Reasoning

Skill: Concept

Objective: 9-4

125) The international growth of many professional and business services such as accounting, consulting, and advertising led to the globalization of the client companies they serve.

Answer: FALSE

Diff: 3 Page Ref: 282

AACSB: Multicultural and Diversity

Skill: Concept

Objective: 9-4

126) Explain why so many new products fail and how a company can improve its odds of new product success.

Answer: Although an idea may be good, the market size may have been overestimated. Other possible reasons for failure include the following: the actual product was not designed as well as it should have been; the product may have been incorrectly positioned in the market, priced too high, or advertised poorly; a high-level executive might have pushed a favorite idea despite poor marketing research findings; the costs of product development were higher than expected; or competitors fought back harder than expected. One way to improve the odds is to identify successful new products and find out what they have in common. Another is to study new product features to see what lessons can be learned. A company must understand its customers, markets, and competitors and deliver superior value to customers.

Diff: 3 Page Ref: 258

AACSB: Analytic Skills

Skill: Application

Objective: 9-1

127) Briefly describe the steps in the new-product development process.

Answer: New-product development starts with idea generation from internal and/or external sources. Next, the ideas must be reduced through idea screening. Once the new ideas are decided upon, the product concept must be developed and tested. A marketing strategy must be developed to introduce the product to the market. Once the product concept and marketing strategy are chosen, a business analysis is conducted to review the sales, costs, and profit projections to see if they will satisfy the company's objectives. A prototype will next be created in the product development stage. Test marketing will follow, introducing the new product and its marketing program into more realistic market settings. The last step is to launch or not launch the new product. If the company decides to launch the product, it will go ahead with the commercialization stage and later test its sales and profit results.

Diff: 3 Page Ref: 259-268

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

128) Provide the major sources of external new product ideas and explain why these sources offer advantages over internal sources.

Answer: The major sources of new product ideas from external sources include customers, suppliers/distributors, competitors, and research firms. These sources are close to the market and tend to reflect current tastes and preferences. Firms can better match their product offerings to customer needs and wants. Consumers may also create new products and services on their own.

Diff: 2 Page Ref: 260

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

129) Distinguish among a product idea, a product concept, and a product image.

Answer: A product idea is an idea for a product that a company can imagine itself offering to the market. A product concept takes the idea several steps further, with a detailed version of the idea stated in meaningful consumer terms. Finally, a product image is the way consumers perceive an actual or potential product.

Diff: 1 Page Ref: 262

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

130) Explain concept testing.

Answer: Concept testing calls for testing new product concepts with groups of target consumers. The concepts may be presented physically or symbolically. A more concrete and physical presentation, however, will increase the reliability of the concept test. After being exposed to the concept, consumers are asked questions about it; their answers reveal to the marketer whether the concept needs to be altered in any way.

Diff: 1 Page Ref: 263

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

131) Define commercialization. Explain the two important issues on which the company must decide during this stage.

Answer: Introducing a new product into the market is called commercialization. The company launching a new product must first decide on introduction timing. Next, the company must decide where to launch the new product—in a single location, a region, the national market, or the international market. Confidence, capital, and capacity are required to launch new products on a large-scale basis. Hence, firms plan a market rollout over time.

Diff: 1 Page Ref: 268

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

132) What are the two advantages of an innovation management system for developing new products? Provide four ideas for a company to use to establish a successful system.

Answer: The first advantage of an innovation management system is that it helps create an innovation-oriented company culture. It shows that top management supports, encourages, and rewards innovation. The second advantage is that it will yield a larger number of ideas, among which will be found some especially good ones. As the system matures, ideas will flow more freely. To establish a successful system a company can do the following: (1) Appoint a respected senior person to be the company's idea manager; (2) create a cross-functional innovation management committee with people from each department; (3) set up a Web site for anyone who wants to become involved in finding and developing new products; (4) encourage all company stakeholders to send their ideas to the idea manager; and (5) set up formal recognition programs to reward those who contribute the best new ideas.

Diff: 3 Page Ref: 272

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

133) Each product will have a life cycle, although its exact shape and length is not known in advance. Briefly explain each step in the PLC.

Answer: Product development begins when the company finds and develops a new product idea. Sales are zero and the company's investment costs mount. Introduction is a period of slow sales growth as the product is introduced in the market. Profits are nonexistent in this stage because of the heavy expenses of product introduction. Growth is a period of rapid market acceptance and increasing profits. Maturity is a period of slowdown in sales growth because the product has achieved acceptance by most potential buyers. Profits level off or decline because of increased marketing outlays to defend the product against competition. Decline is the period when sales fall off and profits drop. A company may seek to reinvigorate a product in decline or maintain it hoping competition will diminish or harvest it or drop it.

Diff: 2 Page Ref: 273

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

134) PLC can be applied to more than just brands. Your assignment is to prepare a presentation about the application of the PLC to as many of your company's operations as possible. What would you include?

Answer: The PLC can be applied to new product and services. It can also be applied to product class, a product form, or a brand. The PLC concept lends itself to styles, fashions, and fads. The concept can be used as a useful framework for describing how products and markets work, as well as developing marketing strategy for each stage of the product life cycle. Managers may have difficulties using the PLC concept to forecast product performance or develop general marketing strategies.

Diff: 2 Page Ref: 274

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

135) Describe three public policy issues or regulations that marketers should carefully consider as they make decisions about adding or dropping products.

Answer: The government may prevent companies from adding products through acquisitions if the effect threatens to lessen competition. On the other hand, companies dropping products must be aware that they have legal obligations to their suppliers, dealers, and customers who have a stake in the dropped product. Companies must also obey U.S. patent laws when developing new products, meaning that a company cannot make its product illegally similar to another company's established product. Manufacturers must also comply with specific laws regarding product quality and safety. The Federal Food, Drug, and Cosmetic Act and the Consumer Product Safety Act are just two of many laws that protect consumers from potentially harmful products. If consumers have been injured by a product that has a defective design, they can sue manufacturers or dealers.

Diff: 2 Page Ref: 280

AACSB: Ethical Reasoning

Skill: Application

Objective: 9-4

136) How might a firm benefit from implementing an "intrapreneurial" program?

Answer: Such programs encourage employees to be innovative and to develop new-product ideas.

Diff: 2 Page Ref: 260

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

137) How might competitors be a good external idea source?

Answer: Marketers can pay particular attention to competitors' ads to get clues about their new products. In addition, salespeople in the field can learn about competitors' plans if prospects purposefully, or even inadvertently, reveal them.

Diff: 1 Page Ref: 260

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

138) You have recently sent a proposal for a fictional novel to an editor at a major publishing firm. The editor, alone, will carry out the idea screening. Why might you feel this process is unfair?

Answer: The success of your proposal, or at least the likelihood that your novel will be published, is at the mercy of that one individual. A screening committee might give the proposal a more accurate and fair assessment.

Diff: 3 Page Ref: 262

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

139) What elements may help to create a product image?

Answer: Any number of product attributes, as well as packaging and intended use, create product image; the promotional campaign also affects product image.

Diff: 1 Page Ref: 262

AACSB: Communication

Skill: Application

Objective: 9-2

140) The potential market strengths and weaknesses are being determined for a new-product idea at Art for Kids. In what stage of the new-product development process does this occur?

Answer: It occurs in the business analysis stage of the new product development process.

Diff: 2 Page Ref: 264

AACSB: Reflective Thinking

Skill: Application

Objective: 9-2

141) What may be learned in a test market?

Answer: Test marketing lets a company assess customer response to its product and the effectiveness of its positioning strategy, advertising, distribution, pricing, branding, and packaging.

Diff: 2 Page Ref: 265

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

142) A marketer has selected a single city in which to conduct a test market. What might we conclude from this choice of a single-city test market?

Answer: The marketer may feel assured that consumers in that city are typical of the overall market.

Diff: 3 Page Ref: 266

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

143) A marketer has chosen a multiple-city test market. What might we conclude from this choice of a multiple-city test market?

Answer: The marketer likely understands that the product being tested will be perceived differently in different geographic regions.

Diff: 3 Page Ref: 266

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

144) Why might a company choose to develop a planned market rollout?

Answer: A company without the confidence, capacity, or capital to introduce its product in several regions or the full national market may find it less risky and more manageable to enter attractive cities or regions one at a time, using success in regional markets to build up to a larger market rollout.

Diff: 2 Page Ref: 268

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

145) Why might individual departments prefer sequential product development?

Answer: This process allows individual departments to work individually with a new idea, completing its stage of development before passing the product on; other departments are less likely to interfere.

Diff: 2 Page Ref: 269

AACSB: Analytic Skills

Skill: Application

Objective: 9-2

146) Explain how the PLC applies differently to a product class than to a product form.

Answer: Product classes have longer life cycles, while product forms tend to have the standard PLC shape.

Diff: 3 Page Ref: 273

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

147) Why might ad expenditures be high for products in the introduction stage of the PLC?

Answer: Consumers have very little awareness about such products; promotional spending can enhance customer awareness.

Diff: 1 Page Ref: 276

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

148) Why might ad expenditures remain high in the growth stage of the PLC?

Answer: Though sales are increasing for such products, competition becomes fierce as competitors attempt to enter the market; therefore, ad dollars remain high in an effort to offset competitive threats.

Diff: 2 Page Ref: 277

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

149) Marketers can prolong the lives of many products in the maturity or decline stages of the PLC, sometimes even moving these products back into the growth stage. How can this happen?

Answer: Marketers can change any element of the marketing mix, change the number of uses or the number of users, or even change the frequency of product use.

Diff: 2 Page Ref: 277

AACSB: Analytic Skills

Skill: Application

Objective: 9-3

150) Why has the cost of product liability insurance risen so dramatically?

Answer: Consumers who have been injured by a product with a defective design can sue manufacturers or dealers of the product; though manufacturers are only found to be at fault in a small percentage of cases, the average jury award is \$1.5 million.

Diff: 2 Page Ref: 280

AACSB: Analytic Skills

Skill: Application

Objective: 9-4

Chapter 10 Pricing Products: Understanding and Capturing Customer Value

1) _____ is the amount of money charged for a product or service.

C) Price

Answer: C Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

2) Price is the only element in the marketing mix that produces _____.

A) revenue

Answer: A Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

3) _____ is an important element in the marketing mix. It is the only element that does not represent costs.

C) Price

Answer: C Diff: 1 Page Ref: 290 Skill: Concept Objective: 10-1

4) Consumer perceptions of the product's value set the _____ for prices.

C) ceiling

Answer: C Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

5) Product costs set a(n) _____ to a product's price.

B) floor

Answer: B Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

6) Which of the following is a customer-oriented approach to pricing?

A) value-based pricing

Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

7) _____ uses buyers' perceptions of what a product is worth, not the seller's cost, as the key to pricing.

A) Value-based pricing

Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

8) In _____, price is considered along with the other marketing mix variables before the marketing program is set.

A) value-based pricing

Answer: A Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

9) Value-based pricing is the reverse process of _____.

C) cost-based pricing

Answer: C Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

10) With _____, price is set to match consumers' perceptions of product value.

D) value-based pricing

Answer: D Diff: 2 Page Ref: 291 Skill: Concept Objective: 10-2

11) Measuring _____ can be difficult. A company might conduct surveys or experiments to test this in the different products they offer.

C) perceived value

**Answer: C Diff: 3 Page Ref: 292 AACSB: Communication
Skill: Concept Objective: 10-2**

12) Underpriced products sell very well, but they produce less revenue than they would have if price were raised to the _____ level.

A) perceived

Answer: A Diff: 2 Page Ref: 292 Skill: Concept Objective: 10-2

13) If a seller charges _____ than the buyer's perceived value, the company's sales will _____.

B) more; suffer

Answer: B Diff: 2 Page Ref: 292 Skill: Concept Objective: 10-2

14) Some companies have adopted a _____ strategy, offering just the right combination of quality and good service at a fair price.

B) good-value pricing

Answer: B Diff: 1 Page Ref: 293 Skill: Concept Objective: 10-2

15) Wal-Mart is famous for using what important type of value pricing?

B) everyday low pricing

Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

16) _____ involves charging a constant, everyday low price with few or no temporary price discounts.

D) EDLP

Answer: D Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

- 17) _____ involves attaching features and services to differentiate a company's offers and to support charging higher prices.

C) Value-added pricing

Answer: C Diff: 1 Page Ref: 293 Skill: Concept Objective: 10-2

- 18) _____ is a company's power to escape price competition and to justify higher prices and margins.

B) Pricing power

Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

- 19) To maintain and increase a company's _____, a firm must retain or build the value of its marketing offer.

B) pricing power

Answer: B Diff: 3 Page Ref: 293 Skill: Concept Objective: 10-2

- 20) When there is price competition, many companies adopt _____ rather than cutting prices to match competitors.

B) value-added strategies

Answer: B Diff: 2 Page Ref: 293 Skill: Concept Objective: 10-2

- 21) Ryanair offers free flights to a quarter of its customers and rock-bottom prices to many of its other customers. Ryanair then charges for all extra services, such as baggage handling and inflight refreshments. Which of the following best describes Ryanair's pricing method?

B) low-cost pricing

Answer: B Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-2

- 22) _____ pricing involves setting prices based on the costs for producing, distributing, and selling the product plus a fair rate of return for the company's efforts and risks.

C) Cost-based

Answer: C Diff: 1 Page Ref: 295 Skill: Concept Objective: 10-3

- 23) Fixed costs _____ as the number of units produced increases.

D) remain the same

Answer: D Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-3

- 24) Costs that do not vary with production or sales level are referred to as _____.

A) fixed costs

Answer: A Diff: 1 Page Ref: 295 Skill: Concept Objective: 10-3

25) Rent, electricity and executive salaries are examples of _____.

A) fixed costs

Answer: A Diff: 2 Page Ref: 295 Skill: Concept Objective: 10-3

26) Costs that vary directly with the level of production are referred to as _____.

B) variable costs

Answer: B Diff: 1 Page Ref: 296 Skill: Concept Objective: 10-3

27) _____ are the sum of the _____ and _____ for any given level of production.

D) Total costs; fixed; variable costs

Answer: D Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

28) SRAC is the acronym for which concept related to costs at different levels of production?

C) short-run average cost

Answer: C Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

29) As production workers become better organized and more familiar with equipment, the average cost per unit decreases. This is called the _____.

B) experience curve

Answer: B Diff: 1 Page Ref: 296 Skill: Concept Objective: 10-3

30) With a higher volume of product, most companies can expect to _____.

A) gain economies of scale

Answer: A Diff: 2 Page Ref: 296 Skill: Concept Objective: 10-3

31) The experience curve reveals that _____.

A) repetition in production lowers costs

B) repetition in production enhances efficiency

C) the average cost drops with accumulated production experience

D) A, B, and C

Answer: D Diff: 3 Page Ref: 296 Skill: Concept Objective: 10-3

32) When a downward-sloping experience curve exists, a company should usually _____ the selling price of that product in order to bring in higher revenues.

C) decrease

Answer: C Diff: 3 Page Ref: 297 Skill: Concept Objective: 10-3

33) Which of the following is a risk a company takes when building a strategy around the experience curve?

E) Aggressive pricing may give the product a cheap image, causing customers to lose interest.

Answer: E Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

34) A company building its pricing strategy around the experience curve would be likely to _____.

A) price its products low

Answer: A Diff: 3 Page Ref: 297 Skill: Concept Objective: 10-3

35) The company designs what it considers to be a good product, totals the expenses of making the product, and sets a price that adds a standard mark-up to the cost of the product. This approach to pricing is called _____.

C) cost-plus pricing

Answer: C Diff: 1 Page Ref: 297 Skill: Concept Objective: 10-3

36) Lawyers, accountants, and other professionals typically price by adding a standard markup for profit. This is known as _____.

B) cost-plus pricing

Answer: B Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

37) The simplest pricing method is _____.

C) cost-plus pricing

Answer: C Diff: 2 Page Ref: 297 Skill: Concept Objective: 10-3

38) Which of the following is a reason why markup pricing is NOT practical?

D) This method ignores demand.

Answer: D Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

39) One reason _____ remains popular is that sellers are more certain about costs than about demand.

A) markup pricing

Answer: A Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

40) Price competition is minimized when all firms in an industry use which pricing method?

B) markup pricing

Answer: B Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

41) Many people feel that _____ pricing is fairer to both buyers and sellers. Sellers earn a fair return on their investment but do not take advantage of buyers when buyers' demand becomes great.

B) markup

Answer: B Diff: 2 Page Ref: 298 AACSB: Ethical Reasoning

Skill: Concept Objective: 10-3

42) Which of the following is a cost-based approach to pricing?

C) target profit pricing

Answer: C Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

43) Break-even pricing, or a variation called _____, is when the firm tries to determine the price at which it will break even or make the profit it is seeking.

B) target profit pricing

Answer: B Diff: 1 Page Ref: 298 Skill: Concept Objective: 10-3

44) Target profit pricing uses the concept of a _____, which shows the total cost and total revenue expected at different sales volume levels.

B) break-even chart

Answer: B Diff: 2 Page Ref: 298 Skill: Concept Objective: 10-3

45) The break-even volume is the point at which _____.

A) the total revenue and total costs lines intersect

Answer: A Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

46) _____ pricing works only if that price actually brings in the expected level of sales.

E) Target profit

Answer: E Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

47) Which of the following statements about break-even analysis is true?

E) It is calculated using variable costs, the unit price, and fixed costs.

Answer: E Diff: 3 Page Ref: 298 Skill: Concept Objective: 10-3

48) As a manufacturer increases price, the _____ drops.

B) break-even volume

Answer: B Diff: 3 Page Ref: 299 Skill: Concept Objective: 10-3

49) Which of the following is an external factor that affects pricing decisions?

B) competition

Answer: B Diff: 1 Page Ref: 299 Skill: Concept Objective: 10-4

50) _____ that influence pricing decisions include the nature of the market and demand and competitors' prices.

C) External factors

Answer: C Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

51) Companies may set prices low for which of the following reasons EXCEPT _____.

D) to prepare for an easy exit from a market

Answer: D Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

52) In order to form a consistent and effective integrated marketing program, price decisions should be coordinated with each of the following EXCEPT _____.

C) competitors' prices

Answer: C Diff: 2 Page Ref: 299 Skill: Concept Objective: 10-4

53) With target costing, marketers will first _____ and then _____.

E) determine a selling price; target costs to ensure that the price is met

Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

54) Price setting is usually determined by _____ in small companies.

A) top management

Answer: A Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

55) Price setting is usually determined by _____ in large companies.

B) divisional managers

C) product line managers

E) both B and C

Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

56) In industrial markets, _____ typically has the final say in setting the pricing objectives and policies of a company.

B) top management

Answer: B Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

57) In industries in which pricing is a key factor, _____ often set the best prices or help others in setting them.

E) pricing departments

Answer: E Diff: 2 Page Ref: 300 Skill: Concept Objective: 10-4

58) Under _____, the market consists of many buyers and sellers trading in a uniform commodity such as wheat, copper, or financial securities.

A) pure competition

Answer: A Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

59) Under _____, the market consists of many buyers and sellers who trade over a range of prices rather than a single market price.

B) monopolistic competition

Answer: B Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

60) Under _____, the market consists of a few sellers who are highly sensitive to each other's pricing and marketing strategies.

C) oligopolistic competition

Answer: C Diff: 2 Page Ref: 302 Skill: Concept Objective: 10-4

61) Nonregulated monopolies are free to price at what the market will bear. However, they do not always charge the full price for a number of reasons. What is NOT one of those reasons?

D) They want to encourage government regulations.

Answer: D Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

62) The relationship between the price charged and the resulting demand level can be shown as the _____.

A) demand curve

Answer: A Diff: 1 Page Ref: 303 Skill: Concept Objective: 10-4

63) Consumers usually perceive higher-priced products as _____.

B) having high quality

Answer: B Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

64) Why do marketers consider prestige goods to be an exception to the typical demand curve?

B) Increasing the price of prestige goods can make them seem more desirable.

Answer: B Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

65) Which of the following is true about the demand curve?

E) It shows the relationship between product demand and product price.

Answer: E Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

66) When Gibson Guitar Corporation, long known for its high quality instruments, lowered its prices to compete more effectively with Japanese rivals, the company sold fewer guitars. Which of the following best explains this?

D) Customers did not distinguish the superiority of the Gibson guitar when it was at a lower price.

Answer: D Diff: 3 Page Ref: 303 Skill: Concept Objective: 10-4

67) _____ describes how responsive demand will be to a change in price.

A) Price elasticity

Answer: A Diff: 1 Page Ref: 304 Skill: Concept Objective: 10-4

68) If demand hardly changes with a small change in price, we say the demand is _____.

B) inelastic

Answer: B Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

69) If demand changes greatly with a small change in price, we say the demand is _____.

D) elastic

Answer: D Diff: 1 Page Ref: 304 Skill: Concept Objective: 10-4

70) Price elasticity of demand is _____ divided by _____.

A) percent change in quantity demanded; percent change in price

Answer: A Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

71) Buyers are less price sensitive in all of the following situations EXCEPT _____.

D) when the total expenditure for a product is high relative to their income

Answer: D Diff: 2 Page Ref: 304 Skill: Concept Objective: 10-4

72) The less _____ the demand, the _____ it pays for the seller to raise the price.

B) elastic; more

Answer: B Diff: 3 Page Ref: 304 Skill: Concept Objective: 10-4

73) Each of the following economic factors can have a strong impact on a firm's pricing strategy EXCEPT _____.

B) the reseller's reaction to price changes

Answer: B Diff: 2 Page Ref: 305 Skill: Concept Objective: 10-4

74) A company should set prices that will allow _____ to receive a fair profit.

A) resellers

Answer: A Diff: 2 Page Ref: 305 Skill: Concept Objective: 10-4

75) When companies set prices, the government and social concerns are two _____ affecting pricing decisions.

A) external factors

Answer: A Diff: 1 Page Ref: 305 Skill: Concept Objective: 10-4

76) Amos Zook, an Amish farmer, sells organically grown produce. Often he will trade some of his produce for dairy products produced by other Amish farmers. The sum of the values that others exchange is called a _____.

A) price

**Answer: A Diff: 1 Page Ref: 290 AACSB: Reflective Thinking
Skill: Application Objective: 10-1**

77) Trader Joe's offers an assortment of exclusive gourmet products at impossibly low prices. These prices are not limited-time offers or special discounts. Instead, they reflect Trader Joe's _____ strategy.

A) everyday low pricing

**Answer: A Diff: 2 Page Ref: 293 AACSB: Reflective Thinking
Skill: Application Objective: 10-2**

78) Jimmy's Hardware, an independent local retailer, is losing business to Wal-Mart. This is most likely because he cannot match Wal-Mart's pricing strategy of _____.

A) EDLP

**Answer: A Diff: 2 Page Ref: 293 AACSB: Analytic Skills
Skill: Application Objective: 10-2**

79) When McDonald's and other fast food restaurants offer "value menu" items at surprisingly low prices, they are using _____.

C) value pricing

**Answer: C Diff: 1 Page Ref: 293 AACSB: Analytic Skills
Skill: Application Objective: 10-2**

80) Consumers who have less time and patience for watching for supermarket specials and clipping coupons would most likely prefer _____.

C) EDLP

Answer: C Diff: 3 Page Ref: 293 AACSB: Analytic Skills

Skill: Application Objective: 10-2

81) Xbox 360 decides to add a free subscription to XBOX magazine with every game bought in an effort to differentiate its offering from PS3 games. This is an example of _____.

D) value-added pricing

Answer: D Diff: 2 Page Ref: 293 AACSB: Reflective Thinking

Skill: Application Objective: 10-2

82) The long-run average cost curve (LRAC) helps the producer understand which of the following?

A) It shows how large a business should be, to be most efficient.

Answer: A Diff: 2 Page Ref: 296 AACSB: Analytic Skills

Skill: Application Objective: 10-3

83) Assume a manufacturer with fixed costs of \$100,000, a variable cost of \$10, and expected sales of 50,000 units wants to earn a 20-percent markup on sales. What is the manufacturer's markup price?

B) \$15

Answer: B Diff: 3 Page Ref: 297 AACSB: Analytic Skills

Skill: Application Objective: 10-3

84) General Motors prices its automobiles to achieve a 15 to 20 percent profit on its investment. This approach is called _____.

E) target-profit pricing

Answer: E Diff: 2 Page Ref: 298 AACSB: Reflective Thinking

Skill: Application Objective: 10-3

85) A company faces fixed costs of \$100,000 and variable costs of \$8.00/unit. They plan to directly sell their product to the market for \$12.00. How many units must they produce and sell to break even?

B) 25,000

Answer: B Diff: 2 Page Ref: 298 AACSB: Analytic Skills

Skill: Application Objective: 10-3

86) Ecstasy Pharmaceuticals faces fixed costs with their new drug of \$1,000,000. The company sells the drug in bottles of 50 pills for \$10.00. They estimate that they must sell 200,000 bottles to break even. What is the total cost to produce a bottle of 50 pills?

B) \$5.00

**Answer: B Diff: 3 Page Ref: 298 AACSB: Analytic Skills
Skill: Application Objective: 10-3**

87) A manufacturer is trying to determine its break-even volume. With fixed costs of \$100,000, a variable cost of \$10, and expected sales of 50,000 units, what should the manufacturer's unit cost be to break even?

B) \$12

**Answer: B Diff: 3 Page Ref: 298 AACSB: Analytic Skills
Skill: Application Objective: 10-3**

88) As a manufacturer decreases price, _____ volume increases.

B) break-even

**Answer: B Diff: 3 Page Ref: 299 AACSB: Analytic Skills
Skill: Application Objective: 10-3**

89) P&G surveyed the market and identified an unserved segment of electric toothbrush market. Using these results, they created Spinbrush. The unorthodox order of this marketing mix decision is an example of _____.

C) target costing

**Answer: C Diff: 2 Page Ref: 300 AACSB: Reflective Thinking
Skill: Application Objective: 10-4**

90) PoolPak produces climate-control systems for large swimming pools. The company's customers are more concerned about service support for maintaining a system than its initial price. PoolPak may use this knowledge to become more competitive through _____.

D) a nonprice position

**Answer: D Diff: 2 Page Ref: 300 AACSB: Reflective Thinking
Skill: Application Objective: 10-3**

91) By pledging to be a leader in providing clean, renewable energy sources and developing products and services that help consumers protect the environment, Green Mountain Power competes successfully against "cheaper" brands that focus on more price-sensitive consumers. Green Mountain Power has the firm belief that even kilowatt-hours can be _____.

C) differentiated

**Answer: C Diff: 3 Page Ref: 300 AACSB: Analytic Skills
Skill: Application Objective: 10-4**

92) In Vin del Mar, Chile, there are a dozen stores specializing in selling the same quality of seafood products on one street. An individual store dare not charge more than the going price without the risk of losing business to the other stores that are selling the fish at a common price. This is an example of what type of market?

A) pure competition

Answer: A Diff: 2 Page Ref: 302 AACSB: Reflective Thinking

Skill: Application Objective: 10-4

93) Ascot Tires has decided to decrease its prices. The company can expect that _____ for their product will increase.

C) demand

Answer: C Diff: 1 Page Ref: 303 AACSB: Reflective Thinking

Skill: Application Objective: 10-4

94) If Canon Camera Company follows a high-price, high-margin strategy, what will competitors such as Nikon, Minolta, and Pentax most likely do?

B) They will want to compete against Canon.

Answer: B Diff: 2 Page Ref: 304 AACSB: Analytic Skills

Skill: Application Objective: 10-4

95) If Canon Camera Company follows a low-price, low-margin strategy for a product, what will competitors most likely do?

A) They will not be able to compete or may leave the market.

Answer: A Diff: 3 Page Ref: 304 AACSB: Analytic Skills

Skill: Application Objective: 10-4

96) Companies are fortunate to have demand that is more _____ because they may be able to set higher prices.

D) inelastic

Answer: D Diff: 2 Page Ref: 304 AACSB: Analytic Skills

Skill: Application Objective: 10-4

97) If demand falls by 1 percent when price is increased by 2 percent, then _____.

A) elasticity is $-1/2$

B) demand is inelastic

E) A and B

Answer: E Diff: 3 Page Ref: 304 AACSB: Analytic Skills

Skill: Application Objective: 10-4

126) Pricing and price competition account for the number-one problem facing many marketing executives. What are some of the frequent problems that companies encounter?

Answer: The pricing environment changes at a fast pace, and value-seeking customers have put increased pricing pressure on many companies. However, companies are often too quick to reduce prices in order to get a sale rather than convincing buyers that their products are worth a higher price. A company's pricing, in addition, is often too cost-oriented rather than customer-value oriented. Companies have prices that are not revised often enough to reflect market changes. Another common problem is pricing that does not take the rest of the marketing mix into account.

Diff: 2 Page Ref: 289

AACSB: Analytic Skills

Skill: Application

Objective: 10-1

127) Discuss the importance of consumer perceptions of value and costs to setting prices.

Answer: Customer perceptions of value set the upper limit for prices, and costs set the lower limit. However, in setting prices within these limits the company must then consider other internal and external factors. Internal factors affecting pricing include the company's overall marketing strategy, objectives, and marketing mix, as well as other organizational considerations. External factors include the nature of the market and demand, competitors' strategies and prices, and other environmental factors.

Diff: 1 Page Ref: 291

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

128) Explain how break-even analysis can be used for target profit pricing.

Answer: The firm determines the price at which it will break even. The firm can also add the target profit to the fixed costs and then determine the new, "break-even point," which now includes the target profit. Pricing decisions can be made by examining where the total revenue and total cost curves intersect on a break-even chart at different price points and sales volume.

Diff: 2 Page Ref: 298

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

129) Identify and define the internal factors affecting a firm's pricing decisions.

Answer: The pricing strategy is largely determined by the company's target market and positioning objectives. Pricing decisions affect and are affected by product design, distribution, and promotion decisions. Costs set the floor for the company's price, which must cover all the costs of making and selling the product, plus a fair rate of return. In order to coordinate pricing goals and decisions, management must decide who within the organization is responsible for setting price.

Diff: 2 Page Ref: 299

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

130) Compare pure competition with oligopolistic competition.

Answer: Under pure competition, the market consists of many buyers and sellers trading in a uniform commodity. No single buyer or seller has much effect on the going market price. Under oligopolistic competition, the market consists of few sellers who are highly sensitive to each other's pricing and marketing strategies. The product can be uniform or nonuniform. There are few sellers because it is difficult for new sellers to enter the market. Each seller is alert to competitors' strategies and moves.

Diff: 3 Page Ref: 302-303

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

131) Compare oligopolistic competition with a pure monopoly.

Answer: Under oligopolistic competition, the market consists of a few sellers who are highly sensitive to each other's pricing and marketing strategies. There are few sellers because it is difficult for new sellers to enter the market. Under a pure monopoly, the market consists of one seller. Pricing is handled differently in each case. The seller may be a government monopoly, a private nonregulated monopoly, or a private regulated monopoly.

Diff: 3 Page Ref: 302-303

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

132) Describe what a demand curve is and explain how it helps businesses.

Answer: It estimates consumer demand at different prices. In a monopoly, the demand curve shows the total market demand resulting from different prices. If the company faces competition, its demand at different prices will depend on whether competitors' prices stay constant or change with the company's own prices.

Diff: 2 Page Ref: 303

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

133) What does price elasticity reveal about a product?

Answer: Price elasticity is a measure of the sensitivity of demand to changes in price. If demand hardly changes with a small change in price, we say the demand is inelastic. If demand changes greatly, we say the demand is elastic.

Diff: 1 Page Ref: 304

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

134) The company must consider the impact its prices will have on resellers. Identify three ways the company can help resellers.

Answer: The company, first of all, should set prices that give resellers a fair profit. The company should also encourage their support. Finally, the company should help resellers to sell the product effectively.

Diff: 1 Page Ref: 305

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

135) When setting prices, the company must consider its external environment. Describe four parts of the external environment and how they affect businesses.

Answer: Economic conditions affect both the costs of producing a product and consumer perceptions of the product's price and value. The company should encourage and support resellers and help them to sell the product effectively. The government, in the form of local, state, and federal laws, is another important influence on pricing decisions. Social concerns impact pricing, especially when a company's short-term sales, market share, and profit goals may have to be tempered by broader societal considerations.

Diff: 1 Page Ref: 305

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

136) How important is price among the elements of the marketing mix?

Answer: In recent decades, nonprice factors have gained increasing importance. However, price still remains one of the most important elements determining a firm's market share and profitability.

Diff: 2 Page Ref: 290

AACSB: Analytic Skills

Skill: Application

Objective: 10-1

137) Why is price considered to be one of the most flexible elements of the marketing mix?

Answer: Price can be changed quickly.

Diff: 1 Page Ref: 290

AACSB: Analytic Skills

Skill: Application

Objective: 10-1

138) Explain the concept of a price floor.

Answer: A price floor is the lowest price charged at which the company still earns some profits.

Diff: 2 Page Ref: 291

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

139) Explain the concept of a price ceiling.

Answer: A price ceiling is the highest price charged at which there is still some consumer demand.

Diff: 2 Page Ref: 291

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

140) What must a company using value-based pricing find out about its customers?

Answer: They must determine the specific value that individual buyers assign to different competitive offers.

Diff: 3 Page Ref: 292

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

141) Explain good-value pricing.

Answer: With good-value pricing, a marketer offers just the right combination of quality and good service at a fair price.

Diff: 1 Page Ref: 293

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

142) What must a firm do to retain pricing power?

Answer: To retain pricing power, a firm must retain or build the value of its market offering.

Diff: 2 Page Ref: 293

AACSB: Analytic Skills

Skill: Application

Objective: 10-2

143) What costs make up a product's total cost?

Answer: Fixed costs and variable costs make up total cost.

Diff: 1 Page Ref: 296

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

144) Explain the significance of a downward-sloping experience curve.

Answer: Not only will the company's unit production cost fall, but it will fall faster if the company makes and sells more during a given time period.

Diff: 3 Page Ref: 297

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

145) A marketer's fixed costs are \$400,000, the variable cost is \$16, and they expect the product to sell for \$24. What is their break-even point in units?

Answer: The break-even point in units is 50,000 units.

Diff: 3 Page Ref: 298

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

146) A marketer's fixed costs are \$400,000, the variable cost is \$16, and they expect the product to sell for \$24. What is their break-even point in dollar sales?

Answer: The break-even point in dollar sales is \$1,200,000.

Diff: 3 Page Ref: 298

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

147) A marketer's fixed costs are \$400,000, the variable cost is \$16, and they expect their product to sell for \$24. If the marketer has sales of \$1,440,000, what is their profit on this product?

Answer: The profit is \$80,000.

Diff: 3 Page Ref: 298

AACSB: Analytic Skills

Skill: Application

Objective: 10-3

148) Who typically sets prices in small companies? In large companies?

Answer: Top management sets prices in small companies, whereas divisional or product line managers typically set prices in large companies.

Diff: 2 Page Ref: 300

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

149) Explain a pure monopoly.

Answer: The market consists of one seller that dominates the market.

Diff: 2 Page Ref: 303

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

150) If demand is elastic, will sellers consider lowering their prices? Explain.

Answer: Yes. A lower price will produce more needed revenue, as consumers will respond to the change in price and buy more.

Diff: 2 Page Ref: 304

AACSB: Analytic Skills

Skill: Application

Objective: 10-4

Chapter 11 Pricing Strategies

- 1) A company sets not a single price, but rather a _____ that covers different items in its line that change over time as products move through their life cycles.

B) pricing structure

Answer: B Diff: 1 Page Ref: 311 Skill: Concept Objective: 11-1

- 2) Companies facing the challenge of setting prices for the first time can choose between two broad strategies: market-penetration pricing and _____.

C) market-skimming pricing

Answer: C Diff: 2 Page Ref: 312 Skill: Concept Objective: 11-1

- 3) Of the following, which statement would NOT support a market-skimming policy for a new product?

D) Competitors can enter the market easily.

Answer: D Diff: 3 Page Ref: 312 Skill: Concept Objective: 11-1

- 4) A firm is using _____ when it charges a high, premium price for a new product with the intention of reducing the price in the future.

A) price skimming

Answer: A Diff: 2 Page Ref: 312 Skill: Concept Objective: 11-1

- 5) _____ pricing is the approach of setting a low initial price in order to attract a large number of buyers quickly and win a large market share.

B) Market-penetration

Answer: B Diff: 1 Page Ref: 313 Skill: Concept Objective: 11-1

- 6) Accent Software faces the conditions below, all of which support Accent's use of a market-penetration pricing strategy EXCEPT that _____.

C) the product's quality and image support a high price

Answer: C Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-1

- 7) Which of the following is a reason that a marketer would choose a penetration pricing strategy?

E) to discourage competition from entering the market

Answer: E Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-1

- 8) Companies usually develop _____ rather than single products.

B) product lines

Answer: B Diff: 1 Page Ref: 313 Skill: Concept Objective: 11-2

- 9) A marketer must be familiar with the five major product mix pricing situations. Which of the following is NOT one of them?

D) unbundled product pricing

Answer: D Diff: 3 Page Ref: 313 Skill: Concept Objective: 11-2

- 10) A challenge for management in product line pricing is to decide on the price steps between the _____.

A) various products in a line

Answer: A Diff: 2 Page Ref: 313 Skill: Concept Objective: 11-2

- 11) When using price steps, the seller must establish perceived _____ that support the price differences.

B) quality differences

**Answer: B Diff: 2 Page Ref: 314 AACSB: Communication
Skill: Concept Objective: 11-2**

- 12) Many producers who use captive-product pricing set the price of the main product _____ and set _____ on the supplies necessary to use the product.

C) low; high markups

Answer: C Diff: 2 Page Ref: 314 Skill: Concept Objective: 11-2

- 13) When amusement parks and movie theaters charge admission plus fees for food and other attractions, they are following a(n) _____ pricing strategy.

C) captive-product

Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-2

- 14) HiPoint Telephone Company uses two-part pricing for its long-distance call charges. Because this is a service, the price is broken into a fixed rate plus a _____.

B) variable usage rate

Answer: B Diff: 1 Page Ref: 315 Skill: Concept Objective: 11-2

- 15) Companies involved in deciding which items to include in the base price and which to offer as options are engaged in _____ pricing.

B) optional-product

Answer: B Diff: 1 Page Ref: 314 Skill: Concept Objective: 11-2

16) Keeping in mind that a seller must sell by-products at a price that covers more than the cost of storing and delivering them, which of the following will by-product pricing permit a seller to do?

B) make extra profit

C) reduce the main product's price

E) B and C

Answer: E Diff: 3 Page Ref: 315 Skill: Concept Objective: 11-2

17) With product bundle pricing, sellers can combine several products and offer the bundle _____.

B) at a reduced price

Answer: B Diff: 1 Page Ref: 315 Skill: Concept Objective: 11-2

18) What is a major advantage of product bundle pricing?

A) It can promote the sales of products consumers might not otherwise buy.

Answer: A Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-2

19) Which of the following is NOT a price adjustment strategy?

C) free samples

Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-3

20) Service Industries, Inc., plans to offer a price-adjustment strategy in the near future. They could consider each of the following EXCEPT _____.

C) physiological pricing

Answer: C Diff: 2 Page Ref: 315 Skill: Concept Objective: 11-3

21) A quantity discount is a price reduction to buyers who purchase _____.

B) large volumes

Answer: B Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-3

22) Trade or functional discounts are offered by manufacturers to which of the following?

A) channel members who perform tasks that the manufacturer would otherwise have to perform

Answer: A Diff: 3 Page Ref: 316 Skill: Concept Objective: 11-3

23) Which of the following is an example of a cash discount?

A) 2/10, net 30

Answer: A Diff: 3 Page Ref: 316 Skill: Concept Objective: 11-3

24) When General Motors provides payments or price reductions to its new car dealers as rewards for participating in advertising and sales support programs, it is granting a(n) _____.

D) promotional allowance

Answer: D Diff: 1 Page Ref: 316 Skill: Concept Objective: 11-3

25) Quantity discounts provide an incentive to the customer to buy _____.

C) more from one given seller, rather than from many different sources

Answer: C Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-3

26) By definition, this type of pricing is used when a firm sells a product or service at two or more prices, even though the difference in price is not based on differences in cost.

A) segmented pricing

Answer: A Diff: 2 Page Ref: 316 Skill: Concept Objective: 11-2

27) When a firm varies its price by the season, month, day, or even hour, it is using _____ pricing.

D) time

Answer: D Diff: 1 Page Ref: 316 Skill: Concept Objective: 11-3

28) Airlines, hotels, and restaurants call segmented pricing _____.

B) yield management

Answer: B Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

29) Which of the following conditions should exist for segmented pricing to be an effective strategy?

A) The market must be able to be segmented.

B) The segments must show different degrees of demand.

C) Competitors can't undersell in the segment being charged the higher price.

D) All of the above.

Answer: D Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

30) Consumers usually perceive higher-priced products as _____.

B) having a higher quality

Answer: B Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

31) Consumer use price less to judge the quality of a product when they _____.

C) have experience with the product

Answer: C Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

32) Michael and John both own leather jackets and are currently shopping for two new ones. They both have prices in mind and refer to them when shopping. These prices are termed _____.

B) reference prices

Answer: B Diff: 2 Page Ref: 319 Skill: Concept Objective: 11-3

33) Which of the following refers to the prices that a buyer carries in his or her mind and refers to when looking at a given product?

B) reference prices

Answer: B Diff: 1 Page Ref: 319 Skill: Concept Objective: 11-3

34) When consumers cannot judge quality because they lack the information or skill, price becomes _____.

C) an important quality signal

Answer: C Diff: 2 Page Ref: 317 Skill: Concept Objective: 11-3

35) All of the following are typical ways a reference price might be formed in a buyer's mind EXCEPT _____.

D) comparing it to a new product

Answer: D Diff: 2 Page Ref: 319 Skill: Concept Objective: 11-3

36) What type of pricing is being used when a company temporarily prices its product below the list price or even below cost to create buying excitement and urgency?

D) promotional pricing

Answer: D Diff: 1 Page Ref: 320 Skill: Concept Objective: 11-3

37) Promotional pricing can have all of the following adverse effects EXCEPT _____.

C) giving pricing secrets away to competitors

Answer: C Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

38) The most likely effect of the frequent use of promotional pricing is an industry _____.

B) price war

Answer: B Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

39) When customers buy products from manufacturers' dealers within a specified time period, the manufacturer sends the customer a check called a _____.

A) cash rebate

Answer: A Diff: 2 Page Ref: 320 Skill: Concept Objective: 11-3

40) Durango China Company charges all customers within a given geographical area a single total price. The more distant the area, the higher the price. This is _____.

B) zone pricing

Answer: B Diff: 2 Page Ref: 321 Skill: Concept Objective: 11-3

41) Under which type of geographic pricing strategy does each customer pay the exact freight for the product from the factory to its destination?

D) FOB-origin pricing

Answer: D Diff: 2 Page Ref: 321 Skill: Concept Objective: 11-3

42) Using this pricing strategy, the seller takes responsibility for part or all of the actual freight charges in order to get the desired business.

B) freight-absorption

Answer: B Diff: 1 Page Ref: 321 Skill: Concept Objective: 11-3

43) Which of the following is the opposite of FOB-origin pricing?

C) uniform-delivered pricing

Answer: C Diff: 3 Page Ref: 321 Skill: Concept Objective: 11-3

44) Freight-absorption pricing is used for _____ and _____.

C) market penetration; holding on to increasingly competitive markets

Answer: C Diff: 3 Page Ref: 321 Skill: Concept Objective: 11-3

45) When a company charges the same rate to ship a product anywhere in the United States, it is using which form of geographic pricing?

D) uniform delivered

Answer: D Diff: 1 Page Ref: 321 Skill: Concept Objective: 11-3

46) The Internet offers _____, where the price can easily be adjusted to meet changes in demand.

B) dynamic pricing

**Answer: B Diff: 2 Page Ref: 322 AACSB: Use of IT
Skill: Concept Objective: 11-3**

47) Some companies are reversing the fixed pricing trend and using _____.

D) dynamic pricing

Answer: D Diff: 2 Page Ref: 322 Skill: Concept Objective: 11-3

48) When pricing internationally, most companies adjust their prices to reflect _____.

A) local market conditions

B) cost considerations

C) local laws and regulations

D) exchange-rate fluctuations

E) all of the above

Answer: E Diff: 2 Page Ref: 323

AACSB: Multicultural and Diversity Skill: Concept Objective: 11-3

49) Most companies that conduct international business _____ to _____.

A) adjust their prices; take local market conditions into consideration

Answer: A Diff: 2 Page Ref: 323

AACSB: Multicultural and Diversity Skill: Concept Objective: 11-3

50) Price escalation in international markets may result from differences in market conditions or _____.

B) selling strategies

Answer: B Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity

Skill: Concept Objective: 11-4

51) Which of the following is LEAST likely to cause price escalation in foreign markets?

D) the additional costs of improving a country's infrastructure

Answer: D Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity

Skill: Concept Objective: 11-3

52) Price escalation in international markets may result from four of these five marketing conditions. Which one will have the LEAST effect?

E) language barriers

Answer: E Diff: 2 Page Ref: 323 AACSB: Multicultural and Diversity

Skill: Concept Objective: 11-3

53) There are many reasons why a firm might consider cutting its price. All of the following are among them EXCEPT _____.

D) monopolistic competition

Answer: D Diff: 2 Page Ref: 324 Skill: Concept Objective: 11-4

54) Which of the following is a reason for a company to raise its prices?

A) to address the issue of overdemand for a product

Answer: A Diff: 1 Page Ref: 324 Skill: Concept Objective: 11-4

55) Which of the following is a major factor that influence price increases?

A) cost inflation

Answer: A Diff: 2 Page Ref: 324 Skill: Concept Objective: 11-4

56) Competitors are most likely to react to a price change when _____.

A) the number of firms involved is small

B) the purchase is uniform

D) A and B

Answer: D Diff: 2 Page Ref: 325 Skill: Concept Objective: 11-4

57) A competitor is likely to interpret your firm's decision to cut prices in many ways, including all of the following EXCEPT as _____.

C) a personal decision due to management's personality

Answer: C Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

58) When a competitor cuts its price, a company is most likely to decide to _____ if it believes it will not lose much market share or would lose too much profit by cutting its own price.

C) maintain its current prices and profit margin

Answer: C Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

59) When faced with a competitor who has cut its product's price, which of the following is typically the most efficient way for a company to maintain its own price but raise the perceived value of its offer?

C) altering the company's marketing communications

Answer: C Diff: 3 Page Ref: 326 Skill: Concept Objective: 11-4

60) Which of the following is NOT an effective action that a company can take to combat a competitor's price cut on a product?

D) bundle products together

Answer: D Diff: 2 Page Ref: 326 Skill: Concept Objective: 11-4

61) When a firm improves the quality and increases the price of a product in reaction to a competitor making a price reduction, the firm in essence is _____.

C) moving its brand into a higher price-value position

Answer: C Diff: 3 Page Ref: 327 Skill: Concept Objective: 11-4

62) A company would most likely consider launching a low-price "fighting brand" in response to a competitor reducing prices if _____.

A) the market segment being lost is price sensitive

Answer: A Diff: 2 Page Ref: 327 Skill: Concept Objective: 11-4

63) Price-fixing, predatory pricing, retail price maintenance, and deceptive pricing are examples of _____.

B) major public policy issues in pricing

Answer: B Diff: 1 Page Ref: 327 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

64) The Sherman, Clayton, and Robinson-Patman Acts are all federal laws that were enacted to curb the formation of _____.

A) monopolies

Answer: A Diff: 2 Page Ref: 327 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

65) When sellers set prices after talking to competitors and engaging in collusion, they are involved in _____.

C) price-fixing

Answer: C Diff: 2 Page Ref: 328 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

66) Federal legislation on price-fixing requires that sellers set their prices _____.

B) without communication from competitors

Answer: B Diff: 2 Page Ref: 328 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

67) If a large retailer sold numerous items below cost with the intention of punishing small competitors and gaining higher long-run profits by putting them out of business, the retailer would be guilty of _____.

C) predatory pricing

Answer: C Diff: 2 Page Ref: 328-329 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

68) Which of the following would most likely be considered predatory pricing?

B) pricing below cost to drive out competitors

C) pricing below cost in order to entice customers to your store

E) both B and C if the intent is to somehow harm competition

Answer: E Diff: 3 Page Ref: 328 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

69) The Robinson-Patman Act seeks to prevent unfair _____ by ensuring that sellers offer the same price terms to customers at a given price level.

B) price discrimination

Answer: B Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

70) Price discrimination is legal under which of the following conditions?

C) when a seller can prove its costs are different when selling to different retailers

Answer: C Diff: 3 Page Ref: 330 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

71) Price discrimination may be used to match competition as long as the strategy is temporary, localized, and _____.

A) defensive

Answer: A Diff: 3 Page Ref: 330 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

72) Mark's Markers, a manufacturer of color markers, has required its dealers to charge a specified retail price for its markers. Mark's is most likely guilty of _____.

B) retail price maintenance

Answer: B Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

73) _____ results when a company uses pricing methods that make it difficult for consumers to understand just what price they are really paying.

C) Price confusion

Answer: C Diff: 2 Page Ref: 330 AACSB: Ethical Reasoning

Skill: Concept Objective: 11-4

74) Failure to enter the current price into a retailer's system may result in charges of _____.

B) scanner fraud

Answer: B Diff: 2 Page Ref: 330 AACSB: Use of IT

Skill: Concept Objective: 11-4

75) Comparison pricing claims are legal if they are truthful. However, sellers should not advertise a price reduction unless _____.

- A) it is a saving from the usual retail price**
- B) a "factory" price, if listed, is what it is claimed to be**
- C) a "wholesale" price, if listed, is what it is claimed to be**
- D) "comparable value items" are not actually imperfect goods**
- E) all of the above**

Answer: E Diff: 1 Page Ref: 330 AACSB: Ethical Reasoning
Skill: Concept Objective: 11-4

76) Valeo Fashions has just introduced a new line of fashion dresses for teens. They will initially enter the market at high prices in a _____ pricing strategy.

- B) market-skimming**

Answer: B Diff: 2 Page Ref: 312 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

77) Market-skimming pricing would likely be most effective in selling _____.

- B) an electronic device for which research and development must be recouped**

Answer: B Diff: 3 Page Ref: 312 AACSB: Analytic Skills
Skill: Application Objective: 11-1

78) Among the following, a market-penetration strategy will likely be most effective with _____.

- C) convenience items for which there is much competition**

Answer: C Diff: 3 Page Ref: 313 AACSB: Analytic Skills
Skill: Application Objective: 11-1

79) When Pepsi came out with Pepsi Blue and priced it at half price to attract buyers they were using, Pepsi was using _____.

- B) market-penetration pricing**

Answer: B Diff: 2 Page Ref: 313 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

80) Johnson Boats wants to introduce a new model of boat into mature markets in highly developed countries with the goal of quickly gaining mass-market share. As a consultant, you should recommend a _____ pricing strategy.

- B) market-penetration**

Answer: B Diff: 2 Page Ref: 313 AACSB: Reflective Thinking
Skill: Application Objective: 11-1

81) When Circuit Town Electronics sets its televisions at three price levels of \$699, \$899, and \$1,099, it is using _____.

A) product line pricing

Answer: A Diff: 1 Page Ref: 314 AACSB: Reflective Thinking

Skill: Application Objective: 11-2

82) When Polaroid set the general price range of its cameras low and the markup on its film high, it was practicing _____.

D) captive-product pricing

Answer: D Diff: 2 Page Ref: 314 AACSB: Reflective Thinking

Skill: Application Objective: 11-2

83) When product managers at Schwinn make decisions about which types of bicycle seats, handle bars, and saddlebags to offer customers on their bikes, they are engaged in _____.

B) optional-product pricing

Answer: B Diff: 1 Page Ref: 314 AACSB: Reflective Thinking

Skill: Application Objective: 11-2

84) Mach 3 razor blades must be used in the Mach 3 razor. Which type of pricing is most likely used?

C) captive-product pricing

Answer: C Diff: 2 Page Ref: 314 AACSB: Reflective Thinking

Skill: Application Objective: 11-2

85) The fact that a hot dog cost five times more at Disneyland than at Sam's Club is an example of _____.

B) captive-product pricing

Answer: B Diff: 2 Page Ref: 314 AACSB: Reflective Thinking

Skill: Application Objective: 11-2

86) A manufacturer offers 3/10, net 30, terms to a wholesaler for a recent purchase. The wholesaler may deduct _____ percent if the bill is paid within _____ days.

D) 3; 10

Answer: D Diff: 3 Page Ref: 316 AACSB: Analytic Skills

Skill: Application Objective: 11-3

87) When Whallans Gift Card Shop offers a price reduction to customers who buy Christmas cards the week after Christmas, Whallans is giving a(n) _____ discount.

B) seasonal

Answer: B Diff: 1 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

88) The New Age Gallery has three admission prices for students, adults, and seniors. All three groups are entitled to the same services. This form of pricing is called _____.

C) customer-segmented pricing

Answer: C Diff: 2 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

89) Brown Baby Tanning Salon offers weekly tanning sessions for \$15 and season passes with unlimited tanning for \$150. Brown Baby Tanning Salon is offering _____ pricing.

D) discount

Answer: D Diff: 2 Page Ref: 316 AACSB: Analytic Skills

Skill: Application Objective: 11-3

90) Lancaster Recycling has a history of problems with customers who do not pay their bills on time. Lancaster Recycling wants to improve its cash situation, reduce bad debts, and reduce credit-collection costs. The company might consider which of the following forms of pricing?

C) cash discounts

Answer: C Diff: 3 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

91) Secret Sneaker will give anyone \$10 for their old sneakers, regardless of condition, when purchasing a new pair of sneakers. The end result is essentially reducing the price of the new sneakers by \$10. What is this type of price adjustment called?

D) trade-in allowance

Answer: D Diff: 1 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

92) Bose prices its most expensive noise reduction earphones at \$399.95, which is a full \$100.00 more than its next most expensive earphones. It costs Bose only a few dollars more to make the most expensive earphones. Bose is using _____ pricing.

B) product-form

Answer: B Diff: 3 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

93) The Chicago Bears organization charges different prices for seats in different areas of the Soldier Field, even though the costs are the same. This form of pricing is called _____.

A) location pricing

Answer: A Diff: 2 Page Ref: 316 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

94) Manor Cinemas has announced that seniors over 60 years of age can enter the theater for free prior to 4:00 p.m. when accompanied by a paying customer. This is an example of _____.

A) promotional pricing

Answer: A Diff: 2 Page Ref: 320 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

95) The JC Whitney Company of Chicago offers replacement parts for older Volkswagen Beetles. Parts are often shipped from other locations throughout the United States. However, the company charges for shipping as if every part was shipped from their Chicago headquarters. The company practices _____.

D) basing-point pricing

Answer: D Diff: 2 Page Ref: 321 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

96) If Northwest Awnings charges the same price for delivery of their product to any customer that is located within the Great Lakes states, the company is using _____.

D) zone pricing

Answer: D Diff: 3 Page Ref: 321 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

97) Big Mike's Health Food Store sells nutritional energy-producing foods. The price of the products sold varies according to individual customer accounts and situations. For example, long-time customers receive discounts. This strategy is an example of _____.

C) dynamic pricing

Answer: C Diff: 3 Page Ref: 322 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

98) Savings for You, a discount retail chain, is highly competitive. When entering a new market, Savings for You often cuts prices so deeply that it sells below costs, effectively pushing smaller companies with less purchasing power out of the market. Savings for You is most at risk of being accused of _____.

E) predatory pricing

Answer: E Diff: 2 Page Ref: 328 AACSB: Reflective Thinking

Skill: Application Objective: 11-3

125) When Redman's Variety raised their store prices 40 percent and then ran a 20 percent off sale, Redman's was guilty of deceptive pricing.

Answer: TRUE

Diff: 2 Page Ref: 330

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

126) Companies bringing out a new product can choose between two broad strategies: market-skimming pricing and market-penetration pricing. Distinguish between the two.

Answer: Market skimming is used to skim revenues layer by layer from the market by entering the market with high initial prices. The product's quality and image must support its higher price, and enough buyers must want the product at that price. The costs of producing a smaller volume cannot be so high that they cancel the advantage of charging more. Competitors should not be able to enter the market easily and undercut the high price. Market penetration is used to penetrate the market quickly and deeply to attract a large number of buyers quickly and win a large market share by setting a low price initially when it enters the market. The market must be highly price sensitive so that a low price produces more market growth. Production and distribution costs must fall as sales volume increases. Also, the low price must help keep out competition and be maintained over time.

Diff: 2 Page Ref: 312-313

AACSB: Analytic Skills

Skill: Application

Objective: 11-1

127) Sensenig Propeller manufactures replica antique wooden airplane propellers. In the process of producing these products they generate a great deal of scrap hardwood. Which pricing mix strategy should they use, and how does it function?

Answer: Using by-product pricing, Sensenig will seek a market for the hardwood or by-products and should accept any price that covers more than the cost of storing and delivering the by-products. This practice allows the Sensenig to reduce the main product's price to make it more competitive. Sensenig might even find that the by-products themselves are profitable.

Diff: 1 Page Ref: 315

AACSB: Analytic Skills

Skill: Application

Objective: 11-2

128) Explain product line pricing.

Answer: With this option, management must decide on the price steps to set between the various products in a line. The price steps should take into account cost differences between the products in a line, customer evaluations of their different features, and competitors' prices. The seller's task is to establish perceived quality differences that support the price differences between various price points.

Diff: 1 Page Ref: 313

AACSB: Analytic Skills

Skill: Application

Objective: 11-2

129) Why do businesses use cash discounts when they are in essence losing some money on the sale?

Answer: Such discounts are customary in many industries in order to reward a customer who pays their bill promptly. The practice encourages customers to pay early, giving the firm quicker and more reliable access to cash. A cash discount can also help to build customer loyalty to the firm.

Diff: 2 Page Ref: 316

AACSB: Analytic Skills

Skill: Application

Objective: 11-3

130) Describe the differences between dynamic and fixed pricing.

Answer: Throughout most of history, prices were set by negotiation between buyers and sellers. The fixed price policy—setting one price for all buyers—is a relatively modern idea that arose with the development of large-scale retailing at the end of the nineteenth century. Today most prices are set this way. However, some companies are now reversing the fixed pricing trend. They are using dynamic pricing, adjusting prices continually to meet the characteristics and needs of individual customers and situations. Dynamic pricing makes sense in many contexts, it adjusts prices according to market forces, and it often works to the benefit of the customer.

Diff: 1 Page Ref: 322

AACSB: Analytic Skills

Skill: Application

Objective: 11-3

131) Explain the factors involved in setting international pricing.

Answer: In some cases, a company can set a uniform worldwide price. However, most companies adjust their prices to reflect local market conditions and cost considerations. A firm must consider economic conditions, competitive situations, laws and regulations, and development of the wholesale and retail system. Consumer perceptions and preferences also may vary from country to country, calling for different prices. The company may have different marketing objectives in various world markets. Costs play an important role in setting international prices. Management must prepare for price escalation that may result from the differences in selling strategies or market conditions. The additional costs of product modifications, shipping and insurance, import tariffs and taxes, exchange-rate fluctuations, and physical distributions must all be factored into the "price."

Diff: 2 Page Ref: 323

AACSB: Multicultural and Diversity

Skill: Application

Objective: 11-3

132) When would price cuts and price increases be necessary?

Answer: Price cuts may be necessary when there is excess capacity. Another time to cut prices is when market share is falling in the face of strong price competition. A company may also cut prices in a drive to dominate the market through lower costs. A major factor in price increases is cost inflation. Rising costs squeeze profit margins and lead companies to pass cost increases along to customers. Another factor leading to price increases is over-demand. When a company cannot supply all its customers' needs, it can raise its prices, ration products to customers, or both.

Diff: 3 Page Ref: 324

AACSB: Analytic Skills

Skill: Application

Objective: 11-4

133) When are competitors most likely to react to price changes? How can a firm anticipate the likely reactions of its competitors?

Answer: Competitors are most likely to react when the number of firms involved is small, when the product is uniform, and when the buyers are well informed. If the firm faces one large competitor, and if the competitor tends to react in a set way to price changes, that reaction can be easily anticipated. But if the competitor treats each price change as a fresh challenge and reacts according to its self-interest, the company will have to figure out just what makes up the competitor's self-interest at the time.

Diff: 2 Page Ref: 325-326

AACSB: Analytic Skills

Skill: Application

Objective: 11-4

134) What regulates pricing activities when the federal government does not?

Answer: States often regulate these activities. The most important pieces of federal legislation affecting prices are the Sherman, Clayton, and Robinson-Patman Acts, initially adopted to curb the formation of monopolies and to regulate business practices that might unfairly restrain trade. Because these statutes can be applied only to interstate commerce, many states have adopted similar provisions for companies that operate locally. Examples include pricing within channel levels and pricing across channel levels.

Diff: 2 Page Ref: 327

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

135) Compare the practices of price-fixing and predatory pricing, explaining why each is prohibited by law.

Answer: Many federal, state, and local laws govern the rules of fair play in pricing. Two major areas of concern are price-fixing and predatory pricing. Companies that engage in price-fixing collude to set a common price for their comparable products; price-fixing undermines the core element of price competition in our free-market economy. On the other hand, predatory pricing takes price competition too far. Predatory pricing occurs when a company sells a product below cost with the intention of punishing a competitor or by putting a competitor out of business.

Diff: 3 Page Ref: 328-329

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

136) For what types of products might marketers use market-skimming pricing?

Answer: Such pricing works when the product's quality and image support the higher price; for example, companies selling high-tech electronics may use market-skimming pricing.

Diff: 2 Page Ref: 312

AACSB: Analytic Skills

Skill: Application

Objective: 11-1

137) For what types of products might marketers use market-penetration pricing?

Answer: Marketers use such pricing when attempting to attract a large number of buyers quickly and win a large market share; such pricing may be common when competition for products is high.

Diff: 2 Page Ref: 313

AACSB: Analytic Skills

Skill: Application

Objective: 11-1

138) Why is product line pricing used?

Answer: Such pricing is used to establish price ranges□or price steps□within product lines.

Diff: 1 Page Ref: 313

AACSB: Analytic Skills

Skill: Application

Objective: 11-2

139) Give two examples of products for which marketers may use optional-product pricing.

Answer: Such products may include refrigerators with icemakers and cars with options such as stereos, GPS, and cruise control.

Diff: 1 Page Ref: 314

AACSB: Reflective Thinking

Skill: Application

Objective: 11-2

140) Give two examples of products for which captive-product pricing may be used.

Answer: Captive-product pricing is used when pricing theater tickets and selling refreshments at a higher rate; it is also used when pricing game consoles along with video games.

Diff: 3 Page Ref: 314

AACSB: Reflective Thinking

Skill: Application

Objective: 11-2

141) Give two examples of by-product pricing.

Answer: Examples could include selling scrap metal after producing metal stampings or selling donut holes after producing donuts.

Diff: 2 Page Ref: 315

AACSB: Reflective Thinking

Skill: Application

Objective: 11-2

142) How do consumers benefit from product bundle pricing?

Answer: Several products are sold together at a reduced rate; vacation packages that include air and hotel or value meals in the fast-food industry are examples.

Diff: 2 Page Ref: 315

AACSB: Analytic Skills

Skill: Application

Objective: 11-2

143) Give an example of a cash discount.

Answer: With a 2/10, net 30 arrangement, for example, the customer can deduct 2 percent if the bill is paid within 10 days.

Diff: 3 Page Ref: 316

AACSB: Analytic Skills

Skill: Application

Objective: 11-3

144) List four types of segmented pricing.

Answer: Customer-segment pricing, product-form pricing, location pricing, and time pricing are all examples.

Diff: 3 Page Ref: 316

AACSB: Analytic Skills

Skill: Application

Objective: 11-3

145) Explain the psychology behind a price of \$9.99 instead of \$10.00.

Answer: Consumers typically see the \$9.99 product in the \$9 range instead of the \$10 range; the price appears to psychologically be cheaper.

Diff: 2 Page Ref: 320

AACSB: Analytic Skills

Skill: Application

Objective: 11-3

146) L.L. Bean sells its catalog items FOB-origin pricing. Who pays the freight charges?

Answer: The customer pays for the freight.

Diff: 2 Page Ref: 321

AACSB: Reflective Thinking

Skill: Application

Objective: 11-3

147) Explain two different ways a consumer might view a price cut.

Answer: A consumer might believe that he or she is getting a good deal on a quality product, or a consumer might believe that the quality of the product has been reduced.

Diff: 2 Page Ref: 325

AACSB: Analytic Skills

Skill: Application

Objective: 11-4

148) Why is predatory pricing considered illegal?

Answer: Predatory pricing works against the principles of a free-enterprise system; predatory pricing allows the marketers to sell below cost with the intention of punishing competitors.

Diff: 2 Page Ref: 329

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

149) How can a manufacturer avoid using retail price maintenance but still exert some influence over the price retailers charge for its product?

Answer: The manufacturer can propose a suggested retail price.

Diff: 1 Page Ref: 330

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

150) How does deceptive pricing harm consumers?

Answer: Deceptive pricing occurs when a seller states prices or price savings that mislead consumers or are actually not available to consumers.

Diff: 2 Page Ref: 330

AACSB: Ethical Reasoning

Skill: Application

Objective: 11-4

Chapter 12 Marketing Channels: Delivering Customer Value

- 1) Which of the following is NOT a typical supply chain member?

D) government agencies

Answer: D Diff: 1 Page Ref: 337 Skill: Concept Objective: 12-1

- 2) _____ the manufacturer or service provider is the set of firms that supply the raw materials, components, parts, information, finances, and expertise needed to create a product or service.

B) Upstream from

Answer: B Diff: 2 Page Ref: 337 Skill: Concept Objective: 12-1

- 3) Another term for the supply chain that suggests a sense and respond view of the market is _____.

B) demand chain

Answer: B Diff: 3 Page Ref: 338 Skill: Concept Objective: 12-1

- 4) When suppliers, distributors, and customers partner with each other to improve the performance of the entire system, they are participating in a _____.

A) value delivery network

Answer: A Diff: 1 Page Ref: 338 Skill: Concept Objective: 12-1

- 5) Most producers today sell their goods to _____.

C) intermediaries

Answer: C Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

- 6) A company's channel decisions directly affect every _____.

B) marketing decision

Answer: B Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

- 7) Distribution channel decisions often involve _____ with other firms, particularly those that involve contracts or relationships with channel partners.

B) long-term commitments

Answer: B Diff: 3 Page Ref: 339 Skill: Concept Objective: 12-1

- 8) Joe Blanco, like other producers, has discovered that his intermediaries usually offer his firm more than it can achieve on its own. Which of the following is most likely an advantage that Joe creates by working with intermediaries?

C) scale of operation

Answer: C Diff: 2 Page Ref: 339 Skill: Concept Objective: 12-1

- 9) From the economic system's point of view, the role of marketing intermediaries is to transform the assortment of products made by producers into the assortment of products wanted by _____.

C) consumers

Answer: C Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

- 10) Producers benefit from using intermediaries because they _____.

A) offer greater efficiency in making goods available to target markets

Answer: A Diff: 3 Page Ref: 339 Skill: Concept Objective: 12-1

- 11) Intermediaries play an important role in matching _____.

B) supply and demand

Answer: B Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

- 12) Channel members add value by bridging the major gaps of _____ that separate goods and services from those who would use them.

C) time, place, and possession

Answer: C Diff: 2 Page Ref: 340 Skill: Concept Objective: 12-1

- 13) Which of the following is NOT a key function that intermediaries play in completing transactions?

E) negotiation

Answer: E Diff: 3 Page Ref: 340 Skill: Concept Objective: 12-1

- 14) Which of the following is NOT a key function that intermediaries play in helping to fulfill a completed transaction?

B) promotion

Answer: B Diff: 3 Page Ref: 340 Skill: Concept Objective: 12-2

- 15) In marketing terms, we say that the number of intermediary levels indicates the _____ of a channel.

D) length

Answer: D Diff: 1 Page Ref: 341 Skill: Concept Objective: 12-1

16) To a producer of goods, a greater number of channel levels means _____ and greater channel complexity.

B) less control

Answer: B Diff: 2 Page Ref: 341 Skill: Concept Objective: 12-1

17) All of the institutions in a channel are connected by various flows. These include physical flow, flow of ownership, payment flow, information flow, and _____ flow.

A) promotion

Answer: A Diff: 3 Page Ref: 341 AACSB: Communication

Skill: Concept Objective: 12-1

18) A distribution channel is more than a collection of firms connected by various flows; it is a(n) _____ in which people and companies interact to accomplish individual, company, and channel goals.

B) complex behavioral system

Answer: B Diff: 2 Page Ref: 342 AACSB: Communication

Skill: Concept Objective: 12-2

19) An advantage of a channel of distribution over selling direct to consumers is that each channel member plays a _____ in the channel.

B) specialized role

Answer: B Diff: 2 Page Ref: 342 Skill: Concept Objective: 12-2

20) _____ conflict, which occurs between different levels of the same channel, is more common than _____ conflict, which occurs among firms at the same level of the channel.

B) Vertical; horizontal

Answer: B Diff: 2 Page Ref: 342 Skill: Concept Objective: 12-2

21) Historically, conventional channels have lacked the leadership to _____.

C) assign member roles and manage conflict

Answer: C Diff: 3 Page Ref: 343 AACSB: Communication

Skill: Concept Objective: 12-2

22) A conventional distribution channel consists of one or more _____ producers, wholesalers, and retailers.

B) independent

Answer: B Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

23) A channel consisting of one or more independent producers, wholesalers, or retailers that seek to maximize their own profits even at the expense of profits for the channel as a whole is a(n) _____.

B) conventional distribution channel

Answer: B Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

24) An advantage of a vertical marketing system (VMS) is that it acts as a _____ system.

A) unified

Answer: A Diff: 3 Page Ref: 344 Skill: Concept Objective: 12-2

25) A corporate VMS has the advantage of controlling the entire distribution chain under _____.

B) single ownership

Answer: B Diff: 1 Page Ref: 344 Skill: Concept Objective: 12-2

26) Which of the following are the three major types of vertical marketing systems?

C) contractual, corporate, and administered

Answer: C Diff: 2 Page Ref: 344 Skill: Concept Objective: 12-2

27) A distinguishing feature of a contractual VMS is that coordination and conflict management among the independent members of the channel are attained through _____.

D) contractual agreements

**Answer: D Diff: 1 Page Ref: 345 AACSB: Communication
Skill: Concept Objective: 12-2**

28) The most common type of contractual agreement in business is the _____.

A) franchise organization

Answer: A Diff: 3 Page Ref: 345 Skill: Concept Objective: 12-2

29) Leadership in which type of marketing system is assumed not through common ownership or contractual ties but through the size and power of one or a few dominant channel members?

B) administered VMS

Answer: B Diff: 2 Page Ref: 345 Skill: Concept Objective: 12-2

30) In a _____, two or more companies at one level join together to develop a new marketing opportunity.

B) horizontal marketing system

Answer: B Diff: 1 Page Ref: 345 Skill: Concept Objective: 12-2

31) Hybrid marketing systems are also called _____.

B) multichannel distribution systems

Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

32) As marketing manager for Globe Imports and Exports, you want to start reaping the benefits of a multichannel distribution system. You will likely enjoy all of the following EXCEPT which one?

B) multichannel distribution systems

Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

33) As marketing manager for Globe Imports and Exports, you want to start reaping the benefits of a multichannel distribution system. You will likely enjoy all of the following EXCEPT which one?

C) selling at a higher gross margin

Answer: C Diff: 3 Page Ref: 346 Skill: Concept Objective: 12-2

34) The use of multichannel systems in the United States is _____.

B) increasing

Answer: B Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

35) The major disadvantage of a multichannel system is that it is harder to control and it can generate _____.

A) channel conflict

Answer: A Diff: 2 Page Ref: 346 Skill: Concept Objective: 12-2

36) In many industries, traditional intermediaries are dropping by the wayside because of changes in _____ and the growth of _____ marketing.

D) technology; direct and online

Answer: D Diff: 2 Page Ref: 347 AACSB: Use of IT Skill: Concept Objective: 12-2

37) Designing a channel system calls for analyzing consumer needs, setting channel objectives, _____ and evaluation.

B) identifying major channel alternatives

Answer: B Diff: 2 Page Ref: 348 Skill: Concept Objective: 12-3

38) Which of the following should be the first step in designing a marketing channel?

B) identifying what consumers want from the channel

Answer: B Diff: 2 Page Ref: 349 Skill: Concept Objective: 12-3

39) To increase a channel's service level, it must provide a greater assortment of products, more add-on services, and _____.

C) faster delivery

Answer: C Diff: 3 Page Ref: 349 Skill: Concept Objective: 12-3

40) Companies should state their channel objectives in terms of targeted levels of _____.

C) customer service

**Answer: C Diff: 2 Page Ref: 350 AACSB: Communication
Skill: Concept Objective: 12-3**

41) When a company is identifying its major channel alternatives, it should consider its choices in terms of types, number, and _____ of intermediaries.

C) responsibilities

Answer: C Diff: 2 Page Ref: 350 Skill: Concept Objective: 12-3

42) Which type of product might require a more direct marketing channel to avoid delays and too much handling?

B) perishable products

Answer: B Diff: 2 Page Ref: 350 Skill: Concept Objective: 12-3

43) When determining the number of channel members to use at each level, three strategies are available: intensive, exclusive, and _____ distribution.

B) selective

Answer: B Diff: 1 Page Ref: 350 Skill: Concept Objective: 12-3

44) Sometimes a producer chooses only a few dealers in a territory to distribute its products or services. Generally these dealers are given a right to _____ distribution.

A) exclusive

Answer: A Diff: 1 Page Ref: 351 Skill: Concept Objective: 12-3

45) Which type of distribution is used when the producer wants more than one, but fewer than all, of the intermediaries who are willing to carry its products?

B) selective

Answer: B Diff: 1 Page Ref: 351 Skill: Concept Objective: 12-3

46) When establishing the responsibilities of channel members, the producer establishes a list price, sets discounts for intermediaries, and defines each channel member's _____.

B) territory

Answer: B Diff: 2 Page Ref: 351 Skill: Concept Objective: 12-3

47) Channel members should be evaluated using all of the following criteria EXCEPT which one?

D) channel leadership

Answer: D Diff: 3 Page Ref: 351 Skill: Concept Objective: 12-3

48) When a company compares the likely sales, costs, and profitability of different channel alternatives, it is using _____ criteria to evaluate its channel options.

C) economic

Answer: C Diff: 2 Page Ref: 351 Skill: Concept Objective: 12-3

49) It is common for international marketers to _____ their channel strategies for each country.

B) adapt

**Answer: B Diff: 1 Page Ref: 352 AACSB: Multicultural and Diversity
Skill: Concept Objective: 12-3**

50) China and India each contain more than one billion people. However, companies can access only a small percentage of these potential markets due to _____.

A) inadequate distribution systems

**Answer: A Diff: 3 Page Ref: 352 AACSB: Multicultural and Diversity
Skill: Concept Objective: 12-3**

51) Marketing channel management calls for selecting, managing, _____, and evaluating channel members over time.

C) motivating

Answer: C Diff: 2 Page Ref: 352 Skill: Concept Objective: 12-4

52) A company should think of its intermediaries as both its _____ and _____.

B) customers; partners

Answer: B Diff: 2 Page Ref: 353 Skill: Concept Objective: 12-4

53) Most companies practice strong PRM to forge long-term relationships with channel members. What does PRM stand for?

D) partner relationship management

Answer: D Diff: 1 Page Ref: 353 AACSB: Communication

Skill: Concept Objective: 12-4

54) Sometimes a seller requires its dealers to abstain from handling competitors' products in an arrangement called _____.

B) exclusive dealing

Answer: B Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning

Skill: Concept Objective: 12-4

55) Exclusive dealing is legal as long as it does not _____ or tend to create a monopoly and as long as both parties enter into the agreement _____.

C) substantially lessen competition; voluntarily

Answer: C Diff: 3 Page Ref: 356 AACSB: Ethical Reasoning

Skill: Concept Objective: 12-4

56) Exclusive territorial agreements are normal in _____.

B) franchises

Answer: B Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning

Skill: Concept Objective: 12-4

57) If the producer of a strong brand agrees to sell its brand to a dealer only if the dealer will take some or all of the rest of the line, the result is _____.

D) a tying agreement

Answer: D Diff: 2 Page Ref: 356 AACSB: Ethical Reasoning

Skill: Concept Objective: 12-4

58) Marketing logistics involves getting the right product to the right customer in the right place at the right time. Which one of the following is NOT included in this process?

D) gathering customer's ideas for new products

Answer: D Diff: 1 Page Ref: 356 Skill: Concept Objective: 12-5

59) Marketing logistics involves which of the following distribution flows?

B) outbound, inbound, and reverse

Answer: B Diff: 2 Page Ref: 356 Skill: Concept Objective: 12-5

60) Which of the following is NOT an area of responsibility for a logistics manager?

C) marketing

Answer: C Diff: 2 Page Ref: 356-357 Skill: Concept Objective: 12-5

61) Which of the following innovations has created opportunities for significant gains in distribution efficiency?

B) Web-based logistics systems

Answer: B Diff: 2 Page Ref: 357 AACSB: Use of IT Skill: Concept Objective: 12-5

62) The goal of marketing logistics should be to provide a _____ level of customer service at the least cost.

B) targeted

Answer: B Diff: 2 Page Ref: 357 Skill: Concept Objective: 12-5

63) The difference between distribution centers and storage warehouses is that the former are designed to _____.

C) move goods rather than just store them

Answer: C Diff: 2 Page Ref: 358 Skill: Concept Objective: 12-5

64) To reduce inventory management costs, many companies use a system called _____, which involves carrying only small inventories of parts or merchandise, often only enough for a few days of operation.

B) just-in-time logistics

Answer: B Diff: 2 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

65) Through the use of _____, or "smart tag" technology, a company is able to locate exactly where a product is within the supply chain.

A) RFID

Answer: A Diff: 2 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

66) Which of the following transportation modes is used for digital products?

C) the Internet

Answer: C Diff: 1 Page Ref: 359 AACSB: Use of IT Skill: Concept Objective: 12-5

67) In choosing a transportation mode for a product, shippers must balance the considerations of speed, dependability, cost, and _____.

C) availability

Answer: C Diff: 3 Page Ref: 360 Skill: Concept Objective: 12-5

68) In the proper order, identify the correct terms for these intermodal transportation combinations: rail and truck, water and truck, water and rail.

D) piggyback; fishyback; trainship

Answer: D Diff: 2 Page Ref: 360 Skill: Concept Objective: 12-5

69) Companies manage their supply chains through _____.

B) information

Answer: B Diff: 2 Page Ref: 360 AACSB: Communication

Skill: Concept Objective: 12-5

70) Using _____, retailers can share real-time data on sales and current inventory levels with suppliers who take responsibility for ordering and delivering products to retailers, thereby saving time and money.

B) continuous inventory replenishment systems

Answer: B Diff: 2 Page Ref: 361 AACSB: Use of IT Skill: Concept

Objective: 12-5

71) Lancaster Box Company wants to provide better customer service while trimming distribution costs through teamwork, both inside the company and among all the marketing channel organizations. Lancaster Box is thinking of _____.

A) integrated logistics management

Answer: A Diff: 2 Page Ref: 361 AACSB: Communication

Skill: Concept Objective: 12-5

72) What is the goal of integrated supply chain management?

A) to reduce costs

B) to increase services with minimal cost through teamwork

C) to harmonize all of the company's logistics decisions

D) to reduce conflict and increase cooperation among channel members

E) all of the above

Answer: E Diff: 3 Page Ref: 361 AACSB: Communication

Skill: Concept Objective: 12-5

73) Smart companies coordinate their logistics strategies and forge strong partnerships with suppliers and customers to improve customer service and reduce channel costs through _____.

D) cross-functional, cross-company teams

Answer: D Diff: 3 Page Ref: 362 AACSB: Communication

Skill: Concept Objective: 12-5

74) The success of each channel member depends on the performance of _____.

B) the entire supply chain

Answer: B Diff: 2 Page Ref: 362 Skill: Concept Objective: 12-5

75) Today, a growing number of firms now outsource some or all of their logistics to _____.

D) third-party logistics providers

Answer: D Diff: 1 Page Ref: 362 Skill: Concept Objective: 12-5

76) In designing its marketing channel, Chairs for Every Occasion has moved from a make-and-sell view of its business, which focused on productive inputs and factory capacity as a starting point for marketing planning, to a sense-and-respond view, which begins instead with the needs of target customers. With this new view, Chairs for Every Occasion is developing its _____.

C) demand chain

Answer: C Diff: 3 Page Ref: 338 AACSB: Reflective Thinking

Skill: Application Objective: 12-1

77) Proud Pets, a producer of clothing and accessories for pets, has recently partnered with a regional chain of pet stores. Which of the following would Proud Pets be LEAST likely to expect from its new channel member?

D) identifying raw materials and other productive inputs

Answer: D Diff: 2 Page Ref: 340 AACSB: Reflective Thinking

Skill: Application Objective: 12-1

78) Steve's Physco Skates sells its products to Wal-Mart, who then sells them to the consumer. This is an example of a(n) _____.

C) indirect marketing channel

Answer: C Diff: 1 Page Ref: 341 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

79) Joanie Calvert is experiencing a disagreement with intermediaries in the channel over who should do what and for what rewards. Joanie is experiencing _____.

B) channel conflict

Answer: B Diff: 1 Page Ref: 342 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

80) When two Taco Bell restaurants have a disagreement over who should be able to sell in quantity at a discount to the local high school band, they are in a _____ conflict.

D) horizontal

Answer: D Diff: 2 Page Ref: 342 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

81) Staples Office Supply opened an online store that created competition with many of its dealers. The corporate office created a _____ conflict.

A) vertical

Answer: A Diff: 2 Page Ref: 342 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

82) Which of the following is an example of horizontal channel conflict?

A) managers of two separate Holiday Inns disagreeing over what constitutes poor service

D) the BMW dealership in Fort Wayne complaining that the BMW dealership in Indianapolis is situated too close

E) A and D

Answer: E Diff: 3 Page Ref: 342 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

83) Which of the following is an example of a manufacturer-sponsored retailer franchise system?

C) Ford and its network of independent franchised dealers

Answer: C Diff: 3 Page Ref: 345 AACSB: Analytic Skills

Skill: Application Objective: 12-2

84) When McDonald's offers its products inside of a Wal-Mart store, it is following a _____.

C) contractual VMS

Answer: C Diff: 3 Page Ref: 345 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

85) Which of the following is an example of a multichannel distribution system?

B) J. C. Penney's catalog and retail store sales

Answer: B Diff: 2 Page Ref: 346 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

86) Blockbuster offers DVD rentals through its Total Access online rental service and through its bricks-and-mortar stores. This is an example of a(n)_____.

E) multichannel distribution system

Answer: E Diff: 1 Page Ref: 346 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

87) When Netflix began delivering DVDs directly to customers through the mail instead of using a brick-and-mortar system, Netflix was following the trend of _____.

B) disintermediation

Answer: B Diff: 1 Page Ref: 347 AACSB: Reflective Thinking

Skill: Application Objective: 12-2

88) Chewing gum is stocked in many outlets in the same market or community; in fact, it is placed in as many outlets as possible. This is an example of _____ distribution.

D) intensive

Answer: D Diff: 2 Page Ref: 351 AACSB: Reflective Thinking

Skill: Application Objective: 12-3

89) Which product(s) will most likely be intensively distributed?

D) Coca Cola

Answer: D Diff: 1 Page Ref: 351 AACSB: Analytic Skills

Skill: Application Objective: 12-3

90) Which product will most likely be exclusively distributed?

A) BMW cars

Answer: A Diff: 1 Page Ref: 351 AACSB: Analytic Skills

Skill: Application Objective: 12-3

91) Tiffany & Co jewelry can only be found in a limited number of intermediaries. This is an example of _____ distribution.

A) exclusive

Answer: A Diff: 2 Page Ref: 351 AACSB: Reflective Thinking

Skill: Application Objective: 12-3

92) Why is it important for manufacturers to be sensitive to the needs of their dealers?

D) Dealer support is essential to creating value for the customer.

Answer: D Diff: 2 Page Ref: 353 AACSB: Analytic Skills

Skill: Application Objective: 12-4

93) Caterpillar, the famous heavy equipment manufacturer, has a reputation for working in harmony with its worldwide distribution network of independent dealers. Caterpillar has shared its successes with its dealers and protected its dealers during difficult economic times. This is an example of _____.

E) partner relationship management

Answer: E Diff: 2 Page Ref: 353 AACSB: Reflective Thinking

Skill: Application Objective: 12-4

94) Max Samuelson is a high-end fashion designer who markets his clothing lines through a limited number of highly reputable retailers. Max uses _____.

A) exclusive distribution

Answer: A Diff: 3 Page Ref: 356 AACSB: Reflective Thinking

Skill: Application Objective: 12-4

95) Jewels for the Rich and Famous sells very exclusive jewelry with a minimum price of \$25,000 to customers around the world. Speed of delivery to distant markets is a must. Management should consider using _____ as its main carrier.

B) air

Answer: B Diff: 2 Page Ref: 360 AACSB: Analytic Skills

Skill: Application Objective: 12-5

96) Grayville Rock and Gravel, located in a seaport town, sells rock, gravel, and sand to local markets. It has just been awarded a contract with a company 500 miles down the coast. Management should consider switching from truck to _____ transport.

A) water

Answer: A Diff: 2 Page Ref: 360 AACSB: Analytic Skills

Skill: Application Objective: 12-5

97) When Home Depot allows key suppliers to use its stores as a testing ground for new merchandising programs, it is implementing a _____.

C) shared projects

Answer: C Diff: 2 Page Ref: 362 AACSB: Reflective Thinking

Skill: Application Objective: 12-5

98) UPS Supply Chain Solutions, which handles all of its clients' "grunt work" associated with logistics, is an example of _____.

D) a third-party logistics provider

Answer: D Diff: 2 Page Ref: 362 AACSB: Reflective Thinking

Skill: Application Objective: 12-5

123) The key to managing inventory is to balance the costs and benefits of holding larger inventories with the costs and benefits of holding less.

Answer: TRUE

Diff: 3 Page Ref: 359

Skill: Concept

Objective: 12-5

124) When shipping large amounts of bulk products such as forest products, coal, sand, or rock over long distances, a company should choose large trucks because of their low cost per ton shipped.

Answer: FALSE

Diff: 1 Page Ref: 360

AACSB: Analytic Skills

Skill: Concept

Objective: 12-5

125) Integrated logistics management aims to provide better customer service and trim distribution costs through teamwork, both inside the company and among all the marketing channel organizations.

Answer: TRUE

Diff: 2 Page Ref: 361

AACSB: Communication

Skill: Concept

Objective: 12-5

126) Explain why "value delivery network" is a more relevant expression to use than the terms supply chain and demand chain.

Answer: Supply chain takes a make-and-sell view of the business, using materials and other inputs as the starting point for market planning instead of the needs of target customers. Demand chain takes a sense-and-respond view, starting with the needs of target customers and planning a chain of resources and activities with the goal of creating customer value. However, a demand chain is a step-by-step, linear view of purchase-production-consumption activities. This does not allow for the flexibility made possible by the Internet and other technologies. Value delivery network is more appropriate because it is made up of the company, suppliers, distributors, and ultimately customers who partner with each other to improve the performance of the entire system.

Diff: 1 Page Ref: 338

AACSB: Analytic Skills

Skill: Application

Objective: 12-1

127) How do channel members add value to a marketing system?

Answer: Intermediaries reduce the amount of work that must be done by both producers and consumers. They transform the assortment of products made by producers into the assortment wanted by consumers. They buy large quantities from many producers and break them down into the smaller quantities and broader assortments wanted by consumers. Intermediaries help to match supply and demand. Channel members add value by bridging the major time, place, and possession gaps that separate goods and services from those who would use them.

Diff: 2 Page Ref: 339

AACSB: Analytic Skills

Skill: Application

Objective: 12-1

128) What are the eight key functions that members of the marketing channel perform?

Answer: Some help to complete transactions by gathering and distributing information, developing and spreading promotions, contacting prospective buyers, matching and shaping the offer to the buyer's needs, and negotiating price and other terms. Others help to fulfill the completed transactions through physical distribution, financing, and risk taking.

Diff: 2 Page Ref: 340

AACSB: Analytic Skills

Skill: Application

Objective: 12-1

129) Compare and contrast a conventional distribution channel with a vertical marketing system (VMS).

Answer: A conventional distribution channel consists of one or more independent producers, wholesalers, and retailers. Each is a separate business seeking to maximize its own profits, even at the expense of the system as a whole. No channel member has much control over the other members, and no formal means exists for assigning roles and resolving channel conflict. On the other hand, a vertical marketing system is a unified system made up of producers, wholesalers, and retailers. While members of a conventional distribution channel seek to maximize their own profits, members of a vertical marketing system all cooperate because either one member owns the others, one has contracts with the others, or one wields a more power than the others.

Diff: 3 Page Ref: 344

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

130) Why are multichannel distribution systems gaining popularity today?

Answer: Multichannel distribution systems exist when a single firm sets up two or more marketing channels to reach one or more customer segments. Such a system offers advantages to firms facing large and complex markets. It allows the firms to expand sales and market coverage. It allows firms to tailor their products and services to the specific needs of diverse customer segments. Larger bottom-line profits may occur.

Diff: 2 Page Ref: 346

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

131) How have changes in technology and the growth of online marketing affected the design of marketing channels?

Answer: Changes in technology and the growth of online marketing have increased disintermediation, which is the cutting out of marketing channel intermediaries by product or service producers, or the displacement of traditional intermediaries with radically new types. In many industries, traditional intermediaries are dropping by the wayside. For example, many airlines now sell directly to final buyers, cutting retailers and sales agents from their marketing channels. Online marketers take business from traditional brick-and-mortar retailers.

Diff: 2 Page Ref: 347

AACSB: Use of IT

Skill: Application

Objective: 12-2

132) Distinguish between the three distribution strategies.

Answer: Producers of convenience products and common raw materials typically seek intensive distribution as a strategy to stock their products in as many outlets as possible. The goods are available where and when consumers want them, such as chewing gum. Selective distribution is used when selling to more than one but fewer than all of the intermediaries who are willing to carry a company's products in a given market. Examples are name-brand blue jeans and computers. Exclusive distribution is used when the producer wants to stock its products with only one or a few dealers in an area. Examples are expensive cars and prestige clothing.

Diff: 1 Page Ref: 351

AACSB: Analytic Skills

Skill: Application

Objective: 12-3

133) Explain how companies select, motivate, and evaluate channel members.

Answer: When selecting intermediaries, the company should evaluate each channel member's qualifications and select those who best fit its channel objectives. The company should use economic criteria, control issues, and adaptive criteria to analyze each possible channel member. Once selected, channel members must be continuously motivated to do their best. The company must sell not only *through* the intermediaries but also *to* and *with* them. It should work to forge long-term partnerships with channel partners to create a marketing system that meets the needs of both the manufacturer and the partners. The company must also regularly check channel member performance against established performance standards, rewarding intermediaries who are performing well and assisting or replacing weaker ones.

Diff: 2 Page Ref: 352

AACSB: Analytic Skills

Skill: Application

Objective: 12-4

134) Discuss how public policy affects distribution decisions.

Answer: For the most part, companies are legally free to develop whatever channel arrangement suits them, as long as they do not substantially lessen competition or tend to create a monopoly, and as long as both parties enter into the agreement voluntarily. Exclusive territorial agreements in which a producer attempts to keep a dealer from selling outside of a designated territory have become a major legal issue. Producers are free to select their dealers, but they must have legitimate cause to terminate a relationship with a dealer.

Diff: 3 Page Ref: 355-356

AACSB: Ethical Reasoning

Skill: Application

Objective: 12-4

135) Why are more and more companies turning to third-party logistics providers (3PLs)?

Answer: A third-party logistics provider is an independent company that performs any or all of the functions required to get a producer's product to market, helping clients to tighten up sluggish, overstuffed supply chains, slash inventories, and get products to customers more quickly and reliably. Companies use third-party logistics providers because getting the product to market is the main focus of 3PLs, so they can often do it more efficiently and at a lower cost. Second, outsourcing logistics frees a company to focus more intensely on its core business. Finally, integrated logistics companies understand increasingly complex logistics environments. For example, third-party logistics partners can be especially helpful to companies attempting to expand their global market coverage.

Diff: 3 Page Ref: 362

AACSB: Analytic Skills

Skill: Application

Objective: 12-5

136) What is the role of marketing intermediaries?

Answer: The role of marketing intermediaries is to transform the assortments of products made by producers into the assortments wanted by consumers.

Diff: 1 Page Ref: 340

AACSB: Analytic Skills

Skill: Application

Objective: 12-1

137) Give an example of horizontal conflict.

Answer: This type of conflict occurs among firms at the same level of the channel; an example would be two Chevrolet dealers in the St. Louis area that complain that each is being undercut by the other.

Diff: 1 Page Ref: 342

AACSB: Reflective Thinking

Skill: Application

Objective: 12-2

138) Give an example of vertical conflict.

Answer: This type of conflict occurs between different levels of the same channel; an example would be conflict created by a manufacturer toward its dealers when deciding to open an online operation.

Diff: 1 Page Ref: 342

AACSB: Reflective Thinking

Skill: Application

Objective: 12-2

139) Explain channel power in a conventional distribution channel.

Answer: No channel member has much control over the other members, and no formal means exists for assigning roles and resolving channel conflict.

Diff: 2 Page Ref: 344

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

140) Explain channel power in a vertical marketing system.

Answer: One channel member owns the others, has contracts with them, or wields so much power that they must all cooperate.

Diff: 2 Page Ref: 344

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

141) How can a firm benefit from involvement in a contractual VMS?

Answer: A contractual VMS consists of independent firms at different levels of production and distribution that join together through contracts to obtain more economies or sales impact than each could achieve alone.

Diff: 3 Page Ref: 345

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

142) How can a firm benefit from participating in a horizontal marketing system?

Answer: Two or more companies at one level join together to follow a new marketing opportunity; by working together, companies can combine their financial, production, or marketing resources to accomplish more than any one company could alone.

Diff: 3 Page Ref: 345

AACSB: Analytic Skills

Skill: Application

Objective: 12-2

143) Give two examples of multichannel distribution systems.

Answer: Students' answers will vary. Examples will include J. C. Penney's catalog distribution option and the retail store locations as well as Avon's door-to-door distribution and over-the-counter distribution options.

Diff: 2 Page Ref: 346

AACSB: Reflective Thinking

Skill: Application

Objective: 12-2

144) What types of products are intensively distributed?

Answer: These products must be available where and when consumers want them; examples include chewing gum, soft drinks, toothpaste, and candy.

Diff: 1 Page Ref: 351

AACSB: Analytic Skills

Skill: Application

Objective: 12-3

145) What types of products are exclusively distributed?

Answer: Exclusive distribution is often used for expensive automobiles and prestige clothing. These products are geographically dispersed.

Diff: 1 Page Ref: 351

AACSB: Analytic Skills

Skill: Application

Objective: 12-3

146) What types of products are selectively distributed?

Answer: With this type of distribution, more than one, but fewer than all, of the intermediaries who are willing to carry a company's products are used. Products include appliances and some name-brand clothing.

Diff: 1 Page Ref: 351

AACSB: Analytic Skills

Skill: Application

Objective: 12-3

147) What are two considerations when selecting intermediaries?

Answer: A company may want to evaluate each channel member's years in business, other lines carried, growth and profit records, cooperativeness, and reputation.

Diff: 3 Page Ref: 353

AACSB: Analytic Skills

Skill: Application

Objective: 12-4

148) When would an exclusive dealing contract be legally problematic?

Answer: An exclusive dealing contract may be illegal if one party has not voluntarily agreed to the contract, or if the arrangement substantially lessens competition or tends to create a monopoly.

Diff: 3 Page Ref: 356

AACSB: Ethical Reasoning

Skill: Application

Objective: 12-4

149) How can a company benefit through a just-in-time logistics system?

Answer: With such systems, producers and retailers carry only small inventories of parts or merchandise, often only enough for a few days of operations. This creates substantial savings in inventory-carrying and handling costs.

Diff: 2 Page Ref: 359

AACSB: Analytic Skills

Skill: Application

Objective: 12-5

150) Explain why a firm's suppliers tap into the firm's inventory levels with a vendor-managed inventory system (VMI).

Answer: Some suppliers might actually be asked to generate orders and arrange deliveries for their customers, based on the customers' inventory levels; in these cases, the suppliers must know their customers' inventory levels.

Diff: 3 Page Ref: 361

AACSB: Analytic Skills

Skill: Application

Objective: 12-5

Chapter 13 Retailing and Wholesaling

- 1) _____ includes all the activities involved in selling products or services directly to final consumers for their personal, nonbusiness use.

B) Retailing

Answer: B Diff: 1 Page Ref: 370 Skill: Concept Objective: 13-1

- 2) In recent years, _____ has/have been growing fast. This includes selling to final consumers through direct mail, catalogs, telephone, and the Internet.

D) nonstore retailing

**Answer: D Diff: 1 Page Ref: 370 AACSB: Use of IT
Skill: Concept Objective: 13-1**

- 3) _____ is the basis of all discount operations and is typically used by sellers of convenience goods. Retailers offering this level of service require customers to perform their own "locate-compare-select" process in order to save money.

B) Self-service

Answer: B Diff: 2 Page Ref: 371 Skill: Concept Objective: 13-1

- 4) _____, such as Sears, provide more sales assistance because they carry more shopping goods about which customers need information. Their increased operating costs result in higher prices.

D) Limited-service retailers

Answer: D Diff: 2 Page Ref: 371 Skill: Concept Objective: 13-1

- 5) Which type of stores usually carry more specialty goods for which customers like to be "waited on" and have much higher operating costs, which are passed along to the customer?

C) full-service stores

Answer: C Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

- 6) Which of the following retailers likely require the most emphasis on salespeople to assist customers?

B) full-service retailers

Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

- 7) _____ carry narrow product lines with deep assortments within those lines.

B) Specialty stores

Answer: B Diff: 1 Page Ref: 372 Skill: Concept Objective: 13-1

8) Specialty stores carry _____ with _____ within them.

B) narrow product lines; deep assortments

Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

9) Which type of store carries a wide variety of product lines and differentiates itself through service, but has been squeezed in recent years between more focused and flexible specialty stores on the one hand and more efficient, lower-priced discounters on the other?

B) department

Answer: B Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

10) _____ are facing slow sales growth because of slower population growth, increased competition, and the rapid growth of out-of-home eating.

D) Supermarkets

Answer: D Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

11) Which type of retailer tends to be the most frequently shopped?

D) supermarkets

Answer: D Diff: 2 Page Ref: 372 Skill: Concept Objective: 13-1

12) Which type of small store carries a limited line of high-turnover convenience goods and makes most of its revenues from cigarette, beverage, and gasoline sales?

A) convenience

Answer: A Diff: 1 Page Ref: 372 Skill: Concept Objective: 13-1

13) Which type of store is much larger than regular supermarkets and offers a large assortment of routinely purchased food products, nonfood items, and services?

D) superstore

Answer: D Diff: 1 Page Ref: 373 Skill: Concept Objective: 13-1

14) Which type of store carries a deep assortment, has knowledgeable staff, and might actually be viewed as a giant specialty store?

A) category killer

Answer: A Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

15) Service retailers include all of the following EXCEPT _____.

E) convenience stores

Answer: E Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

16) _____ retailers in the United States are growing faster than product retailers.

C) Service

Answer: C Diff: 3 Page Ref: 374 Skill: Concept Objective: 13-1

17) _____ sell standard merchandise at lower prices by accepting lower margins and selling higher volume.

B) Discount stores

Answer: B Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

18) Early _____ cut expenses by offering few services and operating in warehouse-like facilities in low-rent, heavily traveled districts.

C) discount stores

Answer: C Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

19) _____ have filled the ultralow-priced, high-volume gap by buying at less-than-regular wholesale prices and charging consumers less than retail.

A) Off-price retailers

Answer: A Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

20) Which of the following is NOT one of the main types of off-price retailers?

D) category killers

Answer: D Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

21) _____, which buy at less-than-regular wholesale prices and charge consumers less than retail, are independently owned and run or are divisions of larger retail corporations.

D) Independent off-price retailers

Answer: D Diff: 2 Page Ref: 374 Skill: Concept Objective: 13-1

22) _____ are sometimes several stores grouped together. These stores offer prices as low as 50 percent below retail on a wide range of mostly surplus, discounted, or irregular items.

B) Factory outlets

Answer: B Diff: 1 Page Ref: 374 Skill: Concept Objective: 13-1

23) Manufacturers send last year's merchandise and seconds to _____, while they send new merchandise to department stores.

C) factory outlets

Answer: C Diff: 2 Page Ref: 376 Skill: Concept Objective: 13-1

24) _____ operate in warehouse-like facilities, sell a limited selection of items, and offer few frills. Customers pay annual membership fees and are able to purchase goods at deep discounts.

A) Warehouse clubs

Answer: A Diff: 1 Page Ref: 376 Skill: Concept Objective: 13-1

25) _____ are two or more outlets that are commonly owned and controlled.

A) Chain stores

Answer: A Diff: 1 Page Ref: 376 Skill: Concept Objective: 13-1

26) As a result of the great success of corporate chains, many independent stores chose to band together in either a voluntary chain or a(n) _____.

B) retailer cooperative

Answer: B Diff: 2 Page Ref: 376 Skill: Concept Objective: 13-1

27) The main difference between _____ organizations and other contractual systems is that these systems are normally based on some unique product or service.

C) franchise

Answer: C Diff: 2 Page Ref: 377 Skill: Concept Objective: 13-1

28) Merchandising _____ are corporations that combine several different retailing forms under central ownership.

A) conglomerates

Answer: A Diff: 2 Page Ref: 377 Skill: Concept Objective: 13-1

29) Retail assortments are looking more and more alike because _____.

B) national-brand manufacturers have placed their products almost everywhere

Answer: B Diff: 3 Page Ref: 378 Skill: Concept Objective: 13-2

30) Until retailers _____ and _____ their markets, they cannot make consistent decisions about product assortment, services, pricing, advertising, store décor, or any of the other decisions that must support their positions.

C) define; profile

Answer: C Diff: 3 Page Ref: 378 Skill: Concept Objective: 13-2

31) Service differentiation among retailers has _____.

B) decreased

Answer: B Diff: 2 Page Ref: 378 Skill: Concept Objective: 13-2

32) A retailer may fail because it tries to provide "something for everyone" and ends up satisfying no market well. Successful retailers _____ their target markets well and position themselves strongly.

D) define

Answer: D Diff: 2 Page Ref: 379 Skill: Concept Objective: 13-2

33) A retailer's _____ should differentiate the retailer while matching target shoppers' expectations. One strategy is to offer merchandise that no other competitor carries.

C) product assortment

Answer: C Diff: 2 Page Ref: 380 Skill: Concept Objective: 13-2

34) While all retailers would like to achieve _____ while charging _____, the two seldom happen together.

C) high volume; high markups

Answer: C Diff: 2 Page Ref: 381 Skill: Concept Objective: 13-2

35) In-store demonstrations, displays, contests, and visiting celebrities are examples of _____.

B) sales promotions

Answer: B Diff: 2 Page Ref: 381 AACSB: Communication

Skill: Concept Objective: 13-2

36) Press conferences and speeches, store openings, special events, newsletters, magazines, and public service activities are examples of ways retailers use _____.

A) public relations

Answer: A Diff: 2 Page Ref: 381 AACSB: Communication

Skill: Concept Objective: 13-2

37) Of the following, what would most retailers consider to be the most important factor in retailing success?

D) location

Answer: D Diff: 3 Page Ref: 382 Skill: Concept Objective: 13-2

38) Why do stores cluster together?

B) to increase their customer pulling power

Answer: B Diff: 2 Page Ref: 382 Skill: Concept Objective: 13-2

39) _____ were the main form of retail cluster until the 1950s.

D) Central business districts

Answer: D Diff: 3 Page Ref: 382 Skill: Concept Objective: 13-2

- 40) A _____ is a group of retail businesses planned, developed, owned, and managed as a unit.

C) shopping center

Answer: C Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

- 41) A _____ contains from 40 to 200 stores, is like a covered mini-downtown, and attracts customers from a wide area.

D) regional shopping center

Answer: D Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

- 42) A _____ contains between 15 and 40 retail stores, including a department or variety store, a supermarket, specialty stores, professional offices, and sometimes a bank.

A) community shopping center

Answer: A Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

- 43) Most shopping centers are _____ containing between 5 and 15 stores; they are close and convenient for consumers.

C) strip malls

Answer: C Diff: 2 Page Ref: 383 Skill: Concept Objective: 13-2

- 44) Today's trend in retail clusters is toward _____, huge unenclosed shopping centers consisting of a long strip of retail stores, including at least one large, freestanding anchor store like Wal-Mart. Each store has its own entrance with parking directly in front for shoppers who wish to visit only one store.

B) power centers

Answer: B Diff: 2 Page Ref: 384 Skill: Concept Objective: 13-2

- 45) A _____ is a smaller mall with upscale stores, convenient locations, and expensive atmosphere. It is typically located near affluent residential neighborhoods.

B) lifestyle center

Answer: B Diff: 2 Page Ref: 384 Skill: Concept Objective: 13-2

- 46) The original warehouse store chain, _____, began in 1976.

B) Price Club

Answer: B Diff: 3 Page Ref: 384 Skill: Concept Objective: 13-3

47) According to the _____ concept, new retailing forms often begin as low-margin, low-price, low-status operations to challenge established retailers, then become successful, and eventually take the place of the established retailers they had challenged.

C) wheel-of-retailing

Answer: C Diff: 2 Page Ref: 384-385 Skill: Concept Objective: 13-3

48) Mail-order, phone, and online shopping are all examples of _____.

B) nonstore retailing

**Answer: B Diff: 2 Page Ref: 385 AACSB: Use of IT Skill: Concept
Objective: 13-3**

49) Which of the following has NOT contributed to the growth of online business?

C) concerns about online privacy and security

**Answer: C Diff: 2 Page Ref: 385 AACSB: Use of IT
Skill: Concept Objective: 13-3**

50) More growth in online retailing is expected from _____ retailers than other retail types.

A) click-and-brick

**Answer: A Diff: 2 Page Ref: 385 AACSB: Use of IT
Skill: Concept Objective: 13-3**

51) The merging of consumers, products, prices, and retailers is called _____.

D) retail convergence

Answer: D Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

52) Convergence means greater _____ for retailers and greater difficulty in _____ offerings.

D) competition; differentiating

Answer: D Diff: 3 Page Ref: 386 Skill: Concept Objective: 13-3

53) The rise of huge mass merchandisers and specialty superstores, along with retail mergers and acquisitions, has created a core group of very large and very powerful _____.

C) superpower megaretailers

Answer: C Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

54) Retail convergence is a merging of all of the following EXCEPT _____.

B) employees

Answer: B Diff: 2 Page Ref: 386 Skill: Concept Objective: 13-3

55) Touch-screen kiosks, customer-loyalty cards, handheld shopping assistants, and self-scanning checkout systems are all examples of how retailers use technology to _____.

C) meet consumers' expectations

Answer: C Diff: 3 Page Ref: 387 AACSB: Use of IT

Skill: Concept Objective: 13-3

56) Most _____ retailers are significantly behind _____ retailers in global expansion.

C) American; European and Asian

Answer: C Diff: 3 Page Ref: 388 AACSB: Multicultural and Diversity

Skill: Concept Objective: 13-3

57) _____, the world's second largest retailer after Wal-Mart, has embarked on an aggressive mission to extend its role as a leading international retailer.

C) Carrefour

Answer: C Diff: 3 Page Ref: 388 AACSB: Multicultural and Diversity

Skill: Concept Objective: 13-3

58) _____ includes all activities involved in selling goods and services to those buying for resale or business use.

A) Wholesaling

Answer: A Diff: 1 Page Ref: 389 Skill: Concept Objective: 13-4

59) _____ buy mostly from producers and sell to retailers and industrial consumers.

C) Wholesalers

Answer: C Diff: 2 Page Ref: 389 Skill: Concept Objective: 13-4

60) Which wholesaler's channel function is demonstrated when a wholesaler's sales force helps a manufacturer to reach many small customers at a low cost?

B) selling and promoting

Answer: B Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

61) Which of the following is NOT one of a wholesaler's channel functions?

D) off-price retailing

Answer: D Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

62) Which wholesaler's channel function is demonstrated when a wholesaler reduces inventory holding costs and risks to suppliers and customers?

D) warehousing

Answer: D Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

63) Which wholesaler's channel function is demonstrated when a buyer receives quicker delivery because wholesalers are located closer than producers?

D) warehousing

Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

64) Which of the following is NOT one of the major classifications of wholesalers?

D) specialty wholesalers

Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

65) _____ are the largest group of wholesalers. The group can be divided into the two broad types of full-service and limited-service.

D) Merchant wholesalers

Answer: D Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

66) In order to _____, wholesalers can propose automatic reordering systems, set up management-training and advising systems, or even sponsor a voluntary chain.

D) build better relationships with customers

Answer: D Diff: 2 Page Ref: 392 AACSB: Communication

Skill: Concept Objective: 13-4

67) _____ and _____ do not take title to goods, and they perform only a few channel functions.

B) Brokers; agents

Answer: B Diff: 2 Page Ref: 390 Skill: Concept Objective: 13-4

68) A(n) _____ brings buyers and sellers together and assists in negotiations.

B) broker

Answer: B Diff: 1 Page Ref: 390 AACSB: Communication

Skill: Concept Objective: 13-4

69) _____, or manufacturers' representatives, represent a buyer or seller on a more permanent basis.

C) Agents

Answer: C Diff: 2 Page Ref: 390 AACSB: Communication

Skill: Concept Objective: 13-4

70) Like retailers, wholesalers must _____ their target markets and _____ themselves effectively, for they cannot serve everyone.

A) define; position

Answer: A Diff: 3 Page Ref: 390 Skill: Concept Objective: 13-4

71) Which type of limited-service wholesaler is owned by farmers who assemble farm produce to sell in local markets?

D) producer's cooperative

Answer: D Diff: 2 Page Ref: 391 Skill: Concept Objective: 13-4

72) Which type of wholesaler sells primarily to manufacturers rather than to retailers?

B) industrial distributors

Answer: B Diff: 2 Page Ref: 391 Skill: Concept Objective: 13-4

73) Many wholesalers are not _____-minded; they are behind the times in personal selling, seeing selling as a single salesperson talking to a single customer instead of as a team effort.

B) promotion

**Answer: B Diff: 2 Page Ref: 393 AACSB: Communication
Skill: Concept Objective: 13-4**

74) Today's large, progressive wholesalers have successfully reacted to rising costs by _____.

B) investing in information technology systems

**Answer: B Diff: 3 Page Ref: 393 AACSB: Use of IT
Skill: Concept Objective: 13-4**

75) Savvy wholesalers realize that their only reason for existence comes from increasing the efficiency and effectiveness of the _____.

E) entire marketing channel

Answer: E Diff: 2 Page Ref: 393 Skill: Concept Objective: 13-4

76) At Neiman Marcus, a first-class department store, customers shop for specialty products and have come to expect assistance in every phase of the shopping process. Neiman Marcus is a _____.

C) full-service retailer

**Answer: C Diff: 1 Page Ref: 372 AACSB: Reflective Thinking
Skill: Application Objective: 13-1**

77) GameStop sells video games and systems, offering a narrow product line with a deep assortment within that line. GameStop is a _____.

D) specialty store

Answer: D Diff: 1 Page Ref: 371 AACSB: Reflective Thinking

Skill: Application Objective: 13-1

78) 7-Eleven, Stop-N-Go, and Circle K, small stores that traditionally have had a primary market of young, blue-collar men, are examples of _____.

B) convenience stores

Answer: B Diff: 1 Page Ref: 372 AACSB: Reflective Thinking

Skill: Application Objective: 13-1

79) Overstock.com, a Web seller that buys furniture, clothing, electronics, and more from a variety of producers at less-than-regular wholesale prices and then charges customers less than retail, is a(n) _____.

B) independent off-price retailer

Answer: B Diff: 2 Page Ref: 374 AACSB: Reflective Thinking

Skill: Application Objective: 13-1

80) A growing number of outlet malls now feature brands such as Coach, Polo Ralph Lauren, Dolce & Gabbana, and Giorgio Armani, causing _____ to protest to the manufacturers of these brands.

D) department stores

Answer: D Diff: 3 Page Ref: 374 AACSB: Analytic Skills

Skill: Application Objective: 13-1

81) McDonald's, Subway, and Pizza Hut are all examples of a _____.

C) franchise

Answer: C Diff: 2 Page Ref: 377 AACSB: Reflective Thinking

Skill: Application Objective: 13-1

82) In the battle for "share of stomachs," some supermarkets are cutting costs and attempting to compete more effectively with food discounters, while others are moving upscale, providing improved store environments and higher-quality food offerings. These two different strategies represent differences in _____.

A) positioning

Answer: A Diff: 2 Page Ref: 378 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

83) 7-Eleven has recently begun to redesign and restock its stores to offer a more upscale environment and products, such as house wines and fresh foods. 7-Eleven has changed its _____.

A) positioning

Answer: A Diff: 2 Page Ref: 378 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

84) Big and Tall Men's Shop carries goods in larger sizes; this allows the store to _____ other stores.

B) differentiate itself from

Answer: B Diff: 1 Page Ref: 380 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

85) Costco's surprise offerings of seconds, overstocks, and closeouts occasionally including diamonds is an example of how a retailer can differentiate itself through _____.

A) product assortment

Answer: A Diff: 2 Page Ref: 380 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

86) Home Depot offers "how-to" classes for do-it-yourselfers, featuring instructions on how to complete home improvement projects using products sold at its stores. This is an example of how Home Depot has differentiated itself through its _____.

B) services mix

Answer: B Diff: 2 Page Ref: 380 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

87) Which of the following types of retailers is most likely to practice everyday low pricing (EDLP)?

A) discount stores

Answer: A Diff: 2 Page Ref: 381 AACSB: Analytic Skills

Skill: Application Objective: 13-2

88) Which of the following describes a way that Costco and Wal-Mart are similar?

D) Both use everyday low pricing.

Answer: D Diff: 3 Page Ref: 381 AACSB: Analytic Skills

Skill: Application Objective: 13-2

89) Macy's department stores carry a wide range of product lines, including clothing, jewelry, kitchenware, and home furnishings. Macy's typically charges a relatively high markup, but also holds frequent sales and price promotions, in particular offering discounts to customers who use a Macy's credit card. Macy's uses _____.

C) high-low pricing

Answer: C Diff: 2 Page Ref: 381 AACSB: Reflective Thinking

Skill: Application Objective: 13-2

90) Which of the following may be true about shoppers who prefer to shop at "lifestyle centers"?

B) They prefer upscale stores.

Answer: B Diff: 3 Page Ref: 384 AACSB: Analytic Skills

Skill: Application Objective: 13-2

91) Which of the following is most likely the greatest factor in the increasingly short life cycle of new retail forms?

A) changes in technology

Answer: A Diff: 3 Page Ref: 385 AACSB: Analytic Skills

Skill: Application Objective: 13-3

92) Carey David's wholesale company helps retailers train salesclerks, improve store layouts and displays, and set up inventory control systems. The channel function Cary David's is providing is _____.

E) management services and advice

Answer: E Diff: 2 Page Ref: 390 AACSB: Reflective Thinking

Skill: Application Objective: 13-4

93) You own an independent store in your neighborhood. You still like to offer fresh seafood in your meat display case. Which type of wholesaler might best serve you?

A) cash-and-carry wholesaler

Answer: A Diff: 3 Page Ref: 391 AACSB: Analytic Skills

Skill: Application Objective: 13-4

94) You own a neighborhood grocery store and would like to have non-food items delivered, priced, displayed and inventoried by a wholesaler. You do not want to purchase title to the goods. Which type of wholesaler best fits your needs?

B) rack jobber

Answer: B Diff: 3 Page Ref: 391 AACSB: Analytic Skills

Skill: Application Objective: 13-4

95) Kiera Roselli, a general merchandise wholesaler, constantly looks for better ways to meet the needs of her suppliers and target customers. She knows that her business adds value by increasing the efficiency and effectiveness of the _____.

B) entire marketing channel

Answer: B Diff: 2 Page Ref: 393 AACSB: Analytic Skills

Skill: Application Objective: 13-4

96) SuperValu, traditionally classified as a food wholesaler, has recently started or acquired several retail food chains of its own, including Albertsons, Jewel-Osco, and Cub Foods. Which of the following trends is this an example of?

E) the blurring of distinctions between retailers and wholesalers

Answer: E Diff: 2 Page Ref: 394 AACSB: Analytic Skills

Skill: Application Objective: 13-4

123) Like retailers, a wholesaler must decide on segmentation and targeting, differentiation and positioning, and the marketing mix.

Answer: TRUE

Diff: 1 Page Ref: 390

AACSB: Communication

Skill: Concept

Objective: 13-4

124) In an automated warehouse, orders are fed directly from the retailer's information system to the wholesaler's, and the items are picked up by mechanical devices and taken to a shipping platform where they are assembled.

Answer: TRUE

Diff: 2 Page Ref: 393

AACSB: Use of IT

Skill: Concept

Objective: 13-4

125) The distinction between large retailers and large wholesalers is becoming blurred.

Answer: TRUE

Diff: 2 Page Ref: 394

AACSB: Analytic Skills

Skill: Application

Objective: 13-4

126) Retail stores can be classified in terms of several characteristics. Name four of these.

Answer: These include the amount of service they offer, the breadth and depth of their product lines, the relative prices they charge, and how they are organized.

Diff: 2 Page Ref: 371

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

127) Compare and contrast specialty stores and convenience stores.

Answer: Specialty stores carry narrow product lines with deep assortments within those lines. Convenience stores are small stores that carry a limited line of high-turnover convenience goods. The majority of their revenues come from sales of gasoline, cigarettes, and beverages.

Diff: 1 Page Ref: 372

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

128) Describe the differences between discount stores and off-price retailers.

Answer: A discount store buys at regular wholesale prices but sells standard merchandise at lower prices by accepting lower margins and selling higher volume. Off-price retailers buy at less-than-regular wholesale prices and charge consumers less than retail.

Diff: 2 Page Ref: 374

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

129) Describe the differences between chain stores and franchises.

Answer: Chain stores consist of two or more outlets that are commonly owned and controlled. Chain stores have the advantage of buying in larger quantities at lower prices and sharing resources to hire specialists to help with decisions in pricing, promotion, merchandising, inventory, and sales forecasting. Franchises are not commonly owned and controlled; instead, a franchise is a contractual association between a manufacturer, wholesaler, or service organization and an independent businessperson who buys the right to own and operate one or more units within the franchise system.

Diff: 2 Page Ref: 376-77

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

130) Explain how Target is able to compete against Wal-Mart.

Answer: Target has developed distinct targeting and positioning. Target's aim is to stick to low prices, but rises above the discount fray with upmarket style and design and higher-grade service. This upscale alternative really separates it from its mass-merchant peers. It targets the higher income, better-educated clientele in its stores, hence the popular high-status pronunciation of its name as "Tar-shay."

Diff: 3 Page Ref: 379

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

131) Three types of shopping centers are regional shopping centers, community shopping centers, and neighborhood shopping centers/strip malls. Describe how they are different from each other.

Answer: Regional shopping centers are the largest and most dramatic shopping centers. They contain from 40 to more than 200 stores. They are like covered mini-downtowns and attract customers from a wide area. Smaller than regional shopping centers, community shopping centers contain between 15 and 40 stores. They normally contain a branch of a department store or variety store, a supermarket, specialty stores, professional offices, and sometimes a bank. Smaller still are neighborhood shopping centers/strip malls, which generally contain 5 to 15 stores. They are close and convenient for consumers, usually containing a supermarket, a discount store, and several service stores.

Diff: 3 Page Ref: 383

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

132) Describe how nonstore retailing has grown in the past decade.

Answer: Though most purchases are still made in stores, more and more consumers are now shopping using a broad range of nonstore alternatives, including mail-order, television, phone, and online shopping. Easy-to-use Web sites, improved online service, and sophisticated search engines have all helped online business grow at a faster rate than retail buying. All types of retailers now use direct and online channels, with traditional brick-and-mortar retailers selling online, along with online-only retailers such as Amazon.com and eBay. Much of the growth in online sales will go to multichannel retailers who provide service both in stores and online.

Diff: 2 Page Ref: 385

AACSB: Use of IT

Skill: Application

Objective: 13-3

133) Why would a producer use wholesalers rather than selling directly to retailers or consumers?

Answer: Wholesalers add value by performing one or more of the following channel functions: selling and promotion, buying and assortment building, bulk breaking, warehousing, transportation, financing, risk bearing, providing market information, and giving management services and advice. Wholesalers can perform many channel functions more efficiently and effectively than a producer can, allowing the producer to focus its energies on creating its product.

Diff: 1 Page Ref: 390

AACSB: Analytic Skills

Skill: Application

Objective: 13-4

134) Explain the marketing decisions facing wholesalers.

Answer: Wholesalers are faced with the marketing decisions of segmentation and targeting, differentiation and promotion, and the marketing mix. Progressive wholesalers are adapting their services to the needs of target customers and are seeking cost-reducing methods of doing business. Faced with slow growth in their domestic markets and developments such as the North American Free Trade Association, many large wholesalers are also now going global.

Diff: 2 Page Ref: 390

AACSB: Analytic Skills

Skill: Application

Objective: 13-4

135) Explain how wholesalers have been able to use technology to cut costs.

Answer: Many wholesalers have invested in automated warehouses and information technology systems. Delivery time can be cut as orders are fed from the retailer's information system directly into the wholesaler's. Automated warehouses increase efficiencies and drive down costs, as mechanical devices can automatically pick up items and take them to a shipping platform to be assembled. Wholesalers can also use technology for accounting, billing, inventory control, and forecasting. These computerized, automated, and Web-based systems help wholesalers contain the costs of ordering, shipping, and inventory holding.

Diff: 2 Page Ref: 393

AACSB: Use of IT

Skill: Application

Objective: 13-4

136) What types of products do specialty stores carry? Give an example of a specialty store.

Answer: Specialty stores carry narrow product lines with deep assortments within those lines. Examples will vary.

Diff: 1 Page Ref: 372

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

137) How have department stores responded to increased competition by specialty stores?

Answer: Many department stores have added promotional pricing to meet the threat; in addition, they have stepped up the use of store brands and single-brand "designer shops" to compete with specialty stores. Department stores are also trying mail-order, telephone, and Web selling.

Diff: 2 Page Ref: 372

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

138) What types of products may be sold through category killers?

Answer: Category killers are prevalent in a wide range of categories, including books, baby gear, toys, electronics, home improvement products, linens and towels, party goods, sporting goods, and pet supplies.

Diff: 2 Page Ref: 374

AACSB: Reflective Thinking

Skill: Application

Objective: 13-1

139) How can discount stores sell merchandise at lower prices?

Answer: Discount stores sell merchandise at lower prices by accepting lower margins and selling higher volumes.

Diff: 2 Page Ref: 374

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

140) What are three advantages a chain has over an independent retailer?

Answer: A chain may benefit from a regionally or nationally known name, as well as an established promotional campaign. In addition, because a chain is held together by a centralized purchasing or administrative center, there is much bargaining power with suppliers.

Diff: 2 Page Ref: 376

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

141) How does a retailer cooperative function?

Answer: A retailer cooperative is a group of retailers that come together to set up a jointly owned, central wholesale operation, and conduct joint merchandising and promotion efforts. Through a retailer cooperative, independents can match the buying and promotion economies of corporate chains.

Diff: 2 Page Ref: 376

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

142) How is a merchandising conglomerate different from a chain store?

Answer: Merchandising conglomerates are corporations that combine several different retailing forms under central ownership, while chain stores are commonly owned outlets of the same retail form.

Diff: 3 Page Ref: 377

AACSB: Analytic Skills

Skill: Application

Objective: 13-1

143) What elements comprise a store's atmosphere?

Answer: A store's atmosphere includes the sights, sounds, and smells that customers typically associate with the store.

Diff: 1 Page Ref: 381

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

144) How do the practices of "high-low" pricing and everyday low pricing differ?

Answer: With "high-low" pricing, a retailer charges higher prices on an everyday basis but also has frequent sales and other price promotions; with everyday low pricing, a retailer for the most part avoids sales and instead delivers constant, everyday low prices.

Diff: 2 Page Ref: 381

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

145) How have shopping centers changed in the past few decades?

Answer: Central business districts located in downtown areas were the wave in the 1950s; such areas included department stores, specialty stores, banks, and movie theaters. With the move of people to the suburbs came branches of some of the downtown merchants in suburban shopping centers. In recent years, many cities have joined with merchants to try to revive downtown shopping areas by building malls and providing underground parking.

Diff: 3 Page Ref: 382

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

146) What attracts shoppers to a power center?

Answer: Power centers are unenclosed shopping centers that consist of a long strip of retail stores, each store with its own entrance with parking directly in front for shoppers who wish to visit only one store. A power center offers convenience and variety for shoppers.

Diff: 1 Page Ref: 384

AACSB: Analytic Skills

Skill: Application

Objective: 13-2

147) Briefly explain the wheel-of-retailing concept.

Answer: According to this concept, many new types of retailing forms begin as low-margin, low-price, low-status operations. Over time, the retailers' success leads them to upgrade their facilities and offer more services; consequently, their costs increase, forcing them to increase their prices. Eventually, these retailers become prey to the new retailers entering the marketplace.

Diff: 3 Page Ref: 384

AACSB: Analytic Skills

Skill: Application

Objective: 13-3

148) What constitutes retail convergence?

Answer: Retail convergence is the coming together of shoppers, goods, and prices. Customers of all income levels are shopping at the same stores, often for the same goods. Distinctions such as discount store, specialty store, and department store are losing significance.

Diff: 2 Page Ref: 386

AACSB: Analytic Skills

Skill: Application

Objective: 13-3

149) How do merchant wholesalers and agents/brokers differ?

Answer: Merchant wholesalers "take title to" (or own) what it is they sell; agents/brokers merely serve as liaisons, bringing buyers and sellers together.

Diff: 2 Page Ref: 390

AACSB: Analytic Skills

Skill: Application

Objective: 13-4

150) How can wholesalers improve their use of promotions?

Answer: Many wholesalers do not view promotion as a team effort to sell, build, and service major accounts; to address this issue, wholesalers should adopt some of the promotion techniques used by retailers, such as developing an overall promotion strategy and making greater use of supplier promotion materials and programs.

Diff: 3 Page Ref: 393

AACSB: Communication

Skill: Application

Objective: 13-4

Chapter 14 Communicating Customer Value: Integrated Marketing Communication Strategy

- 1) A company's total marketing communications mix consists of a special blend of advertising, sales promotion, public relations, personal selling, and direct-marketing tools that the company uses to communicate customer value and build customer relationships. This is also called _____.

C) the promotion mix

Answer: C Diff: 1 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 2) The use of short-term incentives to encourage the purchase or sale of a product or service is called _____.

B) sales promotions

Answer: B Diff: 2 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 3) Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor is called _____.

B) advertising

Answer: B Diff: 1 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 4) Which of the five major promotion tools includes building up a positive corporate image and handling unfavorable stories and events?

D) public relations

Answer: D Diff: 2 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 5) Which of the following is NOT a major category in a company's promotion mix?

B) strategic positioning

Answer: B Diff: 2 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 6) Which major promotion category makes use of catalogs, telephone marketing, kiosks, and the Internet?

B) direct marketing

Answer: B Diff: 2 Page Ref: 402 AACSB: Communication

Skill: Concept Objective: 14-1

- 7) Which major promotion category makes use of displays, discounts, coupons, and demonstrations?

A) sales promotion

Answer: A Diff: 2 Page Ref: 403 AACSB: Communication

Skill: Concept Objective: 14-1

- 8) The promotion mix is the company's primary communication activity; the marketing mix must be coordinated for the greatest communication impact. What is NOT included in the entire marketing mix?

B) Competitor

Answer: B Diff: 2 Page Ref: 403 Skill: Concept Objective: 14-1

- 9) Mass-media advertising routinely involves a company investing millions or even billions of dollars to reach tens of _____ of customers with a single ad.

C) millions

Answer: C Diff: 1 Page Ref: 403 AACSB: Communication

Skill: Concept Objective: 14-2

- 10) Today's consumers do not need to rely on marketer-supplied information about products and services because they can use _____ to seek out a wealth of information.

C) the Internet and other technologies

Answer: C Diff: 1 Page Ref: 403 AACSB: Use of IT

Skill: Concept Objective: 14-2

- 11) Which of the following is NOT a factor in the changes occurring in today's marketing communications?

D) Mass media no longer capture the majority of promotional budgets.

Answer: D Diff: 3 Page Ref: 403 AACSB: Communication

Skill: Concept Objective: 14-2

- 12) Moving away from _____, marketers have been shifting toward highly focused marketing, spawning a new generation of more specialized and highly targeted communications efforts.

A) mass marketing

Answer: A Diff: 2 Page Ref: 403 AACSB: Communication

Skill: Concept Objective: 14-2

13) Which of the following is NOT an example of a specialized and highly-targeted media that an advertiser might use to reach smaller customer segments?

D) network television

Answer: D Diff: 2 Page Ref: 404 AACSB: Use of IT Skill: Concept Objective: 14-2

14) Companies are doing less _____ and more _____ as a result of an explosion of more focused media that better match today's targeting strategies.

D) broadcasting; narrowcasting

Answer: D Diff: 2 Page Ref: 404 AACSB: Communication Skill: Concept Objective: 14-2

15) In the "chaos scenario" predicted by some advertising industry experts, the old mass-media communications model will be abandoned in favor of _____.

D) the possibilities of new digital technologies

Answer: D Diff: 2 Page Ref: 404 AACSB: Use of IT Skill: Concept Objective: 14-2

16) All of the following are reasons that marketers are losing confidence in television advertising EXCEPT which one?

B) TV and other mass media still capture the lion share of promotional budgets.

Answer: B Diff: 3 Page Ref: 404 AACSB: Communication Skill: Concept Objective: 14-2

17) Companies often fail to integrate their various communications to consumers because _____.

C) communications often come from different parts of the company

Answer: C Diff: 2 Page Ref: 405 AACSB: Communication Skill: Concept Objective: 14-2

18) All too often companies today have failed to _____ their various communications channels, resulting in a hodgepodge of communications to consumers.

C) integrate

Answer: C Diff: 1 Page Ref: 405 AACSB: Communication Skill: Concept Objective: 14-2

19) Consumers today receive commercial messages from a broad range of sources. However, consumers _____ the way marketers do.

A) don't distinguish between message sources

Answer: A Diff: 2 Page Ref: 405 AACSB: Communication

Skill: Concept Objective: 14-2

20) More companies are adopting the concept of _____, which carefully integrates and coordinates the company's many communication channels to deliver a clear, consistent, and compelling message about the organization and its brands.

A) integrated marketing communications

Answer: A Diff: 3 Page Ref: 405 AACSB: Communication

Skill: Concept Objective: 14-2

21) Advertising, sales promotion, personal selling, public relations, and direct marketing are all _____.

A) communications channels that should be integrated under the concept of integrated marketing communications

Answer: A Diff: 2 Page Ref: 405 AACSB: Communication

Skill: Concept Objective: 14-2

22) Integrated marketing communications require a company's mass-market advertisements, Web site, e-mail, and personal selling communications to all have _____.

E) the same message, look, and feel

Answer: E Diff: 2 Page Ref: 406 AACSB: Communication

Skill: Concept Objective: 14-2

23) To produce better communications consistency, a unified company image, and greater sales impact, some companies employ a(n) _____.

B) marketing communications director

Answer: B Diff: 2 Page Ref: 407 AACSB: Communication

Skill: Concept Objective: 14-2

24) Integrated marketing communications produces better communications _____ and greater _____ impact.

A) consistency; sales

Answer: A Diff: 2 Page Ref: 407 AACSB: Communication

Skill: Concept Objective: 14-2

25) Today, marketers are moving toward viewing communications as managing the _____ over time.

D) customer relationship

Answer: D Diff: 2 Page Ref: 407 AACSB: Communication

Skill: Concept Objective: 14-3

26) Integrated marketing communications involves identifying the target audience and shaping a well-coordinated _____ to elicit the desired audience response.

C) promotional program

Answer: C Diff: 2 Page Ref: 407 AACSB: Communication

Skill: Concept Objective: 14-3

27) Using integrated marketing communications, the communications process should start with _____.

D) an audit of all the potential customer touch points

Answer: D Diff: 3 Page Ref: 408 AACSB: Communication

Skill: Concept Objective: 14-3

28) Which of the following is NOT one of the four major communication functions?

C) noise

Answer: C Diff: 2 Page Ref: 408 AACSB: Communication

Skill: Concept Objective: 14-3

29) The communication channel a company uses to move its advertising messages from sender to receiver is called the _____.

B) media

Answer: B Diff: 2 Page Ref: 408 AACSB: Communication

Skill: Concept Objective: 14-3

30) The receiver assigns meaning to the symbols encoded by a company in its advertisements through a process known as _____.

D) decoding

Answer: D Diff: 2 Page Ref: 408 AACSB: Communication

Skill: Concept Objective: 14-3

31) In the communication process, the reaction of the receiver after being exposed to a message is called the _____.

A) response

Answer: A Diff: 1 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

32) When a customer lets a producer know something about its products or advertising, the customer is providing _____.

C) feedback

Answer: C Diff: 2 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

33) A consumer is reading a magazine with an advertisement, but is distracted from reading the advertisement or its key points. This unplanned static or distortion during the communication process is called _____.

A) noise

Answer: A Diff: 2 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

34) In the communication process, the more the sender's field of experience _____ that of the receiver, the more _____ the message is likely to be.

B) overlaps with; effective

Answer: B Diff: 3 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

35) To communicate effectively, a marketing communicator must _____ the consumer's field of experience.

C) understand

Answer: C Diff: 2 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

36) Marketing communicators must be good at _____ messages that take into account how the target audience _____ them.

C) encoding; decodes

Answer: C Diff: 3 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

37) Marketing communicators must do all of the following EXCEPT _____.

B) deliver products to the customer

Answer: B Diff: 2 Page Ref: 409 AACSB: Communication

Skill: Concept Objective: 14-3

38) The six _____ stages that consumers normally pass through on their way to making a purchase include awareness, knowledge, liking, preference, conviction, and purchase.

B) buyer-readiness

Answer: B Diff: 2 Page Ref: 409 Skill: Concept Objective: 14-3

39) The six buyer-readiness stages include all of the following EXCEPT _____.

E) hesitation

Answer: E Diff: 2 Page Ref: 409 Skill: Concept Objective: 14-3

40) In the model of buyer-readiness stages, the first stage is _____.

D) awareness

Answer: D Diff: 1 Page Ref: 409 Skill: Concept Objective: 14-3

41) All of the following are strategies a marketer would use to lead consumers into making the final step toward a purchase EXCEPT which one?

D) use extensive "teaser" advertising

Answer: D Diff: 3 Page Ref: 410 AACSB: Communication

Skill: Concept Objective: 14-3

42) A message showing a product's quality, economy, value, or performance is called a(n) _____ appeal.

B) rational

Answer: B Diff: 2 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

43) Marketers using humor in their messages claim that they attract more attention and create more loyalty and belief in the brand. This type of message is called a(n) _____ appeal.

C) emotional

Answer: C Diff: 2 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

44) Though a popular appeal, when used poorly _____ can detract from comprehension, quickly wear out its welcome, overshadow the product, or even irritate consumers.

A) humor

Answer: A Diff: 3 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

45) Moral appeals are directed to the audience's sense of what is "right" and _____.

A) proper

Answer: A Diff: 2 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

46) The communicator must decide how to handle message structure issues. One issue is whether to _____ or not.

A) draw a conclusion

Answer: A Diff: 3 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

47) A(n) _____ argument is only likely to be effective when the audience is highly educated or likely to hear opposing claims, or when the communicator has a negative association to overcome.

A) two-sided

Answer: A Diff: 3 Page Ref: 412 AACSB: Communication

Skill: Concept Objective: 14-3

48) In designing the message structure, marketers must decide whether to present the _____ arguments first or last in a message.

D) strongest

Answer: D Diff: 2 Page Ref: 411 AACSB: Communication

Skill: Concept Objective: 14-3

49) The two broad types of _____ channels are personal and nonpersonal.

C) communication

Answer: C Diff: 1 Page Ref: 412 AACSB: Communication

Skill: Concept Objective: 14-3

50) Communication through the mail is categorized as a(n) _____ communication channel.

C) personal

Answer: C Diff: 2 Page Ref: 412 AACSB: Communication

Skill: Concept Objective: 14-3

51) Creating word-of-mouth campaigns by cultivating opinion leaders and getting them to spread information about a product or service to others in their communities is known as _____.

C) buzz marketing

Answer: C Diff: 1 Page Ref: 413 AACSB: Communication

Skill: Concept Objective: 14-3

52) Nonpersonal communication channels include major media, _____, and events.

C) atmospheres

Answer: C Diff: 2 Page Ref: 413 AACSB: Communication

Skill: Concept Objective: 14-3

53) Vast numbers of consumers are aware of your product. It is now your goal to enhance preference for your product. You plan to use nonpersonal communications through print media. This will include all of the following EXCEPT _____.

C) Internet "chats"

**Answer: C Diff: 1 Page Ref: 413 AACSB: Communication
Skill: Concept Objective: 14-3**

54) To _____, a marketer can ask target audience members whether they remember the message, how many times they saw it, and what points they remember.

B) collect feedback

**Answer: B Diff: 2 Page Ref: 414 AACSB: Communication
Skill: Concept Objective: 14-3**

55) _____ from marketing communications may suggest changes in the promotion program or in the product offer itself.

C) Feedback

**Answer: C Diff: 2 Page Ref: 414 AACSB: Communication
Skill: Concept Objective: 14-3**

56) Companies use all of the following methods to set their advertising budget EXCEPT the _____.

B) integrated method

Answer: B Diff: 1 Page Ref: 415 Skill: Concept Objective: 14-4

57) Using the _____ method for setting an advertising budget, the company starts with total revenues, deducts operating expenses and capital outlays, and then devotes some portion of the remaining funds to advertising.

E) affordable

Answer: E Diff: 2 Page Ref: 415 Skill: Concept Objective: 14-4

58) Though the _____ method of setting an advertising budget is simple to use and helps management think about the relationships among promotion spending, selling price, and profit per unit, it wrongly views sales as the cause of promotion rather than the result.

A) percentage-of-sales

Answer: A Diff: 2 Page Ref: 415 Skill: Concept Objective: 14-4

59) Which method of setting an advertising budget is based on analyzing competitors' spending?

C) competitive-parity method

Answer: C Diff: 2 Page Ref: 416 Skill: Concept Objective: 14-4

60) Perhaps the most logical budget-setting method is the _____ method because it is based on spending necessary to accomplishing specific promotion goals.

D) objective-and-task

Answer: D Diff: 2 Page Ref: 416 Skill: Concept Objective: 14-4

61) Advertising has some shortcomings. What is NOT one of them?

C) It slowly reaches many people.

Answer: C Diff: 3 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

62) _____ is the company's most expensive promotion tool.

B) Personal selling

Answer: B Diff: 3 Page Ref: 417 Skill: Concept Objective: 14-4

63) Which promotional tool is most effective in building up buyers' preferences, convictions, and, most importantly, actions?

B) personal selling

Answer: B Diff: 2 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

64) Sales promotion features a wide assortment of tools. Which of the following is NOT one of these tools?

C) catalogs

Answer: C Diff: 2 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

65) "Buy it now" is the message of _____.

D) sales promotion

Answer: D Diff: 2 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

66) _____ consists of strong short-term incentives that invite and reward quick responses from customers.

D) Sales promotion

Answer: D Diff: 1 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

67) _____ is very believable because news stories, features, sponsorships, and events seem more real and believable to readers than ads do.

B) Public relations

Answer: B Diff: 2 Page Ref: 417 AACSB: Communication

Skill: Concept Objective: 14-4

68) Which promotional tool is described as nonpublic, immediate, customized, and interactive?

C) direct marketing

Answer: C Diff: 2 Page Ref: 418 AACSB: Communication

Skill: Concept Objective: 14-4

69) Which promotional mix strategy directs marketing efforts toward final consumers?

A) pull

Answer: A Diff: 1 Page Ref: 418 AACSB: Communication

Skill: Concept Objective: 14-4

70) Which promotional mix strategy directs marketing efforts toward market channel members?

C) push

Answer: C Diff: 1 Page Ref: 418 AACSB: Communication

Skill: Concept Objective: 14-4

71) Business-to-consumer companies are more likely to emphasize a _____ promotion strategy, while business-to-business companies are more likely to emphasize a _____ promotion strategy.

A) pull; push

Answer: A Diff: 1 Page Ref: 418 AACSB: Communication

Skill: Concept Objective: 14-4

72) Which of the following is LEAST important for integrating a firm's marketing communications?

D) study the competitor's communications and promotions

Answer: D Diff: 3 Page Ref: 420-421 AACSB: Communication

Skill: Concept Objective: 14-4

73) Bait-and-switch advertising _____.

- A) attracts buyers under false pretenses**
- B) is unethical**
- C) is illegal**
- D) is deceptive**
- E) all of the above**

Answer: E **Diff: 1** **Page Ref: 421** **AACSB: Ethical Reasoning**

Skill: Concept **Objective: 14-4**

74) Which of the following would be classified as bait-and-switch advertising?

- A) advertising a cheaper brand but only making a more expensive one available to customers**

Answer: A **Diff: 2** **Page Ref: 421** **AACSB: Ethical Reasoning**

Skill: Concept **Objective: 14-4**

75) A company's salespeople should always follow the rules of _____.

- D) fair competition**

Answer: D **Diff: 2** **Page Ref: 422** **AACSB: Ethical Reasoning**

Skill: Concept **Objective: 14-4**

76) A.Y. McDonald, a manufacturer of pumps and plumbing valves, employs regional salespeople to sell its products to wholesalers and cities. This is an example of _____.

- B) personal selling**

Answer: B **Diff: 1** **Page Ref: 402** **AACSB: Reflective Thinking**

Skill: Application **Objective: 14-1**

77) Tara Keegan owns Live Well, a small chain of health stores offering a variety of natural health products and related services. In order to implement integrated marketing communications, Tara has hired a marketing communications director, whose job it will be to ensure that each _____ will deliver a consistent and positive message about the company.

- B) brand contact**

Answer: B **Diff: 2** **Page Ref: 406** **AACSB: Reflective Thinking**

Skill: Application **Objective: 14-1**

78) Harpo Enterprises maintains the Oprah Winfrey show, a Web site, and O magazine. Because Harpo Enterprises practices integrated marketing communications, these different brand contacts all maintain _____ in design and tone.

- C) consistency**

Answer: C **Diff: 1** **Page Ref: 405** **AACSB: Reflective Thinking**

Skill: Application **Objective: 14-2**

79) Delia's is a clothing retailer that targets teenage girls. It runs coordinated promotions for its catalogs, Web site, and retail outlets. It uses the same models in its catalog and in its print ads as well as on its Web site. Delia's works to make sure its public relations activities as well as its sales promotions harmonize with its advertising in all venues. From this information, you can infer that Delia's is using _____.

C) integrated marketing communication

Answer: C Diff: 1 Page Ref: 406 AACSB: Reflective Thinking

Skill: Application Objective: 14-2

80) HP's advertising agency assembles words and illustrations into an advertisement that will convey the company's intended brand message. In the communication process, HP is _____.

B) encoding

Answer: B Diff: 1 Page Ref: 408 AACSB: Communication

Skill: Application Objective: 14-3

81) The decision to use a cleaning genie to communicate the strength and power of Mr. Clean cleaning liquid is representative of the _____ process of the communication model.

B) encoding

Answer: B Diff: 2 Page Ref: 408 AACSB: Communication

Skill: Application Objective: 14-3

82) In the communication process, an actual HP printer/fax machine advertisement is called _____.

D) the message

Answer: D Diff: 2 Page Ref: 408 AACSB: Communication

Skill: Application Objective: 14-3

83) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a \$1-off coupon when they try the new makeup. In terms of the communication model, the sender of this message is _____.

D) Maybelline

Answer: D Diff: 2 Page Ref: 408 AACSB: Reflective Thinking

Skill: Application Objective: 14-3

- 84) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a \$1-off coupon when they try the new makeup. In terms of the communication model, the medium of this ad is _____.

B) Ladies' Home Journal

Answer: B Diff: 1 Page Ref: 408 AACSB: Reflective Thinking

Skill: Application Objective: 14-3

- 85) An ad for Maybelline age-minimizing makeup in Ladies' Home Journal magazine featured actress Melina Kanakaredes and offered readers a \$1-off coupon when they try the new makeup. In terms of the communication model, which of the following would be the best way for the source to measure feedback?

C) the number of people who redeem the coupon

Answer: C Diff: 2 Page Ref: 409 AACSB: Analytic Skills

Skill: Application Objective: 14-3

- 86) Mercy University's initial ads for the school's new MBA program are most likely intended to create _____.

B) awareness

Answer: B Diff: 2 Page Ref: 409 AACSB: Communication

Skill: Application Objective: 14-3

- 87) When a car-maker wants to introduce a new model, it is most likely to begin with an extensive _____ advertising campaign to create name familiarity and interest.

C) teaser

Answer: C Diff: 3 Page Ref: 409 AACSB: Communication

Skill: Application Objective: 14-3

- 88) An example of a(n) _____ appeal is the Salvation Army appeal, "While you were trying to figure out what to get the man who has everything, don't forget the man who has nothing."

D) moral

Answer: D Diff: 2 Page Ref: 411 AACSB: Reflective Thinking

Skill: Application Objective: 14-3

- 89) Which of the following represent(s) a two-sided message?

A) Listerine tastes bad twice a day.

B) Heinz Ketchup is slow good.

D) A and B

Answer: D Diff: 1 Page Ref: 412 AACSB: Reflective Thinking

Skill: Application Objective: 14-3

- 90) A manufacturer of a variety of technological devices asked its marketing department to develop inexpensive methods of building and maintaining brand awareness and excitement. The marketing department then recruited consumers who were early adopters of technological devices to spread the word about the company's new products. This is an example of _____.

C) buzz marketing

Answer: C Diff: 3 Page Ref: 413 AACSB: Reflective Thinking

Skill: Application Objective: 14-3

- 91) Toward the end of the fiscal year, the owner of a small company came back from lunch concerned because he had learned that a business targeted to the same customers as his was planning on spending \$150,000 on promotion. As soon as he arrived at the office, he called his financial manager and said, "I want to budget \$150,000 for next year's promotion." Which method of promotional budgeting did the owner want to use?

C) the competitive-parity method

Answer: C Diff: 2 Page Ref: 416 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 92) An e-mail from Amazon.com offers free shipping on your next purchase of more than \$35. This is an example of _____.

A) sales promotion

Answer: A Diff: 2 Page Ref: 417 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 93) Mariah Goldberg, a marketing manager for a manufacturer of children's toys, is looking for ways to reach potential customers who typically avoid salespeople and advertisements. Which of the following would be the most economical promotional tool for Mariah to use?

C) public relations

Answer: C Diff: 3 Page Ref: 417 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 94) A newspaper article announced that VoiceStream Wireless, the nation's sixth-largest wireless carrier, was changing its name to T-Mobile and that to begin the makeover process it had replaced spokesperson Jamie Lee Curtis with Catherine Zeta-Jones. Of which element of the promotion mix is this an example?

C) public relations

Answer: C Diff: 2 Page Ref: 417 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 95) Clean and Clear, a large producer of all-natural hair care and beauty products, is most likely to use which of the promotion mix strategies to gain increased shelf space in stores and to gain increased customer sales?

C) push and pull

Answer: C Diff: 2 Page Ref: 418 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 96) An ad in a professional journal targeted to an audience of dentists asked dentists to recommend Crest toothpaste to their patients. It offered toothpaste samples that dentists could buy at cost to give to their patients to encourage patients to take better care of their teeth. The manufacturer of Crest toothpaste was using _____.

C) a push strategy

Answer: C Diff: 2 Page Ref: 418 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 97) Glasis is a type of paint made specifically for use on cars. An ad in Motor Trend magazine advising consumers to request their body shops use Glasis paint is an example of how a company uses _____.

E) a pull strategy

Answer: E Diff: 2 Page Ref: 418 AACSB: Reflective Thinking

Skill: Application Objective: 14-4

- 98) A maker of vitamin drinks wants to compete with the leading brands in the category and has decided to use a heavy push strategy, putting most of the brand's marketing budget into trade and consumer sales promotion. Which of the following is a potential disadvantage of this approach?

E) The strategy may spark a spiral of price-slashing that will undercut the brand's future for short-term gains.

Answer: E Diff: 3 Page Ref: 419 AACSB: Analytic Skills

Skill: Application Objective: 14-4

125) A recent trend toward more push than pull in the mixes of consumer-goods companies may achieve short-run sales at the expense of brand equity.

Answer: TRUE

Diff: 3 Page Ref: 418

AACSB: Analytic Skills

Skill: Application

Objective: 14-4

126) A company's marketing communications mix□also called its promotion mix□blends five different parts. Name and define these parts.

Answer: Advertising is any paid-for or nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor. Sales promotion includes short-term incentives to encourage the purchase or sale of a product or service. Public relations includes building good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, or events. Personal selling includes a personal presentation by the firm's sales force for the purpose of making sales and building customer relationships. Direct marketing includes direct connections with carefully targeted individual consumers to obtain an immediate response and cultivate lasting customer relationships□the uses of telephone, mail, the Internet, and other tools to communicate directly with specific customers.

Diff: 2 Page Ref: 402

AACSB: Communication

Skill: Concept

Objective: 14-1

127) Why are profound changes in marketing communications creating both exciting and scary times for marketing communicators?

Answer: In the past, marketers relied heavily on mass marketing. Today, however, mass markets have fragmented, consumers are better informed and sweeping changes in technology have changed how companies and consumers communicate with each other. These three factors have led to a new marketing communications model that is specialized to reach smaller customer segments with messages that are more personalized. Mass marketing can no longer be solely relied upon to deliver a marketer's message. Although these changes may frighten marketing communicators, these changes afford tremendous opportunities to reach new customers and strengthen relationships with existing customers.

Diff: 3 Page Ref: 403

AACSB: Analytic Skills

Skill: Application

Objective: 14-2

128) Explain the concept of integrated marketing communications (IMC).

Answer: IMC calls for recognizing all contact points where the customer may encounter the company and its brands.. A company wants to deliver a consistent and positive message with each contact. IMC ties together all of the company's messages and images, avoiding the confusion that can arise from customers receiving varied messages from a variety of media.

Diff: 1 Page Ref: 405

AACSB: Communication

Skill: Application

Objective: 14-2

129) Name and define the four major communication functions.

Answer: Encoding is the process of putting thought into symbolic form. Decoding is the process by which the receiver assigns meaning to the symbols encoded by the sender. In addition, response refers to the reactions of the receiver after being exposed to the message. Feedback is the part of the receiver's response communicated back to the sender.

Diff: 2 Page Ref: 408

AACSB: Communication

Skill: Application

Objective: 14-3

130) The background for a Benadryl allergy medication ad appearing in the magazine *Better Homes and Gardens* shows green grass and lovely flowers. The headline states "Benadryl is 54 percent more effective than the leading prescription." At the bottom of the ad, in small print, is an explanation of how the effectiveness of Benadryl was determined. The ad also shows a package of Benadryl so consumers can easily recognize it at the store. Identify the different components of the communication model for this advertisement.

Answer: The marketers of Benadryl are the sender. These marketers encoded their ideas into the actual message, which includes the images and text of the advertisement. The medium for this communication is the page in *Better Homes and Gardens*. The receiver is anyone reading the magazine who sees this page of advertising; the receiver may or may not decode the message in the way the marketers intended. Noise could pop up at any stage of the communication process.

Diff: 1 Page Ref: 408

AACSB: Communication

Skill: Application

Objective: 14-3

131) Outline the steps in developing effective marketing communications.

Answer: In preparing marketing communications, the marketer's first task is to identify the target audience and its characteristics. Next, the market has to determine the communication objectives and define the response sought, whether it is awareness, knowledge, liking, preference, conviction, or purchase. Then a message should be constructed with an effective content and structure. Media must be selected, both for personal and nonpersonal communication. The marketer should find highly credible sources to deliver messages. Finally, the communicator must collect feedback by watching how much of the market becomes aware, tries the product, and is satisfied in the process.

Diff: 3 Page Ref: 409

AACSB: Communication

Skill: Application

Objective: 14-3

132) Describe the six buyer-readiness stages along with marketing strategies that may be used at each stage.

Answer: The six buyer-readiness stages are awareness, knowledge, liking, preference, conviction, and purchase. A marketer might use "teaser" ads to create interest and curiosity at the awareness stage. Next, marketers want to inform potential buyers of the product's high quality and its many features. Beyond knowledge, marketers want to move consumers to have stronger feelings about the product, going from liking to preference to conviction, or believing that a product is the best for them. A combination of promotion tools can be used to create positive feelings and a customer connection with the brand. The final stage is purchase, which marketers may influence through the use of premiums, add-ons, or rebates.

Diff: 3 Page Ref: 409

AACSB: Analytic Skills

Skill: Application

Objective: 14-3

133) Describe four common methods used to set the total budget for advertising.

Answer: Using the affordable method, a company sets a promotion budget at the level it thinks it can afford. Using the percentage-of-sales method, a company sets a promotion budget at a certain percentage of current or forecasted sales. Using the competitive-parity method, a company sets a promotion budget based on competitors' outlays. Using an objective-and-task method, a company sets a promotion budget based on what it wants to accomplish with promotion.

Diff: 2 Page Ref: 415-416

AACSB: Analytic Skills

Skill: Application

Objective: 14-4

134) Marketers can choose from two basic promotion mix strategies—push promotion or pull promotion. Compare these two strategies.

Answer: Using the pull strategy, the producer directs its marketing activities toward final consumers to induce them to buy the product; if the pull strategy is effective, consumers will then demand the product from channel members who will in turn demand it from producers. Using a push strategy, the producer focuses instead on the channel members, persuading them to carry the product and promote it to final consumers.

Diff: 2 Page Ref: 418

AACSB: Analytic Skills

Skill: Application

Objective: 14-4

135) Explain how advertising may change as a product moves from the introductory stage to the growth stage of the product life cycle.

Answer: Because there may be little awareness or little information generated about products in the introductory stage of the life cycle, marketers may spend large amounts of promotional dollars toward creating awareness. As the product moves into the growth stage, many competitors may enter the market in an attempt to move the product out of the way; in such cases, marketers may continue spending large amounts of promotional dollars for advertising. However, at this point, the marketer may decide to attempt to persuade consumers to buy based on specific product or company attributes, or to compare their product with competing products in an attempt to convince consumers that their product is superior. At the decline stage, advertising is kept at a reminder level.

Diff: 3 Page Ref: 420

AACSB: Analytic Skills

Skill: Application

Objective: 14-4

136) How are advertising and direct marketing different?

Answer: Advertising is the nonpersonal promotion of ideas, goods, or services, while direct marketing is the promotion of ideas, goods, or services to carefully targeted individuals.

Diff: 2 Page Ref: 402

AACSB: Analytic Skills

Skill: Application

Objective: 14-1

137) How can marketers benefit from media fragmentation?

Answer: Media fragmentation is represented through an explosion of more focused media that better match today's targeting strategies; media fragmentation allows the marketer to better reach the targeted consumers through more specific media options.

Diff: 2 Page Ref: 403

AACSB: Analytic Skills

Skill: Application

Objective: 14-2

138) Why do some marketers predict a marketing "chaos scenario"?

Answer: Some experts believe that the traditional mass-media communications will cease to exist and will be entirely replaced by new digital technologies that permit more targeted and personalized marketing.

Diff: 2 Page Ref: 404

AACSB: Analytic Skills

Skill: Application

Objective: 14-2

139) Why should a company be concerned about integrating communications from different sources within the company?

Answer: Customers won't separate conflicting or varying messages from different sources within a company, so failing to integrate communications could lead to blurred consumer brand perceptions.

Diff: 2 Page Ref: 405

AACSB: Analytic Skills

Skill: Application

Objective: 14-2

140) How do integrated marketing communications (IMC) build brand identity?

Answer: IMC builds brand identity and strong customer relationships by tying together all of the company's messages and images.

Diff: 2 Page Ref: 406

AACSB: Communication

Skill: Application

Objective: 14-2

141) Why is the consumer's field of experience of interest to a marketer?

Answer: The marketing communicator must understand the consumer's field of experience in order to create promotional messages that will be decoded as the sender intends them to be understood.

Diff: 3 Page Ref: 409

AACSB: Communication

Skill: Concept

Objective: 14-3

142) In the communication process, what is noise and why is it important?

Answer: Noise is the unplanned static or distortion during the communication process, which results in the receiver getting a different message than the one the sender sent. The consumer is distracted and misses the key point.

Diff: 1 Page Ref: 409

AACSB: Communication

Skill: Application

Objective: 14-3

143) Describe the three types of appeals marketers use.

Answer: Rational appeals relate to the consumer's self-interest; emotional appeals attempt to stir up either positive or negative emotions; moral appeals are directed to the consumer's sense of what is "right" and "proper."

Diff: 3 Page Ref: 411

AACSB: Communication

Skill: Application

Objective: 14-3

144) What role does message format play in print advertisements?

Answer: In a print ad, for example, the headline, copy, illustrations, and color are critical. To attract attention, the advertiser may use novelty, contrasts, or eye-catching headlines.

Diff: 1 Page Ref: 412

AACSB: Communication

Skill: Application

Objective: 14-3

145) Why do marketers value opinion leaders?

Answer: Opinion leaders are people whose opinions are sought by others. Marketers rely on opinion leaders to positively influence the spread of product or service acceptance through a market.

Diff: 1 Page Ref: 413

AACSB: Communication

Skill: Application

Objective: 14-3

146) Explain how the message source affects consumers' perceptions of the message.

Answer: The message source will affect how the consumer perceives the message. For example, highly credible sources—such as certain newspapers—will be more persuasive. In some cases, the use of celebrity testimonials works well to persuade consumers to make the purchase.

Diff: 2 Page Ref: 414

AACSB: Communication

Skill: Application

Objective: 14-3

147) When is it most advisable to predominantly use advertising in a promotion mix?

Answer: Advertising works well when the marketer's goal is to reach geographically dispersed groups of consumers. In addition, advertising works well when the marketer wants to control the intended message geared toward a specific group of consumers. Advertising also allows the marketer to repeat a message many times.

Diff: 2 Page Ref: 416-417

AACSB: Communication

Skill: Application

Objective: 14-4

148) When is it advisable to predominantly use personal selling in a promotion mix?

Answer: Personal selling works well when the marketer's goal is to build up buyers' preferences, convictions, and actions. Personal selling allows marketers to build personal relationships with the prospective buyers and allows marketers to provide demonstrations directly to an intended audience. Many industrial companies prefer personal selling to other promotional tools.

Diff: 2 Page Ref: 417

AACSB: Communication

Skill: Application

Objective: 14-4

149) When is it advisable to predominantly use sales promotions in a promotion mix?

Answer: Sales promotions are used to invite and reward quick response. Sales promotions are short-lived; therefore, sales promotions are used when the marketer intends to make a quick, dramatic impact on an intended audience with the use of coupons, samples, contest, etc.

Diff: 2 Page Ref: 417

AACSB: Communication

Skill: Application

Objective: 14-4

150) Describe the FTC three-day cooling off rule.

Answer: The three-day cooling-off rule gives special protection to customers who are not seeking products. Under this rule, customers who agree in their own homes to buy something costing more than \$25 have 72 hours in which to cancel a contract or return merchandise and get their money back, no questions asked.

Diff: 3 Page Ref: 422

AACSB: Ethical Reasoning

Skill: Application

Objective: 14-4

Chapter 15 Advertising and Public Relations

- 1) Any paid form of nonpersonal presentation and promotion of ideas, goods, or services by an identified sponsor is called _____.

C) advertising

Answer: C Diff: 2 Page Ref: 430 Skill: Concept Objective: 15-1

- 2) A company's total marketing communications package consists of a special blend of advertising, sales promotion, public relations, personal selling, and direct-marketing tools that the company uses to communicate customer value and build customer relationships. This is also called _____.

C) the promotion mix

Answer: C Diff: 1 Page Ref: 428 Skill: Concept Objective: 15-1

- 3) According to the opening scenario, GEICO has become the fourth-largest insurance company by _____.

A) integrating humor and creativity into its minicampaigns

Answer: A Diff: 3 Page Ref: 428 Skill: Concept Objective: 15-1

- 4) All of the following are important decisions during the process of developing an advertising program EXCEPT _____.

D) selecting a target market

Answer: D Diff: 2 Page Ref: 430-431 Skill: Concept Objective: 15-2

- 5) Advertising _____ define the task that advertising must accomplish with a specific target audience during a specific period of time.

A) objectives

Answer: A Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

- 6) An advertising objective is classified by its primary purpose, which is to inform, persuade, or _____.

C) remind

Answer: C Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

- 7) Which of the following is an objective of informative advertising?

D) suggest new uses for a product

Answer: D Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

- 8) What is one of the primary goals of reminder advertising?

A) maintain customer relationships

Answer: A Diff: 1 Page Ref: 431 Skill: Concept Objective: 15-2

- 9) When the advertising objective is to build primary demand for a new product category, _____ advertising will most likely be used.

B) informative

Answer: B Diff: 2 Page Ref: 431 Skill: Concept Objective: 15-2

- 10) _____ advertising becomes more important as competition increases. The company's objective is to build selective demand.

E) Persuasive

Answer: E Diff: 2 Page Ref: 431-432 Skill: Concept Objective: 15-2

- 11) Persuasive advertising becomes _____ advertising when a company directly or indirectly compares its brand with one or more other brands.

C) comparative

Answer: C Diff: 1 Page Ref: 432 Skill: Concept Objective: 15-2

- 12) What is a potential problem associated with comparative advertising?

D) Competitors respond with their own ads, which often results in negative publicity for both brands.

**Answer: D Diff: 3 Page Ref: 432 AACSB: Reflective Thinking
Skill: Concept Objective: 15-2**

- 13) A product in the maturity stage will often require _____ advertising.

D) reminder

Answer: D Diff: 1 Page Ref: 432 Skill: Concept Objective: 15-2

- 14) Familiar products such as Coca-Cola are more likely to use _____.

D) reminder advertising

**Answer: D Diff: 3 Page Ref: 432 AACSB: Communication
Skill: Concept Objective: 15-2**

- 15) After determining its advertising objectives, the company's next step in developing an advertising program is to _____.

A) set its advertising budget

Answer: A Diff: 2 Page Ref: 432 Skill: Concept Objective: 15-2

- 16) All of the following require high advertising budgets EXCEPT _____.

E) mature brands

Answer: E Diff: 3 Page Ref: 432 Skill: Concept Objective: 15-2

- 17) Which of the following may require heavy advertising in order to be set apart from similar products?

A) undifferentiated brands

Answer: A Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

- 18) Some large corporations have developed _____ to help determine the optimal investment across various media; such tools are useful when determining the relationship between promotional spending and brand sales.

C) statistical models

Answer: C Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

- 19) Which of the following is an element of developing an advertising strategy?

A) selecting advertising media

Answer: A Diff: 1 Page Ref: 433 Skill: Concept Objective: 15-2

- 20) Soaring media costs, focused target marketing strategies, and the growing array of new media have increased the importance of _____.

E) media planning

**Answer: E Diff: 2 Page Ref: 433 AACSB: Use of IT Skill: Concept
Objective: 15-2**

- 21) The success of the MINI Let's Motor campaign exemplifies the partnership between which two elements?

B) message and media

Answer: B Diff: 3 Page Ref: 433 Skill: Concept Objective: 15-2

- 22) To be successful, an advertisement must _____.

E) gain the attention of consumers

Answer: E Diff: 2 Page Ref: 434 Skill: Concept Objective: 15-2

- 23) The Internet, video on demand, and DVRs (digital video recorders) present which of the following problems for marketers?

D) Consumers have more choices about what to watch or not watch.

**Answer: D Diff: 3 Page Ref: 434-435 AACSB: Use of IT
Skill: Concept Objective: 15-2**

- 24) Which of the following represents the merge between advertising and entertainment?

A) Madison & Vine

Answer: A Diff: 1 Page Ref: 435 Skill: Concept Objective: 15-2

- 25) What is the term used to describe the idea that will be communicated to consumers through an advertisement?

B) message strategy

Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

- 26) Developing an effective message strategy begins with identifying _____ that can be used as advertising appeals.

D) customer benefits

Answer: D Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

- 27) _____ tend to be straightforward outlines of benefits and positioning points that the advertiser wants to stress.

B) Message strategy statements

Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

- 28) After creating message strategy statements, the advertiser must develop a compelling _____ that will bring the message strategy to life in a distinctive and memorable way.

A) creative concept

Answer: A Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

- 29) The big idea or the creative concept may emerge as a(n) _____, a phrase, or a combination of the two.

B) visualization

Answer: B Diff: 2 Page Ref: 435 Skill: Concept Objective: 15-2

- 30) Which of the following are the three characteristics of an advertising appeal?
- C) meaningful, believable, and distinctive**
Answer: C Diff: 3 Page Ref: 435 Skill: Concept Objective: 15-2
- 31) The goal of _____ is to make an advertisement so useful that people want to watch it.
- B) advertainment**
Answer: B Diff: 2 Page Ref: 436 Skill: Concept Objective: 15-2
- 32) American Eagle Outfitters has increased interest in its clothing products using which of the following advertising forms?
- D) webisodes**
Answer: D Diff: 2 Page Ref: 436 AACSB: Use of IT Skill: Concept
Objective: 15-2
- 33) Product placement in television programs and movies is an example of _____.
- A) branded entertainment**
Answer: A Diff: 2 Page Ref: 436 Skill: Concept Objective: 15-2
- 34) According to experts, what is the biggest potential problem facing advertainment?
- C) Consumers will remember the advertisement but forget the brand.**
Answer: C Diff: 3 Page Ref: 437 AACSB: Reflective Thinking
Skill: Concept Objective: 15-2
- 35) Which message execution style depicts average people using a product in an everyday setting?
- C) slice of life**
Answer: C Diff: 1 Page Ref: 436 Skill: Concept Objective: 15-2
- 36) Advertisements built around dream themes are using which type of execution style?
- C) fantasy**
Answer: C Diff: 1 Page Ref: 437 Skill: Concept Objective: 15-2
- 37) The AFLAC duck and Tony the Tiger are examples of _____ used in successful advertising campaigns.
- E) personality symbols**
Answer: E Diff: 2 Page Ref: 438 AACSB: Analytic Skills
Skill: Concept Objective: 15-2
- 38) What is the first element that a reader notices in a print ad?
- B) illustration**
Answer: B Diff: 2 Page Ref: 438 Skill: Concept Objective: 15-2
- 39) An amateur video showing the result of mixing Diet Coke with Mentos candies exemplifies which growing trend in advertising?
- B) consumer-generated messages**
Answer: B Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2
- 40) How can consumer-generated ads benefit companies and their products?
- E) Consumers become engaged in the product and consider its value in their lives.**
Answer: E Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2

41) All of the following are major steps in advertising media selection EXCEPT _____.

D) deciding on format elements

Answer: D Diff: 2 Page Ref: 439 Skill: Concept Objective: 15-2

42) What was one of the results of the "Quiznos vs. Subway TV Ad Challenge"?

E) Subway filed a lawsuit asserting that Quiznos ads made false claims about Subway.

Answer: E Diff: 3 Page Ref: 439 Skill: Concept Objective: 15-2

43) _____ is a measure of the percentage of people in the target market who are exposed to the ad campaign during a given period of time.

A) Reach

Answer: A Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

44) The number of times an average person in the target market is exposed to an ad is known as the _____.

C) frequency

Answer: C Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

45) The advertiser must decide on the _____, or desired media impact, of a message in a specific medium.

C) qualitative value

Answer: C Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

46) For many years, _____ have dominated the media mix used by national advertisers.

B) television and magazines

Answer: B Diff: 2 Page Ref: 440 Skill: Concept Objective: 15-2

47) Advertisers are increasingly shifting larger portions of their budgets to media that cost less and target more effectively. Which of the following is harmed the MOST by such a shift?

C) network television

Answer: C Diff: 1 Page Ref: 440 Skill: Concept Objective: 15-2

48) All of the following are examples of specialized and highly-targeted media that an advertiser might use to reach smaller customer segments EXCEPT _____.

D) magazines

**Answer: D Diff: 2 Page Ref: 440 AACSB: Use of IT Skill: Concept
Objective: 15-2**

49) The Internet, direct mail, magazines, and radio all offer advertisers which of the following advantages?

A) audience selectivity

Answer: A Diff: 3 Page Ref: 441 Skill: Concept Objective: 15-2

50) Companies are doing less _____ and more _____ as a result of an explosion of more focused media that better match today's targeting strategies.

D) broadcasting; narrowcasting

**Answer: D Diff: 3 Page Ref: 440 AACSB: Communication
Skill: Concept Objective: 15-2**

- 51) *30 Rock* and *Newsweek* are both examples of _____, specific media within each general media type.

C) media vehicles

Answer: C **Diff: 2** **Page Ref: 442** **AACSB: Analytic Skills**

Skill: Concept **Objective: 15-2**

- 52) The media planner looks both at the total cost of using a medium and at the _____.

A) cost per thousand persons reached

Answer: A **Diff: 2** **Page Ref: 442** **Skill: Concept** **Objective: 15-2**

- 53) When a media planner determines whether an advertisement for dishwashing soap should be placed in *Sports Illustrated* or *Good Housekeeping*, the planner is evaluating the media vehicle's _____.

D) audience quality

Answer: D **Diff: 2** **Page Ref: 442** **AACSB: Analytic Skills**

Skill: Concept **Objective: 15-2**

- 54) _____ means scheduling ads evenly within a given period. _____ means scheduling ads unevenly over a given time period.

C) Continuity; Pulsing

Answer: C **Diff: 2** **Page Ref: 443** **Skill: Concept** **Objective: 15-2**

- 55) Scheduling ads unevenly, which is called _____, builds awareness that is intended to be carried over to the next advertising period.

B) pulsing

Answer: B **Diff: 2** **Page Ref: 443** **Skill: Concept** **Objective: 15-2**

- 56) According to the Association of National Advertisers, what is the most important issue for today's advertisers?

B) measuring advertising's efficiency and effectiveness

Answer: B **Diff: 2** **Page Ref: 443** **Skill: Concept** **Objective: 15-2**

- 57) Sales and profit effects of advertising are difficult to measure because of factors outside of the ad campaign such as _____.

A) price and availability

Answer: A **Diff: 2** **Page Ref: 443** **Skill: Concept** **Objective: 15-2**

- 58) One way to measure the _____ effects of advertising is to _____ past sales and past advertising expenditures.

D) sales; compare

Answer: D **Diff: 2** **Page Ref: 443** **Skill: Concept** **Objective: 15-2**

- 59) All of the following are benefits of standardized global advertising EXCEPT _____.

C) higher appeal to varying demographics

Answer: C **Diff: 2** **Page Ref: 446** **Skill: Concept** **Objective: 15-2**

- 60) Most international advertisers develop global _____ for the sake of efficiency, but they adapt their advertising _____ to make them responsive to local market needs and expectations.

C) strategies; programs

Answer: C Diff: 3 Page Ref: 446-447 Skill: Concept Objective: 15-2

- 61) Apple has modified its "I'm a Mac; I'm a PC" ad campaign in Japan for which of the following reasons?

E) The Japanese culture views bragging as rude.

**Answer: E Diff: 3 Page Ref: 447 AACSB: Communication
Skill: Concept Objective: 15-2**

- 62) What is the primary question that must be asked by an advertiser before deciding to run a commercial during the Super Bowl?

A) Will the commercial deliver a high return on advertising investment?

Answer: A Diff: 3 Page Ref: 445 Skill: Concept Objective: 15-2

- 63) Unilever decided not to purchase advertising during the Super Bowl a second time because the maker of Dove _____.

B) earned a better response for less money through an outdoor campaign

Answer: B Diff: 3 Page Ref: 445 Skill: Concept Objective: 15-2

- 64) Which of the five major promotion tools includes building up a positive corporate image and handling unfavorable stories and events?

D) public relations

Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

- 65) Lobbying, or building and maintaining relations with legislators and government officials to influence legislation and regulation, is part of _____.

D) public relations

Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

- 66) Which of the following functions is LEAST likely to be performed by a public relations department?

E) media vehicle selection

Answer: E Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

- 67) When nonprofit organizations need financial or volunteer support they often turn to public relations experts to help them in the area of _____.

D) development

Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

- 68) Trade associations have used _____ to rebuild interest in declining commodities such as eggs, pork, and milk.

D) public relations

Answer: D Diff: 2 Page Ref: 448 Skill: Concept Objective: 15-3

69) Why was the introduction of Nintendo's Wii game console especially successful?

A) The company's public relations department held preview parties and encouraged people to blog about the system.

**Answer: A Diff: 3 Page Ref: 449 AACSB: Reflective Thinking
Skill: Concept Objective: 15-3**

70) Why is public relations often overlooked as a tool for supporting product marketing objectives?

D) Many public relations professionals see their jobs as simply communicating, not necessarily brand building.

Answer: D Diff: 3 Page Ref: 449 Skill: Concept Objective: 15-3

71) The authors of the book *The Fall of Advertising and the Rise of PR* state that all of the following firms found success with very little advertising EXCEPT _____.

E) Nike

Answer: E Diff: 2 Page Ref: 449-450 Skill: Concept Objective: 15-3

72) _____ use several tools, including the news, speeches, corporate identity materials, and special events.

C) Public relations professionals

Answer: C Diff: 2 Page Ref: 450 Skill: Concept Objective: 15-4

73) Logos, uniforms, brochures, and company trucks are all examples of _____ that can be used to help a company create a visual image for the public.

D) corporate identity materials

Answer: D Diff: 1 Page Ref: 450 Skill: Concept Objective: 15-4

74) News conferences, press tours, and grand openings are examples of _____, one of the tools commonly used by public relations professionals.

B) special events

Answer: B Diff: 1 Page Ref: 450 Skill: Concept Objective: 15-4

75) Johnson & Johnson used _____ when it launched its Aveeno Positively Ageless product line through a YouTube video of an artist's chalk drawing; consumers spread the word about the video, which was viewed by nearly one million people.

A) social networking

Answer: A Diff: 2 Page Ref: 450 Skill: Concept Objective: 15-4

76) U-Frame-It is a small company that has hired a local ad agency to put together an advertising campaign. Which of the following questions should be answered first?

C) What are the communication and sales objectives of U-Frame-It?

**Answer: C Diff: 3 Page Ref: 431 AACSB: Analytic Skills
Skill: Application Objective: 15-2**

77) Quaker Oats has been selling oatmeal for many years and is a trusted leader in the oatmeal market. What will be the most likely objective of advertisements for a new flavor of oatmeal being introduced by Quaker Oats?

D) maintain customer relationships

**Answer: D Diff: 2 Page Ref: 432 AACSB: Analytic Skills
Skill: Application Objective: 15-2**

- 78) Suave ran ads featuring a woman with beautiful hair questioning "Suave or Matrix? Can You Tell?" This is an example of _____.

C) comparative advertising

Answer: C Diff: 2 Page Ref: 432 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 79) When Proctor & Gamble developed the Mr. Clean Magic Eraser, the company needed to explain how the product cleans grime from walls without removing paint. What type of campaign was most likely used by Proctor & Gamble for the Mr. Clean Magic Eraser?

A) informative advertising

Answer: A Diff: 2 Page Ref: 431 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 80) Apex detergent is relatively undifferentiated from two other detergent brands: Acme and Brighton detergent; therefore, Apex may require _____.

C) heavy advertising to set it apart from others

Answer: C Diff: 2 Page Ref: 443 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 81) In its advertisements, Timex promotes its affordable and sturdy watches. Fossil emphasizes style and fashion in its advertisements, while Rolex stresses luxury and status. These are all examples of _____ appeals.

E) distinctive

Answer: E Diff: 2 Page Ref: 435 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 82) An ad for a new convection oven shows a busy professional woman serving dinner to her family. The convection oven is seen in the background, and the headline reads, "The latest development in time travel." This is an example of what type of execution style?

B) lifestyle

Answer: B Diff: 2 Page Ref: 436 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 83) When AFLAC uses a duck to represent its product, which type of execution style is being employed?

C) personality symbol

Answer: C Diff: 1 Page Ref: 438 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 84) When a pharmaceutical ad includes a world-renowned heart surgeon describing the benefits of the medication, which type of execution style is being used?

E) technical expertise

Answer: E Diff: 2 Page Ref: 438 AACSB: Analytic Skills

Skill: Application Objective: 15-2

- 85) Mike's Bike Shop's has a new print advertisement appearing in the local newspaper. What will be the first element readers will notice in the advertisement?

B) illustration

Answer: B Diff: 2 Page Ref: 438 AACSB: Analytic Skills

Skill: Application Objective: 15-2

86) You receive a report that 68% of your target market has been exposed to your ad campaign during a given period of time. The information in the report relates to _____.

A) reach

Answer: A Diff: 1 Page Ref: 440 AACSB: Analytic Skills

Skill: Application Objective: 15-2

87) You are looking to advertise your new product, and you want good mass-marketing coverage and low cost per exposure. You should choose _____ as your advertising media.

D) television

Answer: D Diff: 3 Page Ref: 441 AACSB: Analytic Skills

Skill: Application Objective: 15-2

88) Franklin & Marshall College wishes to contact high school seniors at independent schools in Pennsylvania. Which of the following media would be most effective and efficient?

D) a direct mail piece sent to the schools

Answer: D Diff: 3 Page Ref: 441 AACSB: Reflective Thinking

Skill: Application Objective: 15-2

89) Capture Cameras is launching a new advertising campaign to demonstrate the quality of their digital cameras. Which media option will attract the most demographically skewed audience with relatively low impact?

A) the Internet

Answer: A Diff: 3 Page Ref: 441 AACSB: Analytic Skills

Skill: Application Objective: 15-2

90) IAMS Pet Food runs a commercial on the Animal Planet cable channel during an episode of *The Dog Whisperer*. The advertising agency for IAMS is taking advantage of which of the following?

C) narrowcasting

Answer: C Diff: 2 Page Ref: 440 AACSB: Analytic Skills

Skill: Application Objective: 15-2

91) ABC Advertising Agency was recently hired to create an advertising campaign for a local water park. Since the park is only open during the spring and summer months, _____ plays a major role in the firm's decision about scheduling advertisements.

E) media timing

Answer: E Diff: 1 Page Ref: 443 AACSB: Analytic Skills

Skill: Application Objective: 15-2

92) The advertising agency hired by Mrs. Brown's Cookie Company has developed a series of commercials about the new cookie flavors created by the company. The head of the marketing department thinks that pulsing would be the most appropriate way to schedule the commercials. What is the potential benefit of pulsing the cookie ads?

B) The costs of advertising would be low.

Answer: B Diff: 3 Page Ref: 443 AACSB: Analytic Skills Skill: Application

Objective: 15-2

93) Fence Patrol is considering an international advertising campaign. The company may face any or all of the following problems EXCEPT _____.

- A) media costs may vary
- B) media availability may vary
- C) regulation of advertising may vary
- D) some products may be barred or illegal
- E) all of the above

Answer: E Diff: 2 Page Ref: 447 AACSB: Analytic Skills Skill: Application
Objective: 15-2

94) Kathy Champe, a public relations specialist for a regional chain of pharmacies, regularly contacts members of the local and state-wide media with information about community events and charity fundraisers sponsored by her company. This is an example of the _____ function of public relations.

- A) press relations

Answer: A Diff: 1 Page Ref: 448 AACSB: Analytic Skills Skill: Application
Objective: 15-3

95) The National Pork Board developed its very successful "Pork. The Other White Meat" campaign. The campaign provided nutritional information and pork recipes in an attempt to encourage consumers to view pork as a tasty alternative to poultry and fish. Which of the following functions was the goal of this public relations campaign?

- E) build up a positive image for pork

Answer: E Diff: 1 Page Ref: 448 AACSB: Analytic Skills Skill: Application
Objective: 15-3

96) In an attempt to set the company apart from its competitors, United Parcel Service has its employees wear brown uniforms and drive brown trucks. What type of public relations tool is UPS using?

- C) corporate identity materials

Answer: C Diff: 2 Page Ref: 450 Skill: Application Objective: 15-4

97) The public relations department at a manufacturer of a variety of technological devices has been charged with developing inexpensive methods of building and maintaining brand awareness and excitement. To begin with, the public relations department has recruited consumers who are early adopters of technological devices to spread the word about the company's new products. This is an example of the public relations tool of _____.

- E) buzz marketing

Answer: E Diff: 1 Page Ref: 450 AACSB: Reflective Thinking
Skill: Application Objective: 15-4

101) Marketing management must make four important decisions when developing an advertising program. Name and describe these four decisions.

Answer: a. Set advertising objectives, which can be classified by primary purpose: whether the aim is to inform, persuade, or remind.

b. Set the advertising budget: often depends on its stage in the product life cycle.

c. Develop advertising strategy: consists of creating an advertising message and selecting advertising media.

d. Evaluate advertising campaigns: monitor how well the advertising worked.

Diff: 2 Page Ref: 430-431

Skill: Application

Objective: 15-2

102) What are the three characteristics of advertising appeals?

Answer: Advertising appeals should be meaningful, believable, and distinctive. Meaningful appeals point out benefits that make the product more desirable or interesting to consumers. Believable appeals lead consumers to believe that the product or service will deliver the promised benefits. Finally, distinctive appeals should tell how the product is better than the competing brands.

Diff: 3 Page Ref: 435

Skill: Application

Objective: 15-2

103) The creative team must find the best way to execute an advertising message. Name and describe three of these styles of execution.

Answer: a. Slice of life: shows one or more typical people using the product in a normal setting.

b. Lifestyle: shows how a product fits in with a particular lifestyle.

c. Fantasy: creates a fantasy around the product or its use.

d. Mood or image: builds a mood or image around the product or service.

e. Musical: shows people or cartoon characters singing about the product.

f. Personality symbol: creates a character to represent the product.

g. Technical expertise: depicts the company's expertise in making the product or delivering the service.

h. Scientific evidence: presents survey or scientific evidence that the brand is better than other brands.

i. Testimonial evidence/endorsement: features a highly believable or likable source endorsing the product.

Diff: 2 Page Ref: 436-438

Skill: Application

Objective: 15-2

104) How are companies taking advantage of interactive technologies to tap consumers for message ideas and actual ads? What are the benefits and disadvantages of consumer-generated advertising?

Answer: Companies can now search existing video sites such as YouTube, set up their own Web sites, create accounts on social networks such as MySpace, and sponsor ad-creation contests. Several companies, such as Coca-Cola, MasterCard, and Frito-Lay, have used consumer-generated ads in national promotions. Consumer-generated advertising offers companies a way to gather new perspectives on their products and develop insights into how their products are used and seen by actual consumers. Also, consumer-generated advertising is very inexpensive. On the other hand, companies do not control consumer-generated material, which can lead to conflicting, or even negative, messages about a brand.

Diff: 3 Page Ref: 438-439

AACSB: Use of IT

Skill: Application

Objective: 15-2

105) Name and describe the four major steps in media selection.

Answer: a. Decide on reach, frequency, and impact. Reach is a measure of the percentage of people that are exposed to the advertisement; frequency is the measure of how many times the average person is exposed to the message; impact is how people feel about the advertisement.

b. Choose among major media types: television, newspapers, magazines, direct mail, radio, outdoor, and Internet.

c. Select specific media vehicles, such as choosing TV shows that the target would watch so he or she will see the commercial.

d. Decide on media timing. Determine how to schedule the advertising over the course of a year.

Diff: 2 Page Ref: 439-443

Skill: Application

Objective: 15-2

106) Identify four of the major media types and identify some of the strengths and weaknesses of each type.

- Answer: a. Television: Advantages are good mass-marketing coverage, low cost per exposure, and appeals to the senses; weaknesses are high total costs and high clutter.
- b. Newspapers: Strengths are timeliness, good local market coverage, and high believability; weaknesses are short life and poor reproduction quality.
- c. Direct mail: Strengths are flexibility and capacity for personalization; weaknesses are relatively high cost per exposure and "junk mail" image.
- d. Magazines: Strengths are high audience selectivity, credibility, and good pass-along readership; weaknesses are high costs and long lead times.
- e. Radio: Strengths are good local acceptance and low cost; weaknesses are low attention and fleeting exposure to messages.
- f. Outdoor: Strengths are flexibility, low cost, and low message competition; weaknesses are low audience selectivity and creative limitations.
- g. Internet: Strengths include high selectivity, low cost, and interactive capabilities; weaknesses are audience control of exposure and relatively low impact.

Diff: 3 Page Ref: 441

AACSB: Reflective Thinking

Skill: Application

Objective: 15-2

107) For the sake of accountability, advertisers must evaluate two types of advertising results: the communication effects and the sales and profit effects. How are these two results measured?

Answer: Measuring the *communication effects* of an ad or ad campaign tells whether the ads and media are communicating the ad message well. Individual ads can be tested before or after they are run. Before an ad is placed, the advertiser can show it to consumers, ask how they like it, and measure message recall or attitude changes resulting from it. After an ad is run, the advertiser can measure how the ad affected consumer recall or product awareness, knowledge, and preference. Pre- and post-evaluations of communication effects can be made for entire advertising campaigns as well.

Advertisers have gotten pretty good at measuring the communication effects of their ads and ad campaigns. However, *sales and profit* effects of advertising are often much harder to measure. Sales and profits are affected by many factors other than advertising—such as product features, price, and availability. One way to measure the sales and profit effects of advertising is to compare past sales and profits with past advertising expenditures. Another way is through experiments. For example, to test the effects of different advertising spending levels, Coca-Cola could vary the amount it spends on advertising in different market areas and measure the differences in the resulting sales and profit levels. More complex experiments could be designed to include other variables, such as differences in the ads or media used.

Diff: 3 Page Ref: 443

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

108) Describe public relations and three of its main functions.

Answer: Public relations departments build good relations with the company's various publics by obtaining favorable publicity, building up a good corporate image, and handling or heading off unfavorable rumors, stories, and events. Functions include:

- a. Product publicity: publicizing specific products
- b. Public affairs: building and maintaining national or local community relations
- c. Lobbying: building and maintaining relations with legislators and government officials to influence legislation and regulation
- d. Press relations: creating and placing newsworthy information in the new media to attract attention to a person, product, or service associated with the company
- e. Investor relations: maintaining relationships with shareholders

Diff: 3 Page Ref: 448

Skill: Application

Objective: 15-3

109) In a short essay, explain why a public relations campaign can be a more cost-effective option for corporations than an advertising campaign. Provide examples of companies that have achieved success by focusing on public relations rather than advertising.

Answer: Public relations can have a strong impact on public awareness at a much lower cost than advertising can. The company does not pay for the space or time in the media. Rather, it pays for a staff to develop and circulate information and to manage events. If the company develops an interesting story or event, it could be picked up by several different media, having the same effect as advertising that would cost millions of dollars. And it would have more credibility than advertising.

Starbucks, Amazon, Body Shop, and Nintendo's Wii have all achieved success through public relations campaigns rather than huge advertising campaigns.

Diff: 3 Page Ref: 448-450

AACSB: Reflective Thinking

Skill: Application

Objective: 15-4

110) Public relations specialists have several tools that they use. Identify three of these tools and describe how they can be used to help a company communicate with the public.

Answer: a. PR professionals find or create favorable *news* about the company and its products or people. Sometimes news stories occur naturally, and sometimes the PR person can suggest events or activities that would create news.

b. *Speeches* can also create product and company publicity. Increasingly, company executives must field questions from the media or give talks at trade associations or sales meetings, and these events can either build or hurt the company's image.

c. Another common PR tool is *special events*, ranging from news conferences, press tours, grand openings, and fireworks displays to laser shows, hot air balloon releases, multimedia presentations,

or educational programs designed to reach and interest target publics.

d. Public relations people also prepare *written materials* to reach and influence their target markets. These materials include annual reports, brochures, articles, and company newsletters and magazines.

e. *Audiovisual materials*, such as slide-and-sound programs, DVDs, and online videos are being used increasingly as communication tools.

f. *Corporate identity materials* can also help create a corporate identity that the public immediately recognizes. Logos, stationery, brochures, signs, business forms, business cards, buildings, uniforms, and company cars and trucks—all become marketing tools when they are attractive, distinctive, and memorable.

g. Companies can improve public goodwill by contributing money and time to *public service activities*.

h. Many marketers are now also designing *buzz marketing* campaigns to generate excitement and favorable word of mouth for their brands. Buzz marketing takes advantage of *social networking* processes by getting consumers themselves to spread information about a product or service to others in their communities.

Diff: 2 Page Ref: 450

Skill: Application

Objective: 15-4

111) U-Frame-It is a small company that has hired a local ad agency to put together an advertising campaign. Which of the following questions should be answered first?

A) What percentage of the budget should be for U-Frame-It radio ads?

B) Which type of media vehicle is most appropriate for U-Frame-It ads?

C) What are the communication and sales objectives of U-Frame-It?

D) How does U-Frame-It's competition advertise?

E) What is the demographic of U-Frame-It's customer base?

Answer: C

Diff: 3 Page Ref: 431

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

135) The owner of Second Avenue wants to establish a community clothing drive to collect clothes for a local children's shelter. The owner will set up collection barrels outside Second Avenue. Which of the following public relations tools is the owner using?

- A) press relations
- B) product publicity
- C) lobbying
- D) development
- E) public affairs

Answer: E

Diff: 2 Page Ref: 448

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

136) What are the three primary purposes of advertising objectives?

Answer: Advertising objectives can be classified by primary purpose—whether the aim is to inform, persuade, or remind.

Diff: 2 Page Ref: 431

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

137) When does a marketer use informative ads?

Answer: Informative ads are used heavily when introducing new products or new product categories.

Diff: 2 Page Ref: 431

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

138) When does a marketer use a comparative ad?

Answer: Comparative ads are a type of persuasive ads in which a company directly or indirectly compares its brand with one or more other brands.

Diff: 2 Page Ref: 432

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

139) When does a marketer use reminder ads?

Answer: Reminder ads are important for mature products; they keep consumers thinking about the product.

Diff: 2 Page Ref: 432

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

140) How has clutter in television and other advertising media created an increasingly hostile advertising environment?

Answer: The majority of Americans believe there are too many television commercials, and they are faced with almost 20 minutes of commercials for each hour of prime-time television; viewers are increasingly using technologies to skip past commercials.

Diff: 2 Page Ref: 434

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

141) Explain how a marketer could create a message strategy when marketing a product toward children.

Answer: When directing marketing efforts toward children, the marketer will want to create a message that is most appealing to children. The market will likely relate to specific situations in which children usually find themselves or the marketer may use a personality symbol with which the children can relate.

Diff: 3 Page Ref: 435 and 438

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

142) Give a hypothetical example of a slice-of-life message execution style.

Answer: Possible examples are endless. Slice-of-life examples show one or more typical people using a product in a normal setting.

Diff: 2 Page Ref: 436

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

143) How does a personality symbol impact a brand?

Answer: A personality symbol is a character that represents the product and with which the consumer can relate; the personality symbol helps a consumer connect with the product.

Diff: 2 Page Ref: 438

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

144) Give a hypothetical example of testimonial evidence.

Answer: Possible examples are endless. Testimonial evidence features a highly believable or likable source endorsing the product.

Diff: 2 Page Ref: 438

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

145) What does "reach" tell a marketer?

Answer: Reach is a measurement of the percentage of people in the target market who are exposed to the ad campaign during a given period of time.

Diff: 2 Page Ref: 440

Skill: Application

Objective: 15-2

146) Explain how different types of messages may require different media.

Answer: For example, a message announcing a major sale tomorrow will require radio or newspapers; a message with a lot of technical data might require magazines, direct mailings, or an online ad.

Diff: 3 Page Ref: 440-441

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

147) Explain how seasonality impacts media timing.

Answer: Seasonality will impact how often an advertisement is aired or printed. Usually during the Christmas season, ads from numerous marketers of various products are seen more frequently. During other seasons, the pattern of ads (frequency) will change greatly.

Diff: 3 Page Ref: 443

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

148) Give an example of how a company might run an experiment to measure the sales and profit effects of its advertising.

Answer: Answers will vary. Nabisco could vary the amount it spends on advertising a new food product in different market areas and compare the resulting sales and profit levels.

Diff: 2 Page Ref: 443-444

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

149) Explain why an ad would need to be modified from one country to the next.

Answer: Differences in perceptions of time, color, and imagery will impact how effective or acceptable an advertisement will be in other countries. In addition, changes in the use of language may be required to avoid being offensive to the foreign culture. Also, countries have varying laws regulating advertising.

Diff: 3 Page Ref: 446-447

AACSB: Analytic Skills

Skill: Application

Objective: 15-2

150) Why can public relations efforts have a strong impact on public awareness at a substantially lower cost than advertising?

Answer: With public relations, the company is paying for a staff to develop and circulate information and plan events instead of paying for space or time in the media.

Diff: 2 Page Ref: 448

AACSB: Analytic Skills

Skill: Application

Objective: 15-3

Chapter 16 Personal Selling and Sales Promotion

- 1) Which of the following elements of the promotion mix involves making personal connections with customers for the purpose of making sales?

A) personal selling

Answer: A Diff: 1 Page Ref: 458 Skill: Concept Objective: 16-1

- 2) A _____ is an individual acting on behalf of a company who performs one or more of the following activities: prospecting, communicating, servicing, and information gathering.

D) salesperson

Answer: D Diff: 1 Page Ref: 459 Skill: Concept Objective: 16-1

- 3) _____ involves two-way, personal communication between salespeople and individual customers, either in person, by telephone, or through Web conferences.

C) Personal selling

**Answer: C Diff: 1 Page Ref: 459 AACSB: Communication Skill: Concept
Objective: 16-1**

- 4) What is the role of a chief revenue, or chief customer, officer?

C) to oversee both marketing and sales

Answer: C Diff: 2 Page Ref: 460-461 Skill: Concept Objective: 16-1

- 5) A company can unite its marketing and sales functions through all of the following activities EXCEPT _____.

A) assigning a telemarketer the task of visiting a customer

**Answer: A Diff: 3 Page Ref: 460-461 AACSB: Analytic Skills Skill: Concept
Objective: 16-1**

- 6) When a company sets out to analyze, plan, implement, and control sales force activities, the company is undertaking _____.

B) sales force management

Answer: B Diff: 1 Page Ref: 461 Skill: Concept Objective: 16-2

- 7) Of the three typical types of sales force structures, which one is often supported by many levels of sales management positions in specific geographical areas?

A) territorial

Answer: A Diff: 2 Page Ref: 461 Skill: Concept Objective: 16-2

- 8) All of the following are considered advantages of a territorial sales force structure EXCEPT _____.

D) salespeople develop in-depth knowledge of a product line

**Answer: D Diff: 2 Page Ref: 461 AACSB: Reflective Thinking Skill: Concept
Objective: 16-2**

- 9) Which of the following is NOT a disadvantage of a product sales force structure?

D) increased customer delivery time

**Answer: D Diff: 3 Page Ref: 462 AACSB: Reflective Thinking
Skill: Concept Objective: 16-2**

10) Companies that use a customer sales force structure organize their salespeople by _____.

C) industry

Answer: C Diff: 2 Page Ref: 462 Skill: Concept Objective: 16-2

11) Hewlett-Packard's Customer Sales Group (CSG) caused frustration among customers and salespeople. What was the primary problem with the sales force structure of CSG?

D) Salespeople were responsible for selling all H-P products instead of specializing in a few products.

**Answer: D Diff: 3 Page Ref: 463 AACSB: Analytic Skills Skill: Concept
Objective: 16-2**

12) What do many companies use to determine sales force size?

A) the workload approach

Answer: A Diff: 2 Page Ref: 464 Skill: Concept Objective: 16-2

13) What is the term used to identify the individuals in a company who travel to call on customers in the field?

B) outside sales force

Answer: B Diff: 1 Page Ref: 464 Skill: Concept Objective: 16-2

14) Members of a company's _____ conduct business from their offices using telephones, e-mails, or visits from prospective buyers to generate sales.

B) inside sales force

Answer: B Diff: 1 Page Ref: 464 Skill: Concept Objective: 16-2

15) To reduce time demands on their outside sales forces, many companies have increased the size of their inside sales forces, which include technical support people, sales assistants, and _____.

C) telemarketers

**Answer: C Diff: 1 Page Ref: 465 AACSB: Use of IT Skill: Concept
Objective: 16-2**

16) A sales assistant working for an outside sales force will most likely have all of the following duties EXCEPT _____.

E) determining price points

Answer: E Diff: 2 Page Ref: 465 Skill: Concept Objective: 16-2

17) According to the opening scenario, the success of CDW Corporation is the direct result of its salespeople _____.

D) developing close, personal relationships with customers

**Answer: D Diff: 3 Page Ref: 465-466 AACSB: Analytic Skills
Skill: Concept Objective: 16-2**

18) The growing trend of using a group of people from sales, marketing, engineering, finance, technical support, and even upper management to service large, complex accounts is known as _____ selling.

C) team

Answer: C Diff: 1 Page Ref: 466 Skill: Concept Objective: 16-2

19) Which of the following most likely explains why companies are adopting the team selling approach to service large, complex accounts?

A) Products have become too complicated for one salesperson to support.

Answer: A Diff: 3 Page Ref: 466 Skill: Concept Objective: 16-2

20) All of the following are disadvantages of the team selling approach EXCEPT _____.

C) Selling teams increase costs and are time consuming.

**Answer: C Diff: 3 Page Ref: 466 AACSB: Reflective Thinking
Skill: Concept Objective: 16-2**

21) All of the following are problems associated with the poor selection of salespeople EXCEPT _____.

D) less office support

Answer: D Diff: 2 Page Ref: 466 Skill: Concept Objective: 16-2

22) According to research, which of the following is one of the four key talents a successful salesperson must possess?

B) disciplined work style

Answer: B Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

23) During the hiring process, companies that test sales applicants typically measure all of the following abilities EXCEPT _____.

C) accounting skills

Answer: C Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

24) The purpose of a training program for salespeople is to teach them about all of the following EXCEPT _____.

D) the company retirement benefits

Answer: D Diff: 2 Page Ref: 467 Skill: Concept Objective: 16-2

25) What is the primary reason that companies use e-learning to conduct sales training programs?

E) E-learning cuts training costs.

**Answer: E Diff: 2 Page Ref: 467 AACSB: Use of IT Skill: Concept
Objective: 16-2**

26) How do e-learning centers, such as the one developed by International Rectifier, help salespeople make sales?

A) Salespeople can refresh their knowledge about company products prior to making sales calls.

**Answer: A Diff: 3 Page Ref: 468 AACSB: Use of IT Skill: Concept
Objective: 16-2**

27) Commissions or bonuses that a salesperson receives from a company are categorized as the _____.

C) variable amount

Answer: C Diff: 2 Page Ref: 468 Skill: Concept Objective: 16-2

28) All of the following are a basic type of compensation plan for salespeople EXCEPT _____.

D) commission plus bonus

Answer: D Diff: 2 Page Ref: 468 Skill: Concept Objective: 16-2

29) Companies are increasingly moving away from high commission compensation plans because such plans often lead to salespeople _____.

C) being too pushy and ruining customer relationships

Answer: C Diff: 3 Page Ref: 469 Skill: Concept Objective: 16-2

30) Which sales management tool helps a salesperson know which customers to visit and which activities to carry out during a week?

C) call plan

Answer: C Diff: 2 Page Ref: 469 Skill: Concept Objective: 16-2

31) Companies are always looking for ways to increase face-to-face selling time. All of the following are ways to accomplish this goal EXCEPT _____.

D) reducing the number of customers each sales rep must visit

**Answer: D Diff: 3 Page Ref: 469 AACSB: Analytic Skills Skill: Concept
Objective: 16-2**

32) Which of the following is an advantage created by the use of a sales force automation system?

E) more efficient scheduling of sales calls and sales presentations

**Answer: E Diff: 3 Page Ref: 470 AACSB: Use of IT Skill: Concept
Objective: 16-2**

33) Firms that have adopted sales force automation systems most likely use all of the following tools EXCEPT _____.

B) time-and-duty analysis software

**Answer: B Diff: 2 Page Ref: 470 AACSB: Use of IT Skill: Concept
Objective: 16-2**

34) The process of receiving drug marketing information through product Web sites is known as _____.

A) e-detailing

**Answer: A Diff: 2 Page Ref: 470 AACSB: Use of IT Skill: Concept
Objective: 16-2**

35) Which of the following is a potential drawback of using Web-based technologies for making sales presentations and servicing accounts?

C) The systems can intimidate salespeople who are unfamiliar with the technology.

**Answer: C Diff: 3 Page Ref: 471 AACSB: Use of IT Skill: Concept
Objective: 16-2**

36) A company that treats its salespeople as valuable contributors with unlimited income opportunities has developed a(n) _____ that will have fewer turnovers and higher sales force performance.

B) organizational climate

Answer: B Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

37) A sales _____ is the standard that establishes the amount each salesperson should sell and how sales should be divided among the company's products.

C) quota

Answer: C Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

38) Sales _____ encourage a sales force to make a selling effort that is above and beyond the normal expectation.

A) contests

Answer: A Diff: 1 Page Ref: 471 Skill: Concept Objective: 16-2

39) A salesperson's _____ is often related to how well he or she meets a sales quota.

B) compensation

Answer: B Diff: 1 Page Ref: 471 Skill: Concept Objective: 16-2

40) A(n) _____ is a salesperson's write-up of his or her completed sales activities.

B) call report

Answer: B Diff: 2 Page Ref: 471 Skill: Concept Objective: 16-2

41) Which of the following questions would provide management with the LEAST beneficial information regarding the performance of its sales force?

E) Does the sales force complete its sales reports and expense reports in a timely manner?

**Answer: E Diff: 3 Page Ref: 472 AACSB: Reflective Thinking
Skill: Concept Objective: 16-2**

42) Prospecting is the step in the selling process in which the salesperson _____.

C) identifies qualified potential customers

**Answer: C Diff: 2 Page Ref: 472 AACSB: Communication
Skill: Concept Objective: 16-3**

43) A salesperson in the prospecting stage most likely identifies potential customers through all of the following methods EXCEPT _____.

A) referrals from competing salespeople

Answer: A Diff: 2 Page Ref: 472 Skill: Concept Objective: 16-3

44) Which of the following is the LEAST relevant characteristic that a salesperson should consider when qualifying a prospect?

B) longevity in the market

**Answer: B Diff: 3 Page Ref: 472 AACSB: Analytic Skills
Skill: Concept Objective: 16-3**

45) During the prospecting stage, a salesperson needs to discriminate between good leads and poor leads, which is known as _____.

D) qualifying

Answer: D Diff: 2 Page Ref: 472 Skill: Concept Objective: 16-3

46) A salesperson who researches a company's buying styles and product line is most likely in the _____ stage of the selling process.

B) preapproach

Answer: B Diff: 1 Page Ref: 473 Skill: Concept Objective: 16-3

47) The salesperson meets the customer for the first time in the _____ step of the selling process.

D) approach

Answer: D Diff: 1 Page Ref: 473 Skill: Concept Objective: 16-3

48) Technologies such as CDs, DVDs, handheld computers, interactive white boards, and laptop computers enable salespeople to enhance the _____ stage of the selling process.

C) presentation and demonstration

Answer: C Diff: 2 Page Ref: 474 AACSB: Use of IT

Skill: Concept Objective: 16-3

49) Which type of sales approach is best for today's customers who expect answers, results, and useful products?

B) customer-solution

Answer: B Diff: 2 Page Ref: 473 Skill: Concept Objective: 16-3

50) According to a survey of purchasers, _____ and _____ skills are the most important qualities for a salesperson.

A) listening; problem-solving

Answer: A Diff: 2 Page Ref: 474 AACSB: Communication

Skill: Concept Objective: 16-3

51) A salesperson should seek out, clarify, and overcome any customer objections during the sales presentation in order to _____.

D) turn the objections into reasons for buying

Answer: D Diff: 3 Page Ref: 474 AACSB: Communication

Skill: Concept Objective: 16-3

52) The step of _____ is difficult for some salespeople because they lack confidence, feel guilty about asking for an order, or may not recognize the right time to ask for an order.

D) closing the sale

Answer: D Diff: 2 Page Ref: 474 Skill: Concept Objective: 16-3

53) Salespeople should be trained to recognize _____ signals from the buyer, which can include physical actions such as leaning forward and nodding or asking questions about prices and credit terms.

D) closing

Answer: D Diff: 1 Page Ref: 474-475 AACSB: Communication

Skill: Concept Objective: 16-3

54) Which step in the sales process is necessary to ensure customer satisfaction and repeat business?

E) follow-up

Answer: E Diff: 1 Page Ref: 475 Skill: Concept Objective: 16-3

55) The sales force of CDW Corporation, as described in the opening scenario, develops strong relationships with customers as part of the _____ stage of the selling process.

E) follow-up

Answer: E Diff: 2 Page Ref: 475 Skill: Concept Objective: 16-2

56) A _____ consists of short-term incentives to encourage the immediate purchase of a product or service.

D) sales promotion

Answer: D Diff: 2 Page Ref: 475 Skill: Concept Objective: 16-4

57) Value merchant salespeople document and demonstrate the superior value of their products and services in hopes of _____.

B) gaining long-term business from customers

Answer: B Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

58) A salesperson who would be categorized as a value spendthrift has which of the following behaviors?

C) concedes on price in order to quickly close sales deals

Answer: C Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

59) Value merchant salespeople possess which of the following characteristics?

E) They make sales based on cost of ownership comparisons against competitors.

Answer: E Diff: 3 Page Ref: 476 Skill: Concept Objective: 16-4

60) Sales promotions are targeted toward all of the following EXCEPT _____.

B) investors

Answer: B Diff: 2 Page Ref: 477 Skill: Concept Objective: 16-4

61) The rapid growth of sales promotions in consumer markets is most likely the result of all of the following factors EXCEPT _____.

D) consumers using the Internet to search for deals and save money

Answer: D Diff: 3 Page Ref: 477-478 Skill: Concept Objective: 16-4

62) Consumers are increasingly ignoring promotions and not making immediate purchases because of _____.

B) promotion clutter

Answer: B Diff: 1 Page Ref: 478 Skill: Concept Objective: 16-4

63) Sellers use trade promotions for all of the following reasons EXCEPT to _____.

D) encourage salespeople to sign up new accounts

Answer: D Diff: 2 Page Ref: 478 Skill: Concept Objective: 16-4

64) Instead of creating only short-term sales or temporary brand switching, _____ should reinforce a product's position and build long-term customer relationships.

A) sales promotions

Answer: A Diff: 2 Page Ref: 478 Skill: Concept Objective: 16-4

65) Of the main consumer promotion tools, which is the MOST effective for introducing a new product or creating excitement for an existing one?

B) samples

Answer: B Diff: 2 Page Ref: 479 Skill: Concept Objective: 16-4

66) Which of the following consumer promotion tools is the MOST costly for companies ?

A) samples

Answer: A Diff: 2 Page Ref: 479 Skill: Concept Objective: 16-4

67) Which consumer promotion tool requires consumers to send a proof of purchase to the manufacturer?

D) cash refunds

Answer: D Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

68) Which of the following involves marking a reduced price directly on a product's packaging and often results in the stimulation of short-term sales?

C) price packs

Answer: C Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

69) _____ are goods offered either free or at low cost as an incentive to buy a product.

B) Premiums

Answer: B Diff: 2 Page Ref: 480 Skill: Concept Objective: 16-4

70) A _____ has the advertiser's name on it and is given as a gift to consumers.

D) promotional product

Answer: D Diff: 1 Page Ref: 480 Skill: Concept Objective: 16-4

71) Which consumer promotion offers consumers the chance to win something by presenting them with an item such as a scratch-off card or a bingo number ?

A) game

Answer: A Diff: 1 Page Ref: 480 Skill: Concept Objective: 16-4

72) Marathons, concerts, and festivals with corporate sponsors are examples of _____.

D) event marketing

Answer: D Diff: 1 Page Ref: 481 Skill: Concept Objective: 16-4

73) Business promotion tools are used for all of the following reasons EXCEPT to _____.

E) increase manufacturing

Answer: E Diff: 2 Page Ref: 481 Skill: Concept Objective: 16-4

74) Trade shows offer manufacturers the opportunity to do all of the following EXCEPT _____.

A) establish a sales contest

Answer: A Diff: 2 Page Ref: 482 Skill: Concept Objective: 16-4

75) Which of the following questions would be the best one to help a marketer evaluate the return on a sales promotion investment?

D) Did the promotion increase purchases from current customers or attract new customers?

Answer: D Diff: 3 Page Ref: 482 AACSB: Analytic Skills

Skill: Concept Objective: 16-4

76) Happy Pet is a large petfood company that sells its petfood to retail pet supply stores as well as wholesalers. The sales force at Happy Pet is LEAST likely to do which of the following?

A) work directly with final customers

Answer: A Diff: 2 Page Ref: 459 AACSB: Analytic Skills

Skill: Application Objective: 16-1

77) At Finley's Fine Goods, members of the sales force and marketing department tend to have disagreements when things go wrong with a customer. The marketers blame the salespeople for poorly executing their strategies, while the salespeople blame the marketers for being out of touch with the customer. Which of the following steps should upper-level management at Finley's Fine Goods take to help bring the sales and marketing functions closer together?

E) appoint a chief revenue officer

Answer: E Diff: 2 Page Ref: 460-461 AACSB: Reflective Thinking

Skill: Application Objective: 16-1

78) Ultra-Tech, Inc. has decided to switch to a customer sales force structure. Which of the following advantages is the company now LEAST likely to enjoy?

E) The company can expect salespeople to develop in-depth knowledge of numerous and complex product lines.

Answer: E Diff: 3 Page Ref: 462 AACSB: Analytic Skills

Skill: Application Objective: 16-2

79) Johnson Business Solutions, Inc., maintains one sales force for its copy machines and a separate sales force for its computer systems. Johnson Business Solutions utilizes a _____ structure.

A) product sales force

Answer: A Diff: 2 Page Ref: 461 AACSB: Analytic Skills

Skill: Application Objective: 16-2

80) Morrill Motors splits the United States into 10 sales regions. Within each of those regions, the company maintains two sales teams one for existing customers and one for prospects. What type of sales force structure does Morrill Motors use?

D) complex

Answer: D Diff: 2 Page Ref: 462 AACSB: Analytic Skills

Skill: Application Objective: 16-2

81) J & M Manufacturing has 2,000 Type-A accounts, each requiring 35 calls per year, and 1,000 Type-B accounts, each requiring 15 calls per year. What is the sales force's workload?

D) 85,000 calls

Answer: D Diff: 3 Page Ref: 464 AACSB: Analytic Skills

Skill: Application Objective: 16-2

82) Stahl, Inc., has 1,000 Type-A accounts, each requiring 28 calls per year, and 2,200 Type-B accounts, each requiring 15 calls per year. If each salesperson at Stahl, Inc., can make 1,500 sales calls per year, approximately how many salespeople will be needed?

C) 41

Answer: C Diff: 3 Page Ref: 464 AACSB: Analytic Skills

Skill: Application Objective: 16-2

83) East Bay Communications has increased its inside sales force. This will help East Bay in all EXCEPT which one of the following ways?

E) East Bay customers will have full access to sales automation technology.

Answer: E Diff: 2 Page Ref: 464-465 AACSB: Analytic Skills

Skill: Application Objective: 16-2

84) You are applying for a position with the inside sales force at Carson Medical Sales. If you earn the job, you will most likely be expected to perform all of the following tasks EXCEPT _____.

E) travel to visit customers

Answer: E Diff: 2 Page Ref: 464-465 AACSB: Analytic Skills

Skill: Application Objective: 16-2

85) The sales force at Messimer Computing recently began telemarketing and Web selling. How will telemarketing and Web selling most likely benefit Messimer Computing?

C) Messimer sales reps will be able to service hard-to-reach customers more effectively.

Answer: C Diff: 3 Page Ref: 465 Skill: Application Objective: 16-2

86) An IBM sales representative is giving a product demonstration to a Best Buy representative. Assisting with the demonstration are an engineer, a financial analyst, and an information systems specialist. If IBM wins the Best Buy account, then all four IBM representatives will service the Best Buy account. This is an example of _____.

A) team selling

Answer: A Diff: 1 Page Ref: 466 AACSB: Analytic Skills

Skill: Application Objective: 16-2

87) Sales have been slow recently at B & B Materials, so management has organized a training program to improve the performance of its sales force. Which of the following would most likely lead to improved sales for B & B Materials?

B) information about the marketing strategies used by competitors

Answer: B Diff: 2 Page Ref: 467 AACSB: Analytic Skills

Skill: Application Objective: 16-2

88) The CEO of Comfy Carpet, Rick Hadley, was skeptical about Web-based training until his sales manager explained that online training is _____.

D) cost competitive and efficient

Answer: D Diff: 1 Page Ref: 467 Skill: Application Objective: 16-2

89) At Deck Decor, a manufacturer of outdoor furniture and accessories, the marketing and sales force objectives are to grow relationships with existing customers and to acquire new business. Which of the following compensation plans should management establish to encourage the sales force to pursue both of these objectives?

E) salary plus commission plus bonus for new accounts

Answer: E Diff: 3 Page Ref: 468-469 AACSB: Analytic Skills

Skill: Application Objective: 16-2

90) Mary Conti is sales manager for National Computer Training. She wants to evaluate the performance of her sales force that is responsible for the New England territory. Mary will most likely review all of the following in her evaluation EXCEPT _____.

A) call plans

Answer: A Diff: 2 Page Ref: 471 AACSB: Analytic Skills

Skill: Application Objective: 16-2

91) The sales force of Conway Pools has qualified a number of leads. Which of the following will most likely occur next?

C) The outside sales force will learn as much as possible about the prospects.

Answer: C Diff: 3 Page Ref: 473 AACSB: Analytic Skills

Skill: Application Objective: 16-3

92) Marlene Arau is a member of the sales force at Urban Fashions, a clothing manufacturer. Marlene is preparing for a first meeting with a wholesaler who is a potential customer. Marlene is learning as much as she can about the wholesaler's organization. Marlene is in the _____ step of the personal selling process.

C) preapproach

Answer: C Diff: 2 Page Ref: 473 AACSB: Analytic Skills

Skill: Application Objective: 16-3

93) An insert in a Land's End catalog offers free shipping on your next purchase. This is an example of a _____.

A) sales promotion

Answer: A Diff: 2 Page Ref: 475 and 477 AACSB: Analytic Skills

Skill: Application Objective: 16-4

94) Monty Boyd travels frequently on West Coast Airlines for his job as an account manager. Monty earns points for every mile he flies, and he will soon have enough points to receive a free airline ticket. West Coast Airlines is building a customer relationship with Monty using which of the following?

E) frequency marketing program

Answer: E Diff: 1 Page Ref: 478 AACSB: Analytic Skills

Skill: Application Objective: 16-4

95) Toro ran a clever preseason promotion on some of its snow blower models, offering some money back if the snowfall in the buyer's market area turned out to be below average. This is an example of a(n) _____.

E) rebate

Answer: E Diff: 2 Page Ref: 480 AACSB: Analytic Skills

Skill: Application Objective: 16-4

96) An example of a(n) _____ is a five-foot-high cardboard display of Tony the Tiger next to Frosted Flakes cereal boxes.

B) POP promotion

Answer: B Diff: 2 Page Ref: 480 AACSB: Analytic Skills

Skill: Application Objective: 16-4

97) Kirk Wilkins renewed his cell phone contract with Zip Wireless and purchased a new cell phone through the Zip Web site. If Kirk mails Zip his phone receipt, proof of purchase, and a completed form, he will receive \$50 in the mail. What type of sales promotion is being used by Zip?

E) rebate

Answer: E Diff: 1 Page Ref: 480 AACSB: Analytic Skills

Skill: Application Objective: 16-4

98) Which of the following promotions would be most appropriate for Reliable Tool to use in its attempt to promote its products and generate new business leads?

E) conventions and trade shows

Answer: E Diff: 1 Page Ref: 482 AACSB: Analytic Skills

Skill: Application Objective: 16-4

99) Manufacturers direct more sales promotion dollars toward final consumers than toward retailers.

Answer: FALSE

Diff: 2 Page Ref: 481

Skill: Concept

Objective: 16-4

100) Manufacturers may offer an allowance in return for the retailer's agreement to feature the manufacturer's products in some way.

Answer: TRUE

Diff: 2 Page Ref: 481

Skill: Concept

Objective: 16-4

101) In a short essay, describe the nature of personal selling and the role of the sales force.

Answer: Today, most salespeople are well-educated and well-trained professionals who work to build and maintain long-term customer relationships by listening to their customers, assessing customer needs, and organizing the company's efforts to solve customer problems. Salespeople act as order takers, order getters, and creative sellers. Personal selling is the interpersonal arm of the promotion mix. The sales force acts as a critical link between a company and its customers. Salespeople represent the company to the customer and the customer to the company to produce customer satisfaction and company profit.

Diff: 2 Page Ref: 458-460

Skill: Application

Objective: 16-1

102) Discuss the differences between the three major sales force structures. What are the potential benefits of each structure?

Answer: In the territorial sales force structure, each salesperson is assigned to an exclusive geographic area and sells the company's full line of products or services to all customers in that territory. This organization clearly defines each person's job, fixes accountability, and increases the person's desire to build local business relationships that improve selling effectiveness. The product sales force structure allows the sales force to sell along product lines; the seller becomes very knowledgeable about products. This method can cause duplication of efforts and several salespersons calling on the same accounts. The customer sales force structure organizes along customer or industry lines; this can help a company to become more customer focused and build closer relationships with important customers.

Diff: 3 Page Ref: 461-462

AACSB: Reflective Thinking

Skill: Application

Objective: 16-2

103) Why are more companies using team selling? What are its pros and cons?

Answer: Team selling is useful to service large, complex accounts. Sales teams can uncover problems, solutions, and sales opportunities that no individual salesperson could. The move to team selling is in part a reaction to similar changes within customers' buying organizations; selling teams now call on buying teams. Some pitfalls exist in the team approach. Selling teams can confuse or overwhelm customers who are used to working with only one salesperson. Some salespersons have trouble working with others. Finally, difficulties in evaluating individual contributions to the team selling effort can create some sticky compensation issues.

Diff: 2 Page Ref: 466

AACSB: Reflective Thinking

Skill: Application

Objective: 16-2

104) How do successful companies recruit and train their salespeople? What are the objectives of most sales force training programs?

Answer: During the recruitment step, a company should assess the sales job itself and the characteristics of its most successful salespeople to determine the traits needed by a successful salesperson in that industry. Some companies give sales applicants formal tests, while others only interview applicants. Following selection, orientation and training must be conducted based upon the knowledge and skill levels of the recruits. Most companies train their new salespeople through seminars, sales meetings, and e-learning sessions. Training programs should teach salespeople about customers, about selling effectively, and about the company's products.

Diff: 3 Page Ref: 466-468

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

105) Describe some of the methods used to supervise salespeople and help them work more efficiently.

Answer: Through supervision, or helping salespeople "work smart," management can help salespeople do the right things in the right way. This includes helping salespeople identify target customers and manage their time. A weekly, monthly, or annual call plan is used in many companies to show salespeople which customers and potential customers to call on within a given time period. And because companies are always looking for ways to make their employees more efficient, they often use a time-and-duty-analysis to identify how salespeople spend their time and how they can spend more time actively selling. To increase efficiency, many companies use sales force automation systems—including laptops, smart phones, videoconferencing, and relationship management software—so that their sales force can work anywhere, anytime.

Diff: 2 Page Ref: 469-470

AACSB: Use of IT

Skill: Application

Objective: 16-2

106) In a brief essay, explain methods of evaluating the performance of a sales force. Why is it important for a sales force to be evaluated?

Answer: To evaluate its sales force, management needs to get regular information about the performance of its salespeople. Sales reports, including weekly or monthly work plans and longer-term marketing plans, are the most important source. Management also uses salespeople's expense reports and call reports to gauge sales call volume and success rates. In addition, management can use sales and profit performance data in each salesperson's territory, along with personal observation and customer surveys, to identify strengths and weaknesses in the sales force. Taking information gathered from these sources into consideration, management should provide salespeople with constructive feedback aimed at helping each salesperson succeed. Evaluating a sales force is important because that is how a company can measure its return on sales investment.

Diff: 2 Page Ref: 471-472

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

107) Provide the seven steps in the selling process. What would be the two most difficult steps for most salespeople and why?

Answer: Prospecting and qualifying begin the process, followed by the preapproach. Next, the salesperson makes an approach to make a presentation or demonstration. Handling objections follows, leading into closing the sale. Each sale requires a follow up to make it complete. For most salespeople, especially new ones, the prospecting and closing steps are the most difficult and require much skill. For a salesperson unfamiliar with how to identify good leads with bad ones, prospecting can be difficult. Closing can be difficult because salespeople may lack the confidence to ask for an order, or they may not recognize the appropriate moment to close a sale.

Diff: 2 Page Ref: 472-475

AACSB: Reflective Thinking

Skill: Application

Objective: 16-3

108) What is the follow-up step of the selling process? Why is it important?

Answer: The follow-up step is important if the salesperson wants to ensure customer satisfaction and repeat business. Right after closing, the salesperson should complete any details on delivery time, purchase terms, and other matters. The salesperson then should schedule a follow-up call when the initial order is received, to make sure there is proper installation, instruction, and servicing. This visit would reveal any problems, assure the buyer of the salesperson's interest, and reduce any buyer concerns that might have arisen since the sale.

Diff: 2 Page Ref: 475

AACSB: Reflective Thinking

Skill: Application

Objective: 16-3

109) What is the relationship between the personal selling process and the management of customer relationships?

Answer: The selling process should be understood in the context of building and maintaining profitable customer relationships, as companies are interested in more than simply securing a one-time sale. Instead, they are interested in winning and keeping major customers, creating ongoing, mutually beneficial relationships. Because they have significant contact with customers, salespeople play an important role in building and managing profitable customer relationships. Salespeople need to think of the first sale as the beginning of a relationship that will involve listening to customers, understanding their needs, and helping to coordinate the company's efforts to create customer value.

Diff: 2 Page Ref: 475

AACSB: Analytic Skills

Skill: Application

Objective: 16-4

110) In a short essay, explain how sales promotion campaigns are developed and implemented.

Answer: Sales promotion campaigns first call for setting sales promotions objectives and selecting consumer, trade, business, and/or sales force promotion tools to achieve those objectives. Other necessary decisions include the size of the incentive, the conditions for participation, how to promote and distribute the promotion package, and the length of the promotion. After the campaign has been implemented, the company evaluates the results.

Diff: 2 Page Ref: 482

Skill: Application

Objective: 16-4

111) Happy Pet is a large petfood company that sells its petfood to retail pet supply stores as well as wholesalers. The sales force at Happy Pet is LEAST likely to do which of the following?

- A) work directly with final customers
- B) build relationships with wholesalers
- C) help retailers effectively sell the company's products
- D) communicate regularly with business customers
- E) represent wholesalers and retailers to the company

Answer: A

Diff: 2 Page Ref: 459

AACSB: Analytic Skills

Skill: Application

Objective: 16-1

135) Which of the following promotions would be most appropriate for Reliable Tool to use in its attempt to promote its products and generate new business leads?

- A) rebates
- B) premiums
- C) specialty advertising items
- D) point-of purchase promotions
- E) conventions and trade shows

Answer: E

Diff: 1 Page Ref: 482

AACSB: Analytic Skills

Skill: Application

Objective: 16-4

136) What type of company would be likely to use the territorial sales force structure?

Answer: A company with only one product line to one industry with customers in many locations would most likely use a territorial sales force structure.

Diff: 2 Page Ref: 461

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

137) What type of company would be likely to use a product sales force structure?

Answer: A product sales force structure will most likely be used by companies that carry extensive product lines with the need to separate customers according to the products they buy.

Diff: 2 Page Ref: 461-462

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

138) Explain how the workload approach helps companies set sales force size.

Answer: Using this approach, the company first groups accounts into different classes according to size, account status, or other factors related to the amount of effort required to maintain them. The company can then determine the number of salespeople needed to call on each class of accounts the desired number of times.

Diff: 2 Page Ref: 464

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

139) Why might a company need to hire both an inside and an outside sales force?

Answer: Larger accounts may require special nurturing and face-to-face interaction, so an outside sales force can call on those customers. Smaller accounts and harder-to-reach customers may be able to be taken care of by an inside sales force.

Diff: 3 Page Ref: 464-465

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

140) Why do many companies invest in ongoing training for their salespeople?

Answer: Though training is expensive, it can be very effective in helping salespeople learn about the needs and motives of their customers, techniques for effectively selling, the company's objectives, and the strategies of major competitors. With this training, salespeople are able to better do their jobs, resulting in more revenue for the company.

Diff: 2 Page Ref: 468

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

141) Compare the four types of compensation plans available to salespeople.

Answer: A straight salary is a fixed amount that is not dependent on sales performance, while a straight commission is entirely based on sales performance. The two other types, salary plus bonus and salary plus commission, make a portion of the compensation fixed and a portion based on sales performance.

Diff: 3 Page Ref: 468-469

AACSB: Reflective Thinking

Skill: Application

Objective: 16-2

142) Why do sales supervisors provide their salespeople with annual call plans?

Answer: The annual call plan shows which customers and prospects to call on in which months and which activities to carry out, giving supervisors more control over the activities of their salespeople.

Diff: 2 Page Ref: 469

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

143) What does a time-and-duty analysis reveal?

Answer: This tool, which can be used to help sales management determine how to increase selling time, indicates a salesperson's time spent selling, traveling, waiting, eating, taking breaks, and doing administrative chores.

Diff: 2 Page Ref: 469

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

144) Why have firms adopted sales force automation systems?

Answer: Many firms have adopted sales force automation systems to help their salespeople better manage their time, improve customer service, lower sales costs, and increase sales performance.

Diff: 2 Page Ref: 470

AACSB: Analytic Skills

Skill: Application

Objective: 16-2

145) Why is a firm's organizational climate an important part of building a successful sales staff?
Answer: How salespeople feel about their opportunities, value, and rewards for a good performance affects how well salespeople will perform; when salespeople are treated as special contributors and have great opportunities for income and promotion, their sales performance is higher.

Diff: 2 Page Ref: 471

Skill: Application

Objective: 16-2

146) Why does a firm's number of prospects always equal or exceed its number of qualified customers?

Answer: Prospecting identifies the total number of potential customers in an area; qualifying breaks that number of prospects down into the actual group that it is worthwhile for the salesperson to target.

Diff: 2 Page Ref: 472

AACSB: Analytic Skills

Skill: Application

Objective: 16-3

147) Why does a salesperson set call objectives?

Answer: Call objectives might include qualifying the prospect, gathering more or better information, and/or making an immediate sale. With a call objective, a salesperson can be more focused on how to prepare for the sale.

Diff: 3 Page Ref: 473

Skill: Application

Objective: 16-3

148) In what situation would a demonstration be especially critical during a salesperson's presentation?

Answer: A demonstration may be important if the product's use or value can be better understood with a visual demonstration. For example, if comparing Brand A brass cleaner with another leading brand, a demonstration of how much more quickly Brand A works may be more convincing for the prospective buyer.

Diff: 3 Page Ref: 474

AACSB: Reflective Thinking

Skill: Application

Objective: 16-3

149) How does mobile couponing benefit both consumers and marketers?

Answer: Consumers don't have to find and clip coupons. Mobile coupons allow marketers to carefully target customers and eliminate the costs associated with printing and distributing paper coupons.

Diff: 2 Page Ref: 479-480

AACSB: Reflective Thinking

Skill: Application

Objective: 16-4

150) What type of sales promotion would benefit a political candidate the most?

Answer: A political candidate would likely benefit most from using specialty advertising items such as pencils or pens with the candidate's name or T-shirts with the candidate's name and/or photograph.

Diff: 3 Page Ref: 480

AACSB: Reflective Thinking

Skill: Application

Objective: 16-4

Chapter 17 Direct and Online Marketing: Building Direct Customer Relationships

1) Amazon.com was the first company to use _____, which is technology that sorts through customer purchasing patterns to create personalized site content.

E) collaborative filtering

Answer: E Diff: 2 Page Ref: 489 AACSB: Use of IT Skill: Concept
Objective: 17-1

2) What are the two main goals of direct marketing?

C) to obtain an immediate response and build a lasting customer relationship

Answer: C Diff: 2 Page Ref: 490 Skill: Concept Objective: 17-1

3) Modern direct marketers rely heavily on database technologies and the Internet, while early direct marketers primarily used direct mailers, telemarketing, and _____.

B) catalogs

Answer: B Diff: 1 Page Ref: 490 AACSB: Use of IT Skill: Concept
Objective: 17-1

4) Amazon.com, eBay, and GEICO employ _____ as the only method of doing business with customers.

C) direct marketing

Answer: C Diff: 1 Page Ref: 491 Skill: Concept Objective: 17-1

5) Direct marketing is continuing to become more _____ oriented.

B) Web

Answer: B Diff: 2 Page Ref: 491 AACSB: Use of IT Skill: Concept
Objective: 17-1

6) All of the following are benefits of direct marketing for buyers EXCEPT _____.

C) guaranteed low prices

Answer: C Diff: 2 Page Ref: 492 Skill: Concept Objective: 17-1

7) All of the following are benefits of direct marketing for sellers EXCEPT _____.

C) mass reach and frequency

Answer: C Diff: 2 Page Ref: 492-493 Skill: Concept Objective: 17-1

8) One of the advantages of direct marketing for sellers is that direct marketing _____.

A) offers access to buyers outside local markets

Answer: A Diff: 3 Page Ref: 493 AACSB: Reflective Thinking
Skill: Concept Objective: 17-1

9) Which of the following is essential for direct marketing to be effective?

B) a good customer database

Answer: B Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

10) A customer database is an organized collection of geographic, demographic, psychographic, and _____ data about individual customers or prospects.

D) behavioral

Answer: D Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

11) Information about a customer's age, income, and family make-up is in the _____ category of a customer database.

A) demographic

Answer: A Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

12) Psychographics data in a customer database used by direct marketers includes information regarding a customer's _____ and _____.

B) activities; opinions

Answer: B Diff: 2 Page Ref: 493 Skill: Concept Objective: 17-1

13) All of the following are common uses for a direct marketing customer database EXCEPT _____.

D) gathering marketing intelligence about competitors

Answer: D Diff: 3 Page Ref: 494 Skill: Concept Objective: 17-1

14) How does database marketing benefit consumers?

B) Companies match customer needs and interests with products and services.

Answer: B Diff: 3 Page Ref: 494 Skill: Concept Objective: 17-1

15) All of the following are forms of direct marketing EXCEPT _____.

B) public relations

Answer: B Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

16) Which kind of marketing involves sending an offer, announcement, reminder, or other item to a person at a particular address?

D) direct-mail marketing

Answer: D Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

17) Catalogs, brochures, CDs, and DVDs are all examples of which type of marketing?

B) direct-mail marketing

Answer: B Diff: 1 Page Ref: 495 Skill: Concept Objective: 17-2

18) Which of the following reasons is LEAST likely to explain why direct-mail marketing drives more than a third of all U.S. direct marketing sales?

A) less expensive than TV and magazine ads

Answer: A Diff: 3 Page Ref: 496 Skill: Concept Objective: 17-2

19) The use of which of the new forms of direct-mail marketing is booming?

B) e-mail

Answer: B Diff: 2 Page Ref: 496 Skill: Concept Objective: 17-2

20) Most companies that create print catalogs now also provide _____ catalogs to eliminate production, printing, and mailing costs.

D) Web-based

Answer: D Diff: 2 Page Ref: 496 Skill: Concept Objective: 17-2

21) Which of the following is an advantage of printed catalogs over digital catalogs?

C) a stronger emotional connection with customers

**Answer: C Diff: 2 Page Ref: 497 AACSB: Reflective Thinking
Skill: Concept Objective: 17-2**

22) Marketers use _____ telephone marketing to receive orders from television ads and catalogs.

A) inbound

Answer: A Diff: 1 Page Ref: 497 Skill: Concept Objective: 17-2

23) Which of the following is an advantage of a well-designed and targeted telemarketing plan?

C) purchasing convenience for customers

**Answer: C Diff: 3 Page Ref: 497 AACSB: Reflective Thinking
Skill: Concept Objective: 17-2**

24) How has the National Do Not Call Registry changed the telemarketing industry?

E) Telemarketers are more effectively managing relationships with existing customers.

Answer: E Diff: 3 Page Ref: 498 Skill: Concept Objective: 17-2

25) Why are historically online shops such as Zappos.com and JohnandKiras.com adding catalogs to their marketing methods?

D) to attract the attention of new customers

Answer: D Diff: 3 Page Ref: 498 Skill: Concept Objective: 17-2

26) Which of the following is the most accurate name for a 30-minute television advertising program marketing a single product?

E) infomercial

Answer: E Diff: 1 Page Ref: 499 Skill: Concept Objective: 17-2

27) What are two major forms of direct-response television marketing?

B) home shopping channels and infomercials

Answer: B Diff: 2 Page Ref: 499 Skill: Concept Objective: 17-2

28) Direct-response advertisements always contain _____, making it easier for marketers to gauge the effectiveness of their sales pitches.

B) a 1-800 number or Web address

Answer: B Diff: 2 Page Ref: 500 Skill: Concept Objective: 17-2

29) Why have direct-response television commercials seen an increase in popularity in recent years?

C) The ability to track phone calls and Web-site hits makes it easy to measure the return on advertising investment.

Answer: C Diff: 3 Page Ref: 500 Skill: Concept Objective: 17-2

30) A television program or entire channel dedicated to selling goods and services is known as a(n) _____.

B) home shopping channel

Answer: B Diff: 1 Page Ref: 500 Skill: Concept Objective: 17-2

31) Firms , such as Kodak and Fuji, are placing _____ in stores, airports, and other locations to provide people with information about products and services or to enable customers to place orders.

A) kiosks

Answer: A Diff: 1 Page Ref: 501 AACSB: Use of IT Skill: Concept Objective: 17-2

32) Ring-tone giveaways, mobile games, and text-in contests are all examples of _____ marketing.

E) mobile phone

**Answer: E Diff: 1 Page Ref: 502 AACSB: Use of IT Skill: Concept
Objective: 17-2**

33) Marketers view mobile phones as the next big marketing medium for all of the following reasons EXCEPT _____.

B) Unlike telemarketing, mobile phone marketing is initially appealing to most cell phone users.

**Answer: B Diff: 3 Page Ref: 502 AACSB: Use of IT Skill: Concept
Objective: 17-2**

34) Which of the following enables consumers to download files from the Internet to a handheld device?

C) podcasting

**Answer: C Diff: 1 Page Ref: 503 AACSB: Use of IT Skill: Concept
Objective: 17-2**

35) _____ allows consumers to gain additional information about a product through the use of a remote control.

E) Interactive television

**Answer: E Diff: 1 Page Ref: 503 AACSB: Use of IT
Skill: Concept Objective: 17-2**

36) What is the fastest growing form of direct-marketing?

B) online marketing

Answer: B Diff: 2 Page Ref: 504 Skill: Concept Objective: 17-3

37) The Internet gave birth to _____, which operate only on the Internet.

D) click-only companies

**Answer: D Diff: 1 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3**

38) As one of the first _____, Amazon.com changed the rules of marketing and set the bar high for the online customer experience.

A) e-tailers

**Answer: A Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3**

39) *New York Times* on the Web, ESPN.com, and Encyclopedia Britannica Online are known as _____ because they provide financial, research, and other information.

B) content sites

Answer: B Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3

40) _____ is the term used to describe a company that does not use online marketing.

B) Brick-and-mortar

Answer: B Diff: 2 Page Ref: 504 Skill: Concept Objective: 17-3

41) The growth of the Internet caused many brick-and-mortar firms to _____ in response to customer demands and a changing marketplace.

C) become click-and-mortar firms

Answer: C Diff: 2 Page Ref: 504 AACSB: Use of IT Skill: Concept
Objective: 17-3

42) Which of the following is NOT one of the four major online marketing domains?

B) B2R (business-to-retailer)

Answer: B Diff: 2 Page Ref: 505 Skill: Concept Objective: 17-3

43) The popular press has paid the most attention to _____ online marketing, which is the online selling of goods and services to final consumers.

A) B2C

Answer: A Diff: 2 Page Ref: 505 Skill: Concept Objective: 17-3

44) B2B uses all of the following online resources to reach new business customers EXCEPT _____.

B) social networks

Answer: B Diff: 2 Page Ref: 506 AACSB: Use of IT Skill: Concept
Objective: 17-3

45) The online exchange of goods and information between final consumers is called _____.

C) C2C

Answer: C Diff: 2 Page Ref: 507 Skill: Concept Objective: 17-3

46) Amazon.com Auctions, eBay, and Craigslist.com are popular market spaces that facilitate the online exchange of goods and information and are examples of _____ online marketing.

C) C2C

Answer: C Diff: 2 Page Ref: 507 Skill: Concept Objective: 17-3

47) What is the benefit to companies of using blogs as marketing tools?

E) Blogs are an inexpensive yet personal way to reach a fragmented audience.

Answer: E Diff: 3 Page Ref: 508 Skill: Concept Objective: 17-3

48) Which of the following is a potential drawback to advertising on a blog?

A) The content of a blog is difficult to control.

Answer: A Diff: 3 Page Ref: 508 Skill: Concept Objective: 17-3

49) _____ online marketing sites are online exchanges in which consumers search out sellers, learn about their offers, and initiate purchases.

D) C2B

Answer: D Diff: 2 Page Ref: 508 Skill: Concept Objective: 17-3

50) When consumers can drive transactions with businesses, what type of online marketing is being used?

E) consumer-to-business

Answer: E Diff: 1 Page Ref: 508 Skill: Concept Objective: 17-3

51) For most companies, the first step in conducting online marketing is to _____.

B) create a Web site

Answer: B Diff: 2 Page Ref: 508 Skill: Concept Objective: 17-4

52) What is the main purpose of a corporate Web site?

B) to build customer goodwill

Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

53) _____ are designed to build customer goodwill and to supplement other sales channels, rather than to sell the company's products directly.

B) Corporate Web sites

Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

54) _____ are designed to engage consumers in interactions that will move them closer to a direct purchase or other marketing outcome.

B) Marketing Web sites

Answer: B Diff: 2 Page Ref: 509 Skill: Concept Objective: 17-4

55) To attract new visitors and to encourage revisits, online marketers should pay close attention to the seven Cs of effective Web site design. Which of the following is NOT one of the seven Cs?

D) customer: the way the customer is given incentives to use the Web site

**Answer: D Diff: 3 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4**

56) Of the seven Cs of effective Web site design, _____ refers to the ways that the site enables user-to-user communication.

C) community

**Answer: C Diff: 2 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4**

57) According to the seven Cs of effective Web site design, a Website's capability to enable commercial transactions is its level of _____.

D) commerce

**Answer: D Diff: 2 Page Ref: 510 AACSB: Use of IT Skill: Concept
Objective: 17-4**

58) _____ are online ads that appear between screen changes on a Web site, especially while a new screen is loading.

B) Interstitials

Answer: B Diff: 2 Page Ref: 511 AACSB: Use of IT Skill: Concept
Objective: 17-4

59) Which of the following types of ads can users block through the use of applications developed by Web browser providers?

B) pop-ups

Answer: B Diff: 2 Page Ref: 511 AACSB: Use of IT Skill: Concept
Objective: 17-4

60) Display ads that use eye-catching techniques such as float, fly, and snapback are called _____.

E) rich-media ads

Answer: E Diff: 2 Page Ref: 511-512 AACSB: Use of IT Skill: Concept
Objective: 17-4

61) A large percentage of online advertising expenditures goes towards _____, which are text-based ads and links that appear alongside search engine results.

D) contextual advertisements

Answer: D Diff: 2 Page Ref: 512 AACSB: Use of IT Skill: Concept
Objective: 17-4

62) When companies work with each other online and offline to promote each other, they are creating _____.

E) alliance and affiliate programs

Answer: E Diff: 2 Page Ref: 512 Skill: Concept Objective: 17-4

63) What does the term *viral marketing* mean?

D) It refers to word-of-mouth marketing that occurs online.

Answer: D Diff: 1 Page Ref: 512 Skill: Concept Objective: 17-4

64) Which of the following is a primary disadvantage of viral marketing?

C) Marketers have little control over who receives the viral message.

Answer: C Diff: 3 Page Ref: 513 AACSB: Use of IT
Skill: Concept Objective: 17-4

65) All of the following are examples of online social networks EXCEPT _____.

D) interstitials

Answer: D Diff: 1 Page Ref: 513 AACSB: Use of IT Skill: Concept
Objective: 17-4

66) Online communities where people socialize or exchange information and opinions are called _____.

C) online social networks

Answer: C Diff: 1 Page Ref: 513 AACSB: Use of IT Skill: Concept
Objective: 17-4

67) Which of the following is a challenge of marketing through online social networks?

A) Users often resent an intrusive marketing message.

**Answer: A Diff: 3 Page Ref: 514-515 AACSB: Use of IT Skill: Concept
Objective: 17-4**

68) What characteristic of niche sites makes the medium MOST appealing to marketers?

C) audiences of people with similar interests

Answer: C Diff: 3 Page Ref: 514-515 Skill: Concept Objective: 17-4

69) Unsolicited and unwanted commercial e-mail is known as _____.

E) spam

Answer: E Diff: 1 Page Ref: 516 Skill: Concept Objective: 17-4

70) According to your textbook, what is the most likely future for online marketing?

D) Online marketing will remain an important approach in an integrated marketing mix.

Answer: D Diff: 3 Page Ref: 516 Skill: Concept Objective: 17-4

71) In an attempt to take advantage of impulsive buyers, heat merchants use _____ to deceive customers.

A) direct-mail marketing

Answer: A Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

72) Which of the following is a type of identity theft that uses deceptive e-mails and fraudulent web sites to fool consumers into revealing their personal data?

D) phishing

Answer: D Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

73) Which of the following is NOT a deception or fraud concern for Internet users and marketers?

B) viral marketing

Answer: B Diff: 2 Page Ref: 517 Skill: Concept Objective: 17-5

74) What happened in direct response to the FTC finding that many Web sites were collecting personal information from children without disclosure or parental permission?

B) Congress passed the Children's Online Privacy Protection Act.

Answer: B Diff: 3 Page Ref: 519 Skill: Concept Objective: 17-5

75) All of the following are the likely results of direct marketing abuses EXCEPT _____.

D) requests for more Internet oversight and legislation

Answer: D Diff: 3 Page Ref: 519 Skill: Concept Objective: 17-5

76) Adams Cutlery has always relied upon advertising to market its products to final customers. However, the marketing team at Adams Cutlery now wants to begin a direct marketing campaign consisting of a company Web site, e-mails to current customers, and an online catalog. Which of the following would the marketing team expect to gain as a result of implementing this direct marketing plan?

D) the ability to learn more about their customers and tailor offerings to fit their needs

Answer: D Diff: 2 Page Ref: 492 AACSB: Analytic Skills Skill: Application

Objective: 17-1

77) Financial services provider USAA sends materials about teaching teenagers how to drive safely to USAA customers who have children approaching driving eligibility age. USAA is using _____ information from a customer database to determine which customers should receive the materials.

A) demographic

Answer: A Diff: 2 Page Ref: 493 AACSB: Analytic Skills Skill: Application

Objective: 17-1

78) Fiona Lambrech is the marketing director of a charity that raises funds to help provide educational services to children and families in developing countries. Fiona wants to reach a select market of individuals who have recently donated to international charities. Which of the following types of direct marketing will Fiona most likely use?

A) direct-mail marketing

Answer: A Diff: 2 Page Ref: 495 AACSB: Analytic Skills Skill: Application

Objective: 17-2

79) Organic Designs is a small, successful chain of stores offering stylish clothes made of all-organic materials for infants, toddlers, and young children. Most of the Organic Designs stores are located in urban areas. Now Organic Designs is considering using direct marketing to reach potential customers who live outside of the company's existing markets, with the goal of creating emotional connections and long-term relationships with a new group of customers. Which of the following methods of direct marketing would most likely be effective in accomplishing this goal?

C) catalog marketing

Answer: C Diff: 2 Page Ref: 496-497 AACSB: Analytic Skills

Skill: Application Objective: 17-2

80) Gutter Guys is a gutter installation company in Southern California that used to generate most of its sales through telemarketing but now uses direct mail to reach prospective customers. Which of the following most likely explains the reason that Gutter Guys switched from telemarketing to direct mail?

E) National Do Not Call Registry

Answer: E Diff: 1 Page Ref: 497-498 AACSB: Analytic Skills

Skill: Application Objective: 17-2

81) Neal Murphy sells his company's unique gift items on television programs and entire channels dedicated to selling goods and services. Neal is using _____.

A) direct-response television advertising

Answer: A Diff: 2 Page Ref: 499 AACSB: Analytic Skills

Skill: Application Objective: 17-2

82) A producer of beverages and snack foods wants to market its products to the 18-to-34-year-old demographic by providing incentives to respond instantly to time-sensitive offers. Which of the following forms of direct marketing would this producer most likely choose?

C) mobile phone

Answer: C Diff: 3 Page Ref: 502 AACSB: Analytic Skills

Skill: Application Objective: 17-2

83) Company X began as a brick-and-mortar company. Which of the following statements MUST be true?

A) By adding online marketing options, Company X would become a click-and-mortar company.

Answer: A Diff: 2 Page Ref: 504 AACSB: Analytic Skills

Skill: Application Objective: 17-3

84) Office Depot is a click-and-mortar company. Which of the following is LEAST likely to be an advantage that Office Depot has over click-only competitors?

E) Office Depot focuses on large accounts through its online presence and small businesses through its retail stores.

Answer: E Diff: 3 Page Ref: 504-505 AACSB: Analytic Skills

Skill: Application Objective: 17-3

85) Green Gardens is a click-and-mortar seller of gardening and landscaping goods and equipment, but the marketing department wants to promote the Green Gardens Web site. When customers are unable to find a product they need on the shelves of their local Green Gardens, the marketing department wants them to search for the product on the Green Gardens Web site. Which of the following marketing devices is the best match for this goal?

A) kiosks

Answer: A Diff: 2 Page Ref: 505 AACSB: Analytic Skills

Skill: Application Objective: 17-3

86) ABC Company sells directly to final consumers and avoids intermediaries, while catering to a broad group of demographic segments. This marketer falls under which online marketing domain?

A) B2C

Answer: A Diff: 1 Page Ref: 505 AACSB: Analytic Skills

Skill: Application Objective: 17-3

87) Jane Cheatham, a stay-at-home mother, regularly posts new entries on a widely read blog. In these entries, she often reviews consumer products that she uses during the course of her day. Jane participates in _____.

B) C2C online marketing

Answer: B Diff: 1 Page Ref: 507 AACSB: Analytic Skills

Skill: Application Objective: 17-3

88) By using Priceline.com, potential buyers can bid for airline tickets, hotel rooms, rental cars, cruises, and vacation packages. It is then up to sellers to decide whether or not to accept an offered bid. This is an example of _____.

D) C2B online marketing

Answer: D Diff: 1 Page Ref: 508 AACSB: Analytic Skills

Skill: Application Objective: 17-3

89) Converse has a Web site that welcomes consumers to "the Converse Century," invites readers to post their Converse stories, and offers a wide variety of Converse shoes for direct purchase. The site even allows customers to individually design their own shoes. The Converse site is most accurately categorized as which of the following types of Web sites?

E) a marketing site

Answer: E Diff: 2 Page Ref: 509 AACSB: Analytic Skills

Skill: Application Objective: 17-4

90) Oscar Aviation has a corporate Web site. Prospective customers are most likely able to do all of the following on the site EXCEPT _____.

D) purchase products

Answer: D **Diff: 2** **Page Ref: 509** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

91) In attempting to design an effective Web site, Company A tried to address all of the seven Cs. The site, however, has a weak layout and design. Which C does this represent?

C) context

Answer: C **Diff: 2** **Page Ref: 510** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

92) You are looking up airline schedules on the Internet. A bar at the top of the screen reads, "Stay at Holiday Inn and get a 25 percent discount!" This is a(n) _____.

A) banner

Answer: A **Diff: 2** **Page Ref: 511** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

93) You have accessed fare information on Northwest Airlines' Web site. You want to compare it with United Airlines' fares. In between screen changes, an ad appears from Alamo Car Rental. This is a(n) _____.

E) interstitial

Answer: E **Diff: 2** **Page Ref: 511** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

94) Uptown Cleaning Crew is a company that provides house cleaning services in major urban and suburban areas. Marketers at Uptown Cleaning Crew developed a short, humorous video promoting the company's services, and they hope that customers who see the video will be so entertained that they will pass it on to their friends and colleagues. The marketers at Uptown Cleaning Crew are using _____.

B) viral marketing

Answer: B **Diff: 2** **Page Ref: 512** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

95) Runners can compare performances, set up profiles, and meet new friends on Nike's Nike Plus Web site. Nike Plus is an example of a _____.

C) Web community

Answer: C **Diff: 2** **Page Ref: 515** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

96) After selecting a sweater on the Land's End Web site, Kelly Oldham filled out the required customer and credit card information. A box with a checkmark inside was next to the following statement : "Yes, I would like to receive promotional information via e-mail from Land's End." The statement suggests that Land's End is using which of the following marketing tools?

E) permission-based e-mail marketing

Answer: E **Diff: 1** **Page Ref: 516** **AACSB: Analytic Skills**

Skill: Application **Objective: 17-4**

97) Charlie Putnam received an e-mail promoting a new financial services institution that offers surprisingly low mortgage rates. The e-mail simply asked customers to provide their address, date of birth, social security number, and current mortgage information in order to receive a free loan quote. Suspicious of the offer, Charlie researched the company and discovered that the e-mail was a fraud. This is an example of _____.

B) phishing

Answer: B Diff: 2 Page Ref: 517 AACSB: Analytic Skills

Skill: Application Objective: 17-5

99) Permission-based e-mail advertising allows marketers to send tailored messages to targeted customers who choose to have chosen to receive them.

Answer: TRUE

Diff: 1 Page Ref: 516

AACSB: Use of IT

Skill: Concept

Objective: 17-4

100) Since the introduction of the Do-Not-Call Registry, fraudulent schemes such as investment scams and phony collections for charity have been on the decline.

Answer: FALSE

Diff: 2 Page Ref: 517

Skill: Concept

Objective: 17-5

101) In a brief essay, explain the major benefits of direct marketing to both customers and sellers.

Answer: For customers, direct marketing is convenient, easy to use, and private. It gives buyers ready access to a wealth of products and information, at home or work and around the globe. It is immediate and interactive. For sellers, direct marketing is powerful for building customer relationships. Using database marketing, marketers can target small groups or individual consumers, tailor offers to individual needs, and promote these offers through personalized communications. It provides great timing and offers a low-cost, efficient alternative for reaching markets. Direct marketing has become the fastest-growing form of marketing.

Diff: 2 Page Ref: 492

AACSB: Reflective Thinking

Skill: Application

Objective: 17-1

102) How can a customer database be used as a relationship-building tool?

Answer: A customer database is an organized collection of data about individual customers or prospects, including detailed geographic, demographic, psychographic, and behavioral data. Companies can mine their databases to learn about customers in detail, and then fine-tune their market offerings and communications to the special preferences and behaviors of target segments or individuals. As the customer relationship continues, the company can learn more about the customer and can more accurately fine-tune its offerings to satisfy the customer's needs.

Diff: 2 Page Ref: 493-494

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

103) In a short essay, identify the major advantage of the following forms of direct marketing: telephone, direct-mail, catalog, direct-response television, and kiosk.

Answer: Telephone marketing provides purchasing convenience and increased product and service information. Direct mail marketing permits selectivity and personalization. Catalog marketing allows customers to buy just about anything they desire, and through online catalogs marketers can use real-time merchandising, adding or removing products based on their availability. Direct-response television marketing allows live demonstrations without salespeople coming to your home or business. Kiosk marketing places information and ordering machines in convenient places, such as airports, stores, and malls.

Diff: 3 Page Ref: 495-501

Skill: Application

Objective: 17-2

104) How has the implementation of the National Do-Not-Call Registry changed telephone marketing?

Answer: The National Do-Not-Call Registry was created by legislation passed in 2003; it bans most business telemarketing calls to registered phone numbers. However, people can still receive calls from nonprofit groups, politicians, and companies with which they have recently done business. Millions of customers have joined the do-not-call list, and businesses that break the laws can be fined heavily. The use of unsolicited outbound telemarketing has greatly decreased due to the law, but inbound consumer telemarketing and outbound business-to-business telemarketing remain strong and growing. Many telemarketers are shifting their call-center activity from making unsolicited cold calls on often resentful customers to managing existing customer relationships. They are developing "opt-in" calling systems, in which they provide useful information and offers to customers who have invited the company to contact them by phone or e-mail.

Diff: 2 Page Ref: 498

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

105) List and briefly describe the four major online marketing domains.

Answer: a. B2C (business-to-consumer) online marketing involves businesses selling goods and services online to final consumers. Today, almost anything can be purchased online.

b. B2B (business-to-business) online marketing involves businesses using Web sites, e-mail, online product catalogs, online trading networks, and other online resources to reach new business customers, better serve existing business customers, and obtain buying efficiencies and better prices.

c. C2C (consumer-to-consumer) online marketing involves consumers buying or exchanging goods or information directly with one another. Web sites such as eBay and Craigslist.com facilitate C2C trading, and blogs are an influential source of consumer-to-consumer information sharing.

d. C2B (consumer-to-business) online marketing involves consumers searching out online sellers, learning about their offers, and initiating purchases, sometimes even setting the terms of a transaction.

Diff: 2 Page Ref: 505-508

Skill: Application

Objective: 17-3

106) How do Internet consumers differ from traditional offline consumers?

Answer: They differ in their approaches to buying and in their responses to marketing. The exchange process via the Internet has become more customer-initiated and customer-controlled. In traditional marketing, the audience is somewhat passive; in online marketing, customers actively select which Web sites they will visit and what marketing information they will receive about which products and under what conditions.

Diff: 3 Page Ref: 506

AACSB: Analytic Skills

Skill: Application

Objective: 17-3

107) Compare and contrast the purpose and content of a corporate Web site to that of a marketing Web site.

Answer: Corporate Web sites are designed to build customer goodwill and to supplement other sales channels, rather than to sell the company's products directly. They offer a rich variety of information and other features in an effort to answer customer questions, build closer relationships, and generate excitement about the company. In contrast, marketing Web sites are designed to go beyond the function of a corporate Web site and actually engage consumers in an interaction that will move them closer to a direct purchase. A marketing Web site allows customers to view, research, and purchase specific items.

Diff: 3 Page Ref: 509

AACSB: Analytic Skills

Skill: Application

Objective: 17-4

108) To attract new visitors and to encourage revisits, online marketers should pay close attention to the seven Cs of effective Web site design. Briefly describe four of these seven Cs.

Answer: a. Context: the site's layout and design

b. Content: the text, pictures, sound, and video that the Web site contains

c. Community: the ways that the site facilitates user-to-user communication

d. Customization: the site's ability to tailor itself to different users or to allow users to personalize the site

e. Communication: the ways the site enables site-to-user, user-to-site, or two-way communication

f. Connection: the degree that the site is linked to other sites

g. Commerce: the site's capabilities to enable commercial transactions

Diff: 2 Page Ref: 510

AACSB: Use of IT

Skill: Application

Objective: 17-4

109) Describe two ways that marketers can participate in online social networks. What are the challenges and advantages of these approaches?

Answer: Marketers can engage in online communities by participating in existing Web communities or setting up their own. Many major brands have set up MySpace pages and profiles and opened virtual stores in virtual worlds such as Second Life. Companies can efficiently market to many potential customers as more and more people participate in online social networks. However, participating successfully in existing online social networks presents challenges. First, online social networks are new and results are hard to measure, and most companies are still experimenting with how to use them effectively. Second, such Web communities are largely user controlled, so a company must learn how to add value for consumers in order to avoid being seen as an intrusion. To be effective, marketers must become a valued part of the online experience. To avoid the mysteries and challenges of building a presence on existing online social networks, many companies are now launching their own targeted Web communities. Though marketers have control of their own targeted Web communities, they must then independently market and maintain the network.

Diff: 2 Page Ref: 513-515

AACSB: Reflective Thinking

Skill: Application

Objective: 17-4

110) Internet marketing practices have raised a number of ethical and legal questions. Why is invasion of privacy perhaps the number-one online marketing concern?

Answer: Web site activities provide extensive personal information. This may leave consumers open to information abuse if companies make unauthorized use of the information in marketing their products or exchanging databases with other companies. Critics worry that through database marketing, marketers know too much about consumers' lives and may not use that information responsibly, taking unfair advantage of consumers.

Diff: 2 Page Ref: 518

AACSB: Ethical Reasoning

Skill: Application

Objective: 17-5

111) Adams Cutlery has always relied upon advertising to market its products to final customers. However, the marketing team at Adams Cutlery now wants to begin a direct marketing campaign consisting of a company Web site, e-mails to current customers, and an online catalog. Which of the following would the marketing team expect to gain as a result of implementing this direct marketing plan?

A) the ability to increase the range of products the company offers

B) a wealth of information about competitors and their products

C) more control over customers' interactions with the company

D) the ability to learn more about their customers and tailor offerings to fit their needs

E) a higher cost-per-contact that could prove to be more cost effective than advertising in mass media

Answer: D

Diff: 2 Page Ref: 492

AACSB: Analytic Skills

Skill: Application

Objective: 17-1

112) Financial services provider USAA sends materials about teaching teenagers how to drive safely to USAA customers who have children approaching driving eligibility age. USAA is using _____ information from a customer database to determine which customers should receive the materials.

A) demographic

B) geographic

C) psychographic

D) behavioral

E) key contact

Answer: A

Diff: 2 Page Ref: 493

AACSB: Analytic Skills

Skill: Application

Objective: 17-1

135) Many Treble Clef customers are seeking specific sheet music that Gary does not always have in-stock. Gary would like to provide a link on the store's Web site to a sheet music supplier with which he does business. On which of the following Web site design elements should Gary focus?

- A) context
- B) community
- C) customization
- D) connection
- E) content

Answer: D

Diff: 1 Page Ref: 510

AACSB: Analytic Skills

Skill: Application

Objective: 17-4

136) How does direct marketing give buyers access to more comparative information about companies, products, and competitors?

Answer: Catalogs and Web sites, both forms of direct marketing, can provide extensive product information and helpful product reviews. Customers can easily research companies, products, and competitors by comparing information in catalogs or on business-to-consumer and consumer-to-consumer Web sites.

Diff: 2 Page Ref: 492

AACSB: Analytic Skills

Skill: Application

Objective: 17-1

137) How does online marketing provide flexibility for sellers?

Answer: Online marketing allows the marketer to make ongoing adjustments to its offers and programs. Online catalogs, if used, can be adjusted daily or even hourly if needed. Because the Internet is a global tool, it allows buyers and sellers to click from one country to another country in seconds.

Diff: 2 Page Ref: 492-493

AACSB: Analytic Skills

Skill: Application

Objective: 17-1

138) What kind of information is likely to be included in a business-to-business customer database?

Answer: Data might include products and services purchased by the customer, projected customer spending, competing suppliers, status of current contracts, key contacts and personal information, and assessments of competitive strengths and weaknesses in selling and servicing the account.

Diff: 2 Page Ref: 493-494

Skill: Application

Objective: 17-1

139) Why are people reached by direct mail better prospects for a company than those reached by mass media such as television or magazines?

Answer: Unlike mass media, direct mail allows for high target-market selectivity, so only consumers who are likely to become customers can be contacted; in addition, direct mail can be personalized for each individual, which helps to build customer relationships.

Diff: 2 Page Ref: 496

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

140) Why are printed catalogs still thriving in the face of the growing popularity of Web-based catalogs?

Answer: Printed catalogs are more effective at creating an emotional connection with customers and continue to be one of the best ways to lead customers to online catalogs.

Diff: 2 Page Ref: 497

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

141) Explain how the creation of the National Do-Not-Call Registry may have helped telemarketers more than it hurt them.

Answer: Instead of making cold calls to people who are likely to resent the intrusion, telemarketers have switched gears and now focus on managing existing customer relationships through "opt-in" calling systems that provide useful information and offers to customers who have given the company permission to contact them.

Diff: 2 Page Ref: 498-499

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

142) Why is the use of direct-response television growing in popularity?

Answer: Direct-response TV commercials are usually less expensive to produce than traditional television advertisements, and the media purchase is less costly; also, it is easy for marketers to track the effectiveness of a direct-response TV commercial because the ads always include a 1-800 number or Web address.

Diff: 3 Page Ref: 500

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

143) Provide an example of how a marketer uses kiosk marketing.

Answer: Answers will vary. Many airlines and hotels use kiosks as self-service check-in devices; many retail stores offer in-store ordering kiosks; kiosks in Target stores connect customers to relevant articles from *Consumer Reports* magazine.

Diff: 2 Page Ref: 501

Skill: Application

Objective: 17-2

144) How can firms that use new direct marketing technologies avoid backlash from consumers who view such marketing as an invasion of privacy?

Answer: Marketers should always target their direct marketing offers carefully and bring real value to customers through direct marketing.

Diff: 2 Page Ref: 504

AACSB: Analytic Skills

Skill: Application

Objective: 17-2

145) What types of services do B2B marketers offer online?

Answer: Most major B2B marketers now offer product information, customer purchasing, and customer support services online.

Diff: 2 Page Ref: 506

Skill: Application

Objective: 17-3

146) Explain how a company benefits from monitoring the blogosphere.

Answer: By staying up-to-date with the content on relevant blogs, a company can gain insights from its consumers and adjust its marketing programs accordingly; for example, a company might learn about the weaknesses or strengths of a new marketing campaign by monitoring reactions on blogs.

Diff: 2 Page Ref: 507-508

AACSB: Reflective Thinking

Skill: Application

Objective: 17-3

147) Provide two reasons that many companies are shifting more of their marketing dollars to online advertising.

Answer: More companies are increasing the portion of their marketing budget spent on online advertising because consumers are spending more and more time on the Internet. Rich media ads are particularly effective in engaging viewers, and search-related ads reach an audience likely to be interested in the product.

Diff: 2 Page Ref: 511

Skill: Application

Objective: 17-4

148) What is the purpose of content sponsorship? Provide an example of content sponsorship.

Answer: Content sponsorships are a form of Internet promotion; many companies gain exposure on the Internet by sponsoring special content on various Web sites, such as news and financial information. Sponsorships are best placed in carefully targeted sites where they can offer relevant information or service to the audience. Scotts, the lawn-and-garden company sponsors the Local Forecast section on WeatherChannel.com.

Diff: 2 Page Ref: 512

Skill: Application

Objective: 17-4

149) Explain the goal of viral marketing.

Answer: Viral marketing is the Internet version of word-of-mouth marketing. Viral marketing involves creating a Web site, e-mail message, or other event that is so infectious that customers will want to pass it along to their friends.

Diff: 2 Page Ref: 512-513

Skill: Application

Objective: 17-4

150) How has the direct marketing industry taken steps to address privacy and security concerns?

Answer: Some companies use a nonprofit self-regulatory organization that audits a company's security and privacy measures and then approves Web sites that meet its privacy and security standards. The Direct Marketing Association has started a Privacy Promise that asks member companies to agree to notify customers about the use of their private information and to honor customer requests to "opt-out" of receiving further solicitations.

Diff: 3 Page Ref: 519

Skill: Application

Objective: 17-5

Chapter 18 Creating Competitive Advantage

- 1) Of the following successful marketing strategies in the past, today's Nike has learned that the most important is _____.

C) building deep community with customers

Answer: C Diff: 2 Page Ref: 527 Skill: Concept Objective: 18-1

- 2) To gain _____ requires delivering more value and satisfaction to target consumers than competitors do.

A) competitive advantage

Answer: A Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

- 3) The first step in initiating competitive marketing strategies is to conduct _____.

D) competitor analysis

Answer: D Diff: 3 Page Ref: 528 Skill: Concept Objective: 18-1

- 4) Part two of a competitor analysis is assessing all of the following EXCEPT a company's _____.

B) employees

Answer: B Diff: 1 Page Ref: 529 Skill: Concept Objective: 18-1

- 5) Strategies that strongly position the company against competitors and that give the company the strongest possible strategic advantage are _____.

C) competitive marketing strategies

Answer: C Diff: 3 Page Ref: 528 Skill: Concept Objective: 18-2

- 6) _____ involves first identifying and assessing competitors and then selecting which competitors to attack or avoid.

A) Competitor analysis

Answer: A Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

- 7) To plan effective marketing strategies, the company needs to find out all it can about its competitors. It must constantly compare its marketing strategies, products, prices, channels, and promotion with those of close competitors. This is an example of _____.

B) competitor analysis

Answer: B Diff: 2 Page Ref: 528 Skill: Concept Objective: 18-1

- 8) Companies can identify competitors from a _____ point of view. Here they define competitors as companies that are trying to satisfy the same customer need or build relationships with the same customer group.

C) market

Answer: C Diff: 2 Page Ref: 529 Skill: Concept Objective: 18-1

- 9) Companies can identify _____ from both the industry and market point of view.

A) competitors

Answer: A Diff: 1 Page Ref: 529 Skill: Concept Objective: 18-1

- 10) A company is guilty of _____ if the company forgets latent competitors and only focuses on current competitors.

E) competitor myopia

Answer: E Diff: 2 Page Ref: 529 Skill: Concept Objective: 18-1

- 11) Kodak's film business didn't suffer at the hands of direct competitor Fujifilm; it lost out to Sony, Canon, and other digital camera makers, along with a host of digital image developers and online image sharing services. This is an example of _____.

D) competitor myopia

**Answer: D Diff: 2 Page Ref: 529 AACSB: Analytic Skills
Skill: Application Objective: 18-1**

- 12) Hallmark's Binney & Smith, maker of Crayola crayons, might define its competitors as other makers of crayons and children's drawing supplies. But from a/an _____ point of view, it would include all firms making recreational and educational products for children.

B) market

Answer: B Diff: 2 Page Ref: 529 Skill: Application Objective: 18-1

- 13) From a/an _____ point of view, Pepsi might see its competition as Coca-Cola, Dr Pepper, 7UP, and the makers of other soft drink brands. From a/an _____ point of view, however, the customer really wants "thirst quenching."

D) industry; market

**Answer: D Diff: 2 Page Ref: 529 AACSB: Analytic Skills
Skill: Application Objective: 18-1**

- 14) All of the following are fundamental questions that a marketing management team considers when assessing competitors EXCEPT?

D) What are various competitors' locations?

Answer: D Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

15) Each competitor has a mix of objectives. The company wants to know the relative importance that a competitor places on all of the following EXCEPT _____.

A) company history

Answer: A Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

16) A company that pursues _____ leadership will react much more strongly to a competitor's _____ manufacturing breakthrough than to the same competitor's advertising increase.

B) low-cost; cost reducing

Answer: B Diff: 3 Page Ref: 530 Skill: Application Objective: 18-1

17) The more that one firm's strategy resembles another firm's strategy, the more the two firms _____.

A) compete

Answer: A Diff: 2 Page Ref: 530 Skill: Concept Objective: 18-1

18) General Electric and Whirlpool each produce a full line of medium-price appliances supported by good service. In contrast, Sub-Zero and Viking produce a narrower line of higher quality appliances, offer a higher level of service, and charge a premium price. The first group and second group of companies are in the same _____ group.

B) strategic

Answer: B Diff: 3 Page Ref: 530 Skill: Application Objective: 18-1

19) Companies need to know each competitor's product quality, features, and mix; customer services; pricing policy; distribution coverage; sales force strategy; and advertising and sales promotion programs. These are all the dimensions that identify _____ groups within the industry.

D) strategic

Answer: D Diff: 2 Page Ref: 530 AACSB: Analytic Skills

Skill: Application Objective: 18-1

20) Companies use secondary data, personal experience, benchmarking, and word of mouth to _____.

B) learn about their competitors' strengths and weaknesses

Answer: B Diff: 3 Page Ref: 531 Skill: Concept Objective: 18-1

21) _____ is the process of comparing the company's products and processes to those of competitors or leading firms in other industries to find ways to improve quality and performance.

D) Benchmarking

Answer: D Diff: 1 Page Ref: 531 Skill: Concept Objective: 18-1

22) Benchmarking has become a powerful tool for increasing a company's _____,

E) competitiveness

Answer: E Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

23) Knowing how major competitors react gives the company clues on how best to _____ competitors or how best to _____ the company's current positions.

C) attack; defend

Answer: C Diff: 3 Page Ref: 531 Skill: Application Objective: 18-1

24) Most companies prefer to aim competition against _____.

C) weak competitors

Answer: C Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

25) A firm should compete with _____ competitors in order to sharpen its abilities. Succeeding against these competitors often provides greater returns.

A) strong

Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

26) Analysis conducted to determine what benefits target customers value and how they rate the relative value of various competitors' offers is known as _____.

A) customer value analysis

Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

27) PepsiCo conducts a survey on all Coca-Cola drinkers to assess the company's strengths and weaknesses upon their target customers. PepsiCo is using a/an _____.

D) customer value analysis

**Answer: D Diff: 2 Page Ref: 531 AACSB: Analytic Skills
Skill: Application Objective: 18-1**

28) A company wants to find the _____, the place where it meets customers' needs in a way that rivals can't.

A) "strategic sweet spot"

Answer: A Diff: 2 Page Ref: 531 Skill: Concept Objective: 18-1

29) If the company's offer delivers greater value by exceeding the competitor's offer on important attributes, the company can charge a higher price and _____, or it can charge the same price and _____.

C) earn higher profits; gain more market share

Answer: C Diff: 3 Page Ref: 531 Skill: Concept Objective: 18-1

30) Most companies will compete with _____ rather than _____.

B) close competitors; distant competitors

Answer: B Diff: 3 Page Ref: 532 Skill: Concept Objective: 18-1

31) The following are all examples of close competitors EXCEPT _____.

E) Nike and Timberland

Answer: E Diff: 1 Page Ref: 532 AACSB: Analytic Skills

Skill: Application Objective: 18-1

32) A company's close competitors are _____.

C) those that most resemble the company's operations

Answer: C Diff: 2 Page Ref: 532 Skill: Concept Objective: 18-1

33) All of the following statements are benefits from the existence of competitors EXCEPT?

D) Competitors divide the target market.

Answer: D Diff: 2 Page Ref: 532 AACSB: Reflective Thinking

Skill: Concept Objective: 18-1

34) An industry often contains "good" and "bad" competitors. Good competitors _____.

C) play by the rules

Answer: C Diff: 2 Page Ref: 533 Skill: Concept Objective: 18-1

35) Most competitors in the music download industry see Apple's iTunes Music Store as a _____ because they created a closed system with mass appeal.

C) bad competitor

Answer: C Diff: 3 Page Ref: 533 AACSB: Analytic Skills

Skill: Application Objective: 18-1

36) The implication suggested by strategic actions of "good competitor companies" is that they would like to shape an industry that consists of _____.

D) only well-behaved competitors

Answer: D Diff: 2 Page Ref: 533 Skill: Concept Objective: 18-1

37) Rather than competing head to head with established competitors, many companies seek out unoccupied positions in uncontested market spaces. They try to create products and services for which there are no direct competitors. This is called a _____.

D) "blue ocean strategy"

Answer: D Diff: 1 Page Ref: 533 Skill: Concept Objective: 18-1

38) Tomorrow's leading companies will succeed by creating "blue oceans" of uncontested market space. Such strategic moves, termed _____, create powerful leaps in value for both the firm and its buyers, creating all new demand and rendering rivals obsolete.

C) "value innovation"

Answer: C Diff: 3 Page Ref: 533 Skill: Concept Objective: 18-1

39) An example of a company exhibiting blue-ocean thinking is _____.

E) Cirque du Soleil's reinvention of the circus as a higher form of modern entertainment

**Answer: E Diff: 3 Page Ref: 534 AACSB: Analytic Skills
Skill: Application Objective: 18-1**

40) There are specific kinds of information that companies need about their competitors. The _____ system first identifies the vital types of competitive information and the best sources of this information.

C) competitive intelligence

Answer: C Diff: 1 Page Ref: 534 Skill: Concept Objective: 18-1

41) Which statement is NOT a factor of the competitive intelligence system?

B) The system creates a new brand image and marketing concept.

Answer: B Diff: 2 Page Ref: 534 Skill: Concept Objective: 18-1

42) A manager who used to work for a competitor might follow that competitor closely to see what it does in the marketplace. Such a manager would be considered to be your company's _____ expert.

D) in-house

Answer: D Diff: 2 Page Ref: 534 Skill: Concept Objective: 18-1

43) Having identified and evaluated its major competitors, the company now must design broad competitive marketing strategies by which it can gain competitive advantage through superior _____.

A) customer value

Answer: A Diff: 1 Page Ref: 534 Skill: Concept Objective: 18-2

44) Companies that operate large marketing departments, conduct expensive marketing research, spell out elaborate competitive strategies, and spend huge sums on advertising are using _____ competitive marketing strategies.

B) formal

Answer: B Diff: 2 Page Ref: 535 Skill: Concept Objective: 18-2

45) Approaches to marketing strategy and practice often pass through which of the three following stages?

D) entrepreneurial marketing, formulated marketing, and intreprenurial marketing

Answer: D Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

46) Most companies are started by individuals who live by their wits. They visualize an opportunity, construct flexible strategies on the backs of envelopes, and knock on every door to gain attention. What stage in marketing strategy are these individuals in?

C) entrepreneurial marketing

Answer: C Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

47) Gary Hirshberg of Stonyfield Farm yogurt company stated that "companies can do better with less advertising, less marketing research, more guerilla marketing, and more acting from the gut." At this point, Hirshberg was following which marketing strategy?

B) entrepreneurial marketing

Answer: B Diff: 3 Page Ref: 535 Skill: Application Objective: 18-2

48) As small companies achieve success, they inevitably move toward more _____ marketing. They pore over the latest Nielsen numbers, scan market research reports, and try to fine-tune their competitive strategies and programs.

B) formulated

Answer: B Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

49) Companies that have been in existence for some time often lose the marketing creativity and passion that they had at the start. They now need to refresh their marketing strategies and try new approaches. This is known as _____.

D) intreprenurial marketing

Answer: D Diff: 1 Page Ref: 535 Skill: Concept Objective: 18-2

50) There will be a constant tension between the formulated side of marketing and the _____.

A) creative side

Answer: A Diff: 2 Page Ref: 536 Skill: Concept Objective: 18-2

51) Michael Porter suggests four basic competitive positioning strategies that companies can follow—three winning strategies and one losing one. Which of the following are considered winning strategies?

D) overall cost leadership, differentiation, and focus

Answer: D Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

52) Wal-Mart, Texas Instruments, and Dell all achieve the lowest production and distribution costs to win a large market share. They utilize a(n) _____ strategy very effectively.

A) overall cost leadership

**Answer: A Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2**

53) Companies that pursue a clear strategy will likely perform well. Firms that do not pursue a clear strategy are called _____.

B) middle-of-the-roaders

Answer: B Diff: 2 Page Ref: 536 Skill: Concept Objective: 18-2

54) Sears and Holiday Inn encountered difficult times because they did not stand out as the lowest in cost, highest in perceived value, or best in serving some market segment. Both companies are _____.

C) middle-of the roaders

**Answer: C Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2**

55) Companies can pursue any of the following three strategies, called value disciplines, for delivering superior customer value:

E) operational excellence, customer intimacy, and product leadership

Answer: E Diff: 2 Page Ref: 536-537 Skill: Concept Objective: 18-2

56) When a company provides superior value by leading its industry in price and convenience, it has obtained what is called _____.

C) operational excellence

Answer: C Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

57) Wal-Mart, Washington Mutual, and Southwest Airlines serve customers who want reliable, good-quality products or services, but who want them cheaply and easily. They are all known for pursuing a value discipline known as _____.

A) operational excellence

**Answer: A Diff: 2 Page Ref: 536 AACSB: Analytic Skills
Skill: Application Objective: 18-2**

58) When customers are willing to pay a premium to get precisely what they want and company respond quickly to satisfy customer needs, the company has achieved what is called _____.

A) customer intimacy

Answer: A Diff: 1 Page Ref: 536 Skill: Concept Objective: 18-2

59) Nordstrom, Lexus, American Express, British Airways, and Ritz-Carlton Hotels will do almost anything to build long-term customer loyalty and to capture customer lifetime value. These companies are pursuing which of the following competitive marketing strategy?

E) customer intimacy

Answer: E Diff: 2 Page Ref: 536 AACSB: Analytic Skills

Skill: Application Objective: 18-2

60) If a company's aim is to make its own and competing products obsolete and serve customers who want state-of-the-art products and services, it is using a value discipline called _____.

D) product leadership

Answer: D Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

61) Nokia and Apple are open to new ideas, relentlessly pursue new solutions, and work to get new products to market quickly. They serve customers who want state-of-the-art products and services, regardless of the costs in terms of price or inconvenience. These companies are offering what value discipline?

C) product leadership

Answer: C Diff: 2 Page Ref: 537 AACSB: Analytic Skills

Skill: Application Objective: 18-2

62) Which of the following is NOT an example of the competitive positions or roles that firms play in the target market?

E) market provider

Answer: E Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

63) Most of the market is in the hands of the _____, the firm with the largest market share.

C) market leader

Answer: C Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

64) Forty percent of the market is in the hands of Company A. Another 30 percent is in the hands of Company B. Twenty percent is in the hands of Company C, and the remaining 10 percent is in the hands of Company D. Based on these hypothetical numbers Company B is the market _____.

B) challenger

Answer: B Diff: 3 Page Ref: 537 AACSB: Analytic Skills

Skill: Concept Objective: 18-2

65) Forty percent of the market is in the hands of Company A. Another 30 percent is in the hands of Company B. Twenty percent is in the hands of Company C, and the remaining 10 percent is in the hands of Company D. Based on these hypothetical numbers Company D is the market _____.

D) nicher

Answer: D Diff: 3 Page Ref: 537 AACSB: Analytic Skills

Skill: Concept Objective: 18-2

66) Firms that serve small segments not being pursued by other firms are called _____.

D) market nichers

Answer: D Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

67) _____ are those runner-up firms that are working to increase its market share in an industry.

B) Market challengers

Answer: B Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

68) A runner-up firm that wants to hold its share in an industry without rocking the boat is a _____.

A) market follower

Answer: A Diff: 1 Page Ref: 537 Skill: Concept Objective: 18-2

69) When it comes to creating _____, Ritz-Carlton sets the gold standard. "It's all about providing a unique, personal, memorable experience."

D) customer intimacy

Answer: D Diff: 3 Page Ref: 538 AACSB: Analytic Skills

Skill: Application Objective: 18-2

70) Expanding the total market, protecting market share, and expanding market share are all strategies for _____.

A) market leaders

Answer: A Diff: 3 Page Ref: 538 Skill: Concept Objective: 18-2

71) Which of the following are market challenger strategies?

C) full frontal attack and indirect attack

Answer: C Diff: 3 Page Ref: 538 Skill: Concept Objective: 18-2

72) The _____ usually leads the other firms in price changes, new product introductions, distribution coverage, and promotion spending.

A) market leader

Answer: A Diff: 1 Page Ref: 539 Skill: Concept Objective: 18-2

73) To remain number one, leading firms can take any of three actions. First, they can find ways to expand total demand. Second, they can protect their current market share through good defensive and offensive actions. Third, they can _____.

D) try to expand their market share further, even if market size remains constant

Answer: D Diff: 3 Page Ref: 540 Skill: Concept Objective: 18-2

74) The leading firm normally gains the most when the _____.

B) total market expands

Answer: B Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

75) Marketers can expand markets by discovering and promoting _____.

D) new uses of the product

Answer: D Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

76) Market leaders can expand the market by _____, new uses, and more usage of the product.

C) developing new users

Answer: C Diff: 2 Page Ref: 540 Skill: Concept Objective: 18-2

77) NutriSystem has typically targeted its weight loss programs toward women. Recently, however, it stepped up its efforts to attract male customers. This is an example of how the market leader _____.

D) develops new users

Answer: D Diff: 2 Page Ref: 540 AACSB: Analytic Skills

Skill: Application Objective: 18-2

78) The best response to competitive threats is _____.

A) continuous innovation

Answer: A Diff: 2 Page Ref: 541 Skill: Concept Objective: 18-2

79) Profitability increases as a business gains share relative to competitors in its _____.

D) served market

Answer: D Diff: 2 Page Ref: 541 Skill: Concept Objective: 18-2

80) Higher shares tend to produce higher profits only when _____ fall with increased market share.

A) unit costs

**Answer: A Diff: 3 Page Ref: 542 AACSB: Reflective Thinking
Skill: Application Objective: 18-2**

81) _____ can adopt one of two competitive strategies: they can challenge the leader or they can play along with competitors and not rock the boat.

A) Runner-up firms

Answer: A Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

82) Although it might seem that the market leader has the most going for it, challengers often have what some strategists call a _____. The challenger observes what has made the leader successful and improves upon it.

B) "second mover advantage"

Answer: B Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

83) The market challenger may launch a full _____, matching the competitor's product, advertising, price, and distribution efforts. It attacks the competitor's strengths rather than its weaknesses.

C) frontal attack

Answer: C Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

84) Rather than challenging head-on, the challenger can make _____ on the competitor's weaknesses or on gaps in the competitor's market coverage.

C) an indirect attack

Answer: C Diff: 2 Page Ref: 542 Skill: Concept Objective: 18-2

85) Red Bull entered the U.S. soft drinks market with a niche product: a carbonated energy drink retailing at about twice what you would pay for a Coke or Pepsi. Their product was sold in unconventional outlets not dominated by the market leaders. In this case, Red Bull was using _____ against the market leaders.

D) an indirect attack

**Answer: D Diff: 3 Page Ref: 543 AACSB: Analytic Skills
Skill: Application Objective: 18-2**

86) Many firms prefer to _____ rather than _____ the leader.

A) follow; challenge

Answer: A Diff: 3 Page Ref: 543 Skill: Concept Objective: 18-2

87) The market follower must keep its manufacturing costs and prices _____ or its product quality and services _____.

B) low; high

**Answer: B Diff: 3 Page Ref: 543 AACSB: Reflective Thinking
Skill: Concept Objective: 18-2**

88) Almost every industry includes firms that specialize in serving target subsegments called _____.

A) market niches

Answer: A Diff: 1 Page Ref: 543 Skill: Concept Objective: 18-2

89) _____ is profitable because the needs of the target customer segment are better met than when other firms casually attempt to sell to the same segment.

C) Market niching

Answer: C Diff: 2 Page Ref: 543 Skill: Concept Objective: 18-2

90) Whereas the mass marketer achieves _____, the nicher achieves _____.

C) high volume; high margins

**Answer: C Diff: 3 Page Ref: 543 AACSB: Reflective Thinking
Skill: Application Objective: 18-2**

91) Computer mouse and interface device maker Logitech is only a fraction the size of giant Microsoft. Yet through skillful _____, it dominates the PC mouse market, with Microsoft as its runner-up.

B) niching

Answer: B Diff: 3 Page Ref: 543-544 Skill: Application Objective: 18-2

92) The key to successful niching is _____.

D) specialization

Answer: D Diff: 1 Page Ref: 544 Skill: Concept Objective: 18-2

93) A market nicher can specialize along all of the following market, customer, product, or marketing mix lines EXCEPT?

E) employees

Answer: E Diff: 3 Page Ref: 544 Skill: Concept Objective: 18-2

94) The market niche may dry up, or it might grow to the point that it attracts larger competitors. That is why many companies practice _____.

A) multiple niching

Answer: A Diff: 2 Page Ref: 544 Skill: Concept Objective: 18-2

95) A company can become so _____ centered that it loses its even more important focus on maintaining profitable _____ relationships.

B) competitor; customer

**Answer: B Diff: 3 Page Ref: 546 AACSB: Reflective Thinking
Skill: Application Objective: 18-3**

96) A negative side of the _____ is that the company becomes too reactive. Rather than carry out its own customer relationship strategy, it bases its own moves on competitors' moves.

A) competitor-centered company

Answer: A Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

97) A positive aspect of a _____ is that the company develops a fighter orientation, watches for weaknesses in its own position, and searches out competitors' weaknesses.

C) competitor-centered company

Answer: C Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

98) A company that focuses on customer developments in designing its marketing strategies and on delivering superior value to its target customers is a _____.

D) customer-centered company

Answer: D Diff: 1 Page Ref: 546 Skill: Concept Objective: 18-3

99) When companies watch both their customers and their competitors, they are called _____.

B) market-centered companies

Answer: B Diff: 1 Page Ref: 546 Skill: Concept Objective: 18-3

100) All of the below choices are evolving company orientations EXCEPT?

A) central-orientation

Answer: A Diff: 2 Page Ref: 546 Skill: Concept Objective: 18-3

126) Discuss the steps in analyzing competitors.

Answer: Creating competitive advantage begins with competitor analysis. First, the company's competitors must be identified. The next step is assessing competitors' objectives, strategies, strengths, weaknesses, and reaction patterns. Based on this information, the company can select which competitors to attack or avoid.

Diff: 2 Page Ref: 528

Skill: Application

Objective: 18-1

127) Discuss the different levels at which competitors can be identified.

Answer: At the narrowest level, a company can define its competitors as other companies offering similar products and services to the same customers at similar prices. However, the company might also define competitors as all firms making the same product or class of products. Even more broadly, competitors might include all companies making products that supply the same service. Finally, and still more broadly, competitors might include all companies that compete for the same consumer dollars.

Diff: 2 Page Ref: 528-529

Skill: Application

Objective: 18-1

128) Explain how Kodak had "competitor myopia."

Answer: Kodak saw Fuji as its only major competitor. But its real competitor turned out to be digital imaging, including other digital camera makers and a host of digital image developers and online image-sharing services.

Diff: 1 Page Ref: 529

AACSB: Reflective Thinking

Skill: Application

Objective: 18-1

129) Give examples of competitor objectives and discuss the importance of knowing a competitor's mix of objectives.

Answer: Each competitor has a mix of objectives. The company wants to know the relative importance that a competitor places on current profitability, market share growth, cash flow, technological leadership, service leadership, and other goals. Knowing a competitor's mix of objectives reveals whether the competitor is satisfied with its current situation and how it might react to different competitive actions.

Diff: 2 Page Ref: 530

Skill: Application

Objective: 18-1

130) Describe what a strategic group is, name a few companies that belong to the same strategic group, and discuss why they are in the same group.

Answer: A strategic group is a group of firms in an industry following the same or a similar strategy in a given target market. General Electric, Whirlpool, and Maytag belong to the same strategic group because each produces a full line of medium-price appliances supported by good service.

Diff: 1 Page Ref: 530

Skill: Application

Objective: 18-1

131) How can companies learn about their competitors strengths and weaknesses?

Answer: Companies normally learn about their competitors' strengths and weaknesses through secondary data, personal experience, and word of mouth. They can also conduct primary marketing research with customers, suppliers, and dealers. Or they can benchmark themselves against other firms.

Diff: 2 Page Ref: 531

Skill: Application

Objective: 18-1

132) What is a "strategic sweet spot," and why do companies want to find these?

Answer: The company wants to find the "strategic sweet spot," the place where it meets customers' needs in a way that rivals can't. If the company's offer delivers greater value by exceeding the competitor's offer on important attributes, the company can charge a higher price and earn higher profits, or it can charge the same price and gain more market share.

Diff: 2 Page Ref: 531

Skill: Application

Objective: 18-1

133) Use a scenario to discuss why a company may want to avoid destroying a close competitor?

Answer: Bausch & Lomb moved aggressively against other soft lens manufacturers with great success. However, this forced weak competitors to sell out to larger firms such as Schering-Plough and Johnson & Johnson. As a result, Bausch & Lomb now faces much larger competitors such as Johnson & Johnson, who bought Vistakon.

Diff: 3 Page Ref: 532

AACSB: Reflective Thinking

Skill: Application

Objective: 18-1

134) Discuss why a company really needs and benefits from competitors.

Answer: The existence of competitors results in several strategic benefits. Competitors may share the costs of market and product development and help to legitimize new technologies. They may serve less-attractive segments or lead to more product differentiation. Finally, competitors may help increase total demand.

Diff: 3 Page Ref: 532

AACSB: Analytic Skills

Skill: Application

Objective: 18-1

135) Michael Porter suggested four basic competitive positioning strategies that companies can follow, three winning strategies and one losing one. Name and describe these four different strategies.

Answer: Overall cost leadership is when the company works hard to achieve the lowest production and distribution costs. Differentiation is when the company concentrates on creating a highly differentiated product line. Focus is when the company puts its efforts on serving a few market segments well rather than going after the whole market. Middle-of-the-roads are firms that do not pursue a clear strategy. These firms do the worst.

Diff: 2 Page Ref: 536

Skill: Application

Objective: 18-2

136) Name the three value disciplines. Why do firms establish them?

Answer: Research indicates that companies can pursue leadership positions by delivering superior value to their customers; the text outlines three possible value disciplines that marketers can follow: operational excellence, customer intimacy, or product leadership.

Diff: 2 Page Ref: 536-537

Skill: Application

Objective: 18-2

137) Explain how a market follower can gain advantage from a market leader.

Answer: The market leader often bears the huge expenses of developing new products and markets, expanding distribution, and educating the market. By contrast, the market follower can learn from the leader's experience. It can copy or improve on the leader's products and programs, usually with much less investment.

Diff: 2 Page Ref: 543

AACSB: Analytic Skills

Skill: Application

Objective: 18-2

138) Why is niching profitable?

Answer: The main reason is that the market nicher ends up knowing the target customer group so well that it meets their needs better than other firms that casually sell to that niche. As a result, the nicher can charge a substantial markup over costs because of the added value.

Whereas the mass marketer achieves high volume, the nicher achieves high margins.

Diff: 3 Page Ref: 543

AACSB: Analytic Skills

Skill: Application

Objective: 18-2

139) What is the primary focus of a competitor-centered company?

Answer: A competitor-centered company spends most of its time tracking competitors' moves and market shares and tries to find strategies to counter them.

Diff: 1 Page Ref: 546

Skill: Application

Objective: 18-3

140) What is the primary focus of a customer-centered company?

Answer: A customer-centered company focuses more on customer developments in designing its strategies. By watching customer needs evolve, a customer-centered company can decide what customer groups and what emerging needs are the most important to serve.

Diff: 1 Page Ref: 546

Skill: Application

Objective: 18-3

141) Discuss the need to understand competitors as well as customers through competitor analysis.

Answer: In order to prepare an effective marketing strategy, a company must consider its competitors as well as its customers. Building profitable customer relationships requires satisfying target consumer needs better than competitors do. A company must continually analyze competitors and develop competitive marketing strategies that position it effectively against competitors and give it the strongest possible competitive advantage. Competitor analysis first involves identifying the company's major competitors, using both an industry-based and a market-based analysis. The company then gathers information on competitors' objectives, strategies, strengths and weaknesses, and reaction patterns. With this information in hand, it can select competitors to attack or avoid. Competitive intelligence must be collected, interpreted, and distributed continuously. Company marketing managers should be able to obtain full and reliable information about any competitor affecting their decisions.

Diff: 3 Page Ref: 528

AACSB: Analytic Skills

Skill: Application

Objective: 18-1

142) Although competition is most intense within a strategic group, explain why there is also rivalry among groups. Give examples.

Answer: First, some of the strategic groups may appeal to overlapping customer segments. For example, no matter what their strategy, all major appliance manufacturers will go after the apartment and homebuilders segment. Second, the customers may not see much difference in the offers of different groups; they may see the little difference in quality between GE and Whirlpool. Finally, members of one strategic group might expand into new strategy segments. Thus, General Electric's Monogram and Profile lines of appliances compete in the premium quality, premium-price line with Viking and Sub-Zero.

Diff: 3 Page Ref: 530

Skill: Application

Objective: 18-1

143) Marketing managers need a deep understanding of a given competitor's mentality if they want to anticipate how the competitor will act or react. Discuss the different ways competitor's act or react. Why do they do so? You may use examples to support your thoughts.

Answer: Each competitor reacts differently. Some do not react quickly or strongly to a competitor's move. They may feel their customers are loyal; they may be slow in noticing the move; they may lack the funds to react. Some competitors react only to certain types of moves and not to others. Other competitors react swiftly and strongly to any action. Thus, Procter & Gamble does not let a new detergent come easily into the market. Many firms avoid direct competition with P&G and look for easier prey, knowing that P&G will react fiercely if challenged. In some industries, competitors live in relative harmony; in others, they fight constantly. Knowing how major competitors react gives the company clues on how best to attack competitors or how best to defend the company's current positions.

Diff: 3 Page Ref: 531

AACSB: Reflective Thinking

Skill: Application

Objective: 18-1

144) An industry often contains "good" competitors and "bad" competitors. Define each term and discuss scenarios with both "good" and "bad" competitors. How might "good" competitors choose to react to "bad" competition?

Answer: Good competitors play by the rules of the industry. Bad competitors, in contrast, break the rules. They try to buy share rather than earn it, take large risks, and play by their own rules. For example, Yahoo! Music Unlimited sees Napster, Rhapsody, AOL Music, Amazon.com, and most other digital music download services as good competitors. They share a common platform, so that music bought from any of these competitors can be played on almost any playback device. However, it sees Apple's iTunes Music Store as a bad competitor, one that plays by its own rules at the expense of the industry as a whole. With the iPod, Apple created a closed system with mass appeal. A company might be smart to support good competitors, aiming its attacks at bad competitors. Thus, Yahoo! Music Unlimited, Napster, and other digital music competitors will no doubt support one another in trying to break Apple's stranglehold on the market.

Diff: 3 Page Ref: 533

AACSB: Reflective Thinking

Skill: Application

Objective: 18-1

145) Discuss the functions and goals of a competitive intelligence system.

Answer: The competitive intelligence system first identifies the vital types of competitive information needed and the best sources of this information. Then, the system continuously collects information from the field (sales force, channels, suppliers, market research firms, trade associations, Web sites) and from published data (government publications, speeches, articles). Next, the system checks the information for validity and reliability, interprets it, and organizes it in an appropriate way. Finally, it sends key information to relevant decision makers and responds to inquiries from managers about competitors.

With this system, company managers will receive timely intelligence information about competitors in the form of phone calls, e-mails, bulletins, newsletters, and reports. In addition, managers can connect with the system when they need an interpretation of a competitor's sudden move, or when they want to know a competitor's weaknesses and strengths, or when they need to know how a competitor will respond to a planned company move.

Diff: 3 Page Ref: 534

Skill: Application

Objective: 18-1

146) Discuss formal and informal marketing strategies, and give examples of companies that use both.

Answer: Many large firms develop formal competitive marketing strategies and implement them religiously. However, other companies develop strategy in a less formal and orderly fashion. Some companies, such as Harley-Davidson, Virgin Atlantic Airways, and BMW's MINI unit succeed by breaking many of the "rules" of marketing strategy. Such companies don't operate large marketing departments, conduct expensive marketing research, spell out elaborate competitive strategies, and spend huge sums on advertising. Instead, they sketch out strategies on the fly, stretch their limited resources, live close to their customers, and create more satisfying solutions to customer needs. They form buyer's clubs, use buzz marketing, and focus on winning customer loyalty. It seems that not all marketing must follow in the footsteps of marketing giants such as IBM and Procter & Gamble.

Diff: 3 Page Ref: 535

Skill: Application

Objective: 18-2

147) Discuss customer intimacy. Why is it important? Provide an example of a company that successfully abides by this value discipline.

Answer: A company provides superior value by precisely segmenting its markets and tailoring its products or services to match exactly the needs of targeted customers. It specializes in satisfying unique customer needs through a close relationship with and intimate knowledge of the customer. It builds detailed customer databases for segmenting and targeting, and empowers its marketing people to respond quickly to customer needs. Customer-intimate companies serve customers who are willing to pay a premium to get precisely what they want. They will do almost anything to build long-term customer loyalty and to capture customer lifetime value. Examples include Nordstrom, Lexus, American Express, British Airways, and Ritz-Carlton hotels.

Diff: 2 Page Ref: 536

Skill: Application

Objective: 18-2

148) Explain the four competitive positions that are often used to describe market structures.

Answer: Determining which competitive marketing strategy makes the most sense depends on the company's industry, and on whether it is a market leader, challenger, follower, or nicher. A market leader has to mount strategies to expand the total market, protect market share, and expand market share. A market challenger is a firm that tries aggressively to expand its market share by attacking the leader, other runner-up companies, or smaller firms in the industry. The challenger can select from a variety of direct or indirect attack strategies. A market follower is a runner-up company that chooses not to rock the boat, usually from fear that it stands to lose more than it might gain. But the follower is not without a strategy and seeks to use its particular skills to gain market growth. A market nicher is a smaller firm that is unlikely to attract the attention of larger firms; they often become specialists in some end use, customer size, specific customer, geographic areas, or service.

Diff: 3 Page Ref: 537

Skill: Application

Objective: 18-2

149) Discuss the two ways a market challenger can best attack the chosen competitor and achieve its strategic objectives? Explain when a challenger should use these attacks and provide examples of companies that have used these methods.

Answer: The market challenger may launch a full frontal attack, matching the competitor's product, advertising, price, and distribution efforts. It attacks the competitor's strengths rather than its weaknesses. The outcome depends on who has the greater strength and endurance. If the market challenger has fewer resources than the competitor, however, a frontal attack makes little sense. Thus, many new market entrants avoid frontal attacks, knowing that the market leaders can head them off with ad blitzes, price wars, and other retaliations. Rather than challenging head-on, the challenger can make an indirect attack on the competitor's weaknesses or on gaps in the competitor's market coverage. It can care out toe holds using tactics that the established leaders have trouble responding to or choose to ignore. Virgin Drinks is an example of an unsuccessful frontal attack. Red Bull is a successful example of an indirect attack.

Diff: 2 Page Ref: 542

AACSB: Reflective Thinking

Skill: Application

Objective: 18-2

150) Discuss the four evolving company orientations. Which orientation is considered most successful and why?

Answer: In the first stage, companies were product oriented, paying little attention to either customers or competitors. In the second stage, they become customer oriented and started to pay attention to customers. In the third stage, when they started to pay attention to competitors, they became competitor oriented. Today, companies need to be market oriented, paying balanced attention to both customers and competitors. Rather than simply watching competitors and trying to beat them on current ways of doing business, they need to watch customers and find innovative ways to build profitable customer relationships by delivering more customer value than competitors do. As noted previously, marketing begins with a good understanding of consumers and the marketplace.

Diff: 2 Page Ref: 546

Skill: Application

Objective: 18-3

Chapter 19 The Global Marketplace

- 1) _____ industries are safe from foreign competition.

C) Few

Answer: C Diff: 2 Page Ref: 555 Skill: Concept Objective: 19-1

- 2) As global trade is growing, global competition is _____.

D) intensifying

Answer: D Diff: 1 Page Ref: 555 Skill: Concept Objective: 19-1

- 3) Firms that play it safe and do not enter the global market are likely to lose their chances to enter other markets _____.

D) and risk losing their home markets

Answer: D Diff: 2 Page Ref: 555 Skill: Concept Objective: 19-1

- 4) A _____ is one that, by operating in more than one country, contains marketing, production, research and development, and financial advantages that are not available to purely domestic competitors.

A) global firm

Answer: A Diff: 1 Page Ref: 555 Skill: Concept Objective: 19-1

- 5) All of the following are major decisions a company faces in international marketing EXCEPT?

C) deciding how to set standardized prices

Answer: C Diff: 2 Page Ref: 556 AACSB: Analytic Skills

Skill: Concept Objective: 19-1

- 6) A(n) _____ is a tax levied by a foreign government against certain imported products.

B) tariff

Answer: B Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

- 7) A(n) _____ is a limit on the amount of goods that an importing country will accept in certain product categories.

D) quota

Answer: D Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

- 8) A(n) _____ serves to limit the amount of foreign exchange and the exchange rate against other currencies.

D) exchange control

Answer: D Diff: 2 Page Ref: 556 Skill: Concept Objective: 19-1

- 9) Bias against bids made by American companies is an example of a(n) _____.

D) nontariff trade barrier

Answer: D Diff: 3 Page Ref: 556 AACSB: Reflective Thinking

Skill: Concept Objective: 19-1

- 10) U.S. foreign policy makers have criticized China for protectionist regulations and other actions that restrict access to several Chinese markets, including banking services. This is an example of a(an) _____.

A) nontariff trade barrier

Answer: A Diff: 3 Page Ref: 556 AACSB: Analytic Skills

Skill: Application Objective: 19-1

- 11) Which of the following is designed to help foster trade between nations?

B) GATT

Answer: B Diff: 1 Page Ref: 556 Skill: Concept Objective: 19-1

- 12) The _____ is a 60-year-old treaty designed to promote world trade by reducing tariffs and other international trade barriers.

B) GATT

Answer: B Diff: 2 Page Ref: 557 Skill: Concept Objective: 19-1

- 13) Concluding in 1994, the Uruguay Round reduced trade barriers, set international standards for trade, and established the _____ to enforce GATT rules.

B) EU

Answer: B Diff: 2 Page Ref: 557 Skill: Concept Objective: 19-1

- 14) Which of the following reduced the world's merchandise tariffs by 30 percent, toughened international protection of copyrights and trademarks, and has been extended to cover trade in agriculture and a wide range of services?

A) GATT

Answer: A Diff: 2 Page Ref: 557 AACSB: Ethical Reasoning

Skill: Concept Objective: 19-1

- 15) Economic communities are also known as _____.

B) free trade zones

Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

16) _____ is a group of nations organized to work toward common goals in the regulation of international trade.

C) An economic community

Answer: C Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

17) Formed in 1957, the _____ set out to create a single European market by reducing barriers to the free flow of products, services, finances, and labor among member countries and developing policies on trade with nonmember nations.

B) European Union

Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

18) The European Union and NAFTA (North American Free Trade Agreement) are examples of _____.

C) economic communities

**Answer: C Diff: 1 Page Ref: 557-558 AACSB: Reflective Thinking
Skill: Concept Objective: 19-1**

19) Which of the following is true regarding economic communities?

B) Tariffs are typically lower or nonexistent between countries in the community.

**Answer: B Diff: 3 Page Ref: 558 AACSB: Analytic Skills
Skill: Concept Objective: 19-1**

20) There is concern that through the _____ lower barriers inside Europe will create only thicker outside walls.

A) European Union

**Answer: A Diff: 2 Page Ref: 557 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

21) Which of the following economic communities is responsible for the adoption of the euro?

B) European Union

Answer: B Diff: 1 Page Ref: 557 Skill: Concept Objective: 19-1

22) In January 1994, _____ established a free trade zone among the United States, Canada, and Mexico.

C) NAFTA

**Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

- 23) Trusted Wholesalers is a company that purchases products produced in Mexico and sells them to companies based in the United States and Canada. Management at Trusted Wholesalers would most likely be interested in becoming experts in the agreements made by _____.

B) NAFTA

**Answer: B Diff: 3 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1**

- 24) In 2005, the _____ established a free trade zone between the United States and Costa Rica, the Dominican Republic, El Salvador, Guatemala, Honduras, and Nicaragua.

A) CAFTA

Answer: A Diff: 2 Page Ref: 558 Skill: Concept Objective: 19-1

- 25) What is the name of the single agreement that created a market of 443 million people and will eliminate all trade barriers and investment restrictions among the United States, Mexico, and Canada?

C) NAFTA

**Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

- 26) Given the apparent success of NAFTA, talks have been underway since 1994 to establish a free trade zone called _____. This zone would include 34 countries stretching from the Bering Strait to Cape Horn.

C) FTAA

**Answer: C Diff: 3 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

- 27) Mercosur and CAN have agreed to unite, creating _____, which will make up the largest trading block after NAFTA and the European Union.

C) Unasur

**Answer: C Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

- 28) Trusted Wholesalers is a company that currently purchases products produced in Mexico and sells them to companies based in the United States and Canada. Trusted Wholesalers is considering whether to also purchase products produced in Costa Rica and the Dominican Republic. To make their decision, members of management at Trusted Wholesalers will most likely closely evaluate the agreements made by _____.

C) CAFTA

**Answer: C Diff: 3 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1**

29) All of the following are types of industrial structures EXCEPT?

C) developing economies

Answer: C Diff: 2 Page Ref: 558-559 Skill: Concept Objective: 19-1

30) Much of Chile's revenues come from its tin and copper exports. Chile has a _____ economy.

D) raw material exporting

**Answer: D Diff: 1 Page Ref: 558 AACSB: Reflective Thinking
Skill: Application Objective: 19-1**

31) The two key economic factors reflecting a country's attractiveness as a market are its industrial structure and its _____.

D) income distribution

**Answer: D Diff: 1 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

32) In a(n) _____, the vast majority of people engage in simple agriculture and consume most of their output.

B) subsistence economy

**Answer: B Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

33) Very few market opportunities are available in a(n) _____ economy.

A) subsistence

**Answer: A Diff: 2 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

34) A(n) _____ economy is poor in some ways but rich in one or more natural resources responsible for creating most of its exporting revenue.

C) raw-material exporting

**Answer: C Diff: 1 Page Ref: 558 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

35) _____ are major exporters of manufactured goods, services, and investment funds. They trade goods among themselves and export them to other types of economies for raw materials and semifinished goods.

D) Industrial economies

**Answer: D Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

36) In a(n) _____ economy, manufacturing accounts for 10 to 20 percent of the country's economy. This type of economy typically has a new rich class and a small but growing middle class, both demanding new types of imported goods.

B) industrializing

**Answer: B Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

37) Industrializing economies do NOT include _____.

D) Sweden

**Answer: D Diff: 3 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

38) All of the following are political-legal factors that should be considered when deciding whether to do business in a given country EXCEPT?

C) if a state religion is enforced

**Answer: C Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

39) Countries with _____ economies may consist mostly of households with very low family incomes.

E) subsistence

**Answer: E Diff: 2 Page Ref: 559 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

40) India needs more imports of raw materials such as textiles, steel, and heavy machinery, and fewer imports of finished textiles, paper products, and automobiles. India is most likely a _____ economy.

E) industrializing

**Answer: E Diff: 3 Page Ref: 559 AACSB: Reflective Thinking
Skill: Application Objective: 19-1**

41) In international trade, it is ideal if the buyer can pay in _____.

B) the seller's currency

Answer: B Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

42) Sellers might accept a _____, one whose removal from the country is restricted by the buyer's government, if they can buy other goods in that country that they need themselves or can sell elsewhere for a need currency.

A) blocked currency

Answer: A Diff: 3 Page Ref: 560 Skill: Concept Objective: 19-1

43) All of the following are methods of countertrade EXCEPT?

A) paying in the seller's currency without further obligation

Answer: A Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

44) What type of countertrade occurs when a seller sells a plant, equipment, or technology to another country and agrees to take payment in the resulting products?

D) buyback

Answer: D Diff: 2 Page Ref: 560 Skill: Concept Objective: 19-1

45) Japan's Fukusuke Corporation sold knitting machines and raw textile materials to Shanghai clothing manufacturer Chinatex in exchange for finished textiles produced on the machines. This is an example of which form of countertrade?

B) compensation

Answer: B Diff: 3 Page Ref: 560 AACSB: Reflective Thinking

Skill: Application Objective: 19-1

46) Azerbaijan imported wheat from Romania in exchange for crude oil and Vietnam exchanged rice for Philippine fertilizer and coconuts. Both scenarios are examples of which form of countertrade?

E) barter

Answer: E Diff: 3 Page Ref: 560 AACSB: Reflective Thinking

Skill: Application Objective: 19-1

47) Daimler Chrysler agreed to sell 30 trucks to Romania in exchange for 150 Romanian jeeps, which it then sold to Ecuador for bananas, which were in turn sold to a German supermarket chain for German currency. What is this an example of?

C) countertrading

Answer: C Diff: 2 Page Ref: 560 AACSB: Reflective Thinking

Skill: Application Objective: 19-1

48) Which of the following is the most common form of countertrade?

D) counterpurchase

Answer: D Diff: 3 Page Ref: 560 Skill: Concept Objective: 19-1

49) The form of countertrade in which the seller receives full payment in cash but agrees to spend some of the money in the other country is known as _____.

A) counterpurchasing

Answer: A Diff: 1 Page Ref: 560 Skill: Concept Objective: 19-1

50) When Boeing sells aircraft to India and agrees to buy Indian coffee, rice, and castor oil and to sell these products elsewhere, Boeing is engaging in _____.

E) counterpurchasing

Answer: E Diff: 2 Page Ref: 560 AACSB: Reflective Thinking

Skill: Application Objective: 19-1

51) It is important to understand how business norms vary from country to country. For example, _____ like to sit or stand very close to each other when they talk business in fact, almost nose-to-nose.

C) South Americans

Answer: C Diff: 2 Page Ref: 561 AACSB: Multicultural and Diversity

Skill: Concept Objective: 19-1

52) Some social critics say that globalization really means _____ the world's cultures.

A) Americanizing

Answer: A Diff: 2 Page Ref: 562 AACSB: Multicultural and Diversity

Skill: Concept Objective: 19-1

53) Which type of business is LEAST likely to find it necessary to enter international markets in order to survive?

D) small, local businesses

Answer: D Diff: 1 Page Ref: 563 AACSB: Analytic Skills

Skill: Concept Objective: 19-1

54) Which of the following is a factor that is likely to push a company to decide NOT to enter international markets?

B) The company would have to redesign its products.

Answer: B Diff: 2 Page Ref: 564 AACSB: Analytic Skills

Skill: Concept Objective: 19-1

55) Several of the following factors might draw a company into the international arena EXCEPT?

C) Managers are unsure of the effect of regulations and the political environments of other countries.

Answer: C Diff: 2 Page Ref: 564 AACSB: Analytic Skills

Skill: Concept Objective: 19-1

56) Of the following, which is the LEAST critical decision a company should make before going abroad?

D) how many people it wants to employ

Answer: D Diff: 2 Page Ref: 564 Skill: Concept Objective: 19-1

57) Demographic characteristics, geographic characteristics, economic factors, sociocultural factors, and political and legal factors all help a company _____.

A) determine a market's potential

**Answer: A Diff: 2 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

58) Which of the following is a sociocultural factor that a company should consider before deciding to enter an international market?

E) consumer lifestyles, beliefs, and values

**Answer: E Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

59) Which of the following is a political and legal factor that a company should consider before deciding to enter an international market?

A) monetary and trade regulations

**Answer: A Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

60) Which of the following is an economic factor that a company should consider before deciding to enter and international market?

B) natural resources

**Answer: B Diff: 3 Page Ref: 565 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-1**

61) All of the following are modes of entry that companies can use when they have decided to sell in a foreign country EXCEPT _____.

B) embargo

Answer: B Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

62) Members of management at Growing Green, a company that markets organic and environmentally friendly gardening and landscaping supplies and equipment, are evaluating the benefits and disadvantages of indirect exporting, direct exporting, and licensing. In which stage of the international marketing process is Growing Green?

C) deciding how to enter the market

**Answer: C Diff: 1 Page Ref: 566 AACSB: Reflective Thinking
Skill: Application Objective: 19-1**

63) The simplest way to enter a foreign market is through _____.

C) exporting

Answer: C Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

64) When entering a foreign market, companies typically start with _____, working through independent international marketing intermediaries.

D) indirect exporting

Answer: D Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

65) _____ involves less investment because the firm does not require an overseas marketing organization or network. It also involves less risk.

A) Indirect exporting

Answer: A Diff: 3 Page Ref: 566 Skill: Concept Objective: 19-2

66) Sellers may eventually move into _____, whereby they handle their own exports. The investment and risk are somewhat greater in this strategy.

A) direct exporting

Answer: A Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

67) Think Ink is a growing company that sells a variety of inks for home and business printers. Management at Think Ink has decided to open a sales branch overseas to handle sales and distribution abroad. Think Ink is engaging in _____.

B) direct exporting

**Answer: B Diff: 2 Page Ref: 566 AACSB: Reflective Thinking
Skill: Application Objective: 19-2**

68) A company can conduct direct exporting in all of the following ways EXCEPT?

D) It can work through independent international marketing intermediaries.

**Answer: D Diff: 3 Page Ref: 566 AACSB: Analytic Skills
Skill: Concept Objective: 19-2**

69) A _____ gives the seller more presence and program control in the foreign market and often serves as a display center and customer service center.

B) sales branch

Answer: B Diff: 3 Page Ref: 566 Skill: Concept Objective: 19-2

70) All of the following are four types of joint ventures EXCEPT _____.

D) direct investment

Answer: D Diff: 2 Page Ref: 566 Skill: Concept Objective: 19-2

71) Through _____, an organization in the foreign market buys the right to use a company's manufacturing process, trademark, patent, trade secret, or other item of value.

B) licensing

Answer: B Diff: 1 Page Ref: 566 Skill: Concept Objective: 19-2

72) Coca-Cola markets internationally by _____ bottlers around the world for a fee or royalty and then supplying them with the syrups needed to produce Coke products.

C) licensing

**Answer: C Diff: 2 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2**

73) Sears opened up department stores in Mexico and Spain, where it found qualified local manufacturers to produce many of the product it sells. This type of joint venture is known as _____.

E) contract manufacturing

**Answer: E Diff: 3 Page Ref: 567 AACSB: Analytic Skills
Skill: Application Objective: 19-2**

74) Hilton helps others run their hotels by exporting know-how services rather than products. This type of joint venture is known as _____.

C) management contracting

**Answer: C Diff: 2 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2**

75) _____ ventures consist of one company joining forces with foreign investors to create a local business in which they share ownership and control.

A) Joint ownership

Answer: A Diff: 1 Page Ref: 567 Skill: Concept Objective: 19-2

76) Hershey recently linked with Indian-based Godrej Beverages and Foods to make and distribute its chocolates in that country. When it comes to selling chocolate in India, Hershey will need all the help it can from its new local partner. This is an example of which joint venture?

D) joint ownership

**Answer: D Diff: 1 Page Ref: 567 AACSB: Reflective Thinking
Skill: Application Objective: 19-2**

77) _____ involves entering a foreign market by developing foreign-based assembly or manufacturing facilities.

B) Direct investment

Answer: B Diff: 1 Page Ref: 568 Skill: Concept Objective: 19-2

78) Lower costs in the form of cheaper labor or raw materials, foreign government investment incentives, freight savings, and the opportunity to improve the company image are all factors that would likely lead a company to _____ in a foreign market.

E) make a direct investment

**Answer: E Diff: 2 Page Ref: 568 AACSB: Analytic Skills
Skill: Concept Objective: 19-2**

79) _____ means selling largely the same products and using the same marketing approaches worldwide.

C) Standardized global marketing

**Answer: C Diff: 1 Page Ref: 568 AACSB: Communication
Skill: Concept Objective: 19-3**

80) _____ means adjusting the marketing strategy and mix elements to each international target market.

C) Adapted global marketing

**Answer: C Diff: 1 Page Ref: 568 AACSB: Communication
Skill: Concept Objective: 19-3**

81) In India, where cows are considered sacred, McDonald's serves McChicken, Filet-O-fish, McVeggie, and Pizza McPuffs. This is an example of _____.

B) adapted global marketing

**Answer: B Diff: 2 Page Ref: 569 AACSB: Multicultural and Diversity
Skill: Application Objective: 19-3**

82) All of the following are strategies for adapting product and marketing communications to a global market EXCEPT?

A) external extension

**Answer: A Diff: 2 Page Ref: 569 AACSB: Multicultural and Diversity
Skill: Concept Objective: 19-3**

83) "Take the product as is and find customers for it" is the slogan for _____.

D) straight product extension

**Answer: D Diff: 2 Page Ref: 569 AACSB: Reflective Thinking
Skill: Concept Objective: 19-3**

84) Kellogg cereals, Gillette razors, Heineken beer, and Black & Decker tools are all sold successfully in about the same form around the world. This is an example of which product strategy?

B) straight product extension

Answer: B Diff: 2 Page Ref: 569 AACSB: Analytic Skills

Skill: Application Objective: 19-3

85) To make Oreo cookies sell well in China, Kraft completely reinvented the popular all- American classic to a long, thin, four-layered, chocolate-covered wafer. This is an example of _____.

C) product adaptation

Answer: C Diff: 2 Page Ref: 570 AACSB: Analytic Skills

Skill: Application Objective: 19-3

86) Nokia created dustproof keypads, crucial in dry, hot countries with many unpaved roads, such as India. This is an example of _____.

E) product adaptation

Answer: E Diff: 2 Page Ref: 570 AACSB: Analytic Skills

Skill: Application Objective: 19-3

87) Sony found that Japanese commuters had difficulty using standard laptops on crowded rush-hour trains since standing commuters have no laps. So it created the U as a "standing computer." The U includes a touch screen and small keyboard that can be used while standing or on the move. This is an example of _____.

B) product invention

Answer: B Diff: 3 Page Ref: 571 AACSB: Reflective Thinking

Skill: Application Objective: 19-3

88) Changing promotions for each local market is known as _____.

C) communication adaptation

Answer: C Diff: 2 Page Ref: 572 AACSB: Multicultural and Diversity

Skill: Concept Objective: 19-3

89) To maximize the toothpaste market in China, Crest needs to convince more of the Chinese population to brush their teeth. Which of the following would Crest be most likely to use to accomplish this?

C) communication adaptation

Answer: C Diff: 3 Page Ref: 572 AACSB: Analytic Skills

Skill: Application Objective: 19-3

90) The global name for Microsoft's new operating system, Vista, runs out to be a disparaging term for a frumpy old woman in Latica. Microsoft must adjust the name. This is an example of _____.

A) communication adaptation

Answer: A Diff: 3 Page Ref: 572 AACSB: Analytic Skills

Skill: Application Objective: 19-3

91) Kellogg ads in the United States promote the taste and nutrition of Kellogg's cereals versus competitors' brands. In France, where consumers drink little milk and eat little for breakfast, Kellogg's ads must convince consumers that cereals are a tasty and healthful breakfast. Kellogg is following what type of marketing strategy?

D) communication adaptation

Answer: D Diff: 2 Page Ref: 572 AACSB: Analytic Skills

Skill: Application Objective: 19-3

92) Regardless of how companies go about pricing their products, their foreign prices will probably be _____ their domestic prices.

C) higher than

Answer: C Diff: 2 Page Ref: 573 Skill: Concept Objective: 19-3

93) A Gucci handbag may sell for \$60 in Italy and \$240 in the United States. It must add the cost of transportation, tariffs, importer margin, wholesaler margin, and retailer margin to its factory price. Gucci faces a _____ problem.

E) price escalation

Answer: E Diff: 2 Page Ref: 573 AACSB: Analytic Skills

Skill: Application Objective: 19-3

94) _____ occurs when a company either charges less than its costs or less than it charges in its home market.

B) Dumping

Answer: B Diff: 1 Page Ref: 574 Skill: Concept Objective: 19-3

95) The two major links between the seller and the final buyer of channels between nations and channels within nations make up a _____.

A) whole-channel view

Answer: A Diff: 1 Page Ref: 574 Skill: Concept Objective: 19-3

96) The first link between the seller and the final buyer, _____, moves company products from points of production to the borders of countries within which they are sold.

A) channels between nations

Answer: A Diff: 2 Page Ref: 574 Skill: Concept Objective: 19-4

97) A firm normally gets into international marketing by simply shipping out its goods. If its international sales expand, the company organizes a(n) _____.

C) export department

Answer: C Diff: 1 Page Ref: 575 Skill: Concept Objective: 19-4

98) World product groups, geographical organizations, and international subsidiaries are all options for organizing a(n)_____.

D) international division

Answer: D Diff: 2 Page Ref: 576 Skill: Concept Objective: 19-4

99) In a(n) _____, executives are trained in worldwide operations, not just domestic or international.

E) global organization

Answer: E Diff: 1 Page Ref: 576 Skill: Concept Objective: 19-4

100) At Comfort Homes, a manufacturer of furniture and home accessories, the global operating units report directly to the chief executive instead of a head of an international division. The company recruits management from many countries and buys components and supplies where they cost the least. Comfort Homes is most accurately classified as a(n) _____.

D) global organization

**Answer: D Diff: 2 Page Ref: 576 AACSB: Reflective Thinking
Skill: Application Objective: 19-4**

122) To overcome price escalation, when selling to less-affluent consumers in developing countries, companies make simpler or smaller versions of their products that can be sold at lower prices.

Answer: TRUE

Diff: 2 Page Ref: 574

Skill: Concept

Objective: 19-3

123) The Internet is making global price difference more obvious, forcing companies toward more standardized international pricing.

Answer: TRUE

Diff: 2 Page Ref: 574

Skill: Concept

Objective: 19-3

124) If a firm moves into joint ventures and direct investments, it will eventually need to create international divisions or subsidiaries.

Answer: TRUE

Diff: 2 Page Ref: 575

Skill: Concept

Objective: 19-4

125) International divisions can be organized as geographical organizations, world product groups, or national groups.

Answer: FALSE

Diff: 3 Page Ref: 576

Skill: Concept

Objective: 19-4

126) Companies that go global confront several major risks. Describe three of these risks.

Answer: Companies that go global may face unstable governments and currencies abroad, as well as restrictive government policies and regulations designed to protect domestic companies or to protect the culture. High trade barriers are another issue. Also, some companies have to deal with corruption abroad, as some officials award business contracts to the highest briber.

Diff: 2 Page Ref: 555

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

127) Compare and contrast a *tariff* and a *quota*.

Answer: A tariff is a tax levied by a foreign government against certain imported products. A quota is a set of limits on the amount of goods the importing country will accept in certain product categories. Both tariffs and quotas can be used to protect domestic firms from foreign competition.

Diff: 1 Page Ref: 556

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

128) Briefly explain why economic communities are formed.

Answer: These are groups of nations organized to work toward common goals in the regulation of international trade; economic communities benefit member nations by reducing barriers to the free flow of products, services, finances, and labor across borders.

Diff: 1 Page Ref: 557

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

129) Briefly explain why the European Union could be considered a threat to U.S. marketers that want to do business in Europe.

Answer: As a result of increased unification, European companies will grow bigger and more competitive. A concern is that lower barriers within Europe will lead to higher barriers between Europe and non-EU countries. Some observers envision a "Fortress Europe" that heaps favors on firms from European Union countries but hinders outsiders.

Diff: 3 Page Ref: 557

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

130) Explain why some critics worry that American multinationals are causing countries around the globe to lose their individual identities, giving two examples of the "Americanizing" of the world's cultures.

Answer: Some critics are concerned because people in diverse countries and cultures throughout the world now regularly use American products and services that have changed their daily habits. For example, most people in China did not drink coffee until Starbucks entered the market, and teens in India watch MTV and ask their parents for clothing and other symbols of American culture.

Diff: 2 Page Ref: 562

AACSB: Reflective Thinking

Skill: Application

Objective: 19-1

131) Many studies reveal that instead of "Americanizing" the world's cultures, the cultural exchange between America and other countries goes two ways. Give two examples of how America has been influenced culturally by foreign products or services.

Answer: Examples will vary but could include the following: "American Idol" comes from British TV; the popularity of soccer has international roots; and the Power Rangers, Tamagotchi and Pokemon, Sega and Nintendo come from abroad.

Diff: 3 Page Ref: 563

AACSB: Reflective Thinking

Skill: Application

Objective: 19-1

132) Name two of the five indicators of market potential and provide two examples of each.

Answer: The five indicators of market potential include demographic characteristics, geographic characteristics, economic factors, sociocultural factors, and political and legal factors. Students' examples will vary according to Table 19.1.

Diff: 2 Page Ref: 565

AACSB: Analytic Skills

Skill: Application

Objective: 19-2

133) How is joint venturing more risky and complex than merely exporting?

Answer: With a joint venture, a company joins forces with another foreign company to produce or market products or services. With a joint venture, the company is not merely producing domestically and then shipping abroad, the company is working hand-in-hand with a foreign company toward a common purpose.

Diff: 3 Page Ref: 566

AACSB: Analytic Skills

Skill: Application

Objective: 19-2

134) What are two possible risks involved with licensing?

Answer: The firm has less control over the licensee than it would over its own production facilities. Furthermore, if the licensee is very successful, the firm has given up these profits, and if and when the contract ends, it may find it has created a competitor.

Diff: 2 Page Ref: 567

AACSB: Analytic Skills

Skill: Application

Objective: 19-2

135) What are two possible reasons that management contracting is prevalent in the hotel industry?

Answer: A hotel, such as Hilton, that has an international reputation and is highly regarded would bring brand value, as well as experience to a foreign firm. For the company supplying the contracting, the investment is minimized because the foreign company supplies the capital.

Diff: 3 Page Ref: 567

AACSB: Analytic Skills

Skill: Application

Objective: 19-2

136) What types of products would be successful with standardized global marketing?

Answer: Products that require no change to the product itself or to the product's promotion would follow a standardized marketing mix.

Diff: 1 Page Ref: 568

AACSB: Reflective Thinking

Skill: Application

Objective: 19-3

137) Explain why a global company would need to make adjustments to a highly standardized promotion campaign for different markets.

Answer: Some language and cultural differences make adjustments necessary, as a slogan might not translate well or a certain image or color may hold a vastly different meaning in a different culture.

Diff: 1 Page Ref: 572

AACSB: Analytic Skills

Skill: Application

Objective: 19-3

138) Why is company unlikely to set a uniform price all around the world?

Answer: A uniform price would be too low in rich countries and too high in poor ones; the price would not reflect the costs of transportation, tariffs, wholesale margins, and retailer margins that will differ from country to country.

Diff: 2 Page Ref: 574

AACSB: Analytic Skills

Skill: Application

Objective: 19-3

139) How has the Internet affected how companies set prices on global products?

Answer: With the aid of the Internet, customers can see how much products sell for in different countries or even order a product directly from the location offering the lowest price; this is forcing companies toward more standardized international pricing.

Diff: 2 Page Ref: 574

AACSB: Analytic Skills

Skill: Application

Objective: 19-3

140) Identify the three major ways a company can manage its international marketing.

Answer: The company must develop an effective organization for international marketing. Most firms start with an export department and graduate to an international division. A few become global organizations, with worldwide marketing planned and managed by the top officers of the company. Global organizations view the entire world as a single, borderless market.

Diff: 2 Page Ref: 575

Skill: Application

Objective: 19-4

141) Describe the purpose, roles, and achievements of GATT and the World Trade Organization.

Answer: The General Agreement on Tariffs and Trade (GATT) is a 60-year-old treaty designed to promote world trade by reducing tariffs and other international trade barriers. Member nations, currently numbering 150, have met repeatedly to reassess trade barriers and set new rules for international trade. The most recently completed GATT negotiations promote long-term global trade growth, reducing the world's remaining merchandise tariffs, extending GATT to cover trade in agriculture and a wide range of services, and toughening international protection of copyrights, patents, trademarks, and other intellectual property. The most recent round of GATT negotiations resulted in the creation of the World Trade Organization (WTO) to enforce GATT rules. In general, the WTO acts as an umbrella organization, overseeing GATT, mediating global disputes, and imposing trade sanctions.

Diff: 2 Page Ref: 557

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

142) Describe the political-legal factors that a company should consider before deciding to do business in a foreign country.

Answer: A company should consider the country's attitudes toward international buying, as well as the country's bureaucracy, political stability, and monetary regulations. Some countries are receptive to foreign firms, offering incentives and favorable operating conditions, while other countries set restrictions and limitations designed to discourage foreign business. A country that is politically unstable, with frequent and sometimes violent changes in leadership, offers a less certain environment for business and financial matters. A country may also have monetary regulations, such as a blocked currency whose removal from the country is restricted, that a company should evaluate.

Diff: 3 Page Ref: 559

AACSB: Multicultural and Diversity

Skill: Application

Objective: 19-1

143) Discuss the three forms of countertrade and provide an example of each.

Answer: Most international trade involves cash transactions. Yet many nations have too little hard currency to pay for their purchases from other countries. They may want to pay with other items instead of cash, which has led to a growing practice called **countertrade**.

Countertrade takes several forms: *Barter* involves the direct exchange of goods or services, as when Azerbaijan imported wheat from Romania in exchange for crude oil and Vietnam exchanged rice for Philippine fertilizer and coconuts. Another form is *compensation* (or *buyback*), whereby the seller sells a plant, equipment, or technology to another country and agrees to take payment in the resulting products. Thus, Japan's Fukusuke Corporation sold knitting machines and raw textile materials to Shanghai clothing manufacturer Chinatex in exchange for finished textiles produced on the machines. The most common form of countertrade is *counterpurchase*, in which the seller receives full payment in cash but agrees to spend some of the money in the other country. For example, Boeing sells aircraft to India and agrees to buy Indian coffee, rice, castor oil, and other goods and sell them elsewhere.

Diff: 2 Page Ref: 560

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

144) Why is it important for companies to understand cultural differences and nuances before entering a foreign country's market? Give two examples of cultural differences that would be important for a company to know.

Answer: Before planning a marketing program in a new country, a seller should understand the ways that consumers in that country think about and use the product. To succeed abroad, a company must adapt to local cultural values and traditions rather than trying to force their own. Students' examples will vary, but could include the following: French men use twice as many grooming aids as women, many Chinese eat on the way to work, and religious imagery (such as Hindu gods) used in a promotion could easily be considered offensive.

Diff: 1 Page Ref: 560-561

AACSB: Multicultural and Diversity

Skill: Application

Objective: 19-1

145) Describe the factors that might draw a company into the international arena.

Answer: Any of several factors might draw a company into the international arena. Global competitors might attack the company's home market by offering better products or lower prices. The company might want to counterattack these competitors in their home markets to tie up their resources. The company's customers might be expanding abroad and require international servicing. Or the company's home market might be stagnant or shrinking, and foreign markets may present additional sales and profit opportunities. For example, to offset declines in the U.S. soda market, Coca-Cola and Pepsi are rapidly expanding their presence in emerging markets such as Russia and China. And whereas Whirlpool's North American sales slipped by 1 percent last year, its European sales jumped 12 percent.

Diff: 2 Page Ref: 564

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

146) Discuss the international marketing objectives and policies a company should try to define before going abroad.

Answer: Before going abroad, the company should try to define its international *marketing objectives*

and policies. It should decide what *volume* of foreign sales it wants. Most companies start small when they go abroad. Some plan to stay small, seeing international sales as a small part of their business. Other companies have bigger plans, seeing international business as equal to or even more important than their domestic business.

The company also needs to choose in *how many* countries it wants to market.

Companies must be careful not to spread themselves too thin or to expand beyond their capabilities by operating in too many countries too soon. Next, the company needs to decide on the *types* of countries to enter. A country's attractiveness depends on the product, geographical factors, income and population, political climate, and other factors. The seller may prefer certain country groups or parts of the world. In recent years, many major new markets have emerged, offering both substantial opportunities and daunting challenges.

Diff: 3 Page Ref: 564

AACSB: Analytic Skills

Skill: Application

Objective: 19-1

147) Discuss direct and indirect exporting. What are two advantages of exporting?

Answer: Companies typically start with *indirect exporting*, working through independent international

marketing intermediaries. Indirect exporting involves less investment because the firm does not require an overseas marketing organization or network. It also involves less risk. International marketing intermediaries bring know-how and services to the relationship, so the seller normally makes fewer mistakes.

Sellers may eventually move into *direct exporting*, whereby they handle their own exports. The investment and risk are somewhat greater in this strategy, but so is the potential return. A company can conduct direct exporting in several ways: It can set up a domestic export department that carries out export activities. It can set up an overseas sales branch that handles sales, distribution, and perhaps promotion.

One advantage of exporting is that the company produces all of its goods in its home country, so it does not need to invest in manufacturing facilities abroad. Also, exporting involves the least change in the company's product lines, organization, investments, and mission. With exporting, a company can make a minimal commitment to a foreign market and take minimal risks.

Diff: 1 Page Ref: 566

AACSB: Analytic Skills

Skill: Application

Objective: 19-2

148) Compare and contrast the advantages and disadvantages of standardized global marketing and adapted global marketing.

Answer: Companies that use standardized global marketing use largely the same marketing strategy approaches and marketing mix worldwide. On the other hand, with adapted global marketing, the producer adjusts the marketing strategy and mix elements to each target market, bearing more costs but hoping for a larger market share and return. Some global marketers believe that technology is making the world a smaller place and that consumer needs around the world are becoming more similar. This paves the way for "global brands" and standardized global marketing. Global branding and standardization, in turn, result in greater brand power and reduced costs from economies of scale. On the other hand, the marketing concept holds that marketing programs will be more effective if tailored to the unique needs of each targeted customer group. Despite global convergence, consumers in different countries still have widely varied cultural backgrounds and still differ significantly in their needs and wants, spending power, product preferences, and shopping patterns. Standardized global marketing does not take these differences into account, and may therefore be less effective, albeit less expensive.

Diff: 2 Page Ref: 569

AACSB: Analytic Skills

Skill: Application

Objective: 19-3

149) Identify and describe the three product strategies a company entering a foreign market can use.

Answer: A company can choose straight product extension, product adaptation, or product invention. Straight product extension means marketing a product in a foreign market without any change. This involves no additional product development costs, manufacturing changes, or new promotion. But it can be costly in the long run if products fail to satisfy foreign consumers. Product adaptation involves changing the product to meet local conditions or wants. Product invention consists of creating something new for a specific country market. This strategy can take two forms. It might mean maintaining or reintroducing earlier product forms that happen to be well adapted to the needs of a given country. Or a company might create a new product to meet a need in a given country.

Diff: 2 Page Ref: 569

Skill: Application

Objective: 19-3

150) What might drive a company to create international divisions or subsidiaries? Discuss the three ways these divisions can be organized.

Answer: Many companies get involved in several international markets and ventures, such as exporting to one country, licensing to another, having a joint ownership venture in a third, and owning a subsidiary in a fourth. With increased international activity, the company will need to move from simply having an export department to having more specialized international divisions or subsidiaries.

International divisions are organized in a variety of ways. An international division's corporate staff consists of marketing, manufacturing, research, finance, planning, and personnel specialists. It plans for and provides services to various operating units, which can be organized in one of three ways. They can be *geographical organizations*, with country managers who are responsible for salespeople, sales branches, distributors, and licensees in their respective countries. Or the operating units can be *world product groups*, each responsible for worldwide sales of different product groups. Finally, operating units can be *international subsidiaries*, each responsible for its own sales and profits.

Diff: 3 Page Ref: 575

AACSB: Analytic Skills

Skill: Application

Objective: 19-4

Chapter 20 Sustainable Marketing: Social Responsibility and Ethics

- 1) _____ calls for meeting the present needs of consumers and businesses while also preserving or enhancing the ability of future generations to meet their needs.

A) The sustainable marketing concept

Answer: A Diff: 2 Page Ref: 585 AACSB: Communication

Skill: Concept Objective: 20-1

- 2) All of the following are concepts that define the needs of consumers and/or businesses EXCEPT?

E) Consumer business concept

Answer: E Diff: 1 Page Ref: 585 Skill: Concept Objective: 20-1

- 3) The _____ is specifically focused on future company needs only.

B) strategic planning concept

Answer: B Diff: 1 Page Ref: 585 AACSB: Communication

Skill: Concept Objective: 20-1

- 4) The _____ is specifically focused on the future welfare of consumers only.

C) societal marketing concept

Answer: C Diff: 1 Page Ref: 585 AACSB: Communication

Skill: Concept Objective: 20-1

- 5) McDonald's "Plan to Win" strategy has added healthy food options to its menu, phased out traditional artery-clogging trans fats, launched a major multifaceted education campaign, and addressed environmental issues. "Plan to Win" best exemplifies which concept?

A) sustainable marketing concept

Answer: A Diff: 1 Page Ref: 585 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

- 6) Many critics charge that the American marketing system causes _____ to be higher than they would be under more "sensible" systems.

C) prices

Answer: C Diff: 1 Page Ref: 586 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

7) Critics charge that intermediaries _____.

B) are inefficient

Answer: B Diff: 2 Page Ref: 586 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

8) A long-standing charge against intermediaries is that they mark up prices beyond the _____.

A) value of their services

Answer: A Diff: 1 Page Ref: 586 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

9) A heavily promoted brand of flu medicine sells for much more than a virtually identical store-branded product. Critics would likely charge that promotion for the branded flu medicine adds only _____ to the product rather than functional value.

C) psychological value

Answer: C Diff: 2 Page Ref: 586 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

10) Marketers respond to charges of high advertising and promotion costs that unnecessarily increase retail prices by arguing all of the following factors EXCEPT?

C) Advertising and promotion adds quality to the product.

Answer: C Diff: 2 Page Ref: 586 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

11) Dan's Drugstore sells consumers medicine for twenty dollars that only costs two dollars to make. The store is guilty of _____.

D) excessive markups

Answer: D Diff: 2 Page Ref: 587 AACSB: Analytic Skills

Skill: Application Objective: 20-2

12) Albatross Enterprises was accused of deceptive pricing. Which of the following explains what might have happened?

C) Albatross advertised a large price reduction from a phony high retail list price.

Answer: C Diff: 2 Page Ref: 587 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

13) Hart's Department Store was accused of deceptive promotion. Which of the following best explains what might have happened?

B) Hart's lured customers to the store for a bargain that is out of stock.

Answer: B Diff: 2 Page Ref: 587 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

14) Marketers claim that consumers often don't understand the reasons for high markups. All of the following are reasons a pharmaceutical company claims they must markup prices EXCEPT _____.

E) to gain a profit

Answer: E Diff: 2 Page Ref: 587 Skill: Concept Objective: 20-2

15) Deceptive practices fall into three groups: deceptive _____, deceptive _____, and deceptive _____.

C) pricing; promotion; packaging

Answer: C Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

16) Deceptive promotion differs from deceptive pricing in that deceptive promotion overstates the product's _____ or _____.

B) features; performance

Answer: B Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

17) A major step in regulating "unfair or deceptive business acts and practices" was the enactment of the _____ in 1938.

B) Wheeler-Lea Act

Answer: B Diff: 2 Page Ref: 587 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

18) Advertising "puffery" is a term for _____.

B) innocent exaggeration for effect

Answer: B Diff: 2 Page Ref: 588 AACSB: Communication

Skill: Concept Objective: 20-2

19) Which of the following advertising situations would LEAST likely be considered "puffery"?

D) a retired couple drinking a vitamin and protein shake and then going bicycling

Answer: D Diff: 2 Page Ref: 588 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

20) When critics claim that insurance, real estate, and used cars are sold, not bought, they are making accusations of the use of _____.

C) high-pressure selling

Answer: C Diff: 2 Page Ref: 588 AACSB: Reflective Thinking

Skill: Concept Objective: 20-2

21) _____ persuades people to buy goods they had no thought of buying.

B) High pressure selling

Answer: B Diff: 1 Page Ref: 588 AACSB: Communication

Skill: Concept Objective: 20-2

22) The success of the Tom Dennis Ford dealership has been built largely on return customers and word-of-mouth recommendations. The majority of sales are made to customers who have purchased a vehicle at the dealership before or who know someone who had a positive experience purchasing a vehicle there. The sales force at the Tom Dennis Ford dealership most likely knows that using high-pressure selling does not work if the dealership wants to _____.

D) build long-term relationships with customers

Answer: D Diff: 2 Page Ref: 588 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

23) Recently, a class-action lawsuit was brought against McDonald's, charging that its food has contributed to the nationwide obesity epidemic. The suit was eventually dismissed, but many critics continue to point out the health dangers of many "fast food" menu items. These critics are concerned that the fast food industry has used _____.

E) harmful products

Answer: E Diff: 2 Page Ref: 588 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

24) Consumers Union, the nonprofit testing and information organization, publishes _____ to assist the consumer in choosing products and to encourage businesses to eliminate product flaws.

D) Consumer Reports

Answer: D Diff: 2 Page Ref: 589 Skill: Concept Objective: 20-2

25) All of the following would be considered hazards in tested products EXCEPT _____.

E) sour-tasting medicine

Answer: E Diff: 1 Page Ref: 589 Skill: Concept Objective: 20-2

26) Critics have charged that some companies intentionally manufacture their products with materials or components that cause the product to need to be replaced before it actually should need replacement. What is this called?

C) planned obsolescence

Answer: C Diff: 2 Page Ref: 589 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

27) The following quote best describes _____. "The marvels of modern technology include the development of a soda can which, when discarded, will last forever, and a...car, which when properly cared for, will rust out in two or three years."

A) planned obsolescence

Answer: A Diff: 2 Page Ref: 590 AACSB: Analytic Skills

Skill: Concept Objective: 20-2

28) Planned obsolescence might involve all of the following EXCEPT _____.

A) the use of unsafe materials

Answer: A Diff: 1 Page Ref: 590 Skill: Concept Objective: 20-2

29) Marketers respond to charges of planned obsolescence with all of the following EXCEPT?

C) The product will eventually wear out anyway.

Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

30) Trendy Teens manufactures fashionable clothing and accessories for the tween and teen female markets. New merchandise with a very different look is rolled out each season and heavily promoted as the "must-have" style in a variety of media. Trendy Teens could most easily be criticized for which of the following?

E) planned obsolescence

Answer: E Diff: 2 Page Ref: 590 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

31) Critics claim that companies in the _____ industries introduce planned streams of new products that make older models obsolete, a form of planned obsolescence that harms consumers.

D) consumer electronics and computer

Answer: D Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

32) Critics who believe that the American marketing system poorly serves disadvantaged consumers claim that the _____ pay more for inferior goods.

C) urban poor

Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

33) The presence of _____ in low-income neighborhoods makes a big difference in keeping prices down.

D) large national chain stores

Answer: D Diff: 2 Page Ref: 590 Skill: Concept Objective: 20-2

34) When major chain retailers avoid placing stores in disadvantaged neighborhoods, they are likely to be accused of the discriminatory practice of _____.

C) redlining

Answer: C Diff: 2 Page Ref: 590 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

35) Critics claim that mortgage lenders used _____. Instead of staying away from people in poor urban areas, they targeted and exploited them by steering them toward subprime loans even though many qualified for safer fixed-rate loans.

A) reverse redlining

Answer: A Diff: 2 Page Ref: 591 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

36) Several companies, some of them operating through the Internet, offer "paycheck advances." Consumers are encouraged to take out a loan against a paycheck they expect to receive in the near future. These short-term loans with high-interest rates, and high penalties for late payments, are often marketed to consumers who do not have traditional bank accounts. These companies could most easily be criticized for which of the following?

B) poor service to disadvantaged consumers

Answer: B Diff: 2 Page Ref: 590 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

37) Critics have charged that the marketing system urges too much interest in _____.

A) material possessions

Answer: A Diff: 1 Page Ref: 591 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

38) Critics of the American economic marketing system have charged that marketers have created a culture in which people are judged by what they _____.

B) own

Answer: B Diff: 1 Page Ref: 591 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

39) Bill Talen, also known as the Reverend Billy, leader of the Church of Stop Shopping, wants people to resist the temptation to shop. He annually leads a group of volunteers in his post-Thanksgiving Buy Nothing Parade in front of Macy's in Manhattan. Bill Talen is criticizing the American marketing system for creating _____.

D) false wants and too much materialism

Answer: D Diff: 2 Page Ref: 592 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

40) Businesses hire _____ firms to use mass media to create materialistic models of the good life.

C) Madison Avenue

Answer: C Diff: 3 Page Ref: 592 AACSB: Communication

Skill: Concept Objective: 20-2

41) Critics say marketing is seen as benefiting _____ more than _____.

B) industry; consumers

Answer: B Diff: 2 Page Ref: 592 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

42) Our wants and values are LEAST influenced by which of the following?

E) intermediaries

Answer: E Diff: 2 Page Ref: 592 Skill: Concept Objective: 20-2

43) The overselling of private goods results in _____, such as cars causing traffic jams, air pollution, injuries, and deaths.

C) social costs

Answer: C Diff: 2 Page Ref: 592-593 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

44) To restore the balance between private and public goods, producers could be required to bear the full _____ costs of their operations.

D) social

Answer: D Diff: 3 Page Ref: 593 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

45) For cars, "social costs" include all of the following EXCEPT _____.

D) congestion tolls

Answer: D Diff: 2 Page Ref: 593 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

46) TerraPass is a company that offers consumers the opportunity to buy carbon offsets, which are contributions to projects that combat global warming by reducing carbon emissions. TerraPass offers contribution packages for driving, flying, and home energy use. Through TerraPass, consumers can pay some of the _____ costs of their private goods and services.

E) social

Answer: E Diff: 2 Page Ref: 593 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

47) Cultural pollution could be referred to as _____.

A) commercial noise

Answer: A Diff: 2 Page Ref: 593 AACSB: Reflective Thinking

Skill: Concept Objective: 20-2

48) All of the following are examples of cultural pollution EXCEPT _____.

C) street signs in an urban area

Answer: C Diff: 2 Page Ref: 593 Skill: Concept Objective: 20-2

49) Karl Lagaros, a marketing critic, is concerned about the pervasiveness about marketing. He points to advertising messages everywhere, from Web sites and e-mails to unwanted direct mail and catalogs to television commercials and product tie-ins to billboards and store signage. Karl is concerned about _____.

B) cultural pollution

Answer: B Diff: 2 Page Ref: 593 AACSB: Reflective Thinking

Skill: Application Objective: 20-2

50) In response to charges of _____, marketers point out that advertising makes much of television and radio free to users and also keeps down the cost of magazines and newspapers.

E) cultural pollution

Answer: E Diff: 2 Page Ref: 593 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

51) Cultural pollution continually pollutes people's minds with all of the following messages EXCEPT _____.

D) religion

Answer: D Diff: 2 Page Ref: 593 AACSB: Analytic Skills

Skill: Concept Objective: 20-2

52) Large marketing companies can use patents and heavy promotion spending to _____.

C) set up barriers for others wanting to enter the industry

Answer: C Diff: 3 Page Ref: 594 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

53) All of the following are potential advantages of acquisition EXCEPT?

B) Acquisitions require little government oversight.

Answer: B Diff: 2 Page Ref: 594 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

54) Setting prices below cost, threatening to cut off business with suppliers, and discouraging the purchase of a competitor's products are all examples of _____.

C) predatory competition

Answer: C Diff: 2 Page Ref: 594 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-2

55) The two major movements to keep business in line are environmentalism and _____.

A) consumerism

Answer: A Diff: 1 Page Ref: 595 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

56) The first organized consumer movement in the United States took place in the early 1900s. It was fueled by all of the following conditions EXCEPT _____.

C) unsafe merchandise

Answer: C Diff: 2 Page Ref: 595 Skill: Concept Objective: 20-3

57) Ralph Nader is most closely associated with which of the following?

A) the consumerism movement of the 1960s

Answer: A Diff: 3 Page Ref: 595 Skill: Concept Objective: 20-3

58) _____ is an organized movement of citizens and government agencies to improve the rights and power of buyers in relation to sellers.

D) Consumerism

Answer: D Diff: 1 Page Ref: 595 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

59) All of the following are traditional sellers' rights EXCEPT _____.

C) the right to promote any product to any audience

Answer: C Diff: 3 Page Ref: 595 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

60) Consumer advocates call for all of the following additional consumer rights EXCEPT _____.

A) the right to be protected from unwanted marketing messages

Answer: A Diff: 3 Page Ref: 595-596 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

61) Proposals related to the consumer's right to _____ include controlling the ingredients that go into certain products and packaging as well as reducing the level of advertising "noise."

E) influence products and marketing practices in ways that will improve the "quality of life"

Answer: E Diff: 2 Page Ref: 596 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

62) Proposals related to the consumer's right to be informed including knowing all of the following EXCEPT _____.

E) product safety

Answer: E Diff: 2 Page Ref: 596 AACSB: Analytic Skills

Skill: Concept Objective: 20-3

63) Proposals _____ include promoting the use of sustainable ingredients, recycling and reducing solid wastes, and managing energy consumption.

C) for preserving the world for future consumption

Answer: C Diff: 2 Page Ref: 596 Skill: Concept Objective: 20-3

64) _____ is an organized movement of concerned citizens and government agencies to protect and improve people's living environment.

B) Environmentalism

Answer: B Diff: 1 Page Ref: 596 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

65) The _____ in the United States came about because of concern for the loss of the atmosphere's ozone layer, toxic wastes, litter, and the damage caused by strip mining and forest depletion.

A) first wave of modern environmentalism

Answer: A Diff: 2 Page Ref: 596 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

66) _____ is a management approach that involves developing strategies that both sustain the environment and produce profits for the company.

C) Environmental sustainability

Answer: C Diff: 1 Page Ref: 597 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

67) Companies emphasizing _____ are developing "green marketing" programs that develop ecologically safer products, recyclable and biodegradable packaging, more energy-efficient operations, and better pollution controls.

A) pollution prevention

Answer: A Diff: 2 Page Ref: 597 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

68) All of the following are components of both internal and external "greening" and "beyond greening" activities EXCEPT _____.

C) environmentalism

Answer: C Diff: 1 Page Ref: 597 Skill: Concept Objective: 20-3

69) Nike produces PVC-free shoes, recycles old sneakers, and educates young people about conservation, reuse, and recycling. Nike is using the most basic level of environmental sustainability known as _____.

A) pollution prevention

Answer: A Diff: 2 Page Ref: 597 AACSB: Reflective Thinking

Skill: Application Objective: 20-3

70) All of the following are components of "green marketing" EXCEPT _____.

B) cradle-to-cradle practices

Answer: B Diff: 2 Page Ref: 597 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

71) Minimizing pollution from production and all environmental impacts throughout the full product life cycle is called _____.

C) product stewardship

Answer: C Diff: 3 Page Ref: 597-598 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

72) ABC, Inc. is currently designing a new product line with the goal of making each product easy to recover, reuse, or recycle. ABC, Inc. hopes to recover many of these products when they reach the end of their lifecycle and reuse components in new products. ABC, Inc. is in the _____ stage of environmental sustainability.

C) product stewardship

Answer: C Diff: 2 Page Ref: 597-598 AACSB: Reflective Thinking

Skill: Application Objective: 20-3

73) _____ involves thinking ahead in the design stage to create products that are easier to reuse, recycle, or recover.

B) Design for environment (DFE)

Answer: B Diff: 2 Page Ref: 598 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

74) Xerox Corporation's Equipment Remanufacture and Parts Reuse Program converts end-of-life office equipment into new products and parts. This not only helps sustain the environment, but it is also highly profitable for the company. Such a practice is known as _____.

D) design for environment (DFE)

Answer: D Diff: 3 Page Ref: 598 AACSB: Reflective Thinking

Skill: Application Objective: 20-3

75) Companies can develop _____, which serves as a guide to the future. It shows how the company's products and services, processes, and policies must evolve and what new technologies must be developed to get there.

E) a sustainability vision

Answer: E Diff: 2 Page Ref: 598 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-3

76) As international trade barriers come down and global markets expand, environmental issues are having _____ impact on international trade.

D) a greater

Answer: D Diff: 2 Page Ref: 599 Skill: Concept Objective: 20-3

77) The philosophy of _____ holds that a company's marketing should support the best long-run performance of the marketing system.

C) the sustainable marketing concept

Answer: C Diff: 1 Page Ref: 602 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-4

78) All of the following are sustainable marketing principles EXCEPT _____.

D) value marketing

Answer: D Diff: 2 Page Ref: 602 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-4

79) Jacob Engineering Group views and organizes its marketing activities from the viewpoint of its buyers. Management works hard to sense, serve, and satisfy the needs of its well-defined group of buyers. What does Jacob Engineering Group practice?

A) consumer-oriented marketing

Answer: A Diff: 2 Page Ref: 602 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

80) Which sustainable marketing principle requires that a company seek real product and marketing improvements?

B) innovative

Answer: B Diff: 1 Page Ref: 602 Skill: Concept Objective: 20-4

81) After Sony and Microsoft kicked the Mario out of Nintendo's GameCube in the Video Game War of 2001, the smallest of the three game platform makers needed a new plan. The resulting Wii system, with its intuitive motion-sensitive controller and interactive games, appealed not only to teen boys but also to their sisters, moms, dads, and even grandparents. The system immediately outsold both the PlayStation 3 and Xbox 360. This is a successful example of _____ marketing.

B) innovative

Answer: B Diff: 3 Page Ref: 602 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

82) Some firms define their purpose in narrow product terms. Others that define their purpose in broad social terms follow _____.

B) sense-of-mission marketing

Answer: B Diff: 2 Page Ref: 603 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-4

83) Timberland employees get 40 hours paid leave each year to pursue volunteer projects. The company runs a service day that hosts projects in 25 countries, and it supports a nonprofit that brings young people into public service for a year. CEO Jeffrey Swartz sees such service as a powerful differentiator for Timberland with its current and potential customers. Timberland could be most accurately described as practicing _____.

E) sense-of-mission marketing

Answer: E Diff: 2 Page Ref: 603 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

84) Dove wanted to do more than just sell its beauty care products. The company was on a quest to discover "real beauty" and help women be happy just the way they are. As a result, the Dove Campaign for Real Beauty was successfully launched in 2004. Dove was practicing which type of marketing?

A) sense-of-mission

Answer: A Diff: 2 Page Ref: 603 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

85) When a company makes marketing decisions by considering consumers' wants and interests, the company's requirements, and society's long-run interests, it is practicing _____ marketing.

B) societal

Answer: B Diff: 1 Page Ref: 604 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-4

86) What are deficient products?

A) products that have neither immediate appeal nor long-run benefits

Answer: A Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

87) Dales Drugstore sells cough medicine that is sour and ineffective. This is an example of a _____ product.

D) deficient

Answer: D Diff: 1 Page Ref: 604 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

88) A company that makes products that give high immediate satisfaction but may hurt consumers in the long run makes _____ products.

B) pleasing

Answer: B Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

89) _____ products give both high immediate satisfaction and high long-run benefits.

C) Desirable

Answer: C Diff: 1 Page Ref: 604 Skill: Concept Objective: 20-4

90) Examples of pleasing products include _____.

A) cigarettes and junk food

**Answer: A Diff: 1 Page Ref: 604 AACSB: Reflective Thinking
Skill: Concept Objective: 20-4**

91) Which of the following is the best example of a desirable product?

A) healthy and delicious breakfast food

**Answer: A Diff: 2 Page Ref: 604 AACSB: Reflective Thinking
Skill: Concept Objective: 20-4**

92) In societal marketing, the ideal goal for companies is to turn all of their products into _____ ones.

B) desirable ones

**Answer: B Diff: 2 Page Ref: 605 AACSB: Ethical Reasoning
Skill: Concept Objective: 20-4**

93) Maytag's front-loading Neptune washer provides superior cleaning and energy efficiency. The Neptune washer is an example of a _____ product.

D) desirable

**Answer: D Diff: 3 Page Ref: 604 AACSB: Reflective Thinking
Skill: Application Objective: 20-4**

94) The challenge for makers of which type of product is to add long-run benefits without reducing the product's pleasing qualities?

C) pleasing

Answer: C Diff: 2 Page Ref: 605 Skill: Concept Objective: 20-4

95) The challenge for makers of which type of product is to add some pleasing qualities so that it will become more desirable in the consumers' minds?

A) salutary

Answer: A Diff: 2 Page Ref: 605 Skill: Concept Objective: 20-4

96) Baker Enterprises produces several new products that have low appeal but may benefit consumers in the long run. What is the most accurate classification of these products?

C) salutary

Answer: C Diff: 2 Page Ref: 604 AACSB: Reflective Thinking

Skill: Application Objective: 20-4

97) Monica Carey is a conscientious marketing manager. Sometimes it is unclear what decisions to make when she and her staff are faced with moral dilemmas. Monica and other managers could create broad guidelines that everyone in the organization must follow in the form of _____.

D) corporate marketing ethics policies

Answer: D Diff: 3 Page Ref: 605 AACSB: Reflective Thinking

Skill: Application Objective: 20-5

98) A company that produces and heavily markets cigarettes, with many promotions aimed at young (although legal age) nonsmokers, most likely follows which of the following as a guiding principle?

B) the philosophy that companies can do in good conscience whatever the market and legal systems allow

Answer: B Diff: 1 Page Ref: 606 AACSB: Reflective Thinking

Skill: Application Objective: 20-5

99) Companies must decide what principle they should use as a guide on issues of ethics and social responsibility. All of the following are common philosophies to accomplish this end EXCEPT?

C) Let society decide.

Answer: C Diff: 3 Page Ref: 606 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-5

100) The American Marketing Association (AMA) has created a code of ethics that includes all of the following ethical values EXCEPT _____.

D) competitiveness

Answer: D Diff: 1 Page Ref: 607-608 AACSB: Ethical Reasoning

Skill: Concept Objective: 20-5

126) Briefly define the four marketing concepts

Answer: Sustainable marketing calls for meeting the present needs of consumers and businesses while also preserving or enhancing the ability of future generations to meet their needs.

The marketing concept recognizes that organizations thrive from day to day by determining the current needs and wants of target group customers and fulfilling those needs and wants more effectively and efficiently than the competition. The societal marketing concept considers the future welfare of consumers while the strategic planning concept considers future company needs.

Diff: 1 Page Ref: 584-585

AACSB: Analytic Skills

Skill: Application

Objective: 20-1

127) How do resellers answer criticism of the high costs of distribution?

Answer: Resellers argue that intermediaries provide services that customers want, such as more convenience, more service, longer store hours, and return privileges. Also, retail competition is so intense that profit margins are actually quite low.

Diff: 2 Page Ref: 586

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

128) Explain how marketers and marketing critics disagree about the psychological value of advertising.

Answer: Marketing critics believe that the psychological value advertising may add to a product is not worth the higher retail prices that must be charged to finance the advertising that creates the psychological value. Marketers believe that consumers want and are willing to pay more for the psychological benefits—such as feeling wealthy, attractive, or special—created by advertising.

Diff: 3 Page Ref: 586

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

129) Explain why most marketers avoid deceptive practices.

Answer: Deceptive practices make consumers believe they are buying something more than what they are actually getting; when consumers do not get what they expect, they will switch to more reliable products. Deceptive practices prohibit marketers from building value and trust with their customers, both keys to profitable customer relationships.

Diff: 2 Page Ref: 588

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

130) Why might salespeople use high-pressure selling tactics that do not lead to long-term relationships with customers?

Answer: Salespeople might be more motivated by short-term gains, particularly when sales contests promise big rewards to those who sell most.

Diff: 2 Page Ref: 588

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

131) What are two risks a company takes when producing shoddy, harmful, or unsafe products?

Answer: Companies that market shoddy, harmful, or unsafe products risk damaging their reputation, conflicts with consumer groups and regulators, liability lawsuits, and loss of customers.

Diff: 2 Page Ref: 589

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

132) Explain the practice of redlining and why it is criticized.

Answer: Redlining is a type of economic discrimination in which major chain retailers avoid placing stores in disadvantaged neighborhoods. Because of redlining, the urban poor do not have as many shopping options and must buy their goods in smaller stores that carry inferior products and charge higher prices.

Diff: 2 Page Ref: 590

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

133) What is meant by cultural pollution? Give two examples.

Answer: Cultural pollution is the constant assault on our senses by advertising. Examples will vary but may include: commercials that interrupt serious programs, pages of ads that obscure magazine, spam that fills e-mailboxes, and billboards that mar beautiful scenery.

Diff: 2 Page Ref: 593

AACSB: Reflective Thinking

Skill: Application

Objective: 20-2

134) Why are critics concerned about companies acquiring competitors?

Answer: Critics are concerned that such acquisitions harm the acquired firms and reduce competition within an industry; also, there is concern that acquisitions discourage new competitors from entering the market.

Diff: 2 Page Ref: 594

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

135) Define the consumerism and environmentalism movements.

Answer: Consumerism is an organized social movement intended to strengthen the rights and power of consumers relative to sellers. Environmentalism is an organized social movement seeking to minimize the harm done to the environment and quality of life by marketing practices. Citizens and government agencies are involved in both movements.

Diff: 1 Page Ref: 595

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-3

136) What is involved in pollution prevention? Give at least one example.

Answer: Pollution prevention means more than pollution control, or the cleaning up of waste after it has been created. It involves the elimination or minimization of waste before it is created. Biodegradable packaging, better pollution controls, and more energy-efficient operations are all examples of pollution prevention.

Diff: 2 Page Ref: 597

AACSB: Reflective Thinking

Skill: Application

Objective: 20-3

137) Why is environmentalism especially challenging for global marketers?

Answer: As international barriers come down and global marketers expand, environmental issues are having an even greater impact on international trade; different environmental standards between and among various countries make environmentalism especially challenging. Also, environmental factors that motivate consumers in one country may not concern consumers in another country at all.

Diff: 2 Page Ref: 599

AACSB: Analytic Skills

Skill: Application

Objective: 20-2

138) How is consumer-oriented marketing different from customer-value marketing?

Answer: Consumer-oriented marketing means that the company should view and organize its marketing activities from the consumer's point of view; customer-value marketing takes that a step further, as the company puts most of its resources into customer-value-building marketing investments.

Diff: 2 Page Ref: 602

AACSB: Analytic Skills

Skill: Application

Objective: 20-4

139) Explain how a firm benefits from using sense-of-mission marketing.

Answer: Sense-of-mission marketing means that the company should define its mission in broad *social* terms rather than narrow *product* terms; when a company defines a social mission, employees feel better about their work and have a clearer sense of direction.

Diff: 3 Page Ref: 603

AACSB: Analytic Skills

Skill: Application

Objective: 20-4

140) How is the societal marketing concept related to marketing ethics?

Answer: The societal marketing concept requires a company and its marketing managers to work out a philosophy of responsible and ethical behavior, looking beyond what is legal and allowed and developing standards based on personal integrity, corporate conscience, and long-run consumer welfare.

Diff: 2 Page Ref: 606

AACSB: Analytic Skills

Skill: Application

Objective: 20-5

141) Describe the ways marketing is accused of harming the consumer.

Answer: Marketers are charged with causing prices to be higher than they need to be. They are sometimes accused of deceptive practices that lead consumers to believe they will get more value than they actually do. Sometimes salespeople pressure consumers to purchase products they neither want nor can afford. Others are accused of selling shoddy or unsafe products. Others are blamed for developing products that become obsolete before they actually need replacement. Last, marketers are accused of delivering poor service to disadvantaged consumers or not making products available to them.

Diff: 2 Page Ref: 586

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-2

142) Describe the three different categories of deceptive marketing practices.

Answer: Deceptive pricing includes practices such as falsely advertising factory or wholesale prices or advertising a large price reduction from a phony high retail list price. Deceptive promotion includes practices such as misrepresenting the product's features or performance or luring customers to the store for a bargain that is out of stock. Deceptive packaging includes exaggerating package contents through subtle design, using misleading labeling, or describing size in misleading terms.

Diff: 1 Page Ref: 587

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-2

143) How do marketers respond to critics' accusations of planned obsolescence?

Answer: Marketers respond that consumers like style changes; they get tired of the old goods and want a new look in fashion. Or they want the latest high-tech innovations, even if older models still work. No one has to buy the new product, and if too few people like it, it will simply fail. Finally, most companies do not design their products to break down earlier, because they do not want to lose customers to other brands. Instead, they seek constant improvement to ensure that products

will consistently meet or exceed customer expectations. Much of the so-called planned obsolescence is the working of the competitive and technological forces in a free society—forces that lead to ever-improving goods and services.

Diff: 3 Page Ref: 590

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-2

144) Identify the social costs of increased automobile ownership, and then describe two options for restoring the balance between private and public goods. Give specific examples.

Answer: For cars, some of the social costs include traffic congestion, gasoline shortages, and air pollution. One option for restoring the balance between private and public goods is to make producers bear the full social costs of their operations. The government could require automobile manufacturers to build cars with more efficient engines and better pollution control systems.

Automakers would then raise their prices to cover extra costs. A second option is to make consumers pay the social costs. For example, many cities around the world are starting to charge "congestion tolls" in an effort to reduce traffic congestion; drivers entering high-traffic areas are required to pay a fee. Similarly, the U.S. government has recently proposed a bill that would create rush-hour fees in congested urban areas across the country. If the costs of driving increase enough, the government hopes, consumers will travel at nonpeak times or find alternative transportation modes.

Diff: 3 Page Ref: 593

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-2

145) How do marketers respond to charges of "commercial noise"?

Answer: Marketers answer the charges of "commercial noise" with these arguments: First, they hope that their ads reach primarily the target audience. But because of mass-communication channels, some ads are bound to reach people who have no interest in the product and are therefore bored or annoyed. People who buy magazines addressed to their interests—such as *Vogue* or *Fortune*—rarely complain about the ads because the magazines advertise products of interest.

Second, ads make much of television and radio free to users and keep down the costs of magazines and newspapers. Many people think commercials are a small price to pay for these benefits. Consumers find many television commercials entertaining and seek them out—for example, ad viewership during the Super Bowl usually equals game viewership. Finally, today's consumers have alternatives. For example, they can zip or zap TV commercials on recorded programs or avoid them altogether on many paid cable or satellite channels. Thus, to hold consumer attention, advertisers are making their ads more entertaining and informative.

Diff: 2 Page Ref: 593

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-2

146) How do consumerism and environmentalism affect marketing strategies?

Answer: Alert marketers view consumerism as an opportunity to serve consumers better by providing more consumer information, education, and protection. Environmental groups have improved conditions in many industries, including the meat and drug industries, and have helped pass legislation to protect the environment. The latest move is for companies to be proactive and take the responsibility for not doing environmental harm. They are practicing environmental sustainability by developing strategies that both sustain the environment and produce profits for the company. Many companies have responded positively to consumerism and environmentalism as ways to create greater customer value and to strengthen customer relationships.

Diff: 3 Page Ref: 595-599

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-3

147) Discuss two components of the environmental sustainability portfolio.

Answer: At the most basic level, a company can practice pollution prevention. This involves more than pollution control—cleaning up waste after it has been created. Pollution prevention means eliminating or minimizing waste before it is created. Companies emphasizing prevention have responded with internal "green marketing" programs—designing and developing ecologically safer products, recyclable and biodegradable packaging, better pollution controls, and more energy-efficient operations. At the next level, companies can practice product stewardship—minimizing not just pollution from production and product design but all environmental impacts throughout the full product life cycle, and all the while reducing costs. Many companies are adopting design for environment (DFE) and cradle-to-cradle practices. This involves thinking ahead to design products that are easier to recover, reuse, recycle, or safely return to nature after

usage, becoming part of the ecological cycle. (Answers will vary to include new-clean technology and sustainability vision.)

Diff: 2 Page Ref: 597

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-3

148) Describe the five sustainable marketing principles.

Answer: Consumer-oriented marketing acts from the consumers' point of view. Innovative marketing seeks real product and marketing improvements. Customer-value marketing exists when a firm puts most of its resources into value-building investments. When a company defines its mission in broad social terms rather than narrow product terms, it is practicing sense-of-mission marketing. Finally, societal marketing exists when the company makes its decisions by considering its own, consumers', and society's long-run interests.

Diff: 1 Page Ref: 602-604

AACSB: Ethical Reasoning

Skill: Application

Objective: 20-4

149) Compare and contrast the four types of products in the societal classification of products. Provide examples of each.

Answer: Deficient products are at the bottom because they have neither immediate appeal nor long-run benefits. Desirable products are at the top because they give both high immediate satisfaction and high long-run benefits. In between are pleasing products and salutary products. Pleasing products give high immediate satisfaction but may hurt consumers in the long run. Salutary products have low appeal but may benefit consumers in the long run. Examples will vary to include some of the following: cigarettes, junk food, sour-tasting ineffective medicine, seat-belts, and tasty, nutritious breakfast foods.

Diff: 2 Page Ref: 604

AACSB: Analytic Skills

Skill: Application

Objective: 20-4

150) Compare and contrast the two common principles that can be used to guide companies and marketing managers on issues of ethics and social responsibility.

Answer: One principle states that such issues should be decided by the free market and legal system. A second, and more enlightened principle, puts responsibility not in the system but in the hands of individual companies and managers. Each firm and marketing manager must work out a philosophy of socially responsible and ethical behavior. Under the societal marketing concept, managers must look beyond what is legal and allowable and develop standards based on personal integrity, corporate conscience, and long-term consumer welfare.

Diff: 2 Page Ref: 606

Skill: Application

Objective: 20-5